



Purpose in
Motion

Stanbic Holdings Plc
Annual Integrated Report

For The Year Ended 31 December 2025

Kenya and South Sudan is Our Home,
We Drive Her Growth

A member of Standard Bank Group

Inside the Report

A Journey of Purpose

The Great Wildebeest Migration reflects purposeful, sustained movement, driven by discipline, resilience, and collective intent rather than a single destination. This spirit captures Stanbic Holding Plc's journey in 2025, the second year of our strategic ambition, as the Group translated strategy into action and advanced steadily through a complex operating environment.

Through adaptability, sound governance, and shared execution, Stanbic continued to strengthen its foundations, deliver sustainable growth, and create long term value. Moving forward with clients, employees, partners, and communities, the Group remains connected, deliberate, and firmly focused on a future shaped by collective possibility.

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Introduction

About this report

In our commitment to accountability and building a resilient, future-fit organisation that responds to the evolving needs of the markets and communities we serve, Stanbic Holdings Plc engages annually and transparently with its stakeholders. These include shareholders, customers, employees, regulators and partners by disclosing how we create, protect and sustain value over the short, medium and long term periods.

Reporting Scope

This Integrated Report and Financial Statements 2025 cover the period from 1 January 2025 to 31 December 2025. The report presents both financial and non-financial information for Stanbic Holdings Plc and its subsidiaries (the Group), comprising all entities under the Group's control or over which it has significant influence. Where certain disclosures or performance metrics apply only to specific entities, this is clearly indicated.

Reporting Boundary

The reporting boundary encompasses the Group's business model (Kenya and South Sudan operations), strategy, performance and future prospects, providing a comprehensive view of how value is created and preserved.



In line with integrated reporting principles, the report also considers risks, opportunities and outcomes arising from relationships and activities beyond the Group's direct control where these have a material impact on our ability to sustain value and mitigate its erosion. Financial information has been prepared in accordance with International Financial Reporting Standards (IFRS) and includes the consolidation of all entities within the Group, unless otherwise stated.

Value Creation Statement

Stanbic Holdings Plc creates long-term value by responsibly deploying capital, technology and expertise to enable inclusive economic growth in Kenya and South Sudan. Through an integrated financial ecosystem spanning banking, bancassurance, asset management and capital markets, we support our clients to grow, protect and preserve wealth while strengthening the resilience of the economies we serve.

Our value creation is underpinned by disciplined risk management, strong governance and a purpose-led approach to sustainability. By investing in our people, leveraging digital innovation, and aligning our financing activities with national development priorities and global Environmental, Social and Governance standards, we seek to deliver sustainable returns for shareholders. We do this while generating positive outcomes for customers, communities, employees and the environment over the short, medium and long term.

Reporting Suite

This Integrated Report should be read in conjunction with the Sustainability Report 2025 available on our website. Together, these publications provide a holistic view of how Stanbic Holdings Plc integrates financial performance with environmental, social, and governance (ESG) considerations to deliver enduring value for all stakeholders.

Supplementary Information
To meet the diverse information needs of our stakeholders, this report is supplemented by a range of periodic publications and online disclosures, including:

- 1 Annual Sustainability Report
- 2 Quarterly financial statements, and regulatory disclosures
- 3 Quarterly investor discussion decks
- 4 2025 full-year financial results.

Directors' Oversight

The Board of Directors (the Board) supported by the Board Audit Committee (BAC) holds ultimate accountability for the integrity and completeness of this Integrated Report. The Board provides oversight of the reporting process to ensure that the disclosures present a fair, balanced and understandable view of the Group's performance, strategic direction, governance practices and outlook.

The Board reviewed and approved this Integrated Report on 4 May 2026, confirming that it accurately reflects how Stanbic Holdings Plc strengthened its operations, enhanced organisational resilience, and created sustainable value during the 2025 financial year.

Audit Assurance
Stanbic Holdings Plc's financial statements were prepared in compliance with International Financial Reporting Standards (IFRS) and the relevant legal requirements, and audited by Deloitte Kenya.

Our Guiding Strategy

Under our "One Stanbic" strategy, the Group continued to strengthen its position in the region by leveraging on its core strengths and focusing on several high-impact initiatives.

From its first implementation in 2024, the strategy is anchored in 3-key priorities and has impacted operations in 2025. This strategy is underpinned by a focus on customer-centricity, operational efficiency, and positive social and environmental impact.

Strategic priorities

Transform Client Experience

Execute With Excellence

Drive Sustainable Growth and Value

Targeted Strategic Outcomes

14 - 16% REVENUE GROWTH CAGR*	+50 NPS SCORE	41 - 43% COST-TO-INCOME RATIO	<9% NPL RATIO	23 - 25% RETURN ON EQUITY
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Success Pillars

CLIENT FOCUS

EMPLOYEE ENGAGEMENT

RISK AND CONDUCT

OPERATIONAL EXCELLENCE

FINANCIAL OUTCOME

POSITIVE IMPACT



CAGR - Compounded Annual Growth Rate

Our Value Creation Model (The Six Capitals)

Capital

Financial Capital



Input

- Customer deposits
- Borrowings
- Shareholder's funds
- Green lending

Outputs

- Equity- **KES 80bn**
- Total Assets- **KES 541bn**
- Customer deposits- **KES 374bn**
- Borrowings- **KES 13bn**

Outcome

- Return on Equity- **18.0%**
- Return on Assets- **2.9%**
- Dividends per share- **KES 22.35**
- Cost-to-income ratio- **46.2%**

Manufactured Capital



- Banking outlets
- Automated Teller Machines(ATMs) & Cash Deposit Machines(CDMs)
- Digital channels

- Easy access to financial services
- Mobile App
- Internet Banking

- Branches- **30**
- Service Centers- **14**
- Agent outlets- **723**
- ATMs- **53**
- Cash deposit machines- **161**

Intellectual Capital



- Superior technological capabilities
- Competitive brand positioning

- Automated processes
- Innovative products & services

- Brand equity score- **15.7**
- 99%** uptime achieved

Human Capital



- Total workforce
- Experienced & competent Board of directors with diverse skillset

- Skilled workforce
- Low turnover rate

- Increased employee Net Promoter Score (NPS) by **8 to 46**
- Internal Staff Service (ISS) Score- **3.8**

Social and Relationship Capital



- Strategic partnerships for execution of community matters

- We contributed to SDG **4**
- More homeowners

- Partnered with **8 counties** to enhance foundation's programmes such as digital, education and empowerment
- 6,700** women enterprises supported with **KES 100m**
- 66** students supported through education scholarships
- KES 120m** spent on training **70,000** women
- Customer Satisfaction Index- **8.7**
- KES 1.8bn** loans issued in affordable housing resulting to over 200 new homeowners

Natural Capital



- Tree planting
- Mangrove Area Restoration

- Increased tree coverage

- Over **204,000** trees planted
- 7.5 hectares** of degraded mangrove area restored



A Snapshot of Stanbic Holding Plc's Performance

	Profit after Tax (Billions)		
	2025	2024	Increase/Decrease
	KES 13.7	KES 13.7	-
	Total Balance Sheet (Billions)		
	2025	2024	Increase/Decrease
	KES 541	KES 455	19%
	Customer Numbers(Thousands)		
	2025	2024	Increase/Decrease
	KES 315	KES 291	8%
	Customer Deposits(Billions)		
	2025	2024	Increase/Decrease
	KES 374	KES 318	17%
	Customer Loans (Billions)		
	2025	2024	Increase/Decrease
	KES 273	KES 230	19%
	Dividends per Share (KES)		
	2025	2024	Increase/Decrease
	KES 22.35	KES 20.83	7%
	ROE		
	2025	2024	Increase/Decrease
	18.0%	19.3%	133bps

Delivering Our Strategy



STRATEGY EXECUTION PROOF POINTS: KEY HIGHLIGHTS

 Sovereign support: Facilitated a \$3.0bn Eurobond transactions	 Energy Sector: \$450m support in fuel importation	 Asset Management Business: KES 5.3bn in asset management	 SME Support: KES 69.3bn disbursed
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EXECUTING WITH EXCELLENCE

 Non-Performing Loans (NPL) Ratio: 7.99%	 Credit Loss Ratio (CLR): 0.57%	 Provisions Coverage Ratio: 66.4%	 Stanbic Fitch Ratings: "B" Stable
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DRIVING SUSTAINABLE GROWTH AND VALUE

 Trees planted: >204k trees planted	 Screening for E&S risk: All loans above USD 1m	 D.A.D.A.: Over KES 49.5bn disbursed to support women	 Solar Financing KES 273m disbursed
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Our Board

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Chairman's Statement



A Year of Stabilisation and Strategic Discipline

The last four years have been a journey of evolution. While 2022 and 2023 were marked by high inflation and currency volatility, 2024 and 2025 signaled a definitive turning point starting with currency appreciation and stabilisation in early 2024 followed by progressive monetary policy easing cycle.

Kenya's economy demonstrated remarkable strength in 2025, expanding by an estimated 4.7%. This growth was bolstered by robust agricultural and service sectors and a rebound in construction, supported by muted inflationary pressure.

The Central Bank's gradually reduced the policy interest rate from 13.0% in July 2024 to 9.0% by the end of 2025, rekindling credit demand towards the second half of 2025.

Financial performance

Stanbic Holdings Plc delivered a solid performance in 2025 despite notable shifts within the operating environment. Our balance sheet expanded by a commendable 19 percent during the year under review, while our share price appreciated by 44 percent, from KES 137.25 in 2024 to KES 197.75 in 2025. Although return on equity declined marginally from 19.3 percent to 18 percent, we continued to enhance shareholder value, increasing the dividend per share from KES 20.83 in 2024 to KES 22.35 in 2025. This brought total dividends paid over the past two years to more than KES 17 billion.

We also maintained strong asset quality, with non-performing loans holding at 8 percent, significantly below the industry average of approximately 15.5 percent. In addition, our credit loss ratio improved meaningfully from 1.2 percent in 2024 to 0.6 percent in 2025. These outcomes reflect the effectiveness of the operational efficiencies embedded in our strategy and underscore our commitment to disciplined execution and sustained value creation.

Our commitment to sustainable banking remains at our core. Through the Stanbic Foundation, we continue to scale initiatives through our four strategic pillars:

- (a) Business Growth and Job Creation
- (b) Infrastructure Development and corporate social Investment
- (c) Climate change mitigation and adaptation, and
- (d) Financial health and inclusion.

Our balance sheet grew by a commendable 19 percent during the year under review while the share price was up 44 percent, from KES 137.25 in 2024 to KES 197.75 by end of 2025."

Joseph Muganda

We are pleased to report the successful conclusion of the annual Fitch rating review. The agency has reaffirmed Stanbic Bank Kenya's rating at 'B' with a 'Stable' Outlook. Importantly, our Viability Rating (VR) of 'b' has also been affirmed, representing the highest attainable National Rating on Kenya's national scale.

This rating provides a compelling confirmation to our customers and prospects, a reaffirmation that Stanbic Bank remains a safe, well-capitalised, and resilient institution.

The Fitch rating summary, issued in quarter 3 2025, highlighted the following key attributes:

Key Rating Driver	Summary
Strong Business Profile	Moderate 6% market share; strong franchise anchored in Corporate & Investment Banking and Group support.
Adequate Risk Management	Focus on lending to lower-risk customers (prime corporates) with greater resilience to macroeconomic changes.
Vulnerable Asset Quality	NPL ratio is 9.5% (well below sector average of 17.6%) with an 83% coverage ratio, reflecting a conservative risk appetite.
Strong Profitability Metrics	Annualised operating returns to risk weighted assets of 4.4% in 1H25; strong pre-impairment operating profit an annualized 7.9% of average gross loans at 1H25 provides a solid buffer against potential loan losses.
High Loss Absorption Capacity	Capital ratios are comfortably above minimum requirements; plans to maintain a buffer of at least 200 basis points (bp).
Strong Funding Profile	Customer deposits are 92% of total non-equity funding, with 85% in current and savings accounts (supportive of stability).
Shareholder Support Rating (SSR)	Considers the Group's strategic importance to the group's regional network and parent's ability to provide support.
Weak Credit Demand	Credit demand remains weak despite strong GDP growth; sector NPL peaked at 17.6% (driven by public-sector arrears).

*This ratings were based in the half year 2025 performance

Market Position and Strategic Progress

Stanbic Bank, subsidiary of the Group, continued its upward trajectory in the Kenyan banking sector, steadily improving its market position to 6th place in 2025, from 9th position in 2021, based on the Central Bank of Kenya's weighted composite index. During this period, the Group grew its market size index to 5.7%, reflecting consistent expansion across key balance-sheet and customer metrics.

This marks the third consecutive improvement in our market ranking, underscoring the strategic dividends of deliberate decisions taken over recent years.

Encouraged by this momentum, we remain focused on strengthening our franchise, executing our strategy with discipline, and sustaining value creation for our stakeholders into the future.

Strengthening Governance and Board Effectiveness

The Board continued to strengthen governance in line with the Companies Act, regulatory expectations and global best practice. Two out of eight of the Board remains independent, supporting objective oversight and a robust policy formulation. We also continued our efforts to streamline board remuneration in line with best-in-class standards and as a result, we refreshed Board Remuneration Policy during the year and conducted internal performance evaluations to assess its effectiveness and identify areas for continuous improvement.

Director training remained a priority, with particular focus on emerging risks, technology and sustainability. Governance audits were completed to confirm compliance with legal, regulatory, and Group standards.

In 2025, the Board welcomed Stephen Odinga Okello an independent director, further strengthening the depth and diversity of oversight. We remain committed to transparency, regular self assessment and active engagement with key stakeholders, including regulators, shareholders and government.

Disciplined Risk Management

The Group maintained a Total Capital Adequacy Ratio of 17.43 percent, above the regulatory minimum requirement of 14.5 percent. This strong capital position provides resilience against shocks while enabling the Bank to continue supporting economic growth.

Asset quality remained sound, with a non performing loan (NPL) ratio of 8 percent, significantly below the industry average. This was a result of disciplined lending, a clearly articulated risk appetite, and ongoing stress testing of the balance sheet against economic and operational shocks.

Cybersecurity continued to be a key area of focus. As digitisation accelerates, so do associated risks. Continuous system monitoring, enhanced fraud management tools and strengthened data protection controls ensure that customer assets and information remain well protected.

Sustainability Embedded in Strategy and Execution

The Board ensures alignment between sustainability commitments and lending practices, recognising the importance of avoiding inconsistencies between stated climate ambitions and financing activities. The Stanbic Foundation continued to support marginalised and underserved communities through economic empowerment, education, health and climate action. We do this through a targeted approach to ensure that our support achieves the Foundation's strategic goals.

Sovereign Support

Stanbic Holdings Plc played a significant role in national development supporting Kenya's sovereign financing agenda by facilitating a USD 3.0 billion Eurobond transaction, one of the largest in the country. In addition, Stanbic Holdings Plc participated in government to government energy sector through USD 450m support in oil importation. These engagements strengthened the Group's market position while reinforcing its contribution to economic stability and growth.

Outlook

Kenya's GDP growth is projected at 5.2 percent in 2026, supported by infrastructure development, agriculture, SMEs, manufacturing and public sector reforms. Against this backdrop, the Board has set clear priorities for 2026 and beyond, among them capturing increased credit demand in a lower interest rate environment; maintaining asset quality; targeting NPLs below 9 percent and improving operational efficiency towards a 40 percent cost to income ratio. The Group also plans to expand infrastructure financing, enhance its sovereign advisory capabilities and grow SME and agriculture lending. We will also prioritise the deepening of our wealth management and affluent banking offerings; leveraging regional trade integration through PAPSS and the AfCFTA and continue embedding sustainability into our lending and procurement decisions.

Conclusion

In conclusion, I would like to thank the Board for setting the policy agenda and providing overall operational direction for the Group. Their support has been invaluable in steering the Bank towards becoming a regional powerhouse.

I would also like to extend my special thanks to the management and staff led by Dr. Joshua Oigara, the Chief the incoming Executive Officer, for their commitment and dedication to duty that has set the bank firmly on the road to becoming a key financier in the region. We look forward to a year of improved performance and growth across the Board.



Our Board of Directors



Joseph L. O. Muganda, 60
Chairman
Appointed in 2021



Mr. Patrick M. Mweheire, 55
Chief Executive
Appointed in 2020
Retired on 28 February 2026



Dr. Joshua Oigara, 50
Chief Executive
Appointed on 1 March 2026



Peter Nderitu Gethi, 60
Non-Executive Director
Appointed in 2013



Rose Bosibori Osoro, 54
Non-Executive Director
Appointed in 2017



Dorcas Florence Kombo, 71
Independent Non-Executive Director
Appointed in 2018



Sabira Amit Thakker, 58
Non-Executive Director
Appointed in 2024



Wambui Kihuha Mbesa, 57
Non-Executive Director
Appointed in 2021
Retired on 15 May 2025



Stephen Odinga Okello, 62
Independent Non-Executive Director
Appointed in 2025



Nancy K. Kiruki
Company Secretary

Individual Board profiles are provided on pages 112 - 114 of this report



Board Oversight



This included detailed financial reports, compliance updates, policy submissions, internal and external audit findings, and risk management reports.

In 2025, the Board exercised its oversight responsibilities through clearly defined mandates for each committee, anchored on annual workplans that outlined priority focus areas, reporting expectations and key governance activities. Committees met regularly during the year, and their deliberations were formally escalated to the Board through structured reports, enabling consistent visibility of emerging issues, risks and opportunities.

To ensure that oversight remained timely, holistic and grounded in accurate data, the Board's decision-making was guided by a comprehensive flow of information drawn from both internal and external sources. This included detailed global and industry updates, comprehensive financial reports, compliance updates, policy submissions, internal and external audit findings, and risk management reports.

Ethics, corporate conduct and compliance continued to form a critical part of the Board's governance role. These areas were embedded within the mandates of the Board Audit Committee and the Nominations Committee, both of which reviewed regular updates on ethics, conduct and whistleblowing matters. These reports enabled the Board

to monitor trends, evaluate the effectiveness of existing controls and assess the responsiveness of management in addressing identified issues.

Oversight of technology, data governance and cybersecurity are areas of increasing strategic importance and was primarily undertaken at the operating bank level through the Board Technology and Operations Committee. During the year, the Board received updates on system enhancements, cybersecurity resilience measures and emerging technology risks, supporting informed oversight in an environment of rising digital threats.

Collectively, the Board's structured processes, clear accountability lines and steady flow of insight-rich reporting. This ensured that oversight remained robust, proactive and aligned with the Group's commitment to sound governance and long-term value creation.



Board effectiveness

In 2025, Stanbic Holdings Plc continued to advance the maturity of its governance framework with a clear focus on strengthening Board effectiveness, accountability and oversight in a dynamic operating environment. The Board's development agenda was intentionally structured to ensure Directors remained well-equipped to guide the Group through heightened regulatory changes, macroeconomic uncertainty and increased exposure to technology and cyber-related risks.

A significant part of this progress was the continued enhancement of Board capacity-building initiatives. Beyond the annual governance evaluations and routine training programmes undertaken each year, Directors participated in specialised development sessions designed to deepen technical competence and sharpen regulatory awareness. These programmes enriched the Board's understanding of emerging trends within the financial services sector, strengthened its grasp of evolving regulatory expectations. This ensured Directors remained aligned to best-practice governance standards applicable to listed entities.

To reinforce its commitment to strong governance, the Board also engaged directly with the Capital Markets Authority during the year. Through these engagements, Directors received updates on new and upcoming regulatory requirements, supervisory focus areas, and the shifting responsibilities placed on Boards in light of modern governance expectations.

Given the broader context of rising economic risks, increased regulatory scrutiny and rapid technological change, the governance function played a central coordinating role in ensuring that the Board maintained up-to-date awareness of issues requiring attention. Directors received regular compliance reports, quarterly macroeconomic briefings and comprehensive risk updates, all of which supported proactive oversight. During the annual Board retreat, the Group Economist facilitated

in-depth discussions on market developments, enabling Directors to incorporate forward-looking insights into strategic deliberations.

Cybersecurity remained a priority area. The Board received targeted briefings and participated in training aimed at strengthening understanding of contemporary cyber risks and the controls required to safeguard the Group's systems and data. Assurance over regulatory compliance and internal controls was bolstered through continuous engagement with both internal and external audit functions, which provided independent confirmation of the robustness of governance processes.

To enhance the quality of committee oversight, the Chairs of the Board Audit Committee(BAC)**, Board Credit Committee(BCC)** and Board Risk Committee(BRC)* took part in specialised training programmes. The training for the Chairs of BRC and BAC were held in October 2025 while the training for the BCC Chairs was held in September 2025 in Johannesburg, South Africa. This was a 16-hour (for BAC and BRC) and 8-hour (for BCC) training focused on the emerging audit and risk issues, sharing of regional experiences and regulatory developments. These sessions provided an opportunity to benchmark against peer institutions, exchange perspectives with committee chairs from across the Standard Bank Group, and receive advanced technical training relevant to their mandates. The insights gained translated into stronger committee leadership, more rigorous interrogation of management submissions, and improved alignment to global best practices in financial oversight.

The Board's Directors offered diverse skills and experience aligned to the Group's strategic priorities. A formal skills matrix was reviewed periodically and helped ensure that the Board retained the right balance of expertise across finance, risk management, banking, technology, legal, governance, strategy and sustainability. Provide the skills matrix of the 7 directors on page 112.

* Bank ** Bank and Holdings

A group of people, including men and women, are captured in a dynamic dance performance. They are wearing traditional African clothing, such as patterned robes, beaded necklaces, and headpieces with large feathers. The background shows a modern building with a glass facade and some greenery. The entire image is overlaid with a semi-transparent green filter and a white geometric shape that frames the text.

Our Business

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Chief Executive's Statement



Strategic Focus and Performance Overview

In 2025, Stanbic Holdings Plc remained fully focused on executing a clear and disciplined strategy anchored on three core pillars: delivering exceptional client experience, driving operational excellence, and creating sustainable long-term value. This strategic clarity guided decision-making across the Group during a year characterised by significant macroeconomic and market shifts.

The Group prioritised high-growth opportunities across trade, digital banking and wealth management, with growth largely supported by expansion of the lending book across Corporate & Investment Banking (CIB), Personal and Private Banking (PPB), Business and Commercial Banking (BCB), Insurance and Asset Management (IAM) segments. While declining interest rates placed pressure on margins, continued loan growth helped cushion the impact. Additionally, accelerated digitisation and automation initiatives improved productivity and supported tighter cost management.

Operating Environment and External Headwinds

The operating environment in 2025 remained complex, shaped by evolving macroeconomic and regulatory dynamics. Interest rates declined by approximately 500 basis points compared to 2024, easing borrowing costs while placing pressure on lending margins.

At the same time, ongoing regulatory developments, including the implementation of risk-based credit pricing frameworks, required continued refinement of credit models and pricing strategies, reinforcing the need for disciplined risk management.

Globally, geopolitical uncertainty contributed to volatility in foreign exchange markets, capital flows, and inflation. While Kenya did not experience a sovereign rating downgrade during the year, investor sentiment remained cautious, reflecting broader fiscal and external debt considerations across the region.

In a year defined by shifting global and local dynamics, our performance stands as a powerful validation of our disciplined execution and unwavering obsession with our customers' success"

Dr. Joshua Oigara

Despite these headwinds, Stanbic Holdings Plc demonstrated resilience through disciplined balance sheet management and selective credit underwriting. The Group preserved strong liquidity and capital buffers and avoided increasing its risk profile in pursuit of growth.

Investments in data analytics enabled earlier identification of emerging risks, while enhanced stress testing and strengthened risk governance frameworks improved preparedness for adverse scenarios.

Financial Performance Drivers

Financial performance in 2025 was underpinned by three key factors. First, continued loan book growth across CIB, PPB, BCB, and IAM segments supported revenue generation despite margin compression. Additionally, cost discipline improved through digitisation, automation and reduced reliance on physical infrastructure expansion. Third, active portfolio risk management efforts contributed to lower credit impairments.

Strong client engagement, particularly within CIB, enabled deeper wallet share through cross-selling across transactional banking, trade, treasury and advisory services.

Customer value and trust remained central to strategy execution. The Group adopted a sector-led approach, with focus on agriculture, manufacturing, energy and infrastructure. Market share increased within SME and private banking segments, supported by enhanced digital onboarding and digital lending solutions that improved access for SME and retail clients.

To improve risk understanding and unlock new growth opportunities, ecosystem banking deepened across sectors including tea, FMCG and education, enabling the Group to serve entire value chains rather than individual clients.

The Group also played a leading role in complex sovereign and market transactions, including Eurobond refinancing, of USD 3.0 billion reinforcing its advisory credentials and market leadership.

Digital Transformation and Customer Experience

Measurable improvements were recorded in Net Promoter Score (NPS), Customer Satisfaction Index (CSI) and overall digital engagement. The mobile banking application was refreshed during the year and received strong customer feedback, supporting increased usage and self-service adoption with a 4.8 rating in play store.

Cybersecurity remained the most significant operational risk. Accordingly, the Group continued to invest in advanced fraud monitoring, authentication systems and transaction surveillance to protect customer assets and data.

Risks in Emerging Opportunities



Key risks continued to include macroeconomic uncertainty, potential election-year pressures, global trade tensions and foreign exchange volatility. At the same time, opportunities emerged across public-private partnerships, infrastructure development, SME banking and remittance flows.

As a leading foreign exchange intermediary, Stanbic Holdings Plc maintained a strong market position in remittances and trade flows. To manage risk effectively, the Group strengthened KYC, AML and cyber controls, diversified its portfolio and further automated credit decision processes.

Leveraging Technology

Technology and data analytics played an increasingly significant role in 2025. Artificial intelligence tools were deployed across fraud detection, transaction monitoring and predictive analytics. For example, analytics models enabled early identification of potential customer attrition—such as salary migration to another bank—allowing for proactive engagement.

AI-supported early warning systems also enhanced credit risk management, while ongoing technology investments focused on system stability and institutional security. Digital lending engines, proprietary scoring models and the cross-selling of insurance and investment products further strengthened customer insights, operational efficiency and revenue diversification.

Outlook

Looking ahead to 2026, the Group's priorities are clear. These include accelerating revenue growth and improving Return on Equity to within strategy, while maintaining disciplined risk and capital management.

High-growth verticals investment banking, private banking, SME banking and asset management will continue to scale. Ecosystem banking across agriculture, manufacturing and healthcare will deepen, supported by continued investment in digital infrastructure, automation and AI. The Group will also expand climate-aligned financing, reinforcing its commitment to sustainable growth.

Confidence in delivering these priorities is underpinned by strong leadership, a resilient client franchise and a disciplined approach to risk, capital and execution.

Who We Are



STANBIC HOLDINGS PLC



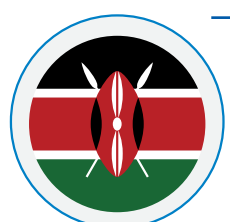
Our Purpose

Kenya / South Sudan is our home; we drive her growth.



Our Vision

To be a leading financial services organisation in Kenya and South Sudan, delivering exceptional client experiences and superior value



Banking Entities



Stanbic Bank Kenya Ltd



Stanbic Bank (South Sudan Branch)

Non-Banking Entities

SBG Securities Ltd

Stanbic Bancassurance Intermediary Ltd

Stanbic Kenya Foundation Ltd



Our Values



WE ARE **DEEPLY COMMITTED**

We are dedicated to our purpose and to the people we serve.

WE ARE **BOLDLY PIONEERING**

We set the standard through our determination and resilience.

WE ARE **TRUSTED STEWARDS**

The mark of our success is the legacy we leave.

WE ARE **GUIDED BY EMPATHY**

We treat people with respect, consideration and kindness.

WE ARE **UNFAILINGLY HONOURABLE**

The choices we make are always ethical.

Our Habits Framework

In 2025, we continued to embed the Habits Framework introduced in 2024 across the Group.

The Framework has been instrumental in enabling us to deliver on our strategic priorities, while safeguarding the well-being of our people and empowering them to act with courage, inspire excellence, and deliver with purpose.



Key Principles Under the Habits Framework

Act with Courage

- Seek solutions
- Challenge the status quo
- Adapt and grow

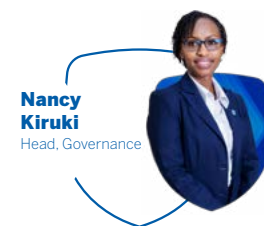
Inspire Excellence

- Invite perspectives
- Create shared meaning
- Celebrate success

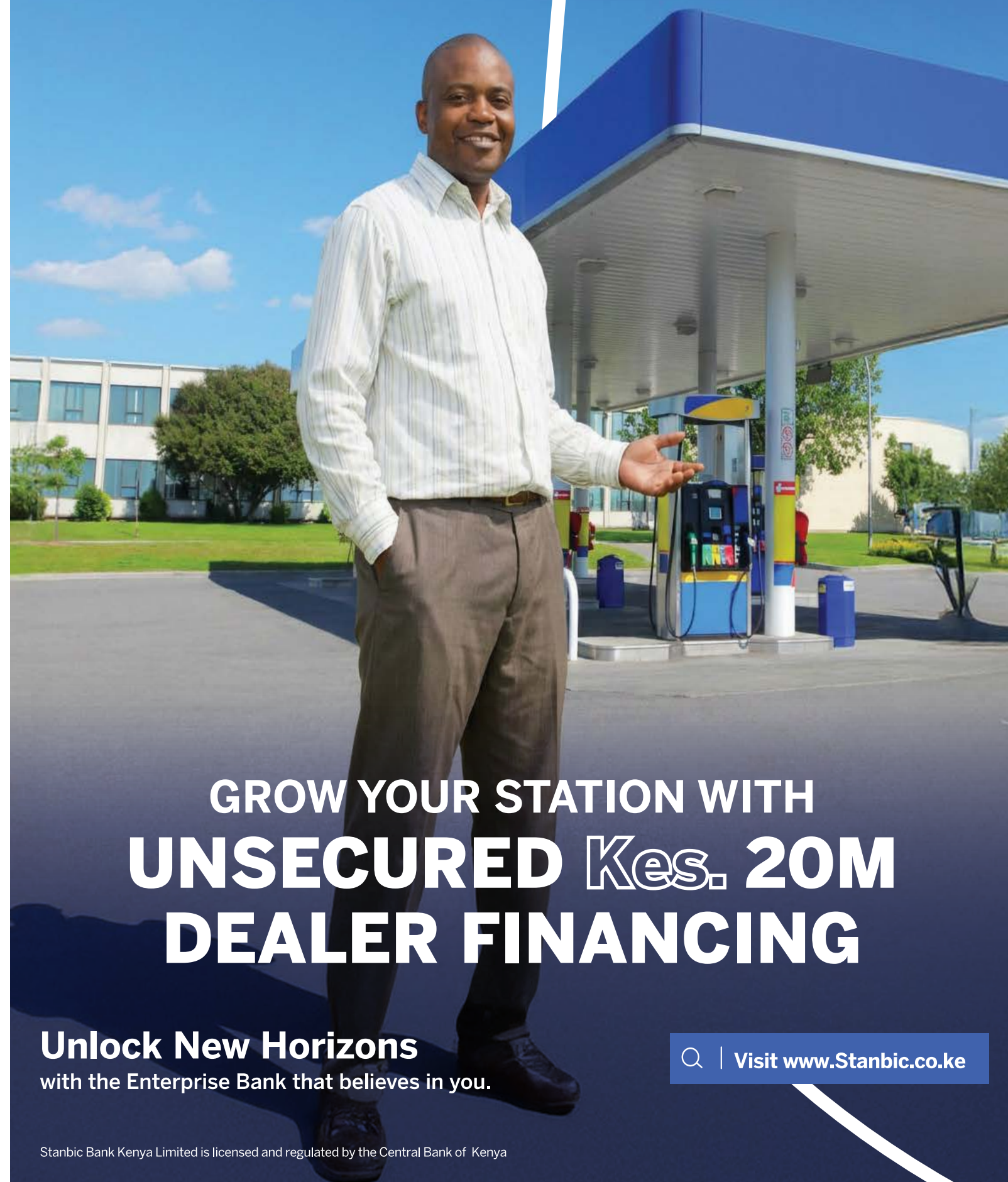
Deliver with Purpose

- Focus on what matters
- Do what's right not what's easy
- Make it happen

Our Management Team



Stanbic Bank



GROW YOUR STATION WITH UNSECURED Kes. 20M DEALER FINANCING

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Strategy Execution

Under our “One Stanbic” strategy, the Group continued to strengthen its regional position by leveraging its core strengths and prioritising a focused set of high-impact initiatives. Since its initial implementation in 2024, the strategy, anchored on three key pillars: Transforming Client Experience, Executing with Excellence, and Driving Sustainable Value, has meaningfully shaped our operations and performance in 2025.

The strategy is underpinned by a strong emphasis on customer centricity, operational efficiency, and the delivery of positive social and environmental impact, reinforcing our commitment to sustainable, long-term value creation for all stakeholders.

See more on our “One Stanbic” Strategy on page 5 of this report



Transforming Client Experience

This pillar remains central to Stanbic Holdings Plc’s strategy and reflects a deliberate focus on building deeper, more trusted and more responsive relationships across client segments. In 2025, the pillar put emphasis on;



The Group continued to support clients across critical sectors of the economy, including energy, agriculture, SMEs and the diaspora providing tailored liquidity, trade, enterprise and remittance solutions that enabled businesses and households to navigate a challenging environment.

Client experience outcomes were further enhanced through sustained investment in people and culture. The rollout of renewed cultural value, leadership development and youth internship strengthened employee engagement, capability and accountability at every client touchpoint.

Achievements	Client Focus	Employee Engagement
 Assets Under Management KES 5.3bn	 Sovereign Support Successfully facilitated \$3.0bn Eurobond transactions	 Stanbic Culture Refresh • Rolled out a new habit framework • Launched our new organisational values
 NPS Score 8% up YoY	 Enterprise Support • 7,554 New SME Clients • KES 69.3bn disbursement	 Ignite Leadership Training 82 Female leaders graduated in 2025
	 Energy Sector \$450m support in fuel importation	 Youth Internship 39 Youth equipped with relevant workplace skills
	 Agric Sector Support • Tea Ecosystem - KES 114bn • Dairy Supply chain - KES 28bn	 Wellness & Psychological Safety • Annual staff health checks done • Trainings on Psychological safety
	 Build Middle Markets 4x increase in Scheme disbursements	 Empowerment • Training hours per employee - 104hrs • Stanbic Men(Shields) and Women(Aces) basketball teams promoted to Kenya Premier League
	 Diaspora Remittance USD 598m in 2025	 Diversity and Inclusion • Male: Female - 51%:49% • Differently abled staff - 0.6% • Youth Inclusion - 29%

Executing with Excellence

Executing with excellence underpins Stanbic Holdings Plc ability to deliver consistently to clients, shareholders and regulators even in a dynamic and demanding environment. In 2025, this pillar was anchored on;

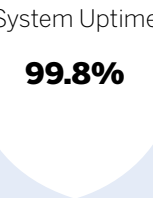
**RISK AND CONDUCT**

**OPERATIONAL EXCELLENCE**

The Group maintained a strong risk and control environment through proactive monitoring, rigorous credit discipline and continued strengthening of fraud and cyber resilience capabilities. The successful transition to the revised risk-based pricing framework reinforced the alignment between risk, return and customer outcomes while a deeply embedded risk culture supported by regular training, stress testing and scenario analysis ensured accountability across the organisation.

Operational excellence was further enabled by sustained investment in technology, automation and service delivery. The deployment of artificial intelligence and robotics improved efficiency and responsiveness across key business functions while enhancements to digital and mobile platforms expanded customer access and convenience. High system availability and 24/7 service capabilities reinforced reliability for clients operating in an increasingly digital and interconnected environment.

Physical infrastructure upgrades including branch and head office modernisation complemented digital investments by creating fit-for purpose, efficient and sustainable workspaces.

Achievements	Risk and Conduct	Operational Excellence
 Stanbic Fitch Ratings - "B" Outlook - Stable	 Non-Performing Loan Ratio (NPL Ratio) 8.0%	 AI & Robotics 21 AI bots across multiple business functions
	 Credit Loss Ratio (CLR) 0.6%	 24/7 Service Capability Full-spectrum, always-on service capabilities for complex global clients
	 Fraud Monitoring Deployment of Fraud Monitoring capabilities	 Mobile Banking Platform Released 18 new features on the banking platform
 System Uptime 99.8%	 KESONIA Adoption Successfully transitioned to the all new variable rate	 Branches Revamp Modernisation of Galleria, Nanyuki, Westgate and Chiromo
	 Strong risk culture Mandatory annual recertification of staff Stress testing and scenario analysis	 Systems Uptime 99.8% uptime achieved
	 Cyber Resilience Predictive Fraud monitoring capability launched	 Head Office Revamp Physical infrastructure upgrades that are agile and sustainability-driven

Driving Sustainable Growth and Value

Driving sustainable growth and value remains central to Stanbic Holdings Plc strategy and reflects a deliberate shift from short-term performance to long-term inclusive value creation. In 2025, this pillar was executed through the following levers:

**Financial Health & Inclusion**

**Climate Change & Mitigation**

**Business Growth & Job Creation**

**Infrastructure Development & CSI**

Financial inclusion continued to be a powerful enabler of shared prosperity. Through targeted initiatives such as DADA and inclusive procurement, the Group expanded access to finance and market opportunities for women, youth and persons with disabilities. They also strengthened entrepreneurial participation while deepening the Group's client base. Investments in financial literacy and senior customer support further reinforced trust and capability across diverse customer segments, supporting sustainable demand and long-term resilience.

Climate action and environmental sustainability were embedded in financing and operations, recognising climate risk as both a strategic and financial consideration. Green building loans, climate-smart agriculture financing and systematic environmental screening of transactions ensured that capital allocation increasingly supports low-carbon and climate-resilient outcomes. Tree planting and waste recycling initiatives complemented this approach by restoring natural capital and reducing the Group's environmental footprint.

The Group's contribution to economic growth and job creation remained closely linked to Kenya's priority sectors. Increased lending to agriculture, trade and MSMEs supported productive capacity, job creation and value-chain development while catalytic funding unlocked access to capital for underserved enterprises.

Infrastructure development and social investment further anchored value creation beyond financial returns. Sustainable finance solutions, affordable housing, education sponsorships and digital upskilling initiatives addressed structural development while building future markets and skills.

Achievements	Financial Health & Inclusion	Climate Change & Mitigation	Business Growth & Job Creation	Infrastructure Development & CSI
 Over 100 hectares of degraded forest and mangrove area restored, contributing to biodiversity conservation, improved fisheries, and climate adaptation	 D.A.D.A Over KES 49.5bn disbursed since inception	 Trees Planted >204k trees planted	 Agric Sector 9.9% loans to Agric Sector	 Sustainable Finance 21% sustainable finance
	 Inclusive Procurement 15.5% directed to female/youth & PWD led/owned businesses	 Screening for E&S risk All loans above USD 1m screened	 Jobs Created 987 jobs	 Affordable Housing • KES 1.8Bn lent • 200 new homeowners
	 Financial Literacy Over 9,100 individuals trained on financial fitness	 Green Building Loans KES 4.5bn loans issued	 Trade Loans KES 133bn loans disbursed	 School Sponsorships KES 3m worth of scholarships
	 Senior Management Male: Female - 53%:47%	 Solar Financing KES 273m disbursed	 Catalytic Funding KES 105.7m , MSMEs funding	 Digital upskills Over 250 computers donated

Operating Context

In 2025, we demonstrated strong strategic discipline and operational resilience, effectively navigating a dynamic operating environment. We successfully executed key strategic commitments, reflecting heightened agility and responsiveness amid shifting market conditions.

A major highlight of the year was the delivery of flagship projects that reinforced our digital transformation agenda. These included the T24 core banking system stability, the rollout of our Omnichannel platform upgrades, and the successful implementation of the Head Office and Branch renovations projects at different stages of completion. Together, these initiatives strengthened operational excellence and enhanced end-to-end customer experiences.

Our focus on revenue diversification continued to bear fruit as we expanded income streams through new business lines, data monetisation initiatives and innovative product offerings, contributing to improved financial sustainability.

The year also saw a marked improvement in our risk posture. Through strengthened governance and proactive risk management, we elevated our risk profile from evidenced by improving risk matrices thus ensuring a more secure and resilient operating base.

A major highlight of the year was the delivery of flagship projects that reinforced our digital transformation agenda.



Our Operating Environment in Kenya



Our Economic Operating Environment in Kenya

The global operating environment in 2025 continued to recover from the pressure of earlier interest-rate increases, with economic conditions gradually becoming more stable. Inflationary pressures eased across most major economies, enabling central banks to shift from aggressive tightening to measured monetary easing. Global growth remained moderate, with full-year GDP growth estimated at around 3.0–3.2%, supported by resilient demand in the United States and parts of Asia, while Europe and China experienced softer momentum.

Despite these improvements, global conditions remained shaped by persistent geopolitical risks, including the Russia-Ukraine conflict and Middle East instability, alongside heightened policy uncertainty in an election-heavy year. These factors continued to influence global trade flows, commodity prices and investor sentiment, resulting in a selective risk-taking environment.

At the same time, renewed trade tensions weighed on the global outlook following the re-introduction and expansion of U.S. tariffs under the Trump administration in 2025. These measures increased costs along global supply chains, contributed to pockets of price pressure in traded goods, and dampened business confidence, particularly in trade-exposed and manufacturing-intensive economies. Retaliatory actions by key trading partners and heightened

At the same time, renewed trade tensions weighed on the global outlook following the re-introduction and expansion of U.S. tariffs under the Trump administration in 2025.

policy uncertainty led to more cautious investment and trade flows, moderating growth prospects despite otherwise improving macroeconomic conditions.

Across East Africa, macroeconomic conditions improved unevenly. According to reports by International Monetary Fund (IMF), countries with stronger external buffers, credible monetary frameworks and access to diversified funding were better positioned to navigate volatility. For the financial services sector, this reinforced the importance of liquidity strength, prudent balance-sheet management and disciplined risk oversight in supporting client activity while preserving resilience.

Kenya's macroeconomic environment strengthened progressively through 2025, culminating in improved stability as at 31 December 2025 compared to the pressures experienced in 2024.

Inflation and monetary conditions

Inflation remained contained throughout the year and closed at 4.5% in December 2025, well within the Central Bank of Kenya’s target range of 5% +/- 2.5%. The full-year inflation outturn reflected moderated food prices, easing transport costs and relative exchange-rate stability, providing a more predictable pricing environment for households and businesses.

As a result, the CBK saw an opportunity to continue easing monetary policy. By year-end, the Central Bank Rate (CBR) had been reduced to 9.0%, following a cumulative series of cuts since August 2024. This marked the lowest policy rate since early 2023 and signalled an accommodative monetary stance aimed at supporting private-sector credit and economic activity.

Economic growth

Economic activity showed resilience across the year. According to the World Bank, the year’s GDP growth is estimated at approximately 4.8%–4.9%, an improvement from 4.7% in 2024, supported by agriculture, a rebound in construction and continued strength in services such as finance, transport and ICT. While growth momentum strengthened in the first half of the year, it remained sustained into the second half, reflecting improving domestic demand and easing financial conditions.

Credit conditions and banking sector dynamics

Lower policy rates and improved liquidity supported a recovery in private-sector credit. By September 2025, private-sector credit had rebounded to 5% year-on-year, reversing the contraction experienced in early 2024. However, the transmission of monetary easing remained uneven, as banks continued to price-in elevated credit risk.

Asset-quality pressures persisted. The banking sector’s non-performing loan (NPL) ratio remained elevated, peaking



Over KES 100m

disbursed to women entrepreneurs through the Dada Mashinani programme



250,000

individuals trained in digital skills



40,000 MSMEs

supported through targeted capacity-building initiatives



Climate-focused support for women-led green enterprises under the WE4D programme



Continued provision of free cancer screenings and education support in underserved communities

at 17.6% in 2025 and remaining high toward year-end, particularly in trade, construction, real estate and personal lending. This continued to weigh on risk appetite and provisioning levels despite improved profitability and liquidity buffers across the sector.

Fiscal position and public debt

Fiscal pressures remained a key macroeconomic constraint. Kenya’s fiscal deficit for FY2024/25 widened to 5.9% of GDP, reflecting revenue shortfalls and rigid expenditure commitments. Public debt remained elevated, reaching approximately 68%–69% of GDP in 2025, keeping the country at high risk of debt distress and heightening rollover and refinancing risks, particularly as domestic borrowing increased.



Macroeconomic Tailwinds

1. Inflation anchored at 4.5% in December 2025, within CBK’s target range, improving price predictability
2. Accommodative monetary policy, with the CBR reduced to 9.0% by year-end, lowering system funding costs
3. Resilient economic growth, with full-year GDP expanding by approximately 4.8–4.9%, supported by services, agriculture, and construction
4. Recovery in private-sector credit, growing 5% year-on-year by September 2025, signalling improving demand conditions
5. Improved macro stability, underpinned by exchange-rate stability and strong external buffers, supporting investor confidence

Macroeconomic headwinds

1. Elevated credit risk, with NPL ratios remaining structurally high at around 15–17%, constraining lending appetite
2. Tight fiscal space, with a 5.9% of GDP deficit, limiting counter-cyclical policy flexibility
3. High public debt burden, at approximately 68–69% of GDP, sustaining debt-distress and rollover risks
4. Uneven monetary transmission, as risk-based pricing and provisioning needs slowed the pass-through of rate cuts to borrowers.
5. Exposure to global volatility, including geopolitical risks and commodity-price fluctuations, influencing trade and capital flows



Our Performance

This economic operating environment impacted Stanbic Holdings Plc operations and profitability, leading to a stagnated outcome in profit after tax for the year.

However, the Group managed to maintain a profit after tax of KES 13.7 billion for the year attributed to our core lending and improved asset quality. The Group’s loans and advances to customers increased by 16% year-on-year and customer deposits grew by 5% signalling customer confidence. In addition, there was a 24.5% decrease in Non-interest Income (NFI) which fell to KES 7.8 billion impacting on our bottom line. The balance sheet remained resilient anchored in strategic lending to key growth sectors in the economy, such as agriculture, SMEs and retail customers. The Group remained disciplined on cost, proactive on risk, and focused on strategic value drivers aligned to our “One Stanbic 2024–2026” strategy.

Our Regulatory Operating Environment in Kenya

In a fast-evolving regulatory landscape, we ensure that we stay abreast of the regulations and ensure compliance. In 2025, we monitored new laws and policies both locally and internationally and evaluated their impacts on the Group. Some of the key regulations were as follows.



Revised Risk-Based Credit Pricing Framework (RBCPM)

A key regulatory milestone during the year was the Central Bank of Kenya's roll-out of the Kenya Shilling Overnight Interbank Average (KESONIA) as the country's primary benchmark for pricing variable-rate lending. The roll-out was driven by the need to enhance transparency, reliability and market confidence in domestic financial markets and strengthen monetary policy transmission while aligning with international best practices and standards.

Under the revised RBCPM, the total lending rate now comprises three components: the reference rate (KESONIA), a customer-specific risk premium ("K"), and allowable fees or charges. Where KESONIA cannot be immediately integrated particularly during system migration, banks may temporarily apply the Central Bank Rate (CBR) as an alternative reference.

The Central Bank of Kenya provided guidance on development and governance of the new pricing models, with an expectation that new credit facilities from 1 December 2025 would be priced off the new methodology and existing credit facilities would be transitioned by 28 February 2026.

Our Response

We successfully transitioned to the new pricing methodology.



The Kenya Electronic Payment and Settlement System (KEPSS)

In 2025, the Central Bank of Kenya (CBK), made a major change to the Kenya Electronic Payment and Settlement System (KEPSS) by extending its operating hours from 7 a.m to 7 p.m on all business days which is an increase from the previous 8:30 am to 4:30 p.m schedule. The change aims to support 24/7 digital economy and improve cash flow management for businesses.

Our Response

We extended cut-off times for Real-Time Gross Settlement (RTGS) enabling salary processing over the weekends, a capability that was previously limited to weekdays.





Kenya Green Finance Taxonomy (KGFT)

In April 4, 2025, the Central Bank of Kenya, launched the Kenya Green Finance Taxonomy (KGFT) which serves as a structured classification system for identifying environmentally sustainable economic activities. It aims to align Kenya's financial market with global climate finance frameworks and combat greenwashing. The taxonomy is expected to stimulate green investments, strengthen Environmental, Social and Governance (ESG) practices and promote climate resilience across the financial sector. Banks now have 18 months to start disclosing their climate-related exposure arising from their financing activities.

Our Response

The Group continues to align its sustainability strategy, risk frameworks, and reporting practices with the Kenya Green Finance Taxonomy (KGFT). In 2025, we progressed the integration of the taxonomy into our credit assessment and portfolio management processes, enabling a more structured approach to identifying and classifying environmentally sustainable activities within our financing portfolio.

This integration strengthens our ability to assess climate-related risks and opportunities, while supporting the transition to a low-carbon and climate-resilient economy.



Reinforcing Financial System Integrity

Kenya remained under the Financial Action Task Force (FATF) Grey List during 2025, prompting intensified regulatory and supervisory action across the banking sector. In response, domestic regulators focused on closing structural gaps identified in the Eastern and Southern Africa Anti-Money Laundering Group (ESAAMLG) mutual evaluation and subsequent post-observation reports, particularly around customer due diligence, beneficial ownership, transparency and Politically Exposed Persons (PEPs).

A key milestone was the enactment of the Anti-Money Laundering and Combating of Terrorism Financing (AML/CFT) and Proliferation Financing (Amendment) Act, 2025, signed into law in June 2025. The amendments strengthened Proceeds of Crime and Anti-Money Laundering Act, 2009 (POCAMLA) and related statutes by expanding enforcement powers, enhancing penalties and reinforcing obligations around beneficial ownership, sanctions' screening and inter-agency coordination explicitly aligning Kenya's framework with Financial Action Task Force (FATF) standards.

To operationalise these reforms within the banking sector, the Central Bank of Kenya (CBK) issued Guidance Notes on Customer Due Diligence, Beneficial Ownership and Politically Exposed Persons, effective September 2025. These Guidance Notes reinforced a risk-based approach, mandating enhanced due diligence for high-risk customers, more rigorous verification of complex ownership structures and ongoing transaction monitoring throughout the customer lifecycle.

In parallel, the Financial Reporting Centre (FRC) issued multiple 2025 circulars on targeted financial sanctions, terrorism-financing controls and national money-laundering risk assessments. These circulars required reporting institutions to incorporate updated national and sectoral risk findings into their business-wide risk assessments and to strengthen the quality and timeliness of suspicious transaction reporting.

Our Response

At Stanbic Holdings Plc, we upgraded our data process, enhanced client risk-scoring methodologies and strengthened our data control framework to ensure complete, accurate and consistent information flows across the system.

In addition, we modernised our client onboarding and expanded our Know Your Customer (KYC) processes. The Group established a dedicated KYC periodic review unit systematising continuous due diligence for business and commercial clients. We rolled out the Gold Tier KYC and onboarding solution for corporate clients through integration with Salesforce enabling automated document flows, anniversary tracking, and automated reminders for relationship managers and clients.

We also automated FX documentation tracking and client follow-ups for transactions exceeding USD 10,000, reducing manual tracking and regulatory risk.



Virtual Assets and Emerging Financial Crime Risks

A major regulatory gap was addressed with the enactment of the Virtual Asset Service Providers Act, 2025, which came into force in November 2025. The Act introduced Kenya's first comprehensive legal framework for licensing, supervising and enforcing AML/CFT obligations on virtual asset service providers (VASPs), a sector previously operating without formal oversight.

The legislation directly responded to concerns raised by international bodies that the absence of regulation had exposed Kenya to heightened money-laundering, terrorism-financing and proliferation-financing risks particularly given the widespread use of digital assets and mobile-enabled financial services. The Act designates the CBK and Capital Markets Authority (CMA) as regulators and imposes stringent governance, cybersecurity, fit-and-proper and AML/CFT requirements on licensed entities, integrating virtual assets into the regulated financial ecosystem.

For banks, the new regime significantly reduced indirect exposure to unregulated crypto-related risks while establishing a clearer compliance perimeter for partnerships, payment rails and custody-related services involving digital assets.

Our Response

Stanbic Holdings Plc's compliance team conducted risk-based monitoring reviews across key areas including AML/CFT. The reviews, similar in rigour to internal audits, provided assurance that risk mitigation plans were effective. We leverage the Group shared resources at the subsidiary level for the services of a Money Laundering Reporting Officer.

We also have a policy that guides on customer due diligence and enhanced due diligence for high-risk clients and filing suspicious transactions reports.



Cybercrime and Digital Financial System Protection

Cyber-enabled crime emerged as a central supervisory priority in 2025, reflecting the rapid digitisation of banking, payments and mobile financial services. Parliament strengthened the national cybercrime framework through the Computer Misuse and Cybercrimes (Amendment) Act, 2024, assented to in October 2025. The amendments criminalised emerging fraud typologies including SIM-swap fraud, digital identity theft and unauthorised system access and imposed stricter reporting obligations on operators of critical information infrastructure, including banks.

To reinforce sector-wide resilience, the CBK established the Banking Sector Cybersecurity Operations Centre (BS-SOC) in September 2025. The BS-SOC provides centralised cyber-threat intelligence, incident response coordination and digital forensics support across the banking sector, requiring regulated institutions to report cyber incidents within prescribed timelines.

Complementing this, the CBK issued updated Cybersecurity Guidelines in 2025, strengthening expectations around cyber governance, risk assessments, incident management and board-level oversight.

Our Response

The Group applies an integrated, intelligence-led approach to cybersecurity and fraud risk management, supported by a 24/7 monitoring centre, regular testing, and strong governance aligned to the NIST framework.

Collaboration with industry bodies enhances threat intelligence sharing, while the integration of Fraud Risk, Cyber, and Compliance functions strengthens early detection and response, including efforts to disrupt money mule activities.

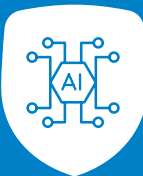




Outlook in 2026



Proactive and strategic regulatory engagement



Increased use of technology and AI to enhance compliance efficiency



Continued industry collaboration and advocacy



Sustained investment in AML, cybersecurity and data governance

South Sudan Macroeconomic Environment

South Sudan's operating environment in 2025 was shaped by a complex interplay between economic recovery and vulnerabilities. While the resumption of oil production supported a significant rebound in headline economic growth, macroeconomic stability remained severely constrained by inflation, currency weakness, fiscal fragility and heightened political risk.

Liquidity Constraints and Fiscal Stress

The macroeconomic environment was further weakened by a systemic liquidity crisis, characterised by acute shortages of both local and foreign currency. Physical cash availability was severely constrained, rendering withdrawals difficult even for customers with credited accounts.

Fiscal pressures remained pronounced, with civil servants experiencing prolonged salary arrears extending over several months. These conditions suppressed domestic demand, weakened confidence and heightened social vulnerability across the economy.

Economic Growth and Oil Dependence

Economic activity recovered during the year following the resumption of oil production, resulting in a reported GDP rebound of approximately 24%. However, this recovery was narrowly concentrated and did not translate into broad-based economic stability. The economy remained highly dependent on oil, which continued to account for over 90% of export earnings and approximately 80% of government revenue, leaving growth highly exposed to operational disruptions and external shocks.

An early-year shutdown of the primary oil pipeline, South Sudan's economic lifeline, had a material impact on fiscal revenues, foreign exchange inflows and overall economic activity. Although production resumed in the second quarter of the year, the disruption underscored the economy's structural concentration risk and the volatility inherent in a single-commodity growth model.

Political, Security and Donor Environment

Political and security risks escalated in 2025, driven by uncertainty surrounding the peace process and sporadic increases in violence. These conditions weighed heavily on investor confidence and economic activity.

At the same time, the withdrawal of major development partners, including USAID, resulted in a sharp reduction in donor inflows. This led to the exit of several NGO clients and a slowdown in activity across humanitarian and social sectors, further constraining economic momentum.

Inflation, Currency and Cost-of-Living Pressures

Macroeconomic pressures intensified during the year as hyperinflation, estimated at close to 98%, significantly eroded household purchasing power and business viability. Sustained depreciation of the local currency further compounded inflationary pressures and constrained the affordability of essential goods and services.

Poverty levels remained acute, with over 90% of the population living below the poverty line, reflecting limited economic diversification, high unemployment and the erosion of real incomes.



Regulatory and Financial Sector Operating Environment

Financial Sector Liquidity and Systemic Risk

The Bank of South Sudan (BoSS) has revised the minimum paid-up capital requirement for commercial banks to USD 30 million, to be implemented in phases over a 12 month period, as part of measures aimed at strengthening the stability and resilience of the financial sector.

The revised requirements are being rolled out in line with the BoSS Monetary and Banking Policy Framework, with the objective of enhancing banks' ability to absorb shocks, safeguard depositor funds, and support sustainable financial intermediation in a challenging macroeconomic environment.

The Group continues to engage proactively with the Bank of South Sudan on an ongoing basis regarding the revised capital requirements. We do so prudently managing capital allocation and long-term value creation.

Within this challenging environment, banks were required to operate under heightened risk conditions while maintaining prudent governance and compliance standards.

The complex and evolving regulatory environment coupled with a volatile macroeconomic backdrop reinforced the importance of strong internal controls, disciplined risk management and conservative balance-sheet strategies, particularly for institutions operating with cross-border linkages and international stakeholders.

Adaptive Strategic Response

In an operating environment characterised by macroeconomic volatility, systemic liquidity constraints and heightened political and security risks, we adopted a focused and adaptive strategy to protect balance-sheet resilience while continuing to serve critical client needs. Rather than pursuing broad-based expansion, we prioritised simplicity, risk discipline and targeted innovation, enabling the Group to navigate the year's headwinds effectively.

The process for the appointment of the Board members considers the company's strategic leadership needs, representation of minority shareholders, the interests of shareholders and the need to ensure that the Board's skills matrix is wide and aligned to the Company's needs.

Enabling Resilient Retail Flows through Cross-Border Connectivity

Recognising the regional nature of South Sudanese livelihoods, where households and small businesses depend heavily on cross-border trade, remittances and diaspora support, the Group launched 'Thunes'; a cross-border money transfer solution.

This platform enables retail clients to send funds directly to mobile wallets and bank accounts across neighbouring countries, addressing a critical gap in an economy constrained by cash shortages and limited foreign-currency access.

Thunes provided a reliable and compliant channel for money movement at a time when traditional payment rails were under pressure, supporting household resilience, informal trade and small-scale enterprise activity.

Beyond its immediate transactional benefits, the solution strengthened client relationships by positioning the Group as a trusted financial connector within the wider East African region.

In parallel, the Group reinforced its operating resilience by leveraging the risk, compliance and governance frameworks of the Kenyan operations.

This shared-services "ecosystem" approach ensured that, despite local market volatility and institutional capacity constraints, the Group continued to operate with international standard oversight, controls and risk discipline.

Underlying these strategic pillars was a deliberate decision to operate a simple, low-risk business model, concentrating on core capabilities rather than expanding into higher-risk or capital-intensive activities.

Liquidity management, efficient money movement and cost discipline were prioritised to preserve margins and maintain operational continuity.



Outlook



Looking ahead, South Sudan's operating environment and economic prospects will continue to hinge on the sustained operation of oil infrastructure, progress in the peace process and improvements in fiscal and liquidity management.

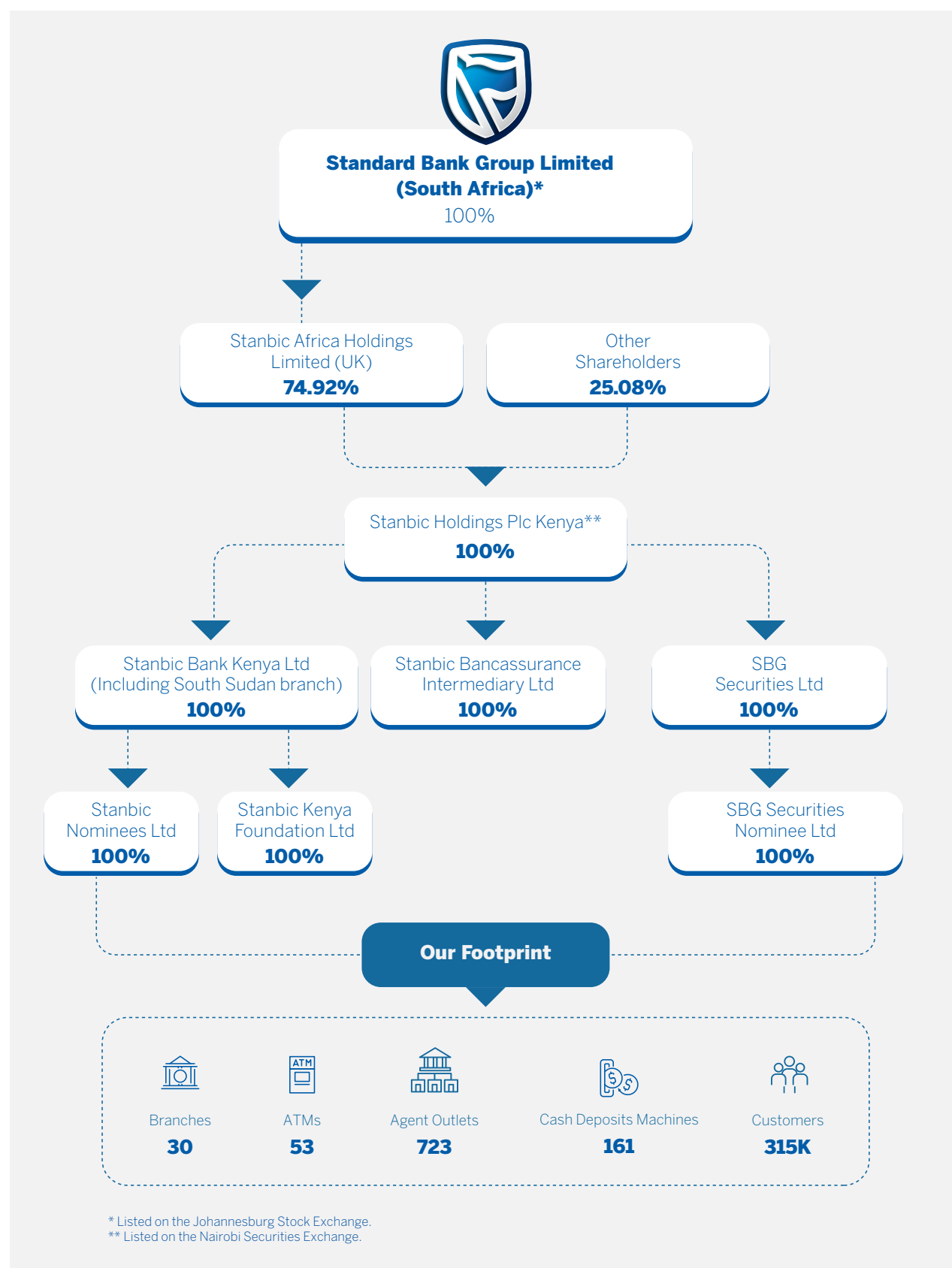
Against this backdrop, the near-term outlook is best characterised as fragile but selectively opportunity-driven. While headline growth may remain positive if oil production is sustained, underlying vulnerabilities like inflation, liquidity constraints and security risks are expected to persist.

Accordingly, the operating environment will continue to favour a measured and risk-reward balanced approach, with emphasis on:

- Controlled growth, aligned to core client needs and essential economic activity
- Liquidity and balance-sheet resilience, to withstand ongoing volatility
- Digital and cross-border solutions, including enhancing 'Thunes' and supporting money movement and regional livelihoods in a cash-constrained economy

Overall, disciplined execution, strong governance and selective innovation are expected to remain central to navigating South Sudan's complex operating environment as we navigate the regulatory directives particularly on increased capital requirements.

Our Group Structure



Stanbic Holdings Plc



Stanbic Holdings Plc is a leading financial services group with a heritage extending over a century. Headquartered in Nairobi, Kenya, the Group operates through a diversified portfolio of subsidiaries within Kenya and maintains branch operations in South Sudan. Stanbic Holdings Plc is a member of the Standard Bank Group, Africa's largest banking group by assets, which is headquartered in South Africa.

The Group wholly owns Stanbic Bank Kenya Limited, SBG Securities Limited, and Stanbic Bancassurance Intermediary Limited. In addition, the Group supports community development initiatives through the Stanbic Kenya Foundation Limited, the philanthropic arm of the Group.

Our Presence



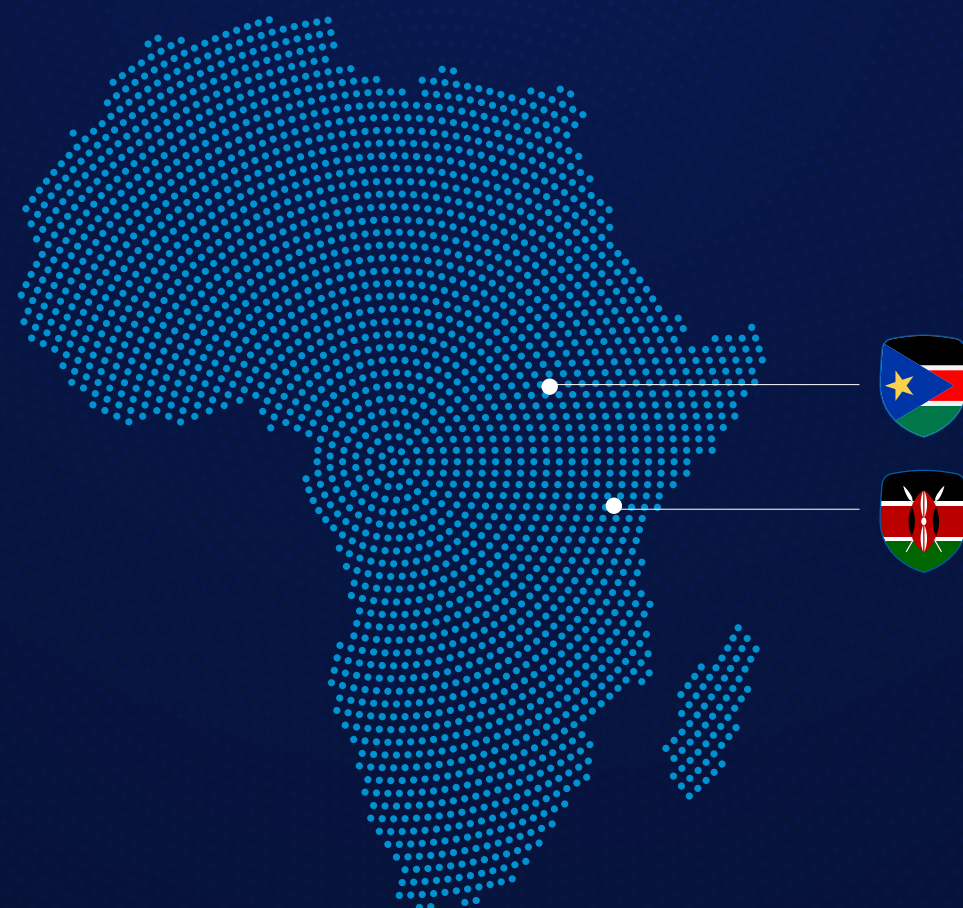
Stanbic is among Kenya's leading banking groups, serving individual, business and commercial clients through an extensive branch network across the country.

Its presence in Juba, South Sudan, further reflects the Group's commitment to supporting regional trade, financial inclusion, and socio-economic development across East Africa. Our footprint is driven by our mantra: "Kenya and South Sudan is our home, we drive her growth"

Related Disclosures

Stanbic Holdings Plc is listed on the Nairobi Securities Exchange (NSE), reinforcing its commitment to transparency, strong governance and accountability to its shareholders and other stakeholders.





Kenya and South Sudan
is our home,
we drive her growth.

Group Subsidiaries

Stanbic Holdings Plc operates as an integrated financial services group through a portfolio of wholly owned subsidiaries. These comprise Stanbic Bank Kenya Limited (which includes the South Sudan branch operations), Stanbic Bancassurance Intermediary Limited (SBIL) and SBG Securities Limited.

Together, these entities deliver a broad range of banking, insurance and investment services, positioning Stanbic as a comprehensive one-stop financial solutions provider.

Stanbic Bank Kenya Limited



The Group's business model is structured around four core business units that reflect our customer-centric approach and diversified revenue streams:

- 1 Personal and Private Banking (PPB)
- 2 Business and Commercial Banking (BCB)
- 3 Corporate and Investment Banking (CIB)
- 4 Insurance and Asset Management (IAM)



These business units work collaboratively to serve the distinct needs of individuals, enterprises, and institutions across our markets, while supporting the Group's strategic priorities and long-term value creation objectives.

What we Offer



Seamless Transactions

Enjoy accounts designed for easy and convenient access to your funds.



Wealth Growth

Secure your savings in an investment account that offers competitive interest.



24/7 Banking Service

Manage your finances anytime, anywhere with our online banking services.



Flexible Financing

Access tailored lending solutions to help you achieve your goals.

Personal and Private Banking (PBB)

We provide a broad range of tailored financial solutions designed to support the diverse and evolving needs of our Personal and Private Banking clients. From facilitating home ownership and long-term wealth accumulation to providing reliable everyday banking services, we partner with our clients to help them achieve their financial ambitions across every stage of their lives.

Why Personal & Private Banking Matters

In 2025, we contributed 22.5% of Stanbic Bank Kenya's total revenue, underscoring our role as a material, resilient and socially significant franchise within the Group. Beyond financial performance, we play a crucial role in enabling individuals, families, and communities to build wealth, achieve stability and improve quality of life.

By combining scale in Personal Banking with bespoke, relationship-led Private and Wealth Banking, we deliver value across a broad socio-economic spectrum — from everyday financial access to long-term wealth preservation.

Personal Banking: Financial Access, Stability and Progress

Personal Banking is the backbone of PPB's social and economic footprint. In 2025, the business supported over 200,000 individuals through accessible, affordable and increasingly digital financial solutions.

Key areas of value creation include:

- Access to home ownership, with Stanbic Bank recognised as the Number One Bank in Affordable Housing by total disbursements in 2025.
- Employee Value Banking, which supported salaried individuals across government and large private institutions with predictable, responsibly priced credit for life needs such as education, healthcare and home improvement.
- Purpose-led digital lending and partnerships, including education and small-ticket lending solutions, which expanded access to credit for customers traditionally underserved by formal banking.



Private Banking and Wealth: Preserving and Growing Long-Term Prosperity

Private Banking delivers a high-trust, advisory-led proposition focused on protecting, growing and transitioning wealth across generations. In 2025, we continued to demonstrate the Group's capability to serve financial needs with integrity and excellence.

Value delivered includes:

- Tailored wealth and investment solutions, helping clients navigate volatile markets while preserving capital.
- Complex and structured lending, supporting long-term investments such as housing, business expansion and asset consolidation.
- Trusted relationship management, enabling clients to integrate banking, investments, insurance and lifestyle needs within a single ecosystem.

This commitment to quality and professionalism was externally recognised through continued industry acclaim.

External Recognition as Validation of Value

Our impact and service quality are reinforced by independent external recognitions, which provide stakeholders with assurance on standards, ethics and execution:

- Best Private Bank in Kenya – Global Finance Awards (2024 & 2025)
- A reflection of service excellence, advisory depth and consistent client outcomes.
- Number One Bank in Affordable Housing (2025)
- Demonstrating tangible contribution to home ownership and improved living conditions.
- Service Excellence Recognition at the Institute of Customer Experience Awards, highlighting innovation and customer-centric solutions.
- Risk and Governance Accolades, including regional recognition for fraud risk management and non-financial risk leadership, reflecting a strong risk culture that protects customers and the financial system.

Creating Sustainable Financial Value

While impact and inclusion remain crucial, we also delivered strong financial outcomes in the year:

- Sustained growth in revenue contribution to 22.5%, up from prior years.
- Improved profitability, with high-teen returns on equity, supported by disciplined pricing, funding mix optimisation and controlled credit risk.
- A balanced revenue profile, combining core interest income with growing non-interest streams from digital transactions, cards, insurance and investments.

Client Experience and Trust

Trust is fundamental to our value proposition. In 2025, to reinforce our role as a trusted financial partner, we continued to strengthen client experience through:

- Expanded digital capabilities, enabling customers to transact, borrow and manage finances with greater ease and transparency.
- Improved service reliability, faster resolution of queries and complaints, and consistent engagement across channels.
- A strong emphasis on ethical conduct, data security and fraud prevention, safeguarding customers' financial wellbeing.

Integrated Value Creation

PPB's activities contribute across the Group's key capitals:

- Financial capital: A strong and growing earnings contribution.
- Customer capital: Deep, trusted relationships with individuals, families and high-net-worth clients.
- Human capital: Skilled relationship managers and specialists who deliver advice with empathy and professionalism.
- Social capital: Expanded access to housing, education, financial literacy and inclusive credit.
- Intellectual capital: Digital platforms and data-enabled solutions that scale impact responsibly.



PPB : 2025 PERFORMANCE HIGHLIGHTS

TO GIVE KENYANS CONFIDENCE THAT THEY CAN LIVE A BETTER LIFE

STRATEGIC PRIORITIES

- Build**
Kenya's Best Private Bank
- Growth/Scale**
in Personal Banking
- Purpose Led**
Digital Lending

FOCUS AREAS

- 1 Grow core transacting client base and deepen relationships
- 2 Increase penetration of insurance and investment solutions
- 3 New value streams from growing personal banking in government and agriculture
- 4 Guard and retain the trust of our clients, regulators and stakeholders

ENABLERS

RIGHT PEOPLE WITH HIGH PERFORMING CULTURE

SPEED AND PRECISION OF EXECUTION

TRANSFORM CLIENT EXPERIENCE

PPB : 2025 PERFORMANCE HIGHLIGHTS

	METRIC	
Financial Outcomes	Customer Assets	On target
	Customer Deposits	On target
	Customer Numbers	Above target
	Transaction Volume	Above target
	People Capacity & Capabilities	Above target
Financial Outcomes	NII	Above target
	NIR	On target
	Total Income	On target
	Credit Impairments	Above target
	Operating Expenses	Above target
	ROE	On target

Above target On target



PPB : PROGRESS UPDATE ON STRATEGIC PRIORITIES

1 Best Private Bank

- 600%+** YoY growth complex lending
- 78%** Retention to MMF & FIF Asset Management
- Rollout of RM Talent & Acquisition strategy(October 2025)
- RM NPS increased to 77(wave 2) from 63 (wave 1)**
- 5** Private banking suites -3 complete underway by Q1 2026.

2 Growth/Scale Personal Banking

- 22** New Employee Value Banking Schemes onboarded
- 25%** YoY uplift of EVB asset disbursement
- 27%** YoY decline in impairments
- 16%** YoY growth in liabilities
- 38%** Year on year growth on profit after tax

3 Purpose Led Digi-Lending

- 118K** Clients successfully migrated to omni channel
- 74%** Of clients are 90-day digitally active vs target of 72%
- 14** Transactions monthly are now processed on average by Omni customers.
- KSHs 180m** per month in monthly drawdowns was achieved through MVP5 FY impact, driven by test-and-learn initiatives.
- 90** Leads received for Teacher Scheme loans

Advancing ESG-Linked Growth Through Inclusive Housing Finance



Affordable housing remains a cornerstone of Stanbic Holdings Plc's contribution to inclusive economic growth and sustainable urban development.

In our efforts to support Sustainable Development Goal 11, Sustainable Cities and Communities, the Group continued to scale ESG-linked financing through its Personal and Private Banking (PPB) franchise, disbursing KES 1.79 billion in affordable housing.

To further expand access to home ownership, particularly for Kenya's emerging middle-income households, Stanbic Holdings Plc- deepened its long-standing partnership with the Kenya Mortgage Refinance Company (KMRC). Through this collaboration, PPB implemented targeted structural enhancements aimed at accelerating mortgage uptake and improving affordability. Key interventions included enabling the pledge of selected Bank assets to unlock additional mortgage funding capacity, jointly refining eligibility criteria to prioritise first-time homebuyers and supporting KMRC's decision to increase the qualifying property value threshold from KES 10.5 million to KES 15 million.

As a result, Stanbic Holdings Plc strengthened its ability to serve a wider segment of the population while embedding sustainability considerations into long-term balance sheet growth.

Strengthening Long-Term Financial Health

Beyond housing finance, Stanbic Holdings Plc continued to promote sustainable financial wellbeing by fostering a strong savings and investment culture among its customers.

Through competitively structured deposit and investment products, the Bank supported customers in building long-term financial security and resilience. In 2025, Stanbic Holdings Plc continued to not only safeguard households during periods of vulnerability but also reduce long-term credit risk.

The Group expanded its suite of credit-linked insurance solutions, ensuring customers are protected against unforeseen life events.



Forward Outlook



As demand for sustainable financial solutions continues to accelerate, Personal and Private Banking has identified three strategic focus areas for 2026 to further embed sustainability into growth and value creation.

- As customer demand for renewable energy and clean-technology solutions is rising, we will explore enhanced financing mechanisms to support the adoption of solar and other clean-energy technologies, enabling households to transition to lower-carbon energy sources while reducing long-term energy costs.
- Deepen our impact in financial inclusion by extending credit access to underserved customer segments, allocating additional liquidity towards sustainability-linked lending, and refining digital lending platforms to improve reach, affordability and speed to market.
- Intensify efforts to embed sustainability thinking across the business. Enhanced staff engagement initiatives will ensure sustainability considerations are integrated into credit decisions, client advisory processes and product development frameworks, strengthening internal ownership and accountability.

Business and Commercial Banking (BCB)

Business and Commercial Banking (BCB) is a core component of Stanbic Bank Kenya Limited and a key driver of its purpose: Kenya is our home, we drive her growth. We support entrepreneurs, small and medium enterprises (SMEs), and mid-sized corporates that underpin economic activity, employment creation, and regional trade.

In 2025, the operating environment was characterised by macroeconomic stabilisation and easing monetary conditions. Against this backdrop, we maintained a focus on disciplined execution, relationship-led growth, and risk management, while continuing to support clients through a transitioning economic cycle

What we Offer

Business Current Account:
Account for businesses of all sizes, offering more and fund receipt capabilities.

Business Overdraft:
We provide financing to cover working capital shortfalls during temporary cash flow gaps.

SME Business Loan:
Our loans are tailored for small business owners, offering short-term financing to meet working capital requirements.

Corporate and Business Insurance:
We have a broad range of insurance solutions including business commercial, motor stock, and stock-in-transit coverage.

Bill AVALISATION:
A commitment on behalf of importers to ensure payment of Bills of Exchange for both domestic and international trade transactions.



Strategic Focus

BCB's strategy is anchored on relationship-led banking, sector specialisation, and integrated financial solutions, leveraging the scale and capabilities of Standard Bank Group.

To deliver resilient client outcomes and sustainable value, while navigating a dynamic economic environment, our strategic execution focused on:

- Deepening primary client relationships to strengthen franchise relevance
- Driving disciplined and sustainable growth, aligned to the Group's risk appetite
- Enhancing operational efficiency through digital enablement
- Embedding sustainability and inclusive growth within core business activities.

Performance and Business Outcomes

In 2025, we delivered solid balance sheet growth, with customer deposits increasing by approximately 9% year-on-year and total assets growing by 11%, reflecting continued client confidence and business expansion.

The performance was supported by measured balance sheet growth aligned to priority sectors and strengthened client engagement.

Asset quality remained stable, underpinned by better portfolio management and early client engagement, particularly in sectors experiencing pressure.

Collaboration across Personal & Private Banking (PPB), Corporate & Investment Banking (CIB), and the broader Standard Bank Group under the Integrated Financial Services Organisation (IFSO) framework enabled seamless delivery of client solutions and reinforced franchise connectivity.



Revenue performance benefited from:

- Strong transactional activity
- Deepened client relationships, and
- Growth in non-interest income, which partially offset margin compression arising from lower interest rates.

BCB : 2025 PERFORMANCE HIGHLIGHTS

METRIC	
Financial Outcomes	Customer Assets
	Customer Deposits
	Customer Numbers
	Transaction Volume
	People Capacity & Capabilities
Financial Outcomes	NII
	NIR
	Total Income
	Credit Impairments
	Operating Expenses
ROE	



Trade Finance and Regional Integration

Trade finance remains a key strategic pillar within BCB.

In 2025, the focus was on enhancing existing trade solutions to enable clients to better participate in regional and global trade flows. Key initiatives included:

- Improvements in cross-border payment processes
- Engagement with regional payment platforms
- Collaboration with the Kenya Ports Authority to facilitate more efficient movement of goods

Through these initiatives, we strengthened operational efficiency for clients operating across regional corridors and reinforced the Group's position as a trusted trade partner.



Risk Management

Our principal risks remained broadly unchanged and included:

- Sector-specific credit risk
- Margin compression
- Uneven economic recovery
- Regulatory compliance requirements
- Operational resilience risks

These risks were managed through portfolio diversification, revenue diversification, cost discipline, robust governance frameworks, and continuous stakeholder engagement.



Value Creation and Stakeholder Impact

We contribute to value creation across multiple capitals:

- Financial capital – preserved through disciplined lending and diversified income streams
- Manufactured and digital capital – enhanced through infrastructure supporting service delivery
- Intellectual capital – strengthened through sector expertise and data-driven insights
- Human and social capital – reinforced through employee development, trusted client relationships, and inclusive growth initiatives
- Natural capital – supported through environmental and social risk integration and sustainable financing initiatives.



Outlook



We remain optimistic about the outlook for Kenya's enterprise sector. Improving macroeconomic stability, accommodative monetary policy and regional trade opportunities provide a supportive foundation for growth. Our priorities going forward include:

- Deepening sector-led propositions to strengthen our relevance and impact across key industries driving the economy.
- Scaling digital solutions through a tailored business banking platform that meets evolving client needs.
- Expanding our sustainable finance offering to further drive positive Impact.
- Executing our strategy with discipline to deliver consistent results and create lasting value for our clients and shareholders.

Corporate and Investment Banking (CIB)

CIB remains a cornerstone of Stanbic Holdings PI's value creation strategy. We are committed to advancing Kenya's economic ambitions and reinforcing the country's role in Africa's growth story by supporting the sectors that drive economic development and long-term value creation.

As a trusted partner, we work proactively with our clients to deliver relevant, integrated solutions that enable sustainable growth.

What we Offer

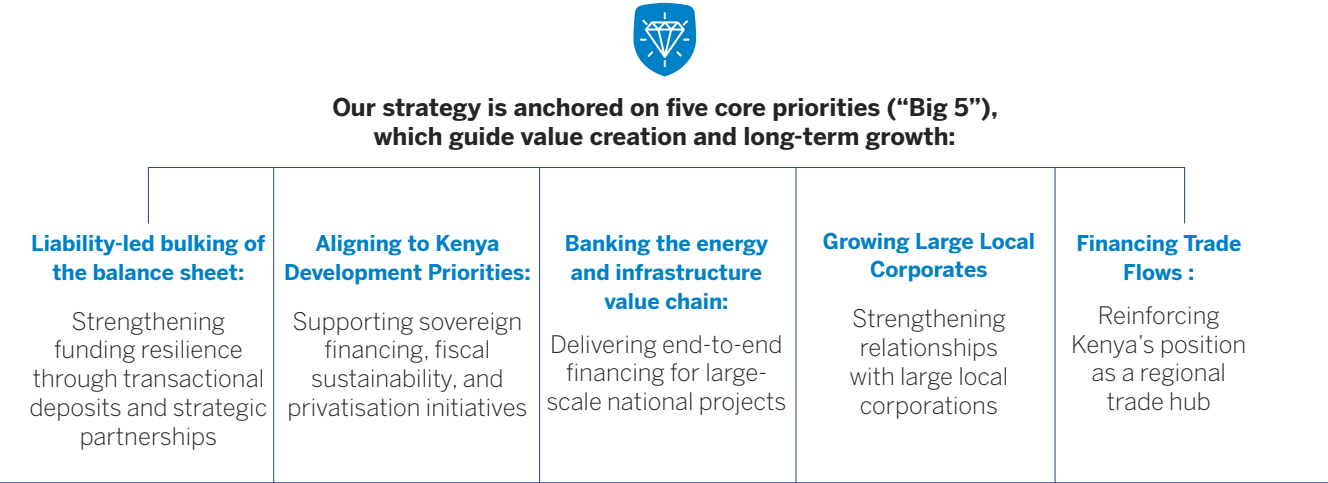


FINANCIAL OUTCOMES | FY 2025

		METRIC
Driver		Customer assets
		Customer deposits
		Customer numbers
		Transaction volumes
		People and Capacity capabilities
Financial Outcomes		NII
		NIR
		Total Income
		Credit Impairments
		Operating expenses
		ROE

Above target On target

Strategic Value Proposition



Performance in a Dynamic Operating Environment

In 2025, we delivered a resilient performance despite a challenging environment characterised by declining foreign exchange margins and a lower interest rate cycle.

Performance was supported by:

- Strong transactional volumes and diversified income streams
- Continued client activity across priority sectors
- Disciplined capital deployment and risk management

We demonstrated our ability to sustain returns through innovation, scale, and operational discipline, reinforcing our role as a stable earnings contributor to the Group.

Client-Centric Growth Across Key Sectors

Growth in 2025 was driven by strong engagement with:

- Public sector institutions aligned with national development priorities.
- Large local corporates; and
- Global and multinational corporates;

We continued to play a leading role in infrastructure financing, trade facilitation, and capital markets activity, supporting economic momentum and strengthening client ecosystems.

Energy, Infrastructure and Trade as Strategic Anchors

Energy and infrastructure remained central to CIB's strategy.

Key achievements included:

- USD 100 million** in bridge financing and **USD 120 million** in project financing for energy sector clients
- Participation in securitisation and infrastructure funding transactions, unlocking liquidity and enabling project continuation
- Support for bulk fuel importation frameworks, contributing to national energy security and foreign exchange stability

Trade finance also remained a key growth area, with:

- Execution of **USD 400 million** in OTS cargo transactions
- Continued support to strategic sectors such as agriculture and manufacturing

Public Sector and Sovereign Engagement

We maintained engagement with the public sector, supporting Kenya's fiscal and development agenda.

During the year, the Bank:

- Supported **USD 3 billion** in sovereign liability management initiatives
- Played a key role in major capital markets transactions, including participation in large-scale national issuances

Digital Innovation and Operational Resilience

Digital transformation remained a core enabler of CIB's value proposition.

Key highlights included:

- Processing approximately **90%** of port cargo payments digitally, significantly reducing clearance times
- Expansion of straight-through processing (STP) for cross-border payments
- Deployment of automation and AI solutions, improving efficiency and reducing operational risk

In addition, the Bank strengthened its remittance capabilities, facilitating significant diaspora inflows from key global corridors, supporting both household consumption and foreign exchange stability.

Sustainable Finance and Long-Term Value Creation

We continued to scale its contribution to sustainable finance and climate-aligned growth.

Key initiatives included:

- Participation in a **USD 138 million** green bond issuance
- Financing renewable energy and off-grid solar solutions
- Supporting sustainable projects across real estate, agriculture, and infrastructure



2025 Key Highlights

Execution against strategy was demonstrated through:

USD 100 million

in bridge financing to support the energy sector

USD 120 million

in project financing in the energy sector

About 90%

of port cargo payments were processed digitally

12%

Strengthened liability-led funding, including a 12% market share in tax collections



Expansion of trade finance and transactional solutions

40%

Increased share of wallet with large corporations, reaching approximately 40%.

External recognition, including Best Investment Bank (Euromoney, fifth consecutive year), further validated the strength of the franchise.

Outlook

Looking ahead, we will focus on accelerating execution across our strategic priorities, with emphasis on:

- Energy and infrastructure financing
- Trade flows and regional integration
- Growth in large local and multinational corporates

- Expansion of sustainable and climate-aligned financing solutions

While macroeconomic and geopolitical risks remain, we are well positioned to deliver sustainable growth, support national development priorities, and create long-term value for stakeholders.

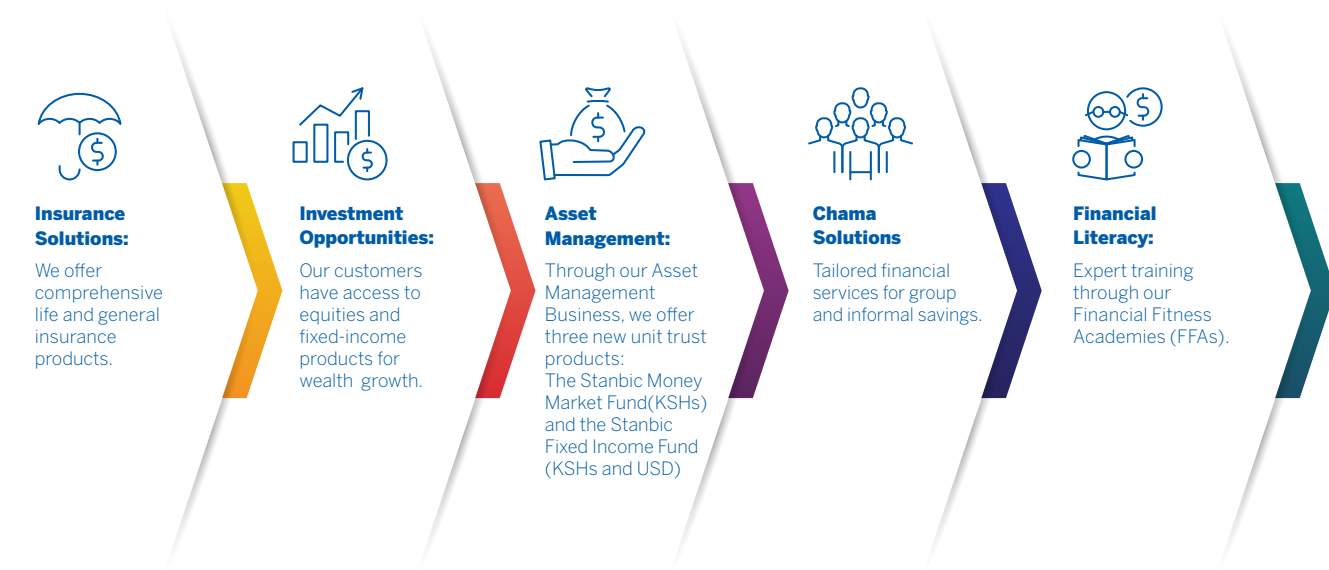
Insurance and Asset Management (IAM)

Our Insurance and Asset Management (IAM) segment complements our core banking offering by providing integrated wealth, protection, and investment solutions that support our clients' financial security and long-term prosperity.

We deliver a comprehensive suite of non-banking financial services designed to help individuals, businesses, and institutions manage risk, grow wealth, and achieve their financial goals. Our approach is centred on understanding client needs and offering tailored solutions that evolve with their financial journey.

Through our capabilities in insurance, asset management, and investments, we enable clients to build resilience against unforeseen risks while unlocking sustainable investment opportunities. At the same time, we contribute to the deepening of capital markets and promote a culture of savings and financial literacy across the economy.

What we Offer



2025 Key Highlights



KES 5.3B

In AUM was reached in 2025



19th

Largest asset manager out of 59 licensed managers, Stanbic achieved this position within its first full year of operation



26%

Insurance penetration achieved, up from 25.4%



8%

Year-on-year growth recorded in insurance revenue



2,700+

Fully digital insurance policies issued



19%

Contribution to standalone revenue from Direct Sales Agents (DSA), up from 2% in 2024.



1,000+

Claims processed, including 7 linked to environmental and social risks



Innovation

Integrated the asset management into Group's mobile app, USSD and web platforms



30%

Of standalone business revenue came from life insurance



3,700+

Of policies issued included coverage for risks such as floods, fire, political violence, and terrorism



9,000+

Individuals reached through 74 interactive financial literacy sessions



100%

Year-on-year growth in profit after tax

FINANCIAL OUTCOMES | FY 2025

METRIC	
Driver	Penetration Rates
	Business Retention
	Asset Under Management(AUMs)
Financial Outcomes	NII
	NIR
	Other Income
	Total Income
	Operating Expenses
	ROE

Above target On target

In 2025, Insurance and Asset Management business continued to deepen its role as a key provider of non-banking financial solutions, complementing the Group's core banking offerings. The business operates at the intersection of Banking Insurance and Asset Management, enabling clients to protect, grow and preserve wealth across different life stages.

Our 2025 strategy focused on strengthening market-facing solutions, embedding insurance and investment products within core banking propositions and capitalising on emerging growth opportunities in Kenya's under-penetrated insurance and asset management markets.

Strategic Priorities and Execution



Market Expansion and Product Uptake

A key strategic priority was accelerating adoption of insurance and investment solutions across all client segments. The business embedded its offerings within existing retail, business and corporate banking journeys, enabling seamless access to insurance and investment products at key customer touchpoints. As a result, we saw increased insurance penetration, which rose from 25.4% to 27%, while also driving uptake of investment-linked insurance solutions. Life insurance products accounted for 50% of standalone business revenue, reflecting growing customer demand for solutions that combine protection with long-term wealth accumulation.

Financial Literacy and Inclusion

Financial capability remains a critical enabler of long-term financial resilience. In 2025, the Financial Fitness Academy was scaled as both a client-acquisition platform and a community engagement initiative. Through 74 interactive sessions, the Academy reached over 9,000 individuals, equipping them with practical financial management and investment skills while generating meaningful business leads and revenue opportunities.

Complementing this, the Chama App supported over 54,000 users in managing funds, contributing to local economic participation and supporting small-scale enterprise activity.

Performance and Key Achievements

Asset Management Growth

Launched in 2024, the Asset Management business recorded strong early momentum. Assets Under Management (AUM) reached KES 5.3 billion in the year, positioning Stanbic as the 19th largest asset manager out of 59 licensed managers within its first year of operation.

KES 5.3bn

In AUM was reached within the first full year of operation.

Revenue and Profitability

Revenue from Stanbic Bancassurance grew by 8% year-on-year, driven by improved product penetration and distribution effectiveness. The direct sales agent (DSA) channel emerged as a key growth lever, contributing 19% of standalone revenue, up significantly from 2% in the prior year.



Technology and Innovation

Digital Insurance and Client Experience

The Insurance and Asset Management continues to enhance client experience through digital innovation, as demonstrated by the growth of Flexi Protect, the Group's fully digital, end-to-end insurance solution launched in 2024.

In 2025, Flexi Protect scaled significantly, offering clients affordable and flexible coverage, with premiums starting from as low as KES 500 per month. The solution is designed to be highly customer-centric, enabling users to customise cover based on individual needs, including age, gender, and personal circumstances.

The product also provides comprehensive family coverage, extending protection to up to 22 members, including extended family unlike traditional insurance cover that only supports immediate family members. Its fully digital nature ensures convenience and accessibility, with services available through the 's network and contact centre.

In addition, Flexi Protect delivers a seamless claims experience, with claims settled within 48 hours upon receipt of valid documentation, reinforcing trust and reliability.

Partnerships and Ecosystem Collaboration

The division continued to leverage strategic partnerships to expand reach and enhance product relevance. Collaboration with life and general insurance providers, including group companies Liberty and Heritage, enabled co-development of solutions aligned to evolving client needs.

Distribution channels were broadened through a combination of internal direct sales agents and external partners, extending market reach. In asset management, the business remained internally focused on in-house offerings across Stanbic's banking lines, with plans to explore third-party distribution partnerships in 2026 to accelerate growth.

Partnerships with educational institutions and professional associations supported the delivery of financial literacy programmes, reinforcing the division's inclusion agenda.



Sustainability Performance

Social and Economic Impact

The Insurance and Asset Management business plays a critical role in strengthening financial resilience and inclusion. Digitally enabled products improved access to insurance and investment solutions, empowering customers to manage policies, investments and claims more efficiently.

Financial literacy initiatives delivered through the Financial Fitness Academy and digital platforms contributed to improved financial awareness, informed decision-making and enterprise development within communities.

Environmental and Social Risk Coverage

Insurance products continued to provide meaningful protection against environmental and social risks. 92% of policies included coverage for risks such as floods, fire, political violence and terrorism. In 2025, approximately 1,000+ claims were processed, with seven claims linked to environmental or social events, underscoring the role of insurance in mitigating climate- and society-related shocks.

Regulatory Alignment

The business maintained full compliance with Capital Markets Authority requirements for asset management and Insurance Regulatory Authority standards for bancassurance. Strong governance practices, stakeholder engagement and embedded diversity and inclusion principles supported responsible growth and equitable access to financial solutions.

We will continue strengthening environmental and social risk coverage, expanding financial literacy initiatives and aligning with evolving ESG best practices to support long-term, responsible value creation for clients, communities and shareholders.

Looking Ahead

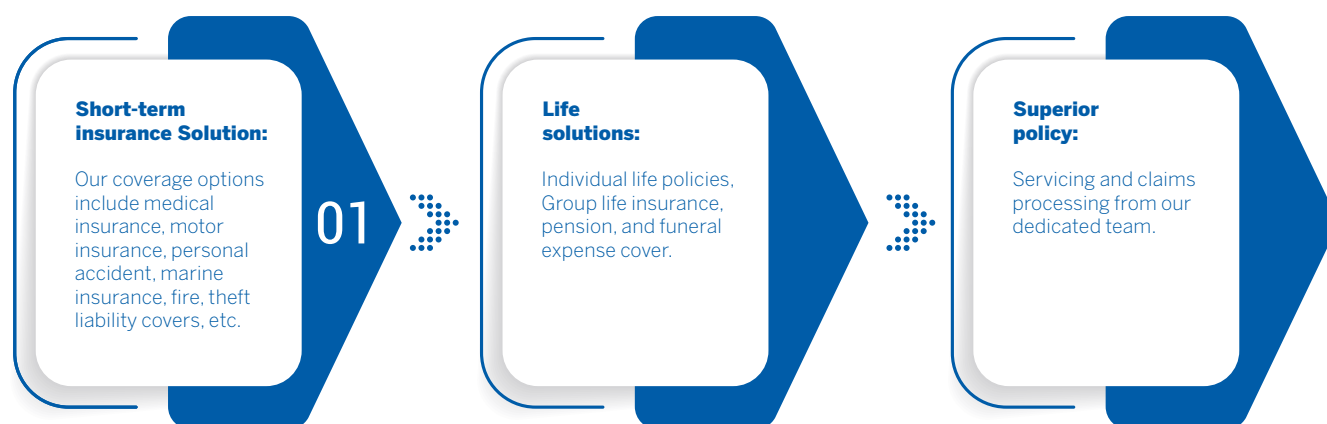
The Insurance and Asset Management business will focus on scaling its impact and deepening integration with the broader Group strategy. Key priorities include;

- Expanding distribution through an enlarged DSA footprint
- Selective third-party partnerships, ensuring all products are fully digitised across client channels,
- Streamlining claims and servicing journeys through automation.

Stanbic Bancassurance Intermediary Limited (SBIL)

SBIL is a licensed insurance distribution business providing tailored risk management and insurance solutions to both bank and non-bank clients through strategic partnerships with leading underwriters.

What we Offer



Key Highlight



8%

Revenue growth
year-on-year



SBG Securities Limited (SBGS)

SBG Securities is a full-service Investment Bank licensed by the Capital Markets Authority, providing Investment Banking advisory services, securities brokerage services, investment research, and asset management solutions.

What we Offer

Equities and Fixed Income brokerage services

Incorporating both primary issuances and secondary trading for government securities and corporate bonds



Asset Management

Our solutions comprise of three new unit trust products: The Stanbic Money Market Fund(KSHs) and the Stanbic Fixed Income Fund (KSHs and USD)



Investment research

We offer equities and macro-economic research



Investment banking advisory services

Compromising of Equity Capital Markets, Debt Capital Markets, and a wide range of Advisory services





2025 Key Highlights



36%

Year on year brokerage commission growth



13.5%

Growth in SBGS market turnover



Led in landmark transactions including the Safaricom Green Bond



58%

Growth in SBGS fixed income bond turnover



Integrated Unit Trusts into the Stanbic Bank Mobile App allowing customers to access, transact and monitor their investments seamlessly in one place

2025 was a defining year for SBG Securities. In a capital-markets environment shaped by volatility, regulatory tightening and shifting investor needs, our focus remained clear: protect our market position, strengthen the foundations of our business, and build a more diversified, resilient and future-ready investment franchise.

Through disciplined execution, customer-centric innovation and a deep commitment to responsible investment practices, we continued to reinforce our leadership in Kenya's capital markets.

Market Leadership

Despite a challenging market activity throughout the year, SBG Securities delivered solid performance across trading, investment banking and asset-management lines. We expanded our advisory franchise and played a leading role in landmark transactions, including the Safaricom Green Bond, which not only demonstrated our best-in-class capabilities in sustainable finance but further cemented our expertise in structuring and executing complex capital-markets transactions.

Our trading, bolstered by growth in market volumes across institutional and retail clients supported by strengthened institutional relationships and renewed engagement with retail investors as confidence improved. We continued to prioritise quality execution, transparency and responsive market intelligence which are attributes that remain central to our brand and trusted by our clients.

Digitising the investment experience

A major strategic focus in 2025 was improving the customer journey through digitisation. We made significant progress in integrating investment products into the Group's digital ecosystem.

Notably, Unit Trusts were integrated into the Stanbic Bank mobile App, allowing customers to access, transact and monitor their investments seamlessly in one place

We extended the SBG Securities' I-Trader Platform to the SBG Securities App, to offer customers an even more comprehensive wealth-management experience.

We invested heavily in modern technology and workflow automation to enhance operational efficiency. Digital onboarding significantly reduced internal processing time, improved customer verification, and enabled a smoother, more connected journey across investment and banking platforms.

These improvements are already reshaping how customers interact with our products and are expected to deliver even greater efficiency and accessibility in the years ahead.

Customer support through stronger risk and compliance control



Market volatility and regulatory developments made 2025 a challenging operating environment. Both customers and financial institutions faced heightened risks, including fraud attempts, and heightened compliance requirements.

We responded by:

- Strengthening internal fraud-prevention and AML controls
- Enhancing surveillance and internal monitoring systems
- Tightening onboarding and documentation processes
- Reinforcing governance standards and maintaining a robust control environment

Building a balanced, diversified investment business

The year 2025 marked progress in repositioning SBG Securities as a diversified investment house. We deepened our presence in advisory, expanded our asset-management capabilities, and enhanced the solutions available to both institutional and retail investors.

Our ambition is to democratise access to investment products that is, making them easier, faster and more intuitive for all clients.

This strategy, supported by technology, will continue to anchor our future growth.

Looking Ahead

In 2026, the Foundation will deepen its work across its three strategic pillars:

1. Winning and executing more high-profile advisory and investment-banking mandates
2. Strengthening origination and structuring capability across complex transactions
3. Expanding our product suite to include offshore assets, foreign-currency bonds and more sophisticated investment options
4. Deepening digital integration to make SBG Securities a seamless extension of the Standard Bank Group ecosystem

Stanbic Foundation Kenya Limited

The Foundation is Stanbic's corporate social investment arm, focused on promoting inclusive economic growth, environmental awareness, and entrepreneurship aligned to the Sustainable Development Goals.



Commemoration of Pauline

In 2025, the Stanbic Kenya Foundation, together with the broader Stanbic Bank Kenya Limited and Standard Bank Group family, paid tribute to the late Pauline Ann Wambui Mbaya, whose leadership and dedication played a formative role in the establishment and growth of the Foundation. Pauline joined Stanbic Bank Kenya on 1 April 2020 as Head of Foundation, at a time when the Foundation was newly incorporated. She was entrusted with the responsibility of setting it up, developing its operating frameworks, forging strategic partnerships, and anchoring its work within the Group's purpose and values.

Pauline's tenure was defined by vision, resilience and a deep commitment to inclusive development. Under her leadership, the Foundation entered into its first strategic partnership with the United States African Development Foundation (USADF) to support African-owned enterprises improving livelihoods in underserved communities. During the COVID-19 pandemic, the Foundation responded by supporting community health through the provision of water stations. In 2022, Pauline guided the launch of the Catalytic Fund, in partnership with GIZ E4D, to support SMEs affected by the pandemic through access to finance, capacity building, and coaching. She also championed partnerships to strengthen blue-economy MSMEs and supported regional development efforts, including a long-term collaboration with UNDP in South Sudan to advance socio-economic transformation.

Pauline's tenure was defined by vision, resilience and a deep commitment to inclusive development.

Beyond programme delivery, Pauline was deeply respected for her collaborative leadership style, integrity and unwavering care for people. She embedded a culture of accountability, partnership and compassion, while remaining personally committed to mentoring colleagues and supporting teams. The strength, scale and credibility of the Stanbic Kenya Foundation today reflect the foundations she laid. Pauline's legacy endures in a resilient institution and in the many lives touched by her work. She remains a cherished member of the Stanbic family—missed, remembered and honoured for a life of service and impact.

What we Offer

Economic Empowerment:

The Foundation supports Micro, Small and Medium Enterprises (MSMEs) by providing financial literacy programs, access to affordable finance and markets.

Education:

The Foundation enters into strategic partnerships to support needy and vulnerable students to access quality education through sponsorships. Through initiatives like 'Future ni Digital' program, the Foundation aims to enhance digital literacy among the youth equipping them with skills necessary for the modern job markets.

Digital:

Through initiatives like 'Future ni Digital', the Foundation aims to enhance digital literacy among the youth by donating computers to Vocational Training Centres and equipping youth with digital skills to either improve productivity, create employment or access employment opportunities in the digital economy.



Key Highlights

70,000

women trained: KES 120M disbursed

450

computers donated: Fondation donated 250 devices while ATC donated 200 devices

8

Partnered with 8 counties including, Kisii, Kisumu, Kericho, Uasin Gishu, Busia, Kakamega, Homabay and Nairobi, enhancing foundation programs such as economic empowerment, education, digital, climate resilience, and adaptation.

In 2025, Stanbic Holdings PLC advanced its commitment to inclusive growth by accelerating social, economic and environmental initiatives across Kenya. Through the Stanbic Foundation and broader Group partnerships, the Group deepened its support for women, youth, SMEs, and climate-focused enterprises.



Digital skills for youth employability



100,000 youths across eight counties were equipped with digital skills through 139 training centres. Instructor training ensured sustainable local capacity. This progress was enabled by strategic partnerships, including American Tower, which donated 200 computers and the Stanbic Foundation contribution of 250 computers.

Education support for underserved communities



66 students benefited from scholarship opportunities, enabling access to quality education and supporting long-term socio-economic mobility.



Five years of the Stanbic Foundation: expanding impact

In 2025, the Stanbic Foundation marked its fifth anniversary, celebrating half a decade of meaningful societal impact. The Foundation continued to complement the Group's strategy by deepening community trust and strengthening emotional connection to the brand.

Economic empowerment of women and SMEs

The Foundation trained 70,000 women in financial inclusion, supported by KES 120million in disbursements.

Under the Gates Foundation partnership, the first year of implementation empowered 6,700 women-owned enterprises with KES 100 million in support to drive dignified livelihoods and sustainable economic participation.

Climate resilience and green growth



The Foundation planted over 104,000 trees as part of our climate resilience commitments.

The Women in Green Transformation Programme, delivered in partnership with GIZ, supported emerging women-led green businesses. The campaign resulted in shortlisting of 353 SMEs against a target of 300 SMEs and are scheduled to commence training in 2026.

104,000+

Trees planted as part of our climate resilience commitments

Partnerships as a catalyst for scaled impact

The Foundation continued to strengthen collaborations with National and County Governments, development agencies, and private-sector partners. Ongoing partnerships with eight counties, that is, Kisii, Kisumu, Kericho, Uasin Gishu, Busia, Kakamega, Homabay, and Nairobi enhanced adoption of Foundation programmes at the grassroots level.

Joint announcements and collaborations with organisations such as Safaricom, Sun King, Nature Kenya and the UN Global Compact amplified outreach and expanded storytelling opportunities. Media partnerships further bridged the information gap and increased awareness of sustainability activities.

Governance and accountability for sustainable impact

Robust governance ensured alignment between the Foundation's activities and the Group's sustainability strategy. The Stanbic Foundation Steering Committee convened monthly and submitted quarterly reports to the Board, strengthening oversight, accountability and programme effectiveness.

To measure results more effectively, the Foundation embedded Monitoring, Evaluation and Learning (MEL) partners into programme implementation, enabling data-driven decision-making and transparent reporting of outcomes.



Challenges and Mitigation Measures

During the year, the Foundation encountered several challenges:



Funding Disruption

The discontinuation of USADF — a key contributor to mid-level SME support halted the programme's fifth cohort. To protect stakeholder trust, the Foundation provided quarterly updates to applicants while engagements with USADF continued.



Operational Risks

Minor security concerns emerged during the rollout of the Dada Mashinani Women's Economic Empowerment Programme. These were managed through enhanced staff risk-management training and improvements to incident-recording procedures.

Looking Ahead

In 2026, the Foundation will deepen its work across its three strategic pillars:

1. Economic Empowerment
2. Digital Skills for Youth
3. Climate Resilience and Green Growth

The focus will be on scaling high-impact programmes, strengthening partnerships and expanding initiatives that reinforce the Group's role in enabling inclusive and sustainable socioeconomic growth.

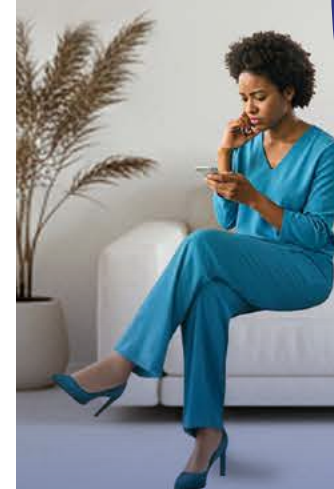
Accolades



Stanbic Bank

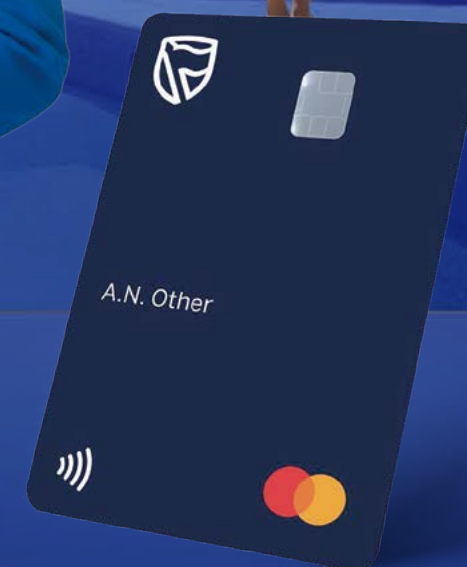
From
wishing

To
rewarding
moments



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Shareholder Value, Materiality and Organizational Capacity

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Stakeholder Value and Engagement

Stanbic Holdings PLC's ability to create, protect and sustain value is anchored in the quality of our relationships and the effective use of our resources. Our business model is inherently interconnected with a broad range of stakeholders whose expectations shape our strategy, operations and long-term sustainability.

We engage proactively with employees, customers, communities, shareholders, investors, regulators, suppliers and the media through structured, purposeful and transparent channels. This enables us to understand their evolving needs, manage trade-offs responsibly and respond in a way that supports shared value creation. Our engagement approach is risk-based and context-specific, ensuring that the depth and frequency of interaction are proportionate to stakeholder impact and relevance.

Stakeholder	Engagement Mechanisms	Priority Issues	Our Response	Measurement & Indicator	Value Driver	SDGs	Capitals Impacted
Employees 	- Strategy cascade - Goal Setting - Performance reviews: minimum –twice annually +quarterly check-ins - Employee forums - Employee surveys	- Learning, upscaling future ready capabilities - Wellbeing, health & safety - Diversity & inclusion - Fair remuneration and benefits	Our people are our heartbeat. We invested in trainings and courses that our people could gain future-ready skillsets from We conduct wellness checks on our people	- Investment in training: - Total training hours - Average training hours per employee - Pay parity - Employee satisfaction	- A resilient and motivated workforce, eNPS up by 8% – 1,244 staff - Pay parity – Male:Female-1:1 - Amount spent in training-KES 89,162,510 Strengthened Intellectual Capital – 104hrs average training hours per employee and 128,440 total hours - Annual employee health checks and training on psychological safety - Diversity – Male: Female – 51%:49%. Differently abled staff – 0.6%. Youth – 29% 39 youth equipped with relevant workplace skills		Human Capital Intellectual Capital
Customers 	- Branch and service centre interactions - Relationship managers - Call centre desk - Campaigns - Surveys	- Wide access points - Service excellence - Competitive pricing - Digital uptime	We own our customers experience We addressed feedback and improved our trust with customers	- CSI score - Access points - Customer number	- Increased trust and loyalty – Customer number up by 8% - Customer Satisfaction Index - 8.7 99.8% uptime 3 additional service centres and 5 ATMs		Social & Relationship Capital
Communities & Foundation 	- Community forums - Partnerships with local authorities & NGOs - CSR activities	- Financial literacy - Access to finance - Financial inclusion	We thrive to create long-term value beyond financial impact in the communities we serve	- D.A.D.A Financial literacy - Trees planted Green building loans Agric sector Sustainable finance	>204000 tress planted KES 49.5bn disbursed to D.A.D.A since inception - Over 9,100 individuals trained on financial fitness - All loans above USD 1m screened for E&S risks KES 4.5bn green building loans issued 9.9% loans of our portfolio issued to agricultural sector 987 jobs created KES 133bn trade loans disbursed KES 105.7m MSME funding 21% sustainable finance KES 1.8bn loans issued in affordable housing resulting to 200 new homeowners		Natural & Social Capital
Investors & Shareholders 	- Quarterly earning calls - AGM - Group investor meetings	- Stable earnings growth - Strong capital adequacy ratios - Sustainable dividend policy - Enterprise risk management	We are committed to delivering sustainable returns to our shareholders	- Sustainable returns - Share price growth - Capital ratios - Default risk	- Sustainable returns dividend up by 7% 44% share price growth year-on-year - Total capital at 293bps above required buffers - Sound risk management where Stanbic obtained Fitch Rating of “B”		Financial Capital
Regulators 	- Regulatory reporting - Statutory submissions - Policy reviews & feedback forums - On-site/off-site reviews	- Capital compliance requirements - Risk management & asset quality - Reporting compliance - Effectiveness of AML/CFT frameworks - Transparency in pricing	Transparency in compliance is crucial to our business	- Credit discipline - Capital strength - Fines & penalties - Policy adoption	- Enhanced credibility securing the Group's “License to Operate” - Transparent Revised RBCPM adoption lowering overall cost of risk - Zero fines and penalties - Fire awards runners-up on IFRS S1&S2 adopters		Social & Relationship Capital
Suppliers & Partners 	- Onboarding & Due Diligence - Performance Management - Partnership	- Fair procurement processes - Timely payment - Performance measurement clarity	Trust and credibility in sourcing to drive long-term supply confidence	- Females, youth and PWD led organisations - Spend on local sourcing	15.5% of our suppliers are youth, women and PWD –led organisations IFC recognition for championing gender-inclusive procurement Sustainable brand supply chain award 2025 KES 7.8bn spent on local suppliers(89%)		Manufactured & Financial capitals
Technology & Media 	- Press releases, Briefings, Interviews - Contracts, Innovation forums	- Reputation and public trust - Thought leadership - Operational resilience - Innovation & scalability - Cybersecurity & data protection	Agile, proactive and forward-looking engagement	- Service capability - Cyber-security incidents - Spend on IT - Thought leadership sessions	- Launched predictive fraud monitoring capability 21 AI bots across multiple business functions 18 new features on mobile banking platform released 24/7 service capability with full-spectrum always-on service capabilities for complex global clients - IT spend grew 5% YoY due to targeted platform modernisation and stability enhancements aimed at improving client experience		Intellectual & Manufactured capitals

Materiality Assessment

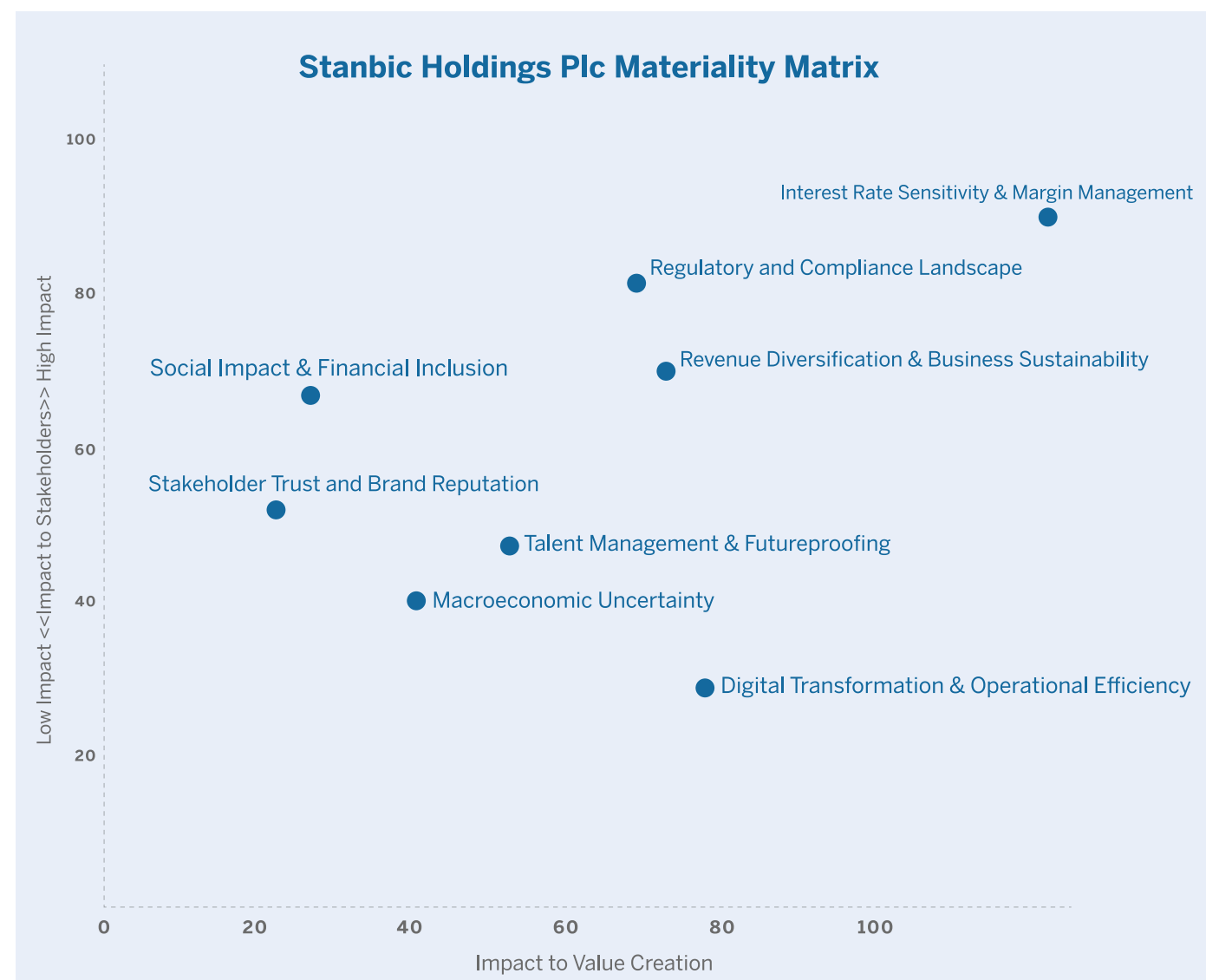
Materiality underpins how the Group identifies, prioritises, and responds to matters that substantively affect its ability to create value over the short, medium, and long term periods.

We undertook a structured materiality assessment to determine the issues that are most significant to the Group's strategy execution, financial performance, risk profile, and stakeholder relationships. The assessment considered both the impact of matters on value creation and their importance to key stakeholders.

Material issues were identified through this process guide:

- Strategic planning and capital allocation
- Risk management and governance oversight
- Performance management and disclosure priorities
- The stewardship and tradeoff across the six capitals

The key matters identified were as follows;



Our People

Our people remain the heartbeat of Stanbic Holdings Plc. Everything we achieve as a Group, every client experience we elevate, every innovation we deliver, every community we impact is powered by the talent, commitment and character of our talent. As custodians of the people agenda, our responsibility is to ensure that they are supported, inspired and equipped to grow in a world where the skills of yesterday are no longer enough for the demands of tomorrow.

In 2025, we continued to invest deliberately in building a workplace where our people can thrive. We strengthened leadership capability, deepened technical and digital skills, and expanded opportunities for meaningful growth across the Group. Our focus has been to create an environment that values diversity, encourages curiosity, rewards performance and embraces the unique potential of every employee.

We also future-proofed our workforce to ensure we remained competitive and agile. Through targeted learning pathways, coaching, mentorship and emerging-skills development, we prepared our people for the evolving landscape of financial services, one that is shaped by technology, data and a more discerning customer.



Performance management

The Group operates a structured bespoke Performance Management Framework anchored on the Perform to Grow philosophy, which drives sustainable performance through clarity of expectations, continuous performance conversations, and development-led growth. Performance is assessed holistically based on what is delivered and how it is delivered, with employees measured against clearly defined, outcome-based goals aligned to business strategy and cascaded across organisational, team, and individual levels, alongside observable performance behaviours that demonstrate how results are achieved. Performance outcomes are reflected through a four-tier rating scale—Setting the Example, Right on Track, Making Progress, and Time to Step Up—which provides clear differentiation of performance and supports fair, consistent evaluation.

Performance is monitored through regular check-ins and formal mid-year and year-end reviews, supported by moderation and governance processes to ensure consistency, fairness, and integrity of outcomes. In 2025, the framework was strengthened to enhance objectivity and governance through clearer definition of performance behaviours, the introduction of a standardised four-point visibility and impact rating scale for behaviours, reinforced expectations for continuous performance conversations and early intervention, and improved documentation and audit trails linking performance outcomes to reward, development, retention, and succession decisions.

Reward and retention

Our aim is to retain talent whose solutions support long-term value creation. Reward and bonus outcomes are increasingly aligned to merit and contribution, reinforcing a performance-driven culture while ensuring underperformance is addressed in a timely, structured manner.

Employee well-being initiatives

When people are physically, mentally, and emotionally healthy, they are more focused, more creative and more engaged. In practical terms, this translates into:

- Higher productivity and better execution — people bring more energy and clarity to their work
- Better decision-making — reducing errors, rework, and operational risk
- Lower absenteeism and presenteeism — ensuring teams remain stable and effective.

In 2025, the Group expanded some of the well-being programmes such as; Mental wellness awareness programmes, health screenings and access to employee assistance services.

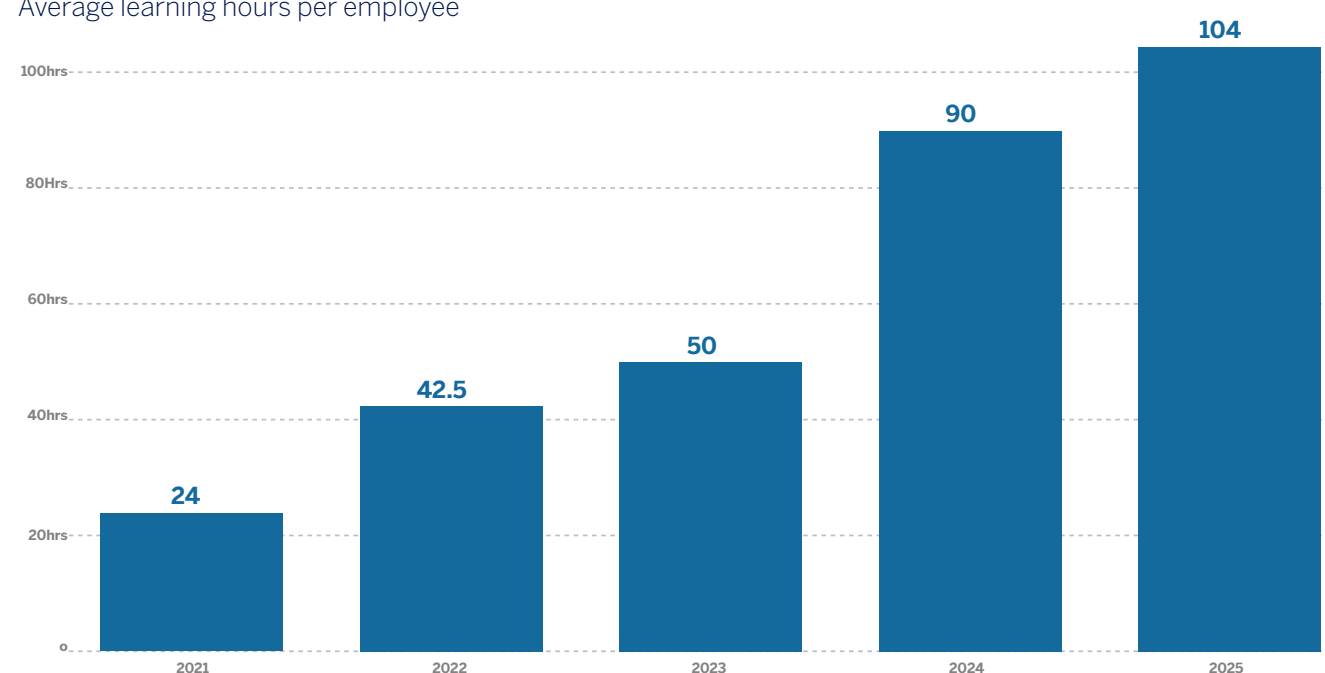


Upskilling and future-ready workforce

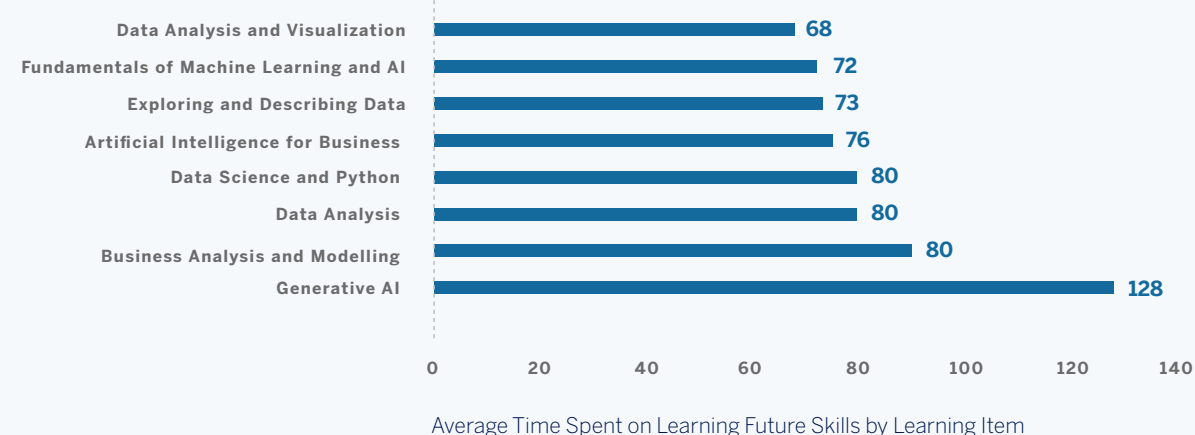
Stanbic Holdings Plc remains committed to continuous learning and talent development as a key driver of long-term performance. In 2025, the Group recorded an average of 104 learning hours per employee, supported by a total investment of KES 89.1 million.

In response to the evolving nature of work, particularly the impact of technology, a significant portion of training focused on building future-ready capabilities. Notably, 51% of total learning hours were dedicated to emerging areas such as digital skills, data analytics, machine learning, and generative AI, to ensure our workforce remains agile, relevant, and equipped to deliver sustainable value in an increasingly dynamic environment.

Average learning hours per employee



Future-ready skills learnings



Employee engagement

We connect our people to the Group's purpose, trusted by leadership, and valued for their contribution. Engaged employees take ownership of their work, respond faster to customer needs, and bring a level of energy and commitment that directly improves service delivery.

High engagement reduces turnover, protects institutional knowledge and builds stability within teams. It also shapes the everyday culture influencing how employees speak to customers, how teams support one another, and how leaders show up. When employees are engaged, the workplace is more inclusive, collaborative and resilient, enabling the organisation to navigate change more smoothly.

Employee engagement formed a central pillar of People and Culture governance in 2025. We developed a framework that was cascaded across the Group to communicate to our people on the critical behaviours required to support strategy execution. Structured employee forums and departmental focus groups were held to provide platforms for dialogue, feedback and joint problem-solving between management and employees.

Diversity and inclusion

In 2025, Stanbic Holdings Group continued to embed diversity and inclusion as a core pillar of its people strategy, supporting leadership effectiveness and long-term value creation. Gender representation across the workforce remained stable at 51% male and 49% female, with full remuneration parity (1:1) reinforcing equitable reward practices. Senior leadership composition shifted to 53% male and 47% female, reflecting normal succession and role movements, while youth representation declined to 29% the Group selectively strengthened experience and specialist capacity in priority areas. The representation of differently abled employees stood at 0.60%, highlighting the need for continued focus on accessibility and inclusive employment pathways. Overall, workforce dynamics in 2025 reflect deliberate talent management choices balancing inclusion, capability depth, and strategic execution.

Employee Composition	2024	2025
Gender Diversity	Male : Female 51% : 49%	Male : Female 51% : 49%
Differently abled	0.70%	0.60%
Youth	33%	29%
Remuneration Parity	Male : Female 1 : 1	Male : Female 1 : 1
Senior Leadership	Male : Female 50% : 50%	Male : Female 50% : 50%

Looking Ahead



Looking ahead, the People and Culture governance priorities include strengthening succession planning, deepening culture entrenchment through values and habit frameworks. Through continued leadership and capability development, and by maintaining high levels of engagement in an evolving work environment.



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An aerial photograph of a residential development in a dry, hilly landscape. The development consists of several rows of modern, two-story houses with grey roofs and light-colored walls. A blue circular overlay with a white border is positioned on the right side of the image, containing the text 'Our Capitals Performance' and two bullet points. The background shows a dry, brown landscape with scattered trees and a distant hill.

Our Capitals Performance

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Our Capitals Performance

How the Capitals Impact our Purpose and Strategy

We place our clients at the heart of everything we do. We ensure that we are always there to meet their needs in a secure, personalised and relevant way, while partnering with them to drive inclusive growth and sustainable development in Kenya. Our business encompasses the following value drivers/capitals.

Capital	Description	Actions to enhance outcomes	Outcomes	Key stakeholders
Human Capital 	We are accelerating skills development in key areas to develop, attract and retain critical skills	- Upskilled in AI & ESG - Habits framework & values - Automized optimisation - Performance-based incentives	1222 employees 104 average training hours per employee - Net Promoter Score (NPS) -46% - Spend on training – KES89.1m	Employees 
Financial Capital 	We allocate our capital to deliver sustainable earnings growth and attractive returns	- Product innovations - Commercialisation of investments - Cross business units integration - Cost discipline and efficiency	- Profit after tax KES13.7bn 5% increase in customer deposits 17% increase in bank loans and advances 19% growth in balance sheet	Employees Customers Investors 
Intellectual Capital 	We deliver innovative solutions that support our ambitions	- Advanced monitoring tools - Continued cloud journey - Data centre co-location	99.8% uptime achieved 18 new features on the banking platform - Stable Risk Environment : - NPL at 8% - CLR at 0.6% - Brand Equity score of 15.7	Employees Technology Partners 
Social & Relationship Capital 	We are focused on defending and growing our franchise	- Deepened Stanbic Foundation Kenya's work across 3 key areas: - Economic Empowerment - Digital Skills for Youth - Climate Resilience and Green Growth.	100,000 youths equipped with digital skills 139 training centres involved 450 computers donated 66 students benefited from scholarship opportunities 70,000 women trained in financial inclusion KES 120 million disbursed for financial inclusion	Partners Community Investors 
Manufactured Capital 	We are committed to doing the right business, the right way	Stayed abreast with evolving technology	30 branches 3 additional service centers 5 additional ATMs	Customers Employees 
Natural Capital 	We are committed to making a positive impact	- Increased financing for green initiatives - Waste management initiatives	- Stanbic Bank and the Foundation planted over 204,000 trees KES4.5bn Green building loans KES 2.5bn in Climate smart agriculture funding 99.9% waste recycled	Community Investors 

Deepening Market Presence



Our brand is anchored in the Group's strategy- Transforming Client Experience, Executing with Excellence, and Driving Sustainable Growth and we play a key role in supporting and advancing it. In 2025, being the second year of implementing the strategy, we witnessed considerable progress compared to 2024 especially in customer experience, greater visibility and consistency in brand identity.

Customer experience

In today's digital world, products and prices are no longer enough to differentiate us. customers compare us not only to other financial institutions, but to the best digital experiences they encounter daily. Whether they are using apps, e-commerce platforms or mobile wallets, they expect the same speed, ease and transparency from their bank.

A seamless customer experience builds trust, reduces friction, and increases usage of our digital channels.

Audiovisual



While banking is often perceived as technical, transactional and impersonal, at Stanbic Holdings Plc, we break this barrier by showing real people, real journeys, and real impact through audiovisual storytelling; something text alone cannot fully convey. In 2025, this emerged as a crucial insight that shaped our strategy in creating meaningful connections.Were thee any reactions? If so, how many?



Artificial Intelligence

As AI continues to revolutionise and influence global marketing trends, Stanbic Bank Holdings Plc has adopted a cautious approach in utilising AI to provide personalised experiences for our customers. The marketing department has clear governance over the use of AI, restricted to data acquisition, customer targeting, and content creation.

Related Disclosures

Our brand is anchored in the Group's strategy- Transforming Client Experience, Executing with Excellence, and Driving Sustainable Growth and we play a key role in supporting and advancing it. In 2025,



Customer engagement

This ensured that customers understood the strategy and that employees delivered quality results throughout the organisation.

Campaigns

Campaigns allow us to engage with customers by being at their areas of work or living. This allows us to onboard customers instantly, showcase new products and answer concerns on the spot. They also give us invaluable insights into customer behavior, preferences and pain points, information that significantly improves product design and customer experience.



In 2025, we conducted several thematic campaigns based on the following pillars:

- Creating distinctive connections,
- Building a genuinely Kenyan brand and
- Strengthening our corporate positioning.

The launch of Private Banking in November 2024 was the first campaign, which extended into January 2025. It sought to strengthen the Group's position as a market leader in private banking. The campaign generated over 30 million impressions, more than 15,000 leads and attracted over 3,000 customers to Private Banking.

The second campaign, the Why Wait Campaign, aimed to position the Group as an employer of choice. The campaign received 73% positive sentiment and attracted over 73,000 job applications, establishing the organisation as a preferred employer.

The third campaign was the SME campaign for the second consecutive year, which generated 10 million impressions. Under this campaign, we carried out several initiatives across various sectors, including agriculture, infrastructure, oil and gas, and non-banking financial institutions, through client engagements, to position the Group as a key player in the economy.





Strengthening brand presence

In 2025, the Bank prioritised enhancing brand visibility and consistency across both physical and digital touchpoints. A key focus was embedding the Habits Framework, a behavioural guide that shapes how employees engage with customers and represent the brand. This was rolled out organisation-wide through structured engagements, supported by refreshed branding across offices, internal environments, and digital platforms to ensure a consistent and recognisable identity.

The branch network remained central to customer engagement. To support this, selected branches, including Galleria, Westgate, and Lion Place were upgraded with improved layouts, better branding, and enhanced customer flow, while upgrades at Chiromo are ongoing.

In addition, the Bank enhanced in-branch communication through digital screens and updated product materials, improving clarity and accessibility of information.

Navigating a fast-shifting media landscape

In 2025, the rapidly evolving media landscape required the Bank to adapt its visibility strategy, sharpen messaging, and invest in more targeted ways of engaging increasingly digital and personalised audiences. While traditional channels such as TV and radio remained relevant, digital platforms—particularly social and short-form content became critical in driving brand awareness and customer engagement.

In response, the Bank strengthened its use of data and audience insights to balance reach with precision, ensuring content remained relevant and impactful. At the same time, a measured approach was adopted in leveraging emerging technologies such as AI, focusing on controlled applications like content optimisation and sentiment analysis, while maintaining strong governance and compliance with ethical and regulatory standards.



Looking Ahead

Our key areas of focus for 2026

We will invest in research and insight to better understand our customers and stakeholders

We will use the Stanbic Foundation survey to assess what our partners and customers need from the foundation and pinpoint areas for improvement

Brand health tracking, currently conducted only annually, will be performed more often in the future to deliver additional insights

Implement the One Stanbic Strategy to strengthen customer relationships and expand the Foundation's activities, building on the work achieved over the past five years to foster an emotional connection with customers

Performance-led marketing will remain central to investment decisions, partners, and strategies as we aim to achieve optimal returns

We will continue to build meaningful connections with our customers by sponsoring events in sport, art and music for our corporate, business, and retail clients



Our Governance

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Stanbic

Corporate Governance Report for Stanbic Holdings Plc



Codes and Regulations

The Group complies with all applicable legislation, regulations, standards, and codes, with the Board continually monitoring regulatory compliance. For the last six years, Stanbic Holdings Plc has been awarded a leadership score by the Capital Markets Authority for its compliance with the Corporate Governance Code for Issuers.



Shareholder Relations

The shareholders' role is to appoint Stanbic Holdings Plc's Board of Directors and the external auditor. This role is extended to holding the Board accountable and responsible for efficient and effective corporate governance.

During the year, Stanbic Holdings Plc provided a number of avenues for the shareholders, and stakeholders, to engage the Stanbic Holdings Plc. These included the bi-annual investors briefings, updates on Stanbic Holdings Plc's website and social media handles, among others. Stanbic Holdings Plc held investor briefings on 5 March 2025 and 7 August 2025, where investors, shareholders, and stakeholders were appraised of the Stanbic Holdings Plc's performance. They also had the an opportunity to ask questions and engage the Board and management.

The 2025 Annual General Meeting of the Stanbic Holdings Plc held on 15 May 2025 provided an opportunity for shareholders to participate, ask questions and share their concerns. The robust engagement and participation of shareholders can be evidenced by the questions and responses during the AGM. The questions and responses are available on the website here: https://www.stanbicbank.co.ke/static_file/Kenya/Downloadable%20files/Stanbic%20Holdings%20PLC/AGM/2025/Stanbic%20Holdings%20Plc%202025%20AGM%20Questions%20and%20Responses.pdf

An investor relations survey was conducted in 2025. The survey sought to engage investors and receive their feedback on current practices and potential areas of improvement. The findings indicated that investors were satisfied with the quality of interactions and communication and appreciated the investor briefings.

Pursuant to the requirements under the Stewardship Code for Institutional Investors, Stanbic Holdings Plc further undertook the following:

- Held investor briefings during the year to appraise institutional investors of Stanbic Holdings Plc's performance and respond to questions and comments.
- Engaged institutional investors through its robust and active Investor Relations function and via the Stanbic Holdings Plc's website: <https://www.stanbicbank.co.ke/kenya/personal/about-us/investor-relations>
- Made sufficient disclosures about the Stanbic Holdings Plc's governance and sustainability performance through the Annual Report, website, social media, AGM and other forums.
- Facilitated effective voting by poll during Stanbic Holdings Plc's 2025 AGM.
- Coordinated with Image Registrars, Stanbic Holdings Plc's registrar, to facilitate efficient flow of information and voting instructions.
- Undertook a board training on corporate governance and the highlights of the Stewardship Code on 10 July 2025.



The Capital Markets Authority (CMA) Corporate Governance Assessment Report for Stanbic Holdings Plc for the year ended 31 December 2024 found that the Company had continued to demonstrate commitment to good corporate governance and was thus awarded a leadership rating for the sixth-year running.

The Capital Markets Authority (CMA) Corporate Governance Assessment Report for Stanbic Holdings Plc for the year ended 31 December 2024 found that Stanbic Holdings Plc had continued to demonstrate commitment to good corporate governance and was thus awarded a leadership rating for the sixth-year running.

Stanbic Holdings Plc was commended by CMA for its continuous efforts to strengthen its governance structures and practices. CMA made some recommendations on areas of improvement which the company is addressing.

Governance Audit

In line with the Code of Corporate Governance Practices for Issuers of Securities to the Public (the CG Code), the Company engaged NewDay Secretarial & Consulting Limited, an independent governance auditor to undertake an independent governance audit for the year ended December 31, 2025.



REPORT OF THE GOVERNANCE AUDITORS TO STANBIC HOLDINGS PLC

We have conducted a Governance Audit of Stanbic Holdings PLC for the period ended 31 December 2025. This is in accordance with the requirements of the Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, and other relevant regulatory and best-practice frameworks. The Governance Audit was undertaken pursuant to the approved scope of work, and in conformity with the standards and methodology prescribed for governance auditors.

Our Responsibility

Our responsibility was limited to conducting the audit in accordance with the guidelines issued by the Institute of Certified Secretaries of Kenya and the Code of Governance Practices for Issuers of Securities to the Public, 2015 and to express an opinion on the governance policies, practices, structures and documentation thereon.

Responsibilities of Directors

The Board of Directors is responsible for ensuring that the Company maintains sound corporate governance structures and adheres to applicable governance standards, laws, and regulations. The responsibility includes putting in place governance structures and systems that support the practice of good governance in the organisation through policy formulation necessary for efficient and effective management of the organisation.

Basis of our Opinion

Our responsibility is to express an opinion on the existence and effectiveness of governance instruments, policies, structures, systems and practices in the organisation within the legal and regulatory framework and in accordance with best governance practices.

Our Opinion

In our opinion, the Board has put in place effective, appropriate and adequate governance structures in the organization, which are in compliance with the legal and regulatory framework and in line with best governance practices for the interest of stakeholders.

CS Caroline W Macharia, ICS GA. No 00047

For: Newday Secretarial & Consulting Limited

Date: 10 March 2026

Internal Legal Audit

Pursuant to the requirements of Clause 2.10.3 of the Code of Corporate Governance Practices for Issuers of Securities to the Public, Stanbic Holdings Plc undertook an internal legal and compliance audit during the year. The audit sought to assess the adequacy and effectiveness of the governance, risk management and system of internal controls adopted by management to ensure compliance with applicable laws, regulations and standards. This is in line with regulatory and internal policy requirements.

The audit found that the key controls for identifying, assessing and cascading applicable laws and regulations were adequate and effective. It was further found that internal policies were generally aligned with legal, regulatory and Standard Bank Group requirements. The areas for improvement were noted and continue to be actioned and tracked by management, with Board oversight.

Separation of roles of Board and Management

Pursuant to Clause 2.3.2 of the Code of Corporate Governance Practices for Issuers of Securities to the Public and the Board Mandate, there exists a distinct separation of the roles of the Board and management. The role of the Board is to ensure that the company is a sustainable organisation, with the overall responsibility focused on oversight of the Group's mission, vision, strategic objectives, and good governance. The Chief Executive's Mandate, which is annually reviewed and approved by the Board, sets out the mandate and responsibilities of the Chief Executive.

As required by the law, the roles of the Chairman and Chief Executive are exercised by different persons.

Stakeholder engagement



Stanbic Holdings Plc recognises that effective stakeholder engagement is important for its business and sustainability as it strengthens its legitimacy, social license to operate and connection to society and the community. During the year, Stanbic Holdings Plc's stakeholder engagements buttressed its trust and reputation as a socially responsible corporate citizen. The Group Stakeholder Engagement Guidelines define who our stakeholders are and the principles for engagement. The principles include constructive engagement, accessibility to stakeholders, transparency, responsiveness, and alignment with the company's Code of Ethics.

During the year, Stanbic Holdings Plc engaged various stakeholders in line with the Group Stakeholder Engagement Guidelines. Some of the stakeholders engaged during the year include regulators among them

the Capital Markets Authority, shareholders and the company registrar among others.

In addition, the Board reviewed the Corporate Disclosure Policy that sets out Stanbic Holdings Plc's framework for dealing with disclosures. The principles of the Policy include materiality and timely disclosure, compliance, accessibility and feedback.

The Stanbic Holdings Plc's Investor Relations Department continually engaged stakeholders throughout the year through the company's website, social media, investor briefings and other channels.

A survey was conducted by Stanbic Holdings Plc to assess how analysts and investors rate the its engagement and communication platforms and sought to establish overall satisfaction and areas of improvement.

Governance Framework



Governance Policies



Promotion of Diversity Policy

Stanbic Holdings Plc recognises the importance of, and value added by diversity in the composition of a Board of Directors. As a Group with operations in several jurisdictions, we recognise that diversity of skills, experience, background, knowledge, culture, race and gender strengthens the board's ability to effectively carry out its duties and add value to the group.

It mitigates the risk of 'group think' and improves the group's resilience. This policy seeks to articulate the group's approach regarding the promotion of diversity on its Boards of Directors in compliance with the CMA Corporate Governance Code and King IV Report, and must specifically consider the promotion of gender, age, skills, ethnic and race diversity. The Promotion of Diversity Policy is reinforced by the diversity considerations set out in the Board Succession Planning Policy.



Group Stakeholder Engagement Guidelines

The Group recognises that effective stakeholder engagement is essential to achieving our purpose, "Kenya is our home, we drive her growth". It is also at the heart of our Values and Code of Ethics.

Stakeholder engagement maintains and strengthens our legitimacy and social licence to operate, builds trust with stakeholders and enhances our reputation as a socially relevant and responsible corporate citizen wherever we operate. We have a responsibility to minimise any harmful impacts and optimise the positive impacts on our stakeholders. These Guidelines are intended to assist and guide Group entities in their stakeholder engagement activities based on the Group's stakeholder engagement principles.

The Guidelines categorise stakeholders while setting out the principles of stakeholder engagement which include commitment, responsiveness, transparency, and ethical conduct. Stanbic Holdings Plc has developed a Stakeholder Engagement Toolkit to support its engagement activities. In addition, it has a dedicated stakeholder engagement capability to coordinate stakeholder engagement activities and promote systematic approach.

During the year, Stanbic Holdings Plc engaged various stakeholders including regulators, shareholders, investors, media, staff, among others. The engagements were critical in informing the Group strategy, sustainability and collaboration.

Dispute Resolution Policy



The Company recognises that group dynamics underpin the Board's ability to effectively execute its responsibilities. A Board's contribution is made through incisive questioning and constructive debate. It is expected that directors will not agree on everything.

Directors are encouraged to express their views candidly, debate them rigorously and find consensus. On occasion, rigorous debate can lead to a dispute between Board members. At times, a dispute may arise between directors from factors outside of the group's control. As a group, we advocate prompt and fair resolution of any disputes, conflicts, or disagreements that may arise from time

to time, and that may threaten or disrupt proper functioning of the Board.

This policy sets to provide guidance on the dispute resolution process and to ensure that the process adopted by the Board best serves the interests of the Company whilst preserving stakeholder relationships.

The Policy advocates for confidentiality, mutual respect, commitment, collegiality, effective communication and constructive consensus. The Policy was enhanced during the year to incorporate resolution of internal and external disputes.



Board Remuneration Policy

The Company's Board remuneration policy is designed to create value for shareholders, clients, our employees and communities while retaining and motivating an effective Board of Directors.

In determining the remuneration fee for non-executive directors, the Board will ensure that regular surveys are conducted on the remuneration of non-executive directors on the boards of peer banks. The level of remuneration and compensation for non-executive directors (NEDs) must be set to attract independent NEDs who, together with the Board as a whole, encompass a varied range of relevant skills and experience to determine the Company's strategy and oversee implementation.

The NEDs are paid a retainer on a pro-rata basis and a sitting allowance for meetings attended each quarter. Additional sitting allowance is paid for any special Board meeting held. The remuneration for NEDs is reviewed on an annual basis for approval by the shareholders of the Company at the annual general meeting. The NEDs are appropriately reimbursed for expenses such as travel and subsistence incurred in the performance of their duties.

Disclosure of the Board's remuneration is made in the annual financial report of the Company in the Board Remuneration Report as guided by law.



interests of clients. For Board and management meetings, declaration of conflicts of interest is a standing agenda item.

Where arrangements are not sufficient to ensure, with reasonable confidence, that risks of damage to the interests of clients will be prevented, Stanbic will make appropriate and prior disclosure to the client(s) about the nature and source of such conflicts of interest (subject to adhering to any applicable confidentiality constraints), disclose the steps taken to mitigate such conflicts of interest and seek the client(s) consent or alternatively decline to act.

Stanbic requires all employees, consultants, contractors, suppliers, other associated persons and other third parties to always act honestly and with integrity and to manage fairly all conflicts of interest. It is noteworthy that there were no known insider dealings in the year under review.



Conflicts of Interest Policy

The Conflicts of Interest Policy is designed to comply with applicable statutory and regulatory obligations across the organisation. Stanbic Group Kenya maintains and operates effective organisational and administrative arrangements with a view to taking all reasonable steps to prevent conflicts of interest from constituting or giving rise to a material risk of damage to the

Corporate Disclosure Policy

The Policy sets out the Company's policy on managing disclosures which may be required by shareholders, regulators, government agencies, and such other relevant stakeholders. Some of the principles in the Policy include materiality and timely disclosure, compliance, accessibility and feedback.





Standard Bank Code of Ethics and Conduct, 2023

The Standard Bank Code of Ethics and Conduct provide the foundation for Stanbic's policies, standards, and controls, while ensuring that the values and ethics are reflected in the way we make decisions and engage with our stakeholders. The Code has been adopted by the Board of Stanbic Holdings Plc and is applicable to the Company and its subsidiaries. The Code provides clarity on our personal conduct, societal conduct and conduct in the market.

The Code applies to all Stanbic employees, full-time and part-time and consultants. It also applies to Board members including non-executive directors. The Code of Ethics and Conduct is available on the Company's website. The Board receives quarterly reports on the Company's performance on ethics. The reports provide information on conduct issues, breaches on the Company's policies, sanctions enforced and mechanisms for strengthening the Company's ethics. The reports also provide updates on whistleblowing matters. Pursuant to this, the Board confirms that an assessment on the Company's performance on ethics is undertaken every quarter.

In order to reinforce the implementation of the Code of Ethics, the Company provides mechanisms for determining how to act in certain circumstances, with the focus on enabling employees to make the right decisions at all times so as to entrench an ethical culture. The Company undertakes annual trainings for staff in order to ensure that they align their conduct and interactions with stakeholders in line with the Code of Ethics. The Code of Ethics is accessible on the Company's website.



The Code has been adopted by the Board of Stanbic Holdings Plc and is applicable to the Company and its subsidiaries. The Code provides clarity on our personal conduct, societal conduct and conduct in the market.

Whistleblowing Policy - How to report unethical behaviour.

Stanbic is committed to establishing a culture of integrity, transparency, openness and compliance, in accordance with the values and Code of Ethics adopted by Stanbic.

The Whistle-blowing Policy provides for the protected disclosure of any attempted, suspected or actual and/or unlawful, irregular or unethical behaviour by providing a framework for whistle-blowers to report their concerns internally or externally.

Corporate & Social Investment Policy

The Corporate & Social Investment Policy seeks to drive sustainable positive impact through client focus and social, economic and environmental impact. The Policy provides a guide for the Company's CSI interventions and strategies.

Procurement Policy

Stanbic requires that its resources be used effectively and efficiently to create value for money for its shareholders by ensuring appropriate levels of segregation and proper governance are in place while engaging third-party suppliers. This is supported through appropriate procurement policy and governance structures as well as the Third-Party Risk Management Policy.

The Procurement Policy reflects a lean-yet-effective governance structure that puts Stanbic in the best possible position to procure products and services. These are procured at the right time, in the required quantities and quality ensuring appropriate guidelines and processes are followed.



If you suspect theft, fraud or corruption by any of our employees, clients or suppliers, report it immediately to our independent Whistleblowing line. You may remain anonymous by calling 0800 221 3268 or by sending an email of what you suspect to whistleblowingline@tip-offs.com

Information Technology Standards



Stanbic Group Kenya subscribes to sound corporate governance principles, one of which is the use and application of Information Technology (IT) standards which define and articulate principles within which the Group will operate. The Company's IT governance framework is robust and is continuously updated to incorporate dynamic issues in the IT environment.

1 Architecture Technology Standard

The purpose of the Architecture Technology Standard is to provide guiding principles to be applied when architecture is designed and built. It also ensures it operates as intended and documents the roles and responsibilities of key players considered in the standard. It outlines standard principles to be followed in technology architecture.

2 Cloud Computing Technology Standard

The purpose of the Cloud Computing standard is to articulate principles and give effect to Stanbic's direction regarding cloud computing.

3 Cyber Resilience Technology Standard

The Cyber Resilience minimum standard provides a framework to govern how Stanbic protects its IT assets which includes systems in production, systems under development and systems hosted by third parties in a systematic and consistent manner.

This Standard mandates the IT security function to establish and uphold a culture of security across the organisation, provide assurance on a robust control environment, ensure that stakeholder requirements for the protection of data are continually met, focusing on confidentiality (the risk of unauthorised access to data and IT systems), integrity (the risk of data being manipulated) and availability (the risk of data and IT systems being unavailable when needed).

4 Endpoint Security Minimum Controls Standard

This Standard defines the minimum-security controls set out for compliance to manage data breach, financial malware, extortion/ransomware and distributed denial of service risks on endpoints.

5 Engineering Technology Standard

The purpose of the Engineering Technology standard is to provide direction to the organisation regarding technology engineering. This Standard provides engineering principles that are to be applied holistically and in such a way that is commensurate with the size and complexity of the legal entity, business line or corporate function.

6 Service Management Standard

This standard governs service management, ensuring that technology services are aligned to client and regulatory needs and to enable the monitoring and improvement of service quality.

7 Technology Finance Standard

This standard defines the technology cost management



principles to be followed to ensure that spend is responsibly invested and for the achievement of the broader financial outcomes of the organisation.

8 Ways of Work Standard

The purpose of the Ways of Work Standard is to articulate and give effect to the Group regarding Ways of Work. This standard provides guidance in the use of Scaled Agile Framework (SAFe), and corresponding SAFe foundation principles.

9 Privileged Access Management Standard

The purpose of the PAM standard is to provide the appropriate guidelines for the secure configuration and implementation of privileged user accounts in Standard Bank.

10 Client Authentication Standard:

The purpose of the standard is to provide the appropriate controls for the authentication of Entities such as Bank Clients, users, devices, and messages within the Standard Bank environment.

11 Bring Your Own Device Standard

The purpose of the standard is to provide the appropriate endpoint security controls to be implemented for 3rd Party devices and BYOD. The Standard is meant to ensure compliance with the requirements of the Endpoint Security Standard in relation to the restricted use of a 3rd Party devices and (BYOD) accessing SBG resources.



Subsidiary Governance Framework

The Standard Bank Group which Stanbic Holdings Plc is a part of, has implemented the Subsidiary Governance Framework in line with the requirements of King III and King IV Codes of Corporate Governance.

In terms of King IV and King V Codes of Corporate governance, the board of the holding company must assume responsibility for governance across the group and set direction for how the relationships and exercise of power within the group should be approached and conducted.

In developing the Subsidiary Governance Framework, efforts have been carefully made to remove conflicts with subsidiaries' founding documents including articles of associations. The Governance Framework does not replace local corporate governance codes but sets the basic standard expected of group entities on governance arrangements. During the year, the Company undertook an assessment on the status of compliance with the Subsidiary Governance Framework, and confirmed that it was compliant.

The Subsidiary Governance Framework objectives are to:

- Establish a common standard of corporate governance across the Standard Bank Group subsidiaries;
- Align governance practices to ensure discipline in the execution of the group's strategy;
- Provide a framework for oversight;
- Create transparency across the group; and
- Meet regulatory requirements.



Environmental and Social Risk – Standard and Policy

Environmental and social risk to Stanbic stems from the environmental and social issues that are related to their stakeholders and client's operations. Stanbic is committed to mitigating potential environmental and social (E&S) risks, as well as identifying positive opportunities, impacting our business, clients and stakeholders. This has resulted in a new group-wide E&S Standard and Policy being developed.

The Standard provides an overall E&S Management Framework for the consistent and unified governance, identification, measurement, management and reporting of E&S risk. It supports conscious risk-taking and encourages positive/green/social finance in seamlessly delivering client solutions whilst enhancing the trust, reputation and sustainability of the organisation.

The Policy complements and gives effect to the principles outlined in the Standard by providing a comprehensive E&S Risk framework and promoting a positive impact. It highlights roles and responsibilities, E&S assessment methodologies, E&S governance, the transaction life cycle and monitoring.



Non-Financial Risk Policy



Stanbic Group Kenya subscribes to sound governance principles, one of which is the use and application of the Non-Financial Risk Management Policy, Governance Framework and User Guide which define and articulate principles within which the Group will operate.

1 Non-Financial Risk Management Policy

The purpose of the Operational Risk Management Policy is to ensure that operational risk management is implemented appropriately within Stanbic. The policy aims to address handling of incidents that occur within the organisation, treatment of incidents that share a boundary with other risk types. The policy also addresses how to account for the incidents, key processes to be applied in risk identification and control processes, management and validation of risk data. Additionally, mapping of gross income and operational losses into the eight business line categories as defined by Basel and the allocation and calculation of capital through the scenario analysis process.

2 Non-Financial Risk Governance Framework

This framework covers all the risk types within the Operational Risk definition, and the document also includes the concept of risk appetite. The governance framework supports an integrated approach to the wider operational risk taxonomy, including top and emerging risks, leveraging a risk-based approach to prioritise risk in a consistent manner.

This framework provides overarching principles that facilitate a consistent and fit for purpose approach to operational risk across the organisation, Business Units and Corporate Functions.



3 Non-Financial Risk Management Manual (User Guide)

The NFR Manual or User Guide has been developed for the business units to effectively manage operational risk through use of risk management tools namely Incident Management, Risk Control Self-Assessment (RCSA), Key Risk Indicators (KRIs), Business Environment and Control Factors (BEICFs), Scenario Analysis and Data management & validation.

The purpose of the document is to assist in ensuring that all business units identify, assess, measure, manage, monitor and report risks in a consistent manner across Stanbic and ultimately in Standard Bank Group.



Board of Directors

Stanbic Holdings Plc is led by a highly competent, experienced, and diverse board, with the majority consisting of non-executive directors(NEDs). The NEDs contribute to the efficient oversight of the organisation through their skills and diversity. The composition of the Board adequately addresses the requirements of representation of minority shareholders, diversity, mix of skills and competence, among other requirements. The composition of the Board meets the one-third gender representation standard.

The process for the appointment of the Board members considers the company's strategic leadership needs, representation of minority shareholders, the interests of shareholders. The process also ensures the Board's skills matrix is wide and aligned to the Group's needs. The Group takes into account the interests of all shareholders, including those of minority shareholders. This is achieved through effective communication, facilitative AGM where all shareholders, particularly minority shareholders, ask questions and engage with the Group's board and management.

The Board Onboarding and Offboarding Procedure sets out the principles for onboarding and offboarding directors which include alignment with regulatory requirements, competence, diversity of skills, and availability and commitment.

The Board is responsible for the overall corporate governance of the Stanbic Holding Plc, ensuring that appropriate controls, systems, and practices are in place. The Board Mandate sets out the Board's role in overseeing the implementation of the organisation's vision, mission, strategic objectives, risk strategy, corporate governance, and corporate values. The Mandate is reviewed annually. During every Board meeting, the Board reviews the Company's strategy, performance and sustainability. The Board further oversees the performance of the Company and senior management. The Mandate further sets out the matters that are reserved for Board decision.

The Mandate sets out the authority, powers, and terms of reference for the Board including the Board's role in the review of operational and financial objectives of the Company, strategy development and review, and general oversight of internal controls, regulatory compliance, ethical conduct, and succession planning. The Board is responsible for ensuring adherence to the Code of Corporate Governance Practices for Issuers of Securities to the Public, and all other applicable legal and regulatory frameworks. The Board discusses changes in legislation and legal requirements in its meetings and considers mechanisms for ensuring compliance.

In the performance of their duties, directors are required to exercise due care and skill in the performance of their functions and to provide effective leadership. This is based on an ethical foundation characterised by values of



The process for the appointment of the Board members considers the company's strategic leadership needs, representation of minority shareholders, the interests of shareholders

responsibility, accountability, fairness, and transparency. In addition, directors are required to enhance their knowledge and skills while performing their duties with diligence and courage. The Board holds at least four scheduled meetings a year, with provision for holdings special meetings when need arises.

The Board Mandate requires directors to declare any interests on any matter that may give rise to a potential or perceived conflict of interest. These include multiple directorships, business relationships or other circumstances that could interfere with the exercise of effective judgment. Board members do not hold any shares in the Company.

There is a clear separation and distinction between the roles and responsibilities of the Board, the Chief Executive and management. The Chief Executive's Mandate and Delegated Authority clearly stipulate the roles and responsibilities of the Chief Executive while the Board Mandate stipulates the roles and responsibilities of the Board. Each Board Committee has its own terms of reference and mandate.

The Board is supported by the Company Secretary who is a member of the Institute of Certified Public Secretaries of Kenya (ICPSK), in good standing.

Annual Assessment of Directors' Independence

The Group undertakes an annual assessment of the independence of the directors. The independence is guided by the threshold set out in the Code of Corporate Governance for Issuers. The board recruited an independent non-executive director in 2025 to ensure continued compliance with the regulations. Stanbic Holding Plc currently has two independent directors and there are ongoing processes to appoint an additional independent director. Engagements with the Capital Markets Authority have been held on the board composition and independence.

Succession Planning & Board Appointments during the year

The mandate of the Board Nominations Committee includes establishing and maintaining directorship continuity programme which includes a review of performance and planning for successors for the board and management. During the year, the Board approved the Board Succession Planning Policy. Matters relating to succession planning were discussed by the Nominations Committee and the Board.



The Board is guided by an Annual Workplan detailing the activities of the Board for the year.



Board Workplan



To facilitate effective delivery of the Board's mandate and compliance with legal and regulatory requirements, the Board is guided by an Annual Workplan detailing the activities of the Board for the year. The Annual Workplan sets out the scheduled activities of the Board and Committees, together with other activities including annual general meetings.

The Workplan sets out the dates for Board and Committee meetings, AGMs, investor briefings, dates for training and focus areas, among other details.

Skills and Experience 2025

No	Competencies	Joseph Muganda	Patrick Mweheire	Peter Gethi	Rose Osoro	Dorcas Kombo	Wambui Mbesa	Sabira Thakker	Stephen Okello
1	Financial Services/Insurance/ Asset Management	■	■	■	■	■	■	■	■
2	Customer/Marketing/ Stakeholder Management	■	■	■	■	■	■	■	■
3	Sub-Saharan Africa Experience	■	■	■	■	■	■	■	■
4	People/Organisational Development	■	■	■	■	■	■	■	■
5	Capital/Risk Management	■	■	■	■	■	■	■	■
6	Accounting/Auditing	■	■	■	■	■	■	■	■
7	Technology/Cyber security/ IT Governance	■	■	■	■	■	■	■	■
8	Governance Leadership	■	■	■	■	■	■	■	■
9	Large Corporate Leadership	■	■	■	■	■	■	■	■
10	Regulation/Public Policy/ Macroeconomic Policy	■	■	■	■	■	■	■	■
11	Legal	■	■	■	■	■	■	■	■
12	Remuneration	■	■	■	■	■	■	■	■
13	Global Capital Markets	■	■	■	■	■	■	■	■
14	Digital & New Economy	■	■	■	■	■	■	■	■
15	Environmental/ Social/ Sustainability	■	■	■	■	■	■	■	■

■	Primary Skill – Recognised/Thought Leadership
■	Secondary Skill - Moderate
■	Limited Skill

Board Composition and Evaluation

The Board comprised seven directors as of 31 December 2025, consisting of six Non-Executive Directors and one Executive Director.

Name	Position
Joseph Muganda	Chairman
Patrick Mweheire	Chief Executive
Peter Gethi	Non-Executive Director
Rose Osoro	Non-Executive Director
Dorcas Kombo	Independent Non-Executive Director
Sabira Thakker	Non-Executive Director
Stephen Okello*	Independent Non- Executive Director
Nancy Kiruki	Company Secretary

* Appointed on 5 March 2025

The Company's Board of Directors remain committed to implementing governance practices where substance prevails over form. This provides direction for subsidiary entities, which structure their respective governance frameworks according to Group standards.

The governance framework allows the Board of Directors to consider conformance and performance, enabling them to balance their responsibility for oversight with their role as strategic counsel.

The Board understands that sound governance practices are fundamental to earning the trust of stakeholders, which is critical to sustaining performance and preserving

shareholder value. The Board members' collective experience and expertise provide a balanced mix of attributes for it to fulfil its duties and responsibilities.

All the entities in the Group have boards of directors. The directors of these boards monitor the affairs of the entities. Several committees have been established that assist the various boards in fulfilling stated objectives. All the committees have their terms, roles and responsibilities set out in their individual agreed and approved mandates, which are reviewed annually to ensure they remain relevant. Where necessary, the Board has access to independent professional advice.

Strategy

The boards of the Company and its subsidiaries consider, review and approve the strategies for their individual entities at annual meetings with their Executive Management. The boards ensure that strategy is aligned with the Group's values and monitors strategy implementation and performance targets in relation to the Group's risk profile. The boards are collectively responsible for the long-term success of the Group and are accountable to shareholders for financial and operational performance. In addition to discussing strategy during Committee and Board meetings, the Board held a two-day strategy meeting in October 2025.

Directors' Appointment

The Company's Directors are nominated by the Group Board Nominations Committee (the Nominations Committee). Apart from a candidate's experience, availability and fit, the Nominations Committee also considers other directorships and commitments of the individual to ensure that they will have sufficient capacity and time to discharge their roles properly. Candidates must also satisfactorily meet the fit

and proper test criteria, as required by the Central Bank of Kenya Prudential Guidelines and by the South Africa Reserve Bank regulations. The Committee also considers appropriate demographic and gender diversity in its assessment.

Suitable candidates are nominated for Board consideration and appointed in accordance with the Company's Articles of Association. A director appointed by the Board holds office until the next Annual General Meeting (AGM), at which time the director will retire and will be eligible for election by the shareholders of the Company as a Director, upon recommendation by the Board. The appointments comply with the requirements of the Companies Act, 2015 and the Capital Markets Act of Kenya, as well as related regulations. In order to guide the appointment process, the Board approved the Board Onboarding and Offboarding Procedure.

The appointment of directors considers the interests of minority shareholders, with specific focus being on the appointment of independent directors. During the year, the Board appointed an independent non-executive director.

Induction and Ongoing Education

Induction of new directors and ongoing education of directors is the responsibility of the Company Secretary. Upon appointment, the new directors attend a comprehensive induction programme.

To ensure maximum participation in continuous learning for directors, themes for training are scheduled in advance of the new year and form part of the Board approved annual calendar. The trainings are facilitated by both in-house and externally resourced experts. Directors

are advised of new laws and regulations and changing risks to the Group on an ongoing basis.

The Board of Stanbic Holdings Plc continuously enhances its knowledge to hone its effectiveness in overseeing the Company. Board members are involved in the choice of areas of training, of which some are outlined as part of the recommendations from the annual board evaluation. The trainings further seek to update and appraise board members on changes in laws, regulations, policies, and practices locally and globally.

In 2025, the Board trainings met and exceeded the 12-hour minimum training requirement by the CMA as follows:

Date	Training	No of Training Hours
16 January 2025	Sustainability	2.5
10 April 2025	Board Responsibility (Ethics & conflict of Interest)	2.5
12 June 2025	Technology (AI, Cybersecurity & Data)	2.5
10 July 2025	Corporate Governance (Principles, Board Sustainability, Stewardship Code)	2.5
18 September 2025	AML, CFT Training	2.5
9 October 2025	Insurance & Capital Markets	2
Total Training hours		14.5

Board Evaluation

The Chairman is responsible for ensuring that the Group has an effective Board. Supported by the Company Secretary, the Chairman ensures that the Board's effectiveness is reviewed annually, through a detailed assessment of the effectiveness of the Board collectively, and assessment of the contribution of each member, through peer evaluations. The results of the assessments are then discussed by the Board. The Chairman provides further constructive feedback separately to each Director on a one-on-one basis, derived from the results of the peer evaluations, regarding their contribution to the Board.

A Board evaluation for the year 2025 was conducted internally. It consisted of an evaluation of the Board and its committees, an evaluation of the performance of the individual Directors by their peers, as well as an evaluation of the Chairman of the Board, the Chief Executive, and the Company Secretary.

The outcome of the Board Evaluation exercise confirmed the effectiveness of the Chairman of the Board, its committees, individual directors, the Chief Executive, and the Company Secretary.

As a result of the Board evaluation, the Board discusses and tracks the recommendations arising from the outcome of the evaluation exercise, with implementation status provided in subsequent board meetings. In addition, the outcome of the evaluation informs the annual board training plan particularly the specific areas of training and meeting

agenda items. At the beginning of every year, the Board identifies its key performance indicators (KPI) aligned with its mandate. The KPIs are tracked, monitored, and reported at every quarterly Board meeting.

Going concern

The Board has reviewed the facts and assumptions on which it has relied upon and based on this information, continues to view the Company as a going concern for the foreseeable future.

Remuneration

Stanbic Holdings Plc remunerates its Non-Executive Directors at levels that are fair and reasonable in a competitive market, considering the skills, knowledge, and experience required in the Board.

The amount paid to Directors is included in the Directors Remuneration Report which represents the total remuneration paid to the Executive and Non-Executive Directors for the year under review, in compliance with the Companies Act, 2015. Remuneration for the directors is reviewed by the board annually.

Social Responsibility

The Company appreciates the challenges and benefits of doing business in the countries it operates in and acknowledges that it owes its existence to the people and societies within which it operates. The Group is committed therefore not only to the promotion of the economic development but also to the strengthening of social and

environmental well-being in jurisdictions they operate in. The Company's Climate Risk Policy seeks to support the Group in achieving climate objectives and sustainable economic growth. These include ensuring that the social, economic, and environmental impacts of its activities create a net positive impact. The policy is part of a comprehensive roadmap to reduce exposure to climate-related risk and the risk arising from transition. The Corporate Social Investment Policy and the Environment and Social Risk Policy provide a framework for social responsibility commitments for the Company.

In line with this, the Company's banking subsidiary has an established foundation - Stanbic Kenya Foundation Limited - which is 100% owned by Stanbic Bank Kenya Limited. The sole purpose of the subsidiary is to implement corporate social investment programmes including accelerating the growth of SMEs. During the year, the Foundation partnered with various local and international organisations to promote socio-economic empowerment, inclusion and growth.

Board Meetings

The Company is headed by a Board of Directors, which provides strategic guidance for the Company and assumes the primary responsibility of fostering the sustainability of the Company. The Group Boards have the overall responsibility for the establishment and oversight of the Group's risk management framework.

Performance against financial and corporate governance objectives is monitored by the Board through Management's quarterly reporting. The implementation of the Group's strategic objectives is done by the individual subsidiary companies, through various established Board and Management committees. The Board meets at least once every quarter. Additional meetings are held whenever deemed necessary. Directors are provided with comprehensive Board documentation at least seven days prior to each of the scheduled meetings to ensure that they have adequate time to review the documentation and prepare for the meetings.

Attendance at Board meetings during the year under review is set out in the following table:

STANBIC HOLDINGS PLC BOARD ATTENDANCE FOR 2025						
	DIRECTOR'S NAME	4 March 2025	20 March 2025 (Special)	7 May 2025	6 Aug 2025	19 Nov 2025
1	Joseph Muganda	P	P	P	P	P
2	Patrick Mweheire	P	P	P	P	P
3	Peter Gethi	P	P	P	P	P
4	Rose Osoro	P	P	P	P	P
5	Dorcas Kombo	P	P	P	P	P
6	Wambui Mbesa*	P	P	P	N/A	N/A
7	Sabira Thakker	P	P	P	P	P
8	Stephen Okello	N/A	N/A	P	P	P

P = Present;
N/A = was not a Board Member
*Retired from the Board on 15 May 2025



Board of Directors Profiles



Joseph L. O. Muganda, 60
Chairman

Appointed in 2021

Mr. Joseph Loyld Omondi Muganda was appointed as a Non-Executive Director on the Board of Stanbic Holdings Plc on 12 October 2021. He was appointed as the Chairman of the Board of Stanbic Bank Kenya Limited and Stanbic Holdings Plc, effective 1 January 2024.

Mr. Muganda has had a career spanning over 25 years, during which he has led several blue-chip companies, including British American Tobacco, East Africa Breweries Limited, Nation Media Group and Vivo Energy.

He holds a Bachelor of Science in Economics (Accounting & Financial Management) from the University of Buckingham and a Master of Business Administration from the University of Leicester. In addition to his directorship on the Board of the Company, he is a Director and Chairman of Stanbic Bank Kenya Limited and Kenya Urban Roads Authority. Mr. Muganda is also a Director and Chairman of the Board of Nation Media Group.



Mr. Patrick M. Mweheire, 55
Chief Executive

Appointed in 2020

Retired on 28 Feb 2026

Mr. Patrick M. Mweheire was appointed as the Chief Executive of Stanbic Holdings Plc on 3 March 2020. Mr. Mweheire previously served as the Chief Executive of Stanbic Bank Uganda Limited from December 2014 until his appointment as Chief Executive of the Company. Mr. Mweheire is a professional banker with a career spanning over 20 years. He is currently the Regional Chief Executive, East Africa, for the Standard Bank Group, responsible for operations in Kenya, Ethiopia, South Sudan, Malawi, Tanzania and Uganda.

He serves as a member of the Uganda Chamber of Mines & Petroleum and as an Advisor of the Presidential Investors Roundtable. He holds a Bachelor of Science Degree from Daemen College and a Master of Business Administration from Harvard University Graduate School of Business Administration.

Mr. Mweheire retired as the Chief Executive and Board member on 28 February 2026.



Dr. Joshua Oigara, 50
Chief Executive

Appointed on 1 March 2026

Dr. Joshua Oigara was appointed as the Chief Executive of Stanbic Holdings Plc on 1 March 2026. He also serves as the East Africa Regional Chief Executive for Standard Bank Group.

He is an experienced banking executive, previously serving as Group Chief Executive Officer of KCB Group, where he led its growth into a leading regional financial institution. He brings extensive expertise in financial services, with a strong focus on driving inclusive growth and economic development across Africa.

Dr. Oigara has also contributed to industry and national development through his leadership at the Kenya Bankers Association and as a Director of the Vision 2030 Delivery Board.

He has received global and national recognition, including being named among Africa's Top 25 Leaders by the Financial Times and being awarded the Chief of the Order of the Burning Spear (CBS).



Peter Nderitu Gethi, 60
Non-Executive Director

Appointed in 2013

Mr. Peter Gethi was appointed to the Board of Stanbic Holdings Plc on 18 January 2013 as a Non-Executive Director. He is a qualified Consultant Agronomist and brings to the Board a wealth of agribusiness and management experience. He holds a Bachelor of Science degree in Agricultural Economics from the University of London.

Mr. Gethi also serves as a director on the boards of Stanbic Bank Kenya Limited, SBG Securities Limited, Liberty Life Assurance Limited, Heritage Insurance (K) Limited and Nebange Ltd, as well as several other directorships.



Rose Bosibori Osoro, 54
Non-Executive Director

Appointed in 2017

CPA Rose Bosibori Osoro was appointed to the Board of Stanbic Holdings Plc as a Non-Executive Director on 26 September 2017. CPA Osoro is a Certified Public Accountant and holds a Master of Business Administration from the University of Nairobi. She has a long career in public service and has worked as a Commissioner with the Commission on Revenue Allocation. CPA Osoro has served in various boards in the public sector and academia, including as the Vice Chairperson for the Kenyan Institute of Management Council.

She is a member of the Institute of Certified Accountants of Kenya, Association of Women Accountants of Kenya and Kenya Institute of Management. She also serves as a Non-Executive Director of Stanbic Bank Kenya Limited and Stanbic Bancassurance Intermediary Limited.



Dorcas Florence Kombo, 71
Independent Non-Executive Director

Appointed in 2018

CPA Dorcas F. Kombo was appointed as an Independent Non-Executive Director on 12 January 2018. CPA Kombo has extensive experience in restructuring both public and private organizations across Africa. She is a Fellow, Chartered Association of Certified Accountants, an Associate for the Institute of Certified Public Accountants of Kenya and a Member of the Institute of Certified Public Secretaries of Kenya.

CPA Kombo also serves on the boards of Hospital Holdings Investment B.V. as IFC Nominee Director of each of its subsidiaries, being AAR Hospital Nairobi, AAR Health Care Clinics Kenya and AAR Health Care Clinics Uganda. She is also a Non-Executive Director of Telkom Kenya Limited and previously served in a similar capacity on the board of Kenya Electricity Generating Company Limited (Kengen). CPA Kombo has since had an illustrious professional career in audit and management consultancy as well as leadership at board level.

Board of Directors Profiles (Continued)



Sabira Amit Thakker, 58
Non-Executive Director

Appointed in 2024

Ms. Sabira Amit Thakker was appointed on 23 July 2024 as an Independent Non-Executive Director of the Company. Ms. Thakker has had an extensive career as a corporate banker with over 25 years of banking experience. She has previously worked with Equity Bank Kenya Limited, Citigroup and Trade Bank. Ms. Thakker has also undertaken financial services training and consultancy as well as business development.

She holds a Bachelor of Science degree in Biochemistry and Chemistry from the University of Nairobi and has undertaken various professional courses and training.



Wambui Kihuha Mbese, 57
Non-Executive Director

Appointed in 2021

Retired from the Board on 15 May 2025

Ms. Wambui Kihuha Mbese was appointed as a Non-Executive Director on the Board of Stanbic Holdings Plc on 8 September 2021. She is Chief Executive Officer of Relational Financial Solutions and serves as a Trustee in the Board of Trustees of the Kenya Education Network (KENET). Ms. Mbese is a seasoned technology industry executive and entrepreneur with over 20 years' experience. She has previously been at the helm of several multinationals and possesses diverse board experience.

Ms. Mbese holds a Bachelor of Education Degree in Business Studies and Economics from Kenyatta University, a Postgraduate Diploma in Computer Science from Makerere University and a Master of Business Administration in Strategic Management from Maastricht Business School. She is a member of Women in Technology Africa, Institute of Directors (Kenya) and the Women on Boards Network. She also serves as a Director of SBG Securities Limited.

Ms. Mbese retired from the Board during the Company's AGM on 15 May 2025. The Board appreciates Ms. Mbese for her exemplary service and contribution to the success of the Company's strategy.



Stephen Odinga Okello, 62
Non-Executive Director

Appointed in 2025

Mr. Stephen Odinga Okello was appointed as an Independent Non-Executive Director of Stanbic Holdings Plc on 5 March 2025.

Mr. Okello has over 35 years' experience as a tax consultant in auditing, financial advisory, tax consulting, strategy, and general corporate management.

He has been involved in due diligence reviews, business process re-engineering, strategic planning, risk management, organisational restructuring, financial and operational audits, tax planning, tax audits, among others. He has previously worked with PwC in its various forms across different offices in different jurisdictions.

Mr. Okello holds a Bachelor of Science degree from the University of Nairobi and is a Certified Public Accountant. He has undertaken numerous courses on business development, data analytics, human resources, risk management, financial consulting, among others. He is involved in philanthropy with a focus on girl-child education.



Nancy K. Kiruki
Company Secretary

Ms. Nancy K. Kiruki was appointed as the Company Secretary on 5 October 2022. Ms Kiruki holds a Master of Laws in Commercial Law (LLM) from University of Cape Town, a Bachelor of Laws Degree (LLB) from the University of Nairobi and a Post Graduate Diploma in Law from Kenya School of Law.

She is an Advocate of the High Court of Kenya and a Certified Public Secretary and a member of the Institute of Certified Public Secretaries of Kenya and Law Society of Kenya.

Prior to joining Stanbic Holdings Plc, she was the Director, Legal and Company Secretary at Britam Holdings Plc.

Ms. Kiruki is a corporate governance expert with over 20 years' experience spanning the financial services industry. In addition, she currently serves as the Company Secretary of Stanbic Bank Kenya Limited, SBG Securities Limited, Stanbic Bancassurance Intermediary Limited, Stanbic Kenya Foundation Limited, Stanbic Nominees Limited and SBG Securities Nominees Limited.





Our Board Committees

Report of the Board Audit Committee (BAC)

The Board Audit Committee is responsible for safeguarding the Group’s assets and evaluating the internal control frameworks within the Group. The Audit Committee is made up of three independent members. The Committee Chairperson is also independent. Two members of the Committee are members of the Institute of Certified Public Accountants of Kenya (ICPAK), in good standing.

The Committee has its own Mandate which sets out its purpose and terms of reference. The Mandate of the Committee is reviewed annually.

During the year ended 31 December 2025, amongst other matters, the Committee considered the following:

a) In respect of the External Auditors and the external audit:

- Endorsed the appointment of Deloitte as external auditors for the financial year ended 31 December 2025, in accordance with all applicable legal requirements.
- Approved the External Auditors’ terms of engagement, the audit plan and audit fees.
- Reviewed the audit process and evaluated the effectiveness of the audit.
- Obtained assurance from the External Auditors that their independence was not impaired.
- Confirmed that no significant irregularities were identified and reported by the external auditors.
- Received assurance that proper and adequate accounting records were maintained and that the systems safeguarded the assets against unauthorised use or disposal thereof.
- Over the course of the year, met with the Group’s external auditors in one formal exclusive meeting.
- Received and discussed the audit plan for the year ending 2026 as presented by the external auditors.
- Noted the highlights of the business environment and Key economic and strategic factors impacting the plan.
- Endorsed the audit plan from external auditors for adoption by the board.

b) In respect of the financial statements:

- Confirmed the going concern basis for the preparation of the interim and annual financial statements.
- Examined and reviewed the interim and annual financial statements prior to submission and approval by the Board.

- Ensured that the annual financial statements fairly represented the financial position of the Group at the end of the financial year, as well as the results of operations and cash flows for the financial year and considered the basis on which the Group was determined to be a going concern.
- Ensured that the annual financial statements conform with International Financial Reporting Standards (IFRS);
- Considered accounting treatments, significant unusual transactions, and accounting judgements.
- Considered the adequacy and effectiveness of the accounting policies adopted by the Group and all proposed changes in accounting policies and practices and changes thereto.
- Reviewed the effectiveness of financial management and the quality of internal accounting control systems and reports produced by financial management.
- Reviewed and discussed the external auditors’ audit report.
- Considered and made recommendations to the Board on payment of the interim and final dividend to shareholders.

c) In respect of internal control, internal audit, and financial crime control:

- Reviewed and approved the annual Internal Audit 2025 Audit Plan evaluated the independence and effectiveness of the Internal Audit department.
- Considered Internal Audit reports on the systems and internal controls, including internal financial controls and maintenance of effective internal control systems, of the Group’s operating subsidiary companies.
- Reviewed significant issues found during internal audit exercises; and the adequacy of agreed corrective action plans by Management in response to such findings.
- Assessed the adequacy of the performance of the Internal Audit function and the adequacy of the available internal audit resources.

- Received assurance that proper and adequate accounting records were maintained and that the systems safeguarded the assets against unauthorised use or disposal thereof.
- Considered internal audit findings for subsidiary companies.
- Considered the findings and recommendations arising from the internal legal compliance audit and management actions.
- Discussed significant control weaknesses identified in the audit assessments; and
- Over the course of the year, met with the internal auditors in one formal exclusive meeting.

Based on the above, the Committee formed the opinion that, as at 31 December 2025, there were no material breakdowns in internal controls, including internal financial controls, resulting in any material loss to the Group.

d) Independence of the External Auditors

The Committee is satisfied that Deloitte are independent of the Group. This conclusion was arrived at, inter alia, after considering the following factors:

- the representations made by Deloitte to the Committee.
- the Auditors do not, except as external auditors or in rendering permitted non-audit services, receive any remuneration or other benefits from the Group.
- the Auditors’ independence was not impaired by any consultancy, advisory or other work undertaken by the Auditors; and

- the Auditors’ independence was not prejudiced because of any previous appointment as auditor.

Board Audit Committee Meetings Attendance

Name	Q1	Q3	Q4
	3 March 2025	5 August 2025	8 November 2025
1. Dorcas Kombo (Chairman)	P	P	P
2. Rose Osoro	P	P	P
3. Wambui Mbesa	P	N/A	N/A
4. Stephen Okello	N/A	P	P

‘P’ denotes that the director was present in the meeting

‘N/A’ denotes that the director was not a member of the Committee at the time.

The Board Audit Committee reviewed the annual report and recommended it to the Board for approval.

On behalf of the Board Audit Committee

Chairman, Board Audit Committee
10 March 2026



Report of the Board Nominations Committee

The role of the Board Nominations Committee is to assist the Board of Stanbic Holdings Plc, in discharging its obligations regarding appointments, succession planning and development of the Directors on the Board. In addition, the Committee provides oversight on formulation and implementation of the People and Culture strategy and policies. The Committee has four members.

The Nominations Committee has its own Mandate setting out its purpose and terms of reference. Some of the Committee's roles include determining and evaluating the adequacy, efficiency and appropriateness of the corporate governance structures in the Group. It is also responsible for nominating successors to key positions, maintaining board directorship continuity programme and ensuring compliance with all applicable laws, regulations and codes of conduct and practice.

During the year ended 31 December 2025 the Committee considered the following:

- Carried out its duties as set out on its Mandate.
- Determined and evaluated the adequacy, efficiency and appropriateness of the corporate governance structure and practices of the Company and of its subsidiaries.
- Reviewed the composition of Board Committees and considered succession planning.
- Reviewed succession planning for Executive Management.
- Analysed the existing skills on the Boards and skills gaps in line with the Company's strategy.
- Nominated a candidate to be a member of the Board of Stanbic Holdings Plc
- Reviewed and recommended the reconstitution of the Committees of the Boards of the Company and of its banking subsidiary, for approval by the Boards of the two companies.
- Considered and endorsed Board policies including Succession Planning Policy, Diversity Policy, Corporate Disclosure Policy, Stakeholder Engagement Guidelines, among others, for submission to the Board for approval.
- Reviewed and endorsed management policies relating to People & Culture matters including Disability Policy, Sports Policy, Future leaders, Internship and Learnership Policy, Resourcing Policy, Consequence Management Policy, Leave Policy, among others.
- Reviewed the Remuneration Report for the Board of the Company for inclusion in the Annual Integrated Report.
- Reviewed and endorsed Financial Year 2025 Employee Remuneration

- Considered and endorsed the report on the independence of Board members for submission to the Board for approval.
- Considered and endorsed the Board Evaluation flight plan and tools for submission to the Board for approval.
- Considered and endorsed the Subsidiary Governance Framework for submission to the Board for approval.
- Reviewed and endorsed the governance reports for the Company.
- Reviewed and endorsed the annual review of the Board Remuneration Policy for submission to the Boards of the Company and of its banking, stock brokerage and bancassurance subsidiaries for approval.
- Considered and approved the Committee's work plan for the year 2026.
- Considered and endorsed the proposed trainings for the Board for the year 2026 for submission to the Board for approval.
- Received updates on the remuneration for Directors for the year 2026 for the Company and of its subsidiaries.
- Considered and endorsed the Corporate Governance scorecard for the Company for the year 2025 for submission to the Board for approval, prior to submission to the Capital Markets Authority for assessment.
- Considered and endorsed the Annual General Meeting agenda for submission to the Board for approval.
- Considered and noted the state of implementation of the Independent Governance Audit recommendations.
- Reviewed and endorsed staff policies and succession plans.

- Provided oversight on the formulation and implementation of the People & Culture strategy and policies to ensure consistency with the Company's culture and objectives.
- Received reports on employee wellness and oversaw the implementation of actions to ensure employee wellness.

The Committee composition in the year of 2025 consisted of three members, namely, two Independent Non-Executive

Directors and one Non-Executive Directors. The Chairman of the Board the Company's Chief Executive Officer are invitees to the Committee. In April 2025, the Committee was reconstituted with the Chairman being an Independent Director, and one Independent Non-Executive Director and a Non-Executive Director.

The Committee held three scheduled meetings and Three special meetings during the year. The attendance of meetings by members was as follows:

Board Nominations Committee Meetings Attendance

Name	Q1 2025 6 Feb 2025	(Special) 26 Feb 2025	(Special) 14 April 2025	(Special) 24 June 2025	Q3 2025 9 July 2025	Q4 2025 3 Nov 2025
1. Rose Osoro	P	P	P	P	P	P
2. Joseph Muganda	P	P	P	A	P	P
3. Patrick Mweheire	P	P	P	A	P	P
4. Peter Gethi	P	P	A	N/A	N/A	N/A
5. Stephen Okello	N/A	N/A	N/A	P	P	P
6. Dorcas Kombo	N/A	N/A	N/A	P	P	P

P = Present A = Absent N/A = Not Applicable

Fees for Non- Executive Directors

In determining the fees for non-executive directors, all of whom are also members of Board committees, the Board also considers market conditions and reviews comparative remuneration offered by other peer banks. Non-Executive Directors receive fixed fees for service on Boards and Board committees. There are no contractual arrangements for compensation for loss of office for either executive or non-executive directors. Non-executive directors do not receive annual incentive awards, nor do they participate in any of the Group's long-term incentive schemes.

The Nominations Committee reviews the fees paid to non-executive directors annually and makes recommendations to the Board for endorsement and submission to shareholders for approval.

Additional information is provided on page 145 of the financial statements.



Remuneration for Executive Directors

The Board considers the execution of the Group strategy and the ability to demonstrable progress against key milestones to be an integral part of the performance measurement and reward for Executive Directors.

Remuneration Methodology

In assessing the performance of the Executive Directors, the Board has been mindful of its responsibilities to all stakeholders, especially our shareholders as articulated in the remuneration philosophy.

The methodology used to size incentive pools is a combination of a top-down approach that provides overall guidance to business units and countries; a bottom-up approach based on executives' assessments of the performance of their teams; and careful consideration of shareholder interests and stakeholder concerns.

The Company's policy avoids a short-term bonus-centric culture but rewards sustainable performance on a through-the-cycle basis. Critically, this includes a three to five-year growth analysis to ensure shareholder returns are appropriately aligned with executive and employee rewards. The Committee reviews performance to ensure that earnings are not the result of one year's work but rather the planned outcome of work done in the past years.

For more on remuneration see pages 144 to 145 of the financial statements.



On behalf of the Board Nominations Committee

Chairman, Board Nominations Committee

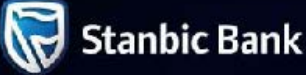
10 March 2026

Sustainability

Executing Our Strategy | Drive Sustainable Growth and Value

Achievements	Financial Health & Inclusion	Climate Change & Mitigation	Business Growth & Job Creation	Infrastructure Development & CSI
  Over 100 hectares of degraded forest and mangrove area restored, contributing to biodiversity conservation, improved fisheries, and climate adaptation"	 D.A.D.A Over KES 49.5bn disbursed since inception	 Trees Planted >204k trees planted	 Agric Sector 9.9% loans to Agric Sector	 Sustainable Finance 21% sustainable finance
	 Inclusive Procurement 15.5% directed to female/youth & PWD led/owned businesses	 Screening for E&S risk All loans above USD 1m screened	 Jobs Created 987 jobs	 Affordable Housing • Kes 1.8bn lent • 200 new homeowners
	 Financial Literacy Over 9,100 individuals trained on financial fitness	 Green Building Loans KES 4.5bn loans issued	 Trade Loans KES 133Bn loans disbursed	 School Sponsorships KES 3m worth of scholarships
	 Senior Management Male: Female - 53%:47%	 Solar Financing KES 273m disbursed	 Catalytic Funding KES 105.7m , MSMEs funding	 Digital upskills Over 250 computers donated





WE ARE PROUD TO HAVE LAUNCHED A WOMEN TRAINER OF TRAINERS PROGRAM!



DADA Trainer of Trainers (ToT) Program
In 2025, in partnership with the African Guarantee Fund (AGF), we launched a Women Trainer of Trainers (ToTs) capacity development programme, upskilling women to cascade business skills within their communities and strengthen financial literacy and entrepreneurship.

So far 126,901 women have been trained against target of 8000+.



Mount Kenya (indigenous tree planting)

- Stanbic share - **105k** indigenous trees planted so far (2025: 100k, 2024: 5k) - Target **1m** trees in 5years in partnership with KBL
- Supported **3** Community Forest Associations (Gathiuru, Kabaru and Hombu CFAs) with a total number of **6,523** registered members (**3,495** Women, **3,028** Men)
- 554** community members (**286** women, **268** men) direct beneficiaries earning KES 5m (paid casual labor, sale of seedlings, and provisions of transport)
- 100ha** of degraded land restored. It's estimated that when mature, the restoration sites will sequester approximately **42** metric tons of Carbon and improve groundwater replenishment with approximately **1million** cubic meter of water annually, reducing Run Off and erosion



Malindi (Mangrove Planting)

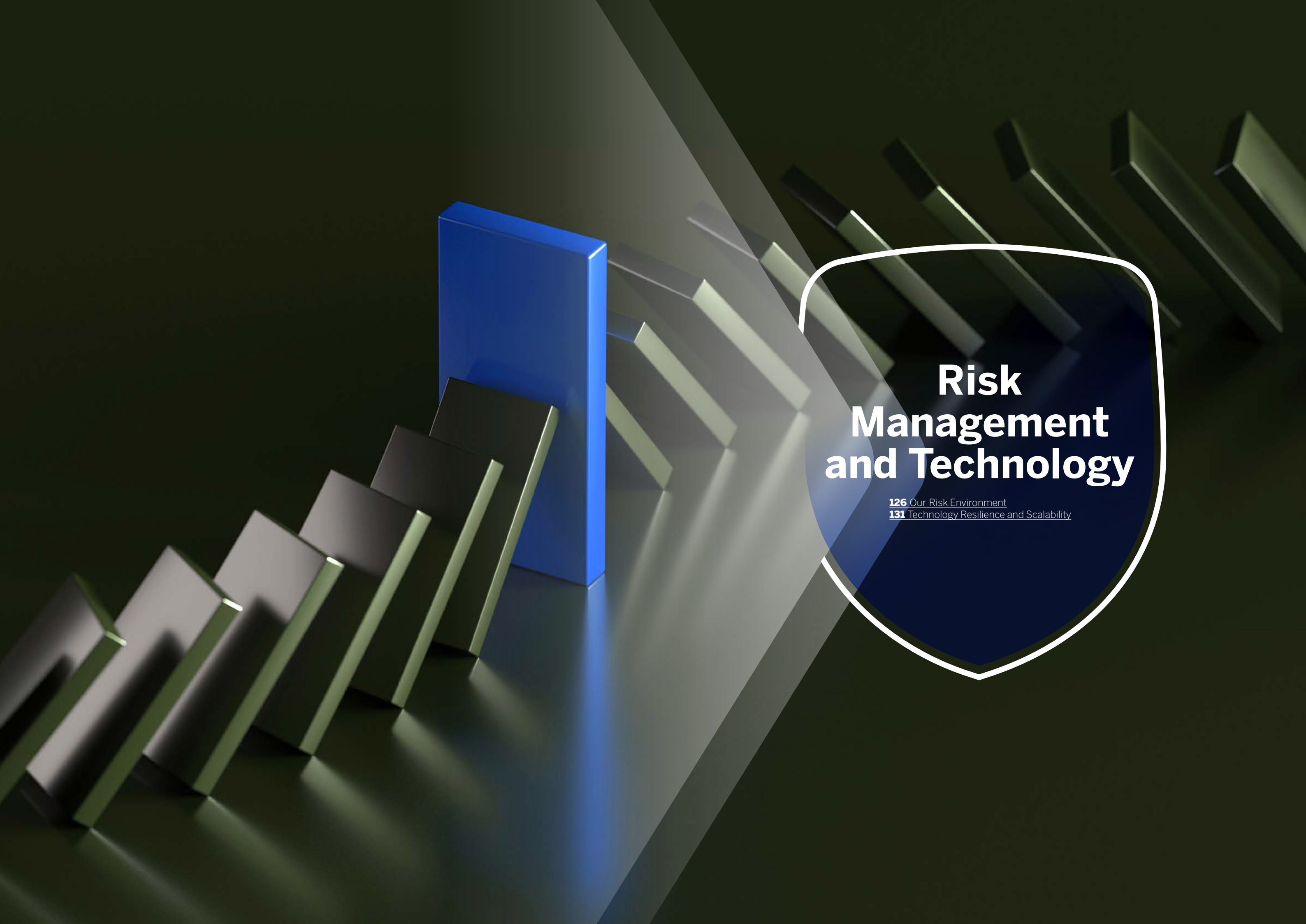
- 7.5 hectares** of degraded mangrove area restored, contributing to biodiversity conservation, improved fisheries, and climate adaptation
- Estimated when mature, the restored sites will sequester **6.8** metric tons of carbon
- Empowered communities with financial skills to sustain their livelihoods while reducing pressure on natural resources
- Over **130** direct community beneficiaries earning **KES.3.2million** from direct sale of tree seedlings, casual labor, and other supporting services



Progress update – Sustainability trainings

Training	No. of staff trained
Introduction to Sustainability and ESG fundamentals	531
Introduction to Sustainability and ESG principles	235





Risk Management and Technology

126 Our Risk Environment

131 Technology Resilience and Scalability

Our Risk Environment

Stanbic Holdings PLC maintains a comprehensive Risk Management Framework designed to strengthen the Group's ability to identify, assess, and manage risks in a dynamic and evolving operating environment. The framework supports prudent decision-making and ensures that the Bank conducts its operations and delivers products and services in a safe, responsible, and sustainable manner.



Edwin Mucai Chief Risk Officer

Oversight of risk management sits with the Board, which is supported by dedicated Board committees responsible for monitoring the effectiveness of risk governance across the Bank. Management, through an independent Risk Function, is responsible for implementing the Group's risk management policies, frameworks, and practices in alignment with regulatory requirements and the broader risk management standards of Standard Bank Group.

The Group's approach to risk management is aligned with its strategic priorities and guided by clearly defined risk capacity, appetite, and tolerance levels approved by the Board. These parameters ensure that the Group balances growth opportunities with prudent risk-taking while safeguarding financial resilience and stakeholder trust.



Risk management practices are supported by policies, governance processes, and analytical tools that enable the Group to anticipate emerging risks, respond to market volatility, and strengthen internal controls. Increasingly, the Group leverages technology, data analytics, and forward-looking insights to enhance risk identification and monitoring across its operations.

The Enterprise-Wide Risk Management Framework (ERMF) provides the foundation for integrating risk management across all business activities. The framework is designed to embed a strong risk culture across the organisation while enabling the Group to respond effectively to an increasingly complex regulatory and economic environment.

Stanbic Holdings Plc applies the three-lines-of-defence model to ensure clear accountability and robust oversight of risk management activities. Business units form the first line of defence and are responsible for identifying and managing risks within their operations. The independent Risk Function serves as the second line, providing oversight, challenge, and guidance on risk management practices. Internal Audit acts as the third line of defence, delivering independent assurance to the Board on the effectiveness of risk management and internal control systems.

As part of its commitment to continuous improvement and strengthening risk maturity, the Group periodically reviews and enhances its ERMF to ensure alignment with evolving regulatory requirements, global best practices, and the Group's long-term strategic objectives.

The Group's approach to risk management is aligned with its strategic priorities and guided by clearly defined risk capacity, appetite, and tolerance levels approved by the Board.

Our Risk Governance Structure



Protecting Value in a Volatile Operating Environment



The 2025 operating environment was characterised by elevated macroeconomic, fiscal and operational complexity. Against a backdrop of constrained liquidity, slow private-sector credit growth, fiscal consolidation and heightened geopolitical volatility, Stanbic

Holdings Plc continued to operate within a disciplined risk-appetite framework anchored on prudent risk-taking, strong governance and forward-looking oversight.

Despite these pressures, the Group's risk-management architecture

proved resilient. Through proactive monitoring, early intervention and strong collaboration between the business and control functions, the Group safeguarded balance-sheet stability while continuing to support customers through a challenging environment.

Credit Risk

The external environment placed additional strain on borrowers across several sectors, contributing to an industry-wide increase in non-performing loans (NPLs). In response, the Group intensified its credit-risk surveillance and early-warning capabilities, enabling timely identification of emerging stress within the portfolio.

Key interventions included enhanced sector-based monitoring, deeper portfolio analytics and early engagement with customers showing signs of financial distress. The Group was able to implement tailored restructuring and remediation strategies, supporting customer recovery while containing asset-quality deterioration thus ensuring that credit risk remained within acceptable thresholds, reinforcing the sustainability of earnings and capital resilience.

Managing Macroeconomic, Fiscal and Geopolitical Risk

Global geopolitical tensions, supply-chain disruptions and weaker trade flows continued to create uncertainty for certain customer segments. These risks were actively assessed through scenario analysis and external-risk dashboards, enabling management to anticipate potential spill-over effects and integrate macroeconomic considerations into business decision-making.

The Group's forward-looking risk assessment approach ensured that emerging vulnerabilities were identified early, allowing management to adjust risk exposures and preserve balance-sheet strength amid evolving external conditions.



The Group was able to implement tailored restructuring and remediation strategies, supporting customer recovery while containing asset-quality deterioration thus ensuring that credit risk remained within acceptable thresholds,



Cybersecurity and Operational Resilience

Operational risk remained a key focus area in 2025, with cyber threats and fraud attempts increasing across the financial services sector. Stanbic responded by strengthening its cybersecurity and operational-resilience capabilities across multiple layers of defence.

The Group operates a fully integrated Group Security Operations Centre (SOC), supported by country-level teams, enabling continuous monitoring and rapid response to cyber threats. In parallel, the implementation of a new fraud-management solution delivered a material reduction in fraud losses, (provide metrics to support this narrative) while machine-learning-based detection tools enhanced the Group's ability to identify anomalous behaviour in real time. What was the detection rate?

Recognising that cyber risk extends beyond technology, the Group also intensified customer-protection initiatives, including targeted education and enhanced transaction controls. Social-engineering attacks remained a key risk vector, reinforcing the importance of behavioural awareness alongside technical safeguards. Cyber and fraud risks form part of the seventeen operational-risk categories monitored against defined thresholds.

Predictive Fraud Capability

In support of a rapidly digitising operating model, the Group continued to embed predictive-risk controls across high-volume processes. The deployment of automation and robotics process automation (RPA) reduced manual intervention, lowered error rates and strengthened control environments in mission-critical operations.

Straight-through processing for domestic and cross-border payments, coupled with enhanced digital onboarding and automated (Know Your Customer) reviews, further reduced operational risks and strengthened financial-crime controls. These capabilities not only improved efficiency and customer experience but also enhanced the Group's ability to detect and prevent fraudulent activities at scale.



Social-engineering attacks remained a key risk vector, reinforcing the importance of behavioural awareness alongside technical safeguards.



Strengthening Financial-Crime Controls

Regulatory expectations continued to intensify in areas such as AML/CFT, credit reporting, tax compliance and anti-corruption. In response, the Group updated key policies and control standards, enhanced oversight mechanisms and strengthened collaboration across compliance, risk and operations functions.

Digital onboarding enhancements, automated KYC periodic reviews and tighter documentation controls for foreign-exchange transactions improved transparency, consistency and regulatory compliance across the client lifecycle.



Integrating ESG and Climate Risk into Risk Management

The integration of ESG and climate risk into core risk processes continued to advance during the year. All facilities above USD 1 million underwent ESG risk assessments, with defined action plans for medium- and high-risk exposures. To help align our lending decisions with sustainability objectives, climate-scenario testing was further enhanced, supporting a more forward-looking understanding of potential transition and physical risks within the portfolio.



Embedded Risk Culture

A key achievement in 2025 was the continued strengthening of the Group's risk culture. The three-lines-of-defence model was reinforced, with clear accountability across the Group.

- I. the business as the first line,
- II. risk and compliance providing independent oversight, and
- III. internal audit delivering objective assurance

This cultural maturity was evidenced through improved audit outcomes, wmore consistent risk reporting, deeper scenario testing and faster response to emerging risks across business units.

Looking Ahead

As the external environment remains uncertain, the Group's strategic risk priorities for 2026 are clear.

- I. Protecting credit quality in a constrained economic environment,
- II. Safeguarding liquidity and capital through rigorous stress testing,
- III. Strengthening cyber and operational resilience,
- IV. Deepening ESG and climate-risk integration, and
- V. Enhancing compliance and financial-crime controls in line with evolving regulatory expectations

Technology Resilience and Scalability

In 2025, technology remained a core pillar of Stanbic Holdings Plc's operating environment model and a critical enabler of resilience, efficiency and long-term value creation. Operating in an environment of regulatory reform, heightened cyber threats and increasing client expectations for 24/7 services. The Group focused on strengthening the stability, security and scalability of its digital platforms while embedding technology more deeply into risk management and operational decision-making.



Alex Siboe Head, Technology

Stability at scale

The Group continued the modernisation of its core banking environment, progressing the migration to the high performance TAFJ standard. The main of this architectural shift was to enhance system stability, processing capacity and resilience, supporting business growth without compromising control or reliability. To reinforce operational continuity, the core platform was supported by cloud-based monitoring and predictive solutions enabling early detection of system stress and automated intervention before service disruption. As a result, we achieved 99.87% system availability strengthening service reliability for clients and reducing operational risk exposure.

Omnichannel and ecosystem integration

Our technology investments in 2025 focused not only on stability but also on delivering a seamless client experience across the Group's ecosystem. We enhanced digital platforms for personal and business banking to support integrated access to banking, insurance and asset-management solutions within a unified interface.

Within CIB, the Group progressed towards 24/7 service capability reflecting the increasing need for real-time transactional support for cross-border and globally connected clients.

Cyber resilience

As digitisation increases, cybersecurity remains one of the most significant risks facing the financial services sector. In 2025, the Group strengthened its cyber defence mechanism through a layered security framework that treats cybersecurity as foundational capability rather than a standalone function. Key enhancements included the expansion of multi-factor biometric authentication reinforced by Privileged Access Management (PAM) aligned to the principle of least access. Continuous threat-intelligence and dark web monitoring supported proactive identification of emerging risks while regular cyber-attack simulations and independent third-party audits aligned to ISO 27001 standards tested the effectiveness of controls. As a result, we ended the year with zero substantiated customer data privacy breaches.

Strengthening controls and efficiency

Operational resilience was further enhanced through the deployment of 21 Robotic Process Automation (RPA) solutions across high-volume and repetitive processes. As a result, there was reduced manual intervention, lowered error rates and strengthened control consistency in mission-critical operations.

Automation was also embedded into system monitoring and early incident detection, contributing to faster time-to-resolution and improved operational responsiveness. By shifting routine tasks to automated solutions, employees were able to focus on other key activities such as client advisory, risk analysis and process improvement supporting both efficiency and service quality.

Talent sustainability and capacity building

Recognising that technology resilience depends as much on people as platforms, the Group implemented a talent sustainability strategy in response to intense global competition for specialised technology skills. Stanbic launched an internal graduate training and development programme to build capacity in cloud architecture, data science and cybersecurity.

Outlook

Looking into 2026, the Group is embedding Artificial Intelligence (AI) more deeply into its operating model to enhance decision-making, efficiency and risk responsiveness. Priority use cases include advanced data analytics, streamlined Customer Due diligence (CDD) processed and automated knowledge management.

The support for these initiatives will be the continued expansion of the Group's cloud footprint and ongoing investment in cybersecurity capabilities ensuring that scale, intelligence and resilience evolve together.

Financial Information

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Chief Financial and Value Officer's Statement

2025 Financial Overview

The 2025 financial year marked a period of stabilisation and disciplined value creation for Stanbic Holdings Plc, set against evolving macroeconomic and market dynamics. Easing inflation and a cumulative 500 basis point reduction in average market lending rates reshaped the economic environment, placing pressure on lending margins while supporting a gradual recovery in economic activity.

Against this backdrop, the Group delivered a resilient financial performance, focused on strengthening its financial foundations in supporting clients and capturing growth opportunities across the economic cycle. The performance was underpinned by disciplined balance sheet management, a strong risk culture, and an increasingly diversified revenue base.

Financial Performance

The Group reported a profit after tax of KES 13.7 billion, similar to 2024 outcomes, despite margin compression in both lending and foreign exchange transactions. Performance improved in the second half as business volumes recovered alongside improving macroeconomic conditions.

Return on equity remained strong at 18.0%, demonstrating the Group's ability to sustain shareholder returns in a structurally lower interest rate environment.

Total income moderated slightly during the year, reflecting:

- Reduced net interest income following the decline in market lending rates
- Lower foreign exchange margins, in line with broader market trends

These pressures were partially offset by continued growth in transactional activity and fee-based income, reinforcing the resilience of the Group's earnings profile.



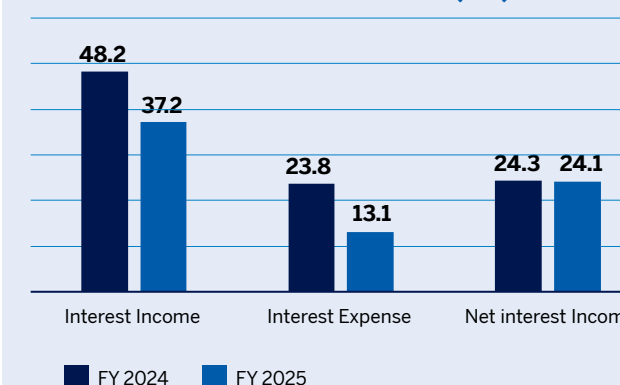
**Stewarding value through a
dynamic macro-environment**

Dennis Musau

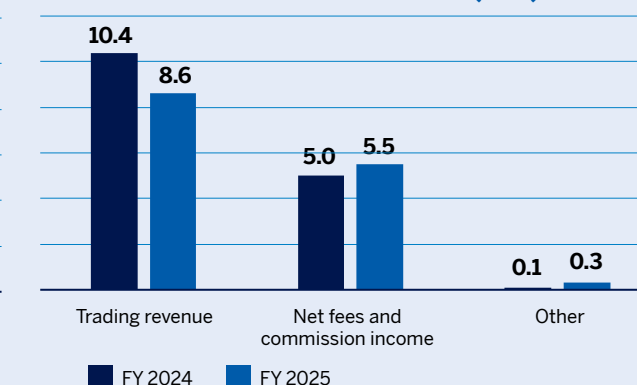
SUMMARY STATEMENT OF PROFIT AND LOSS

		FY 2025	FY 2024	% Change
Impact of 225bps CBR cuts moderated by funding cost management	Net interest income	24.1	24.3	(1.0)
Impact of >200% drop in FX margins partly offset by growth in volumes and higher transaction fees	Non-interest revenue	14.4	15.4	(6.4)
	Total income	38.5	39.7	(3.1)
Balanced approach to investments and operational efficiency	Operating expenses	18.0	17.7	1.6
	Pre-provision profit	20.6	22.1	(6.9)
Prudent risk management from onboarding, lending to collections	Credit impairment charges	1.6	3.1	47.5
	Profit before tax	18.9	19.0	(0.2)
Tax efficiency management	Tax	5.2	5.3	0.9
	Profit after tax	13.7	13.7	0.0

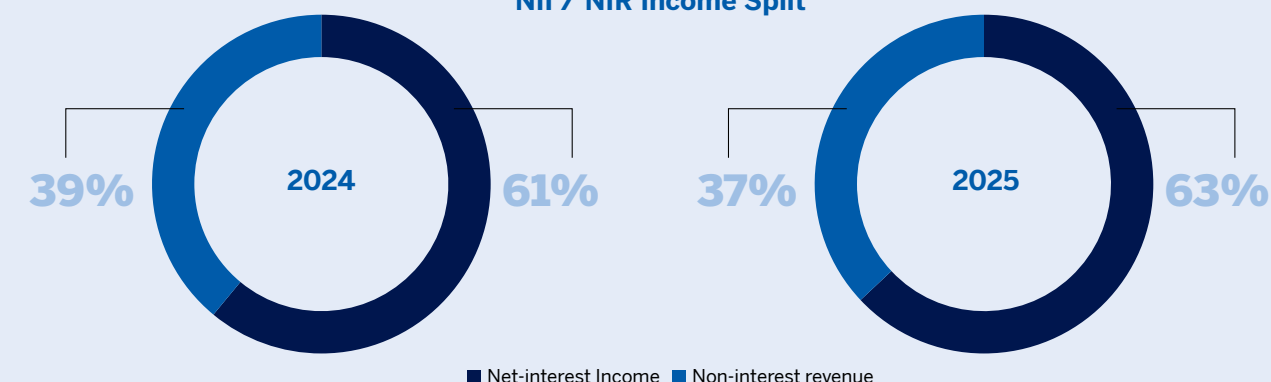
Net Interest Income (NII)



Non Interest Revenue (NIR)



NII / NIR Income Split



Balance Sheet Strength and Liquidity

Strengthening the balance sheet remained a priority in 2025. Total assets grew by 19% to KES 541.3 billion, supported by:

- 18.6% growth in customer lending, driven by expansion across priority sectors
- Increased allocation to short-term liquid assets, enhancing financial flexibility

Customer deposits grew by 17.5% to KES 373.7 billion, maintaining a strong and stable funding base. Deposits accounted for over 70% of total funding, providing resilience against market volatility and funding cost pressures.

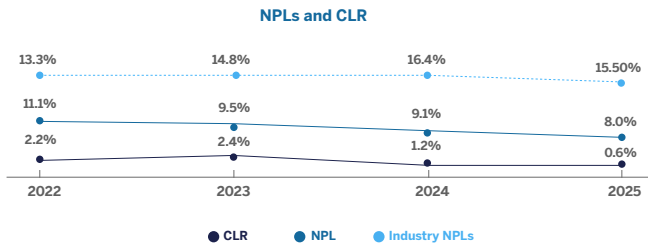
Capital adequacy remained robust, with a total capital ratio of 17.4%, comfortably above regulatory requirements and providing capacity to support future growth.

OUR BALANCE SHEET | HIGHLIGHTS

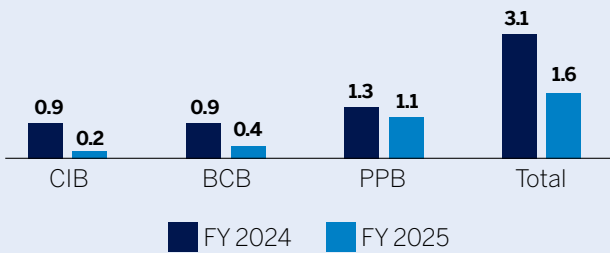
	Assets	FY 2025	FY 2024	% Change
Investments in short term liquid assets awaiting deployment	Financial investments	108.1	99.2	9.0%
Interbank placements for short term liquidity requirements	Loans and advances to banks	123.7	89.2	38.8%
Increased credit demand driving loan growth	Loans and advances to customers	272.9	230.2	18.6%
Transitory balances and other non-financial assets	Other assets	36.5	36.3	0.7%
	Total assets	541.3	454.8	19.0%
	Liabilities			
Liquidity management positions	Deposits from banks	44.9	20.8	115.6%
Deposit growth inline with customer credit demand	Deposits from customers	373.7	318.2	17.5%
Funding diversification enhancement	Borrowings	13.0	10.5	24.3%
Transitory balances and other non-financial liabilities	Other liabilities	29.5	29.9	(1.6%)
	Total liabilities	461.1	379.4	21.5%
	Equity			
Growth in shareholder wealth	Total Equities	80.1	75.4	6.3%
	Total liabilities	541.3	454.8	19.0%

Asset Quality and Risk Discipline

Risk management discipline remained a core strength of the Group. The NPL ratio was sustained at 8.0%, below industry levels and within risk appetite, while the credit loss ratio improved to 0.6%. Enhanced underwriting, proactive portfolio management, and effective early-warning systems supported declining Stage 2 and Stage 3 exposures, reinforcing portfolio stability and balance-sheet resilience.



Credit Impairments - "bn"



Revenue Diversification and Cost Discipline

In 2025, the Group prioritised diversifying its revenue base as a key strategic focus.

As margin-driven income moderated, performance was supported by a transaction-led banking model, with solid growth in fees and commissions across payments, trade, advisory, and ecosystem-based solutions.

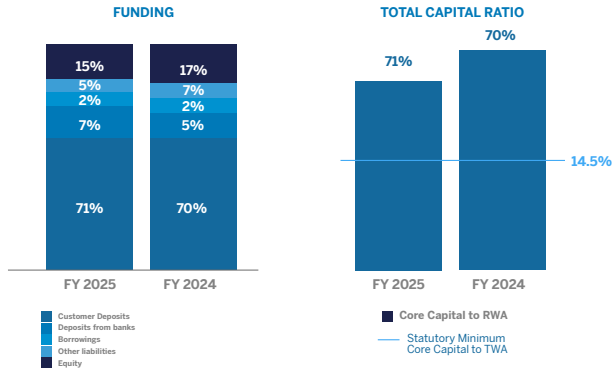
This shift enhanced earnings stability, deepened client relationships, and strengthened the resilience of the business model.

Strategic cost discipline and targeted investments in automation and process optimisation drove productivity gains and supported ongoing efficiency improvements, enabling the Group to maintain a cost-to-income ratio of 46.2%, in line with its medium-term targets.

Balance Sheet and Funding Resilience

The Group maintained a disciplined approach to capital allocation while delivering attractive shareholder returns. Customer deposits increased significantly year-on-year, reflecting continued client confidence and our ability to maintain a solid funding base.

Through prudent financial management and strategic resource allocation, the Group effectively maintained operational stability and positioned itself to take advantage of future growth opportunities.



Conclusion

In 2025, we demonstrated the enduring strength and resilience of Stanbic Holdings Plc's financial model. Through prudent balance sheet management, disciplined capital allocation, and a strong risk culture, the Group delivered stable performance while reinforcing the foundations for future growth.

Stanbic Holdings Plc remains well positioned to navigate evolving market conditions and continue delivering sustainable value to its stakeholders.

Outlook

Looking ahead, the operating environment remains characterised by moderating growth, regulatory evolution, and global uncertainty. However, the Group approaches 2026 from a position of strength.

Key financial priorities include:

- Protecting asset quality and capital strength
- Optimising returns in a lower interest rate environment
- Commercialising strategic investments
- Supporting clients through targeted, value-adding solutions

The Group will continue to balance growth, resilience, and returns, guided by disciplined execution and a long-term value creation mindset.

Financial Statements

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Corporate information

For the year ended 31 December 2025

Chairman: Joseph L.O. Muganda

Chief Executive: Patrick Mweheire*
*Retired: 28 Feb 2026
*Ugandan

Chief Executive of Stanbic Bank Kenya Limited: Joshua Oigara**

** Resigned as Chief Executive of Stanbic Bank Kenya Limited on 28 February 2026 and appointed Chief Executive of Stanbic Holdings PLC on 01 March 2026.

Non-Executive Directors: Dorcas F. Kombo
Peter N. Gethi
Rose B. Osoro
Wambui K. Mbasa***
Stephen O.Okello****
Sabira R. Thakker

***Retired from the Board on 15 May 2025

****Appointed to the board on 05 March 2025

Company Secretary: Nancy Kiruki
P.O. Box 72833
00200 Nairobi, Kenya

Auditor: Deloitte & Touche LLP
Deloitte Place
Waiyaki Way, Muthangari
P.O. Box 40092
00100 Nairobi, Kenya

Registered Office: Stanbic Bank Centre
Chiromo Road, Westlands
P.O. Box 72833
00200 Nairobi, Kenya

Principal Banker: Stanbic Bank Kenya Limited
Chiromo Road, Westlands
P.O. Box 72833
00200 Nairobi, Kenya

Ultimate Parent: Standard Bank Group Limited (South Africa)
9th Floor, Standard Bank Centre
5 Simmonds Street, Johannesburg 2001
P.O.Box 7725 Johannesburg 2000,
Johannesburg, South Africa



Report of the Directors

For the year ended 31 December 2025

Report of the Directors

The Directors submit their report together with the audited financial statements for the year ended 31 December 2025, which disclose the state of affairs of Stanbic Holdings Plc (the “Group” or the “Company”).

Principal activities

The Group is engaged in the business of banking, bancassurance intermediation, asset management and stock brokerage and is licensed under the Banking Act, Capital Markets Act and Insurance Act. The Company’s shares are listed on the Nairobi Securities Exchange.

Principal risks and uncertainties

The Group has exposure to various risks from its operations. These are -:

- a. Credit risk
- b. Liquidity risk
- c. Market risk
- d. Operational risk (encompasses systems, people, processes and external factors)

These are explained in more detail on Note 4 to the financial statements.

Business review and financial performance

In 2025, the world economy saw a slow and uneven recovery. After a long period of high interest rates, growth leveled out at 3.2%. Central banks began lowering rates as global inflation dropped to an average of 3.4%, providing some much-needed breathing room. Business dynamics gradually evolved shifting from global trade, as countries began focusing on “friend-shoring”, trading mostly with political allies and neighbors. This shift, along with new taxes on imports (tariffs), made regional trade hubs more important than before. The main risks to global growth outlook are driven by elevated uncertainty on trade policy amid rising tariffs on imports, and further escalation of geopolitical tensions.

The Kenyan economy presented a story of resilience amid adversity. The economy in 2025 is estimated to have grown at a moderate pace of around 4.9%, driven largely by the services sector, but fiscal pressures from high public debt and widening deficits remained a major challenge. Inflation stayed within target and foreign reserves were stable, signalling resilience despite structural constraints.

The year started with inflation at a low of 3.3% in January and remained relatively stable, with June showing 3.8%, and holding at 4.5% in November and December.

Exchange rate remained stable (about Kshs 129 to the dollar) creating a better environment for growth.

Private Sector credit growth improved from negative (2.9%) at the beginning of the year to close at 6.30% driven by easing monetary policy as the central bank cut the policy rate by 225bps to stimulate lending.

Current account deficit narrowed further to 1.6% of GDP, due to higher exports in horticulture, coffee and tea, alongside a robust diaspora remittance stream. Foreign reserves stand at USD 11.2 billion, covering nearly five months of imports to provide a buffer amid external uncertainties. The nation’s key sectors: services, agriculture, and manufacturing, continue to drive this recovery, supported by increased exports and tourism. The diaspora remittance inflows have risen sharply, reaching USD 5.1Bn in the 12 months to December 2025, further bolstering the external position. However, the economy’s expansion was hampered by the impacts of higher tariffs, cautious private credit growth, and political uncertainties.

The banking industry demonstrated resilience in 2025. As at Q3 2025, pre-tax profits grew by 11% to KES 227bn, despite a challenging operating environment characterized by low interest rates and constrained private sector credit growth. The Central Bank’s decision to reduce the policy rate to 9.0% and lower the Cash Reserve Ratio (CRR) to 3.25% has supported liquidity and borrowing activity.

Loan growth remains cautious, expanding by 4.0% as a result of weakened private sector credit demand, while non-performing loans remained elevated, hitting a high of 17.6% in the year before normalizing at 16.5% at year end. Banks maintained prudent lending standards amid elevated default risks, especially in trade and household segments. Capital adequacy remains strong, and ongoing reforms are encouraging competition, with the lifting of the licensing moratorium expected to introduce new players and innovative financial products.

Kenya’s regulatory landscape continues to evolve. The Business Laws Amendment Act of 2024, which increased minimum capital requirements for banks to KES 10 billion, aims to strengthen the sector’s resilience. The government is also working on easing the business environment, improving legal enforcement, and expanding financial inclusion.

Report of the Directors

For the year ended 31 December 2025 (continued)

Business review and financial performance (continued)

The Group reported a profit after tax of KShs 13.7Bn for the year ended 31 December 2025.

Summary results for the year are as follows:

	2025	2024	
	Kshs.billion	Kshs.billion	Change
Total income	38.5	39.7	(3.1%)
Credit impairment charge	1.6	3.1	(47.5%)
Total operating expenses	18.0	17.7	1.6%
Profit for the year	13.7	13.7	0.0%
Loans and advances to customers	272.9	230.2	18.5%
Non performing loans	22.6	23.0	(1.5%)
Total assets	541.3	454.8	19.0%
Deposits from customers	373.7	318.2	17.5%
Total equity	80.1	75.4	6.3%
Cost to income ratio	46.6%	44.5%	4.9%

Dividends

During the year, interim dividend of KShs 3.80 (2024: KShs. 1.84) per share was paid translating to KShs 1,503,680,619 (2024: KShs. 727,391,814).

Subject to the approval of the shareholders at the Annual General Meeting to be held on 14 May 2026, the Directors recommend payment of a final dividend of KShs 18.55 (2024: KShs 18.90) per ordinary share equivalent to a total sum of KShs 7,333,216,385 (2024: KShs 7,471,578,958). The total dividend for the year, therefore, will be KShs 22.35 (2024: KShs 20.74.) for every one ordinary share amounting to KShs 8,835,438,609 (2024: KShs 8,198,970,772).

Share capital

The total number of authorised shares as at 31 December 2025 was 473,684,211 (2024: 473,684,211), ordinary shares of KShs 5 each, with 395,321,638 shares being issued and fully paid up (2024: 395,321,638).

Directors

The Directors who held office during the year and to the date of this report are set out on page 1.

Events subsequent to the end of the reporting period

Events subsequent to the end of the reporting period have been disclosed under note 49.

Management by third parties

There is no aspect of the business of the Group that has been managed by a third person or a company in which a director has had an interest during the year.

Disclosures to auditor

The Directors confirm that with respect to each Director at the time of approval of this report:

- a) there was, as far as each Director is aware, no relevant audit information of which the company’s auditor is unaware; and
- b) each Director has taken all steps that ought to have been taken as a Director so as to be aware of any relevant audit information and to establish that the company’s auditor is aware of that information.



Report of the Directors

For the year ended 31 December 2025 (continued)

Business review and financial performance (continued)

Terms of appointment of auditor

The Group’s External Auditor,Deloitte & Touche LLP ,express their willingness to continue in office in accordance with Company’s Articles of Association, section 719 of the Kenya’s Companies Act, 2015 and the Banking Act.

The Directors monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and the associated fees on behalf of the shareholders.

Approval of financial statements

The financial statements were approved and authorised for issue by the Board of Directors on 10 March 2026.

By Order of the Board,

Nancy Kiruki
Company Secretary

Date: 10 March 2026

Statement of Directors’ responsibilities

For the year ended 31 December 2025

The Kenyan Companies Act, 2015 requires the Directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and of the Company as at the end of the financial year and of its profit or loss for that year. The financial statements comprises the Group and Company statements of financial position as at 31 December 2025, and the Group and Company statements of profit or loss, the Group and Company statements of other comprehensive income, the Group and Company statements of changes in equity and the Group and Company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of material accounting policies and other explanatory information. It also requires the directors to ensure that the Company keeps proper accounting records that are sufficient to show and explain the transactions of the Group and the Company; that disclose, with reasonable accuracy, the financial position of the Group and Company and that enable them to prepare financial statements of the Group and the Company that comply with the IFRS® Accounting Standards as issued by International Accounting Standards Board (IFRS Accounting Standards) and the requirements of the Kenyan Companies Act, 2015. The Directors are also responsible for safeguarding the assets of the Company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with IFRS Accounting Standards as issued by International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i. designing, implementing and maintaining such internal control as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or error;
- ii. selecting suitable accounting policies and applying them consistently; and
- iii. making accounting estimates and judgements that are reasonable in the circumstances.

Having made an assessment of the Group’s and Company’s ability to continue as a going concern, the Directors are not aware of any uncertainties related to events or conditions that may cast doubt upon the Group’s and Company’s ability to continue as a going concern other than a material uncertainty affecting one of the Group’s operations whose details have been disclosed on Note 3.1.

The Directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved and authorised for issue by the Board of Directors on 10 March 2026 and signed on its behalf by:

Joseph L.O. Muganda
Chairman

Joshua Oigara
Chief Executive

Dorcas F. Kombo
Director

Date: 10 March 2026



Directors’ remuneration report
For the year ended 31 December 2025

Information not subject to audit

The Company’s Board remuneration policy

The Company’s Board Remuneration Policy is designed to create value for shareholders, clients, employees and communities while retaining and motivating an effective Board of Directors. The guiding principles of the Policy include strategic alignment, objectivity and transparency, competitiveness and responsibility and inclusivity and engagement.

In determining the remuneration fee for Non-Executive Directors, the Board ensures that regular surveys are conducted on the remuneration of Non-Executive Directors on the boards of peer listed companies. The level of remuneration and compensation for Non-Executive Directors (NEDs) must be set to attract independent NEDs who, together with the Board as a whole, encompass a varied range of relevant skills and experience to determine the Company’s strategy and oversee implementation.

The NEDs are paid an annual fee and sitting allowance for meetings attended. The remuneration for NEDs is reviewed on an annual basis for approval by the shareholders of the Company at the annual general meeting. The NEDs are to be appropriately reimbursed for expenses such as travel, and subsistence incurred in the performance of their duties.

Disclosure of the Board’s remuneration is made in the annual financial report of the Company in the Board Remuneration Report as guided by law.

The Chairman of the Board is paid a taxable retainer of KShs. 104,000 per quarter and a sitting allowance of KShs. 187,200. The other members of the Board are paid a taxable retainer of KShs. 78,000 per quarter and a sitting allowance of KShs. 124,800. The Board’s retainer is paid quarterly while the sitting allowances are paid for every meeting attended. The Chairpersons of the Board Audit Committee and Nominations Committee are paid KShs. 156,000 and the Committee members are paid KShs. 124,800 for every meeting attended.

The members of the Board can access loans and guarantees at the prevailing market rates and conditions.

Contract of service

In accordance with the Kenyan Companies Act, 2015, the Company’s Articles of Association and as outlined in the letters of appointment for Directors, a third of Non-Executive Directors retire by rotation at every annual general meeting, and if eligible, may offer themselves for re-election by shareholders.

Statement of voting on the directors’ remuneration report at the previous Annual General Meeting

During the Annual General Meeting held on 15 May 2025, the shareholders approved the payments of directors’ fees for the year ended 31 December 2024.

At the Annual General Meeting to be held on 14 May 2026, approval will be sought from shareholders for the directors’ fees for the financial year ended 31 December 2025.

Directors’ remuneration report
For the year ended 31 December 2025 (continued)

Information subject to audit

Year ended 31 December 2025 (KShs ‘000’)

Name	Category	Basic pay	Bonus	Pension	Non-cash benefits	Retainer	Sitting allowance	Total Company	Total Group subsidiaries	Total Group
Joseph Muganda	Chairman	-	-	-	-	416	1,810	2,226	12,144	14,370
Patrick Mweheire*	Chief Executive	31,281	78,393	7,722	9,496	-	-	126,892	5,835	132,727
Peter Gethi	Non Executive	-	-	-	-	312	1,123	1,435	10,005	11,440
Dorcas Kombo	Non Executive	-	-	-	-	312	1,591	1,903	3,737	5,640
Rose Osoro	Non Executive	-	-	-	-	312	1,810	2,122	10,191	12,313
Sabira Thakker	Non Executive	-	-	-	-	312	874	1,186	8,577	9,763
Wambui Mbesa	Non Executive	-	-	-	-	156	749	905	11,912	12,817
Stephen Okello	Non Executive	-	-	-	-	234	1,310	1,544	374	1,918
Total		31,281	78,393	7,722	9,496	2,054	9,267	138,213	62,775	200,988

Year ended 31 December 2024 (KShs ‘000’)

Name	Category	Basic pay	Bonus	Pension	Noncash benefits	Retainer	Sitting allowance	Total Company	Total Group subsidiaries	Total Group
Joseph Muganda	Chairman			-	-	400	1,830	2,230	11,677	13,907
Patrick Mweheire*	Chief Executive	26,657	44,620	7,716	10,100	-	120	89,213	6,287	95,500
Peter Gethi	Non Executive	-	-	-	-	300	1,440	1,740	9,550	11,290
Dorcas Kombo	Non Executive	-	-	-	-	300	1,020	1,320	6,983	8,303
Rose Osoro	Non Executive	-	-	-	-	300	1,830	2,130	9,192	11,322
Sabira Thakker	Non Executive	-	-	-	-	150	240	390	2,467	2,857
Wambui Mbesa	Non Executive	-	-	-	-	300	1,080	1,380	11,454	12,834
Total		26,657	44,620	7,716	10,100	1,750	7,560	98,403	57,610	156,013

**The Chief Executive also has an oversight role over the region and therefore his costs are borne by Stanbic Holdings Plc and the Standard Bank of South Africa. The costs disclosed above relate to the share of Stanbic Holdings Plc. The Chief Executive sitting allowance is paid to Standard Bank of South Africa.*

Approval of Remuneration Report by the Board of directors

This remuneration report was approved by the Board of Directors on 10 March 2026

Stephen Okello
Chairperson Board Nominations Committee

Joshua Oigara
Chief Executive

10 March 2026



REPORT OF THE INDEPENDENT AUDITOR
TO THE SHAREHOLDERS OF STANBIC HOLDINGS PLC

Report on the audit of the financial statements

Opinion

We have audited the accompanying financial statements of Stanbic Holdings Plc (the “Company”) and its subsidiaries (together, the “Group”) set out on pages 150 to 269, which comprise the consolidated statement of financial position at 31 December 2025, and the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, together with the Company statement of financial position at 31 December 2025, and the Company statement of profit or loss, and Company statement of other comprehensive income, Company statement of changes in equity, and cash flows for the year then ended, and the notes to the financial statements, including material accounting policy information.

In our opinion the accompanying financial statements of Stanbic Holdings Plc give a true and fair view of the financial position of the Group and the Company as at 31 December 2025 and of their financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board (IASB), and the requirements of the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor’s responsibilities for the audit of the financial statements section of our report. We are independent of the Group and the Company in accordance with the International Ethics Standards Board for Accountants’ International Code of Ethics for Professional Accountants (including International Independence Standards) (the IESBA Code), as applicable to audits of financial statements of public interest entities, together with the ethical requirements that are relevant to audits of the financial statements of public interest entities in Kenya. We have also fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the Group financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the matter
Estimation of expected credit losses on loans and advances measured at amortised cost Loans and advances to customers constitute a significant portion of the total assets of Stanbic Holdings Plc. As disclosed in notes 2.6, 3.9, and 4.3, management exercise significant judgment when determining both when and how much to record as loan impairment. This is because a number of significant assumptions and inputs go into the determination of expected credit loss (ECL) impairment amounts on loans and advances to customers as required by IFRS 9 Financial Instruments. The key areas where we identified greater levels of management judgment and therefore increased levels of audit focus in the Group’s estimation of expected credit losses include: • The judgments made to determine the categorization (staging) of individual loans and advances accounts in line with IFRS 9. In particular, the identification of a Significant Increase in Credit Risk (“SICR”) and the credit impairment triggers for individually assessed loans require consideration of quantitative and qualitative assessment factors. This is a key area of judgement as this determines whether a 12-month or lifetime probability of default is used;	Our audit of the impairment of loans and advances included, amongst others, the following audit procedures performed together with the assistance of our internal credit risk specialists and the Group’s auditors’ credit risk specialists: • Obtained an understanding of the Group’s methodology for determining expected credit losses, and evaluated this against the requirements of IFRS 9, Financial Instruments; • Tested the design and implementation of critical controls across all ECL-related processes, particularly the allocation of assets into stages; • On a sample of contracts, we assessed the identification of loans and advances that had experienced a significant increase in credit risk or met the Group’s default definition criteria for classification purposes. This was completed by reviewing documentation and credit performance to determine whether the staging of such facilities was in accordance with IFRS 9 standards; • Tested the assumptions, inputs and formulae used in the ECL models with the support of our internal credit risk specialists and group auditors’ credit risk specialists (including assessing the appropriateness of model design and formulae used, considering alternative modelling techniques and recalculating the Probability of Default, Loss Given Default and Exposure at Default;



REPORT OF THE INDEPENDENT AUDITOR
TO THE SHAREHOLDERS OF STANBIC HOLDINGS PLC (continued)

Key audit matter	How our audit addressed the matter
• Identification and measurement of economic scenarios to measure ECLs on a forward-looking basis reflecting a range of future economic conditions; • Modelling for estimation of ECL parameters: B13 a) Probabilities of Default (PDs) b) Loss Given Default (LGD); and c) Exposure at Default (EAD). • The judgements made around the expected cashflows from collateral and negotiated payments especially on the individually assessed loans and advances from customers. Because of the significance of these estimates, judgments and the size of loans and advances portfolio, the audit of loan impairment provisions is considered a key audit matter.	• We corroborated the assumptions used for the determination of forward-looking information (FLI) in the models; • Tested the data used in the ECL calculation by reconciling to source systems; and • Assessed the adequacy and appropriateness of disclosures for compliance with the accounting standards. We concluded that the assumptions and methodology used were reasonable to support the amounts presented in the consolidated financial statements. We also found the models used for the determination of ECL to be appropriate. In addition, the disclosures in the financial statements pertaining to ECL on loans and advances to customers were found to be appropriate.

Other information

Our opinion on the financial statements does not cover the other information and except to the extent otherwise explicitly stated in this report, we do not and will not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015, as set out below.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015, as set out below.

The directors are responsible for the other information. The other information comprises the corporate information, report of the directors, directors’ remuneration report and statement of directors’ responsibilities, which we obtained prior to the date of this auditor’s report, and the rest of the other information in the Annual Report which are expected to be made available to us after that date. The other information does not include the consolidated and company financial statements and our auditor’s report thereon.

In connection with our audit of the consolidated and company financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and company financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the rest of the other information in the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and company financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and company financial statements, the directors are responsible for assessing the Group’s and the company’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or company or to cease operations, or have no realistic alternative but to do so.

Auditor’s responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and company financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and company financial statements.

Deloitte.

REPORT OF THE INDEPENDENT AUDITOR

TO THE SHAREHOLDERS OF STANBIC HOLDINGS PLC (continued)

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and company financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and company financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and company financial statements, including the disclosures, and whether the consolidated and company financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

1. We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
2. We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.
3. From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and company financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other matters prescribed by the Kenyan Companies Act, 2015

Report of the directors

In our opinion, the information given in the report of directors' report on pages 140 to 142 is consistent with the financial statements.

Directors' remuneration report

In our opinion, the auditable part of the directors' remuneration report on pages 144 to 145 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is **CPA Fredrick Okwiri, Practising certificate No. 1699.**

Fredrick Okwiri

For and on behalf of Deloitte & Touche LLP Certified Public Accountants (Kenya) Nairobi 2026

10 March 2026



UNIQUE CODE: 18345260310



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Financial statements

For the year ended 31 December 2025

Group and Company statement of profit or loss

		GROUP		COMPANY	
		Year ended 31 December		Year ended 31 December	
	Note	2025 KShs. Million	2024 KShs. Million	2025 KShs. Million	2024 KShs. Million
Interest income	6	37,214	48,165	6	25
Interest expense	7	(13,130)	(23,828)	-	-
Net interest income		24,084	24,337	6	25
Fees and commission revenue	8	6,778	6,042	-	-
Fees and commission expense	9	(1,271)	(1,069)	-	-
Net fees and commission income		5,507	4,973	-	-
Trading revenue	10	7,608	7,502	-	-
Net gain from financial instruments at fair value through profit or loss	11 (a)	1,006	2,849	-	-
Other gains/(losses) on financial instruments	11 (b)	26	(32)	-	-
Other income	12	280	114	8,986	6,352
Trading and other income		8,920	10,433	8,986	6,352
Total income		38,511	39,743	8,992	6,377
Credit impairment losses	23(e)	(1,628)	(3,099)	-	-
Net income before operating expenses		36,883	36,644	8,992	6,377
Employee benefits expense	13	(9,147)	(9,135)	(113)	(166)
Depreciation and amortisation expense	26,27, 28	(781)	(707)	-	-
Depreciation on right-of use assets	30	(317)	(324)	-	-
Other operating expenses	14	(7,698)	(7,497)	(19)	(26)
Finance costs	15	(14)	(10)	(1)	(1)
Total operating expenses		(17,957)	(17,673)	(133)	(193)
Profit before income tax		18,926	18,971	8,859	6,184
Income tax expense	16	(5,208)	(5,255)	(3)	(12)
Profit for the year		13,718	13,716	8,856	6,172
Earnings per share					
Basic and diluted (KShs per share)	17	34.70	34.70	22.40	15.61

The notes on pages 156 to 269 form an integral part of these consolidated and separate financial statements

Financial statements

For the year ended 31 December 2025

Group and Company statement of other comprehensive income

		GROUP		COMPANY	
		Year ended 31 December		Year ended 31 December	
	Note	2025 KShs.Million	2024 KShs.Million	2025 KShs.Million	2024 KShs.Million
Profit for the year		13,718	13,716	8,856	6,172
Other comprehensive income for the year, net of income tax					
Items that may be reclassified to profit or loss					
Currency translation differences for foreign operations		(14)	(951)	-	-
Net gains in debt financial assets measured at fair value through other comprehensive income (FVOCI)*	21.2	21	422	-	-
Total other comprehensive income for the year, net of income tax		7	(529)	-	-
Total comprehensive income for the year		13,725	13,187	8,856	6,172

* Income tax relating to each component of other comprehensive income is disclosed in note 38

The notes on pages 156 to 269 form an integral part of these consolidated and separate financial statements

Financial statements

For the year ended 31 December 2025

Group and Company statement of financial position

GROUP				COMPANY	
As at 31 December				As at 31 December	
	Note	2025 KShs. Million	2024 KShs. Million	2025 KShs. Million	2024 KShs. Million
Assets					
Cash and balances with central banks	19	30,116	24,677	-	-
Financial assets – (FVTPL)	20 (a)	56,043	54,649	-	-
Financial assets – (FVOCI)	21	33,167	15,462	-	-
Financial assets – (amortised cost)	22	18,866	29,079	-	-
Derivative assets	33.5	674	2,095	-	-
Current tax asset	37	1,334	1,461	11	9
Loans and advances to banks	23 (a)	93,610	64,486	115	159
Loans and advances to customers	23 (b)	272,919	230,218	-	-
Other assets and prepayments	24	11,440	10,449	20	20
Investment in subsidiaries & other investments	25	18	18	18,218	18,218
Property and equipment	26	2,376	2,231	-	-
Right-of-use assets (buildings)	30	1,586	693	-	-
Right-of-use assets (leasehold land)	27	27	30	-	-
Other intangible assets	28	898	993	-	-
Intangible assets - goodwill	29	9,350	9,350	-	-
Deferred tax asset	38	8,829	8,943	-	-
Total assets		541,253	454,834	18,364	18,406
Equity and liabilities					
Liabilities					
Derivative liabilities	33.5	1,161	2,746	-	-
Financial liabilities – FVTPL	20 (b)	16,036	16,322	-	-
Current tax liability	37	99	20	-	-
Deposits from banks	34 (a)	44,884	20,819	-	-
Deposits from customers	34 (b)	373,725	318,193	-	-
Borrowings	35	13,025	10,482	-	-
Other liabilities and accrued expenses	36	10,669	10,140	342	264
Lease liabilities	31	1,505	712	-	-
Total liabilities		461,104	379,434	342	264
Equity					
Ordinary share capital	32 (b)	1,977	1,977	1,977	1,977
Ordinary share premium	32 (c)	16,897	16,897	16,897	16,897
Other reserves	44	(1,011)	(642)	-	-
Retained earnings		62,286	57,168	(852)	(732)
Total shareholders' equity		80,149	75,400	18,022	18,142
Total equity and liabilities		541,253	454,834	18,364	18,406

The notes on pages 156 to 269 form an integral part of these consolidated and separate financial statements
The financial statements on pages 150 to 269 were approved and authorised for issue by the Board of Directors on 10 March 2026 and signed on its behalf by:


Chairman
Joseph L.O. Muganda


Chief Executive
Joshua Oigara


Director
Dorcas F. Kombo

Financial statements

For the year ended 31 December 2025

Group statement of changes in equity

For the year ended 31 December 2025	Note	Share Capital	Share Premium	Other Reserves	Retained earnings	Total Equity
		KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
At 1 January 2025		1,977	16,897	(642)	57,168	75,400
Profit for the year		-	-	-	13,718	13,718
Other comprehensive income, net of tax		-	-	7	-	7
Transfer of statutory credit risk reserve		-	-	(370)	370	-
Transfer of revaluation reserves		-	-	(6)	6	-
Transactions with owners recorded directly in equity, contributions by and distributions to owners of the Group						
2024 final dividend paid	18	-	-	-	(7,472)	(7,472)
2025 interim dividend paid	18	-	-	-	(1,504)	(1,504)
Total transactions with owners of the Group		-	-	-	(8,976)	(8,976)
At 31 December 2025		1,977	16,897	(1,011)	62,286	80,149

For the year ended 31 December 2024	Note	Share Capital	Share Premium	Other Reserves	Retained earnings	Total Equity
		KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
At 1 January 2024		1,977	16,897	(1,065)	50,745	68,554
Profit for the year		-	-	-	13,716	13,716
Other comprehensive income, net of tax		-	-	(529)	-	(529)
Transfer of statutory credit risk reserve		-	-	960	(960)	-
Transfer of revaluation reserves		-	-	(8)	8	-
Transactions with owners recorded directly in equity, contributions by and distributions to owners of the Group						
2023 final dividend paid	18	-	-	-	(5,614)	(5,614)
2024 interim dividend paid	18	-	-	-	(727)	(727)
Total transactions with owners of the Group		-	-	-	(6,341)	(6,341)
At 31 December 2024		1,977	16,897	(642)	57,168	75,400

The notes on pages 156 to 269 form an integral part of these consolidated and separate financial statements

Financial statements

For the year ended 31 December 2025

Company statement of changes in equity

Attributable to equity holders					
Year ended 31 December 2025		Share Capital	Share Premium	Retained earnings	Total Equity
	Note	KShs Million	KShs Million	KShs Million	KShs Million
At 1 January 2025		1,977	16,897	(732)	18,142
Profit for the year		-	-	8,856	8,856
Contribution and distributions to owners					
2024 final dividend paid	18	-	-	(7,472)	(7,472)
2025 interim dividend paid	18	-	-	(1,504)	(1,504)
Total contributions by and distributions to owners		-	-	(8,976)	(8,976)
At 31 December 2025		1,977	16,897	(852)	18,022

Company statement of changes in equity

Attributable to equity holders					
Year ended 31 December 2024		Share Capital	Share Premium	Retained earnings	Total Equity
	Note	KShs Million	KShs Million	KShs Million	KShs Million
At 1 January 2024		1,977	16,897	(563)	18,311
Profit for the year Contribution and distributions to owners		-	-	6,172	6,172
2023 final dividend paid	18	-	-	(5,614)	(5,614)
2024 interim dividend paid	18	-	-	(727)	(727)
Total contributions by and distributions to owners		-	-	(6,341)	(6,341)
At 31 December 2024		1,977	16,897	(732)	18,142

The notes on pages 156 to 269 form an integral part of these consolidated and separate financial statements

Financial statements

For the year ended 31 December 2025

Group and Company statement of cash flows

		GROUP		COMPANY	
		2025	2024*	2025	2024
	Note	KShs Million	KShs Million	KShs. Million	KShs Million
Cash flows from operating activities	39 (a)	(2,027)	(492)	8,859	6,184
Interest received		36,145	43,267	-	-
Interest paid		(13,066)	(24,633)	-	-
Income tax paid	37 (a)	(4,887)	(8,723)	(5)	(8)
Cash flows from operating activities before					
Changes in operating assets and liabilities		16,165	9,419	8,854	6,176
Changes in operating assets and liabilities:					
Net change in loans and advances to customers		(43,397)	31,653	-	-
Net change in financial assets – FVOCI		(17,024)	(6,972)	-	-
Net change in financial assets – FVTPL		(1,382)	(52,159)	-	-
Net change in cash reserve requirements		-	-	-	-
Net change in other assets and prepayments		(992)	(2,841)	-	-
Net change in deposits from banks		23,356	(4,119)	-	-
Net change in other liabilities and accrued expenses		529	(799)	78	108
Net change in deposits from customers		55,532	(2,204)	-	-
Net change in financial liabilities – FVTPL		(286)	2,251	-	-
Net cash generated from /(used in) operating activities		32,501	(25,771)	8,932	6,284
Cash flows from investing activities:					
Acquisition of financial assets – at amortised cost		(3,039)	(16,276)	-	-
Proceeds from financial assets – at amortised cost		13,314	9,752	-	-
Additions to property and equipment	26	(610)	(674)	-	-
Additions to intangible assets	28	(220)	(505)	-	-
Proceeds from sale of property and equipment		3	24	-	-
Net cash generated from/ (used in) investing activities		9,448	(7,679)	-	-
Cash flows from financing activities:					
Dividends paid	18	(8,976)	(6,341)	(8,976)	(6,341)
Proceeds from subordinate borrowings	35	2,586	-	-	-
Payment of lease liabilities	31	(407)	(415)	-	-
Net cash used in financing activities		(6,797)	(6,756)	(8,976)	(6,341)
Net increase/(decrease) in cash and cash equivalents		35,152	(40,206)	(44)	(57)
Effect of exchange rate changes		(584)	(2,919)	-	-
Cash and cash equivalents at start of year		76,236	119,361	159	216
Cash and cash equivalents at end of year	39 (b)	110,804	76,236	115	159

*Comparative figures are restated. Refer to note 2.24

The notes on pages 156 to 269 form an integral part of these consolidated and separate financial statements



Financial statements

For the year ended 31 December 2025

Notes

1. General information

Stanbic Holdings Plc is incorporated in Kenya under the Companies Act as a limited liability company, and is domiciled in Kenya. The address of its registered office is

Stanbic Bank Centre
Chiromo Road, Westlands
P.O. Box 72833
00200 Nairobi GPO

The Company's shares are listed on the Nairobi Securities Exchange (NSE).

Principal activities of the Group are providing financial services including banking, insurance agency and stock brokerage. The Group is licensed under the Kenyan Banking, Capital Markets, retirement benefit and insurance Acts to provide these services.

The financial statements for the year ended 31 December 2025 were approved and authorised for issue by the Board of Directors on 10 March 2026. The financial statements comprise the Group and Company statements of financial position as at 31 December 2025, and the Group and Company statements of profit or loss, the Group and Company statements of other comprehensive income, the Group and Company statements of changes in equity and the Group and Company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of material accounting policies and other explanatory information. Neither the entity's owners nor others have the power to amend the financial statements after issue. For Kenyan Companies Act, 2015 reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of profit or loss, in these financial statements

2. Summary of Material accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a. Basis of preparation

The annual financial statements (AFS) are prepared in accordance with IFRS^(R) Accounting Standards as issued by the International Accounting Standards Board (IASB) and the Kenyan Companies Act, 2015. The financial statements have been prepared using the accrual basis of accounting except

for cash flow information. The annual financial statements have been prepared on the historical cost basis except for the following material items in the statement of financial position, which are measured at fair value:

- Fair value through other comprehensive income (FVOCI) financial assets, financial assets and liabilities at fair value through profit or loss and liabilities for cash-settled and equity-settled share-based payment arrangements (accounting policy 2.7).

The following principal accounting policy elections in terms of IFRS Accounting Standards have been made, with reference to the detailed accounting policies shown in brackets:

- purchases and sales of financial assets under a contract whose terms require delivery of the asset within the time frame established generally by regulation or convention in the marketplace concerned are recognised and derecognised using trade date accounting (accounting policy 2.6);
- property and equipment and intangible assets are accounted for using the cost model except for revaluation of buildings that arose from the merger between the former CfC Bank and Stanbic Bank in 2008 (accounting policy 2.8 and 2.9);
- the portfolio exception to measure the fair value of certain groups of financial assets and financial liabilities on a net basis (accounting policy 2.6)

Use of estimates

The preparation of financial statements in conformity with IFRS Accounting Standards as issued by the International Accounting Standards Board (IASB), requires the use of certain critical accounting estimates. It also requires the Directors to exercise judgements in applying the accounting policies. These judgements and estimates used to prepare these financial statements are disclosed in Note 3.

b. Functional and presentation currency

The annual financial statements are presented in Kenya Shillings (KShs) which is the functional and presentation currency of the parent company. All amounts are stated in millions of shillings (KShs Million), unless indicated otherwise. Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates which is US Dollars (USD) for the South Sudan Branch and Kenya Shillings (KShs) for Kenya operations.

Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

c) Changes in accounting policies and disclosures (continued)

c. Changes in accounting policies and disclosures

i. Standards and interpretations that have been published but are not yet effective

At the date of authorisation of these financial statements, the following standards and interpretations, which have not been applied in these financial statements, were in issue but not yet effective for the year presented:

Standards and amendments	Key requirements	Effective date
Amendments to IFRS 9 and IFRS 7: Classification and Measurement of Financial Instruments (issued in May 2024)	The amendments include a new requirement to permit an entity to deem a financial liability that is settled using an electronic payment system to be discharged before the settlement date if specified criteria are met; and provide clarifications regarding assessing contractual cash flow characteristics of financial assets, including those with environmental, social and governance (ESG)-linked features, financial assets with non-recourse features and investments in contractually linked instruments. The IASB also amended the disclosure requirements relating to investments in equity instruments designated at fair value through other comprehensive income and added disclosure requirements for financial instruments with contingent features that do not relate directly to basic lending risks and costs. The amendments will be applied prospectively. The amendments are not expected to have a material impact on the Group's financial statements.	01 January 2026
IFRS 18 Presentation and Disclosure in Financial Statements (issued in April 2024)	The standard replaces IAS 1 Presentation of Financial Statements. The standard introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new. It also requires disclosure of newly defined management-defined performance measures, which are subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements and the notes. Narrow-scope amendments have been made to IAS 7 Statement of Cash Flows, which include changing the starting point for determining cash flows from operations under the indirect method, from 'profit or loss' to 'operating profit or loss' and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards. The Group is currently working to identify all impacts the amendments will have on the Group's financial statements and notes to the financial statements.	01 January 2027



Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

c) Changes in accounting policies and disclosures (continued)

Standards and interpretations that have been published but are not yet effective (continued)

Standards and amendments	Key requirements	Effective date
IFRS 19 Subsidiaries without Public Accountability: Disclosures (issued in May 2024)	The IASB issued IFRS 19 that permits eligible subsidiaries to use IFRS Accounting Standards with reduced disclosures. Applying IFRS 19 will reduce the costs of preparing subsidiaries' financial statements while maintaining the usefulness of the information for users of their financial statements. When a parent company prepares consolidated financial statements that comply with IFRS Accounting Standards, its subsidiaries are required to report to the parent using IFRS Accounting Standards. However, for their own financial statements, subsidiaries are permitted to use IFRS Accounting Standards, the IFRS for SMEs Accounting Standard or national accounting standards. Subsidiaries are eligible to apply IFRS 19 if they do not have public accountability and their parent company applies IFRS Accounting Standards in their consolidated financial statements. A subsidiary does not have public accountability if it does not have equities or debt listed on a stock exchange and does not hold assets in a fiduciary capacity for a broad group of outsiders. The Group is in the planning phase of determining the impact on the annual financial statements of its qualifying subsidiaries. IFRS 19 will however, not be applicable to the Group's annual financial statements as the Group's equity instruments are publicly traded.	1 January 2027
IFRS S1 and IFRS S2 (issued in June 2023)	In June 2023 the ISSB issued its first two IFRS sustainability disclosures standards. IFRS S1 prescribes how companies prepare and report their sustainability-related financial disclosures. IFRS S1 sets out the general requirements for a company to disclose information about its sustainability related risk and opportunities that is useful to users in making decisions relating to providing resources to the company. IFRS S1 also integrates and builds on the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD). IFRS S1 was developed to achieve more consistent, complete, comparable and verifiable information about companies' exposure to and management of sustainability-related risks and opportunities. IFRS S2 sets out the requirements for companies to disclose information about their climate-related risks and opportunities, while building on the requirements of IFRS S1. The ISSB developed IFRS S2 to achieve more consistent, complete, comparable and verifiable information about a company's climate-related risks and opportunities. IFRS S1 and IFRS S2 are effective for annual reporting periods beginning on or after 1 January 2024, but mandatory application of the ISSB standards will depend on each jurisdiction's endorsement or regulatory processes. Institute of Certified Public Accountants of Kenya (ICPAK) have issued a three phase approach roadmap for the adoption of IFRS sustainability disclosure standards in Kenya. Phase 1- Voluntary adopters as from 1 January 2024. Phase 2 - Mandatory adoption as from 1 January 2027 for Public Interest Entities (PIEs); 1 January 2028 for Non-PIEs (Large Enterprises); and 1 January 2029 for Non-PIEs (SMEs). Phase 3 - Public Sector Entities to be determined by ICPAK. The Group through its Sustainability office, is currently assessing the impact of the two standards.	Voluntary 1 January 2024 Mandatory 1 January 2027

ii. Adoption of new and amended standards effective for the current period

The Group applied for the first-time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2025. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

Lack of Exchangeability (Amendments to IAS 21) (issued in August 2023) - The amendments contain additional guidance for determining exchange rates when currencies are not freely exchangeable and require enhanced disclosures. The Group has assessed the impact of this amendment and determined that it does not have a material effect on the consolidated financial statements.

Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.1. Consolidation

i. Subsidiaries

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets.

Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquirer's previously held equity interest in the acquiree is re-measured to its fair value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

Any contingent consideration to be transferred by the Group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability that is a financial instrument and within the scope of IFRS 9 'Financial Instruments' are recognised in profit or loss in accordance with IFRS 9. Other contingent consideration that is not within the scope of IFRS 9 is measured at fair value at each reporting date with changes in fair value recognised in profit or loss. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is accounted for within equity.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill.

If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in profit or loss.

Inter-company transactions, balances and unrealised gains and losses on transactions between Group companies are eliminated. When necessary, amounts reported by subsidiaries have been adjusted to conform to the Group's accounting policies.

Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

Disposal of subsidiaries

When the Group ceases to have control, any retained interest in the entity is measured to its fair value at the date when control is lost, with any resulting gain or loss recognised in profit or loss.

The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

2.2. Translation of foreign currencies

i. Transactions and balances

Foreign currency transactions are translated into the respective Functional Currencies of group entities at exchange rates prevailing at the date of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates, are recognised in profit or loss.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at historical cost are translated using the exchange rate at the transaction date, and those measured at fair value are translated at the exchange rate at the date that the fair value was determined. Exchange rate differences on non-monetary items are accounted for based on the classification of the underlying items. Foreign exchange gains and losses on equities (debt) classified as held to collect and sell financial assets are recognised in Other Comprehensive Income(OCI) whereas the exchange differences on equities and debt that are classified as held at fair value through profit or loss are reported as part of the fair value gain or loss in profit or loss.



Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.2 Translation of foreign currencies (continued)

ii. Foreign operations

On consolidation, the assets and liabilities of foreign operations are translated into Kenya Shillings at the rate of exchange prevailing at the reporting date and their statements of profit or loss and other comprehensive income are translated at exchange rates prevailing at the dates of the transactions. The exchange differences arising on translation for consolidation are recognised in OCI.

On the partial disposal of a subsidiary that includes a foreign operation, a proportionate share of the balance of the foreign currency translation reserve is transferred to the non-controlling interests. For all other partial disposals of a foreign operation, the proportionate share of the balance of the foreign currency translation reserve is reclassified to profit or loss.

On disposal (where a change in ownership occurs and control is lost) of a foreign operation, the relevant amount in the foreign currency translation reserve is reclassified to profit or loss at the time at which the profit or loss on disposal of the foreign operation is recognised.

These gains and losses are recognised in profit or loss either on disposal of a foreign operation or partial disposal (a reduction in ownership interest in a foreign operation other than a disposal) of an associate or joint venture that includes a foreign operation.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation are translated at the closing rate. Exchange differences are recognised in OCI.

2.3. Net interest income

Interest income and expense (with the exception of those borrowing costs that are capitalised – refer to accounting policy 2.10 – Capitalisation of borrowing costs) are recognised in profit or loss on an accrual basis using the effective interest method for all interest-bearing financial instruments, except for those classified at fair value through profit or loss which are included under trading income and:

- a) purchased or originated credit impaired (POCI) for which the original credit adjusted effective interest rate is applied to the amortised cost of the financial asset; and
- b) financial assets that are not "POCI" that have subsequently become impaired for which interest revenue is calculated by applying the effective interest rate to their amortised cost (i.e. net of expected credit losses) in subsequent reporting periods.

Effective interest rate is the rate that exactly discounts the estimated future cash payments or receipts through the expected life of the financial assets or, where appropriate, a shorter period to the net carrying amount of the financial asset or liability.

Direct incremental transaction costs incurred and origination fees received, including loan commitment fees, as a result of bringing margin-yielding assets or liabilities into the statement of financial position, are capitalised to the carrying amount of financial instruments that are not at fair value through profit or loss and amortised as interest income or expense over the life of the asset or liability as part of the effective interest rate.

When a financial asset is classified as stage 3 impaired, interest income is calculated on the amortised cost based on the original effective interest rate. The contractual interest income on the gross exposure is suspended and is only recognised in credit impairments when the financial asset is reclassified out of stage 3.

Dividends received on preference share investments classified as debt form part of the Group's lending activities and are included in interest income.

2.4. Non-interest revenue

a. Net fee and commission revenue

The fair value of issued financial guarantee contracts on initial recognition is amortised as income over the term of the contract.

Fee and commission revenue, including transaction fees, investment management fees, sales commissions, knowledge based and client administration fees, electronic banking fees, foreign service fees, documentation and administration fees, brokerage commission and placement fees are recognised as the related services are performed. Loan commitment fees for loans that are not expected to be drawn down are recognised on a straight-line basis over the commitment period. Loan syndication fees, where the Group does not participate in the syndication or participates at the same effective interest rate for comparable risk as other participants, are recognised as revenue when the syndication has been completed. Syndication fees that do not meet these criteria are capitalised as origination fees and amortised as interest income.

Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.4 Non-interest revenue (continued)

b. Trading revenue

Trading revenue comprises of foreign exchange gains and losses and other related revenue from trading assets and liabilities.

c. Other income

Other income includes gains and losses on equity instruments designated at fair value through profit or loss, dividends relating to those financial instruments, and remeasurement gains and losses from contingent consideration on disposals and purchases. Other income also includes proceeds on sale of property, plant and equipment.

d. Revenue sharing agreements with related companies

Revenue sharing agreements with related companies includes the allocation of revenue from transfer pricing agreements between the group's related entities. The service payer makes payment to service sellers for services rendered. All agreements of a revenue sharing nature are presented in the statement of profit or loss as follows:

- The service payer in the agreement recognises, to the extent the charge is less than revenue from the agreement, the charge to the service sellers within the statement of profit or loss line item revenue sharing agreements

with related companies. To the extent that the revenue allocation to service sellers within the group is greater than the available revenue from the agreement, the charge above the available revenue is recognised within other operating expenses.

- The service seller in the agreement recognises, to the extent the allocation is made out of available revenue of the service payer, the revenue from the service payer within the statement of profit or loss line item revenue sharing agreements with related companies. To the extent the revenue is not received from the service payer's available revenue, such revenue is recognised as a fee and commission revenue.

2.5. Cash and cash equivalents

Cash and cash equivalents consist of cash on hand, demand deposits, and balances held with central banks. They also include short-term highly liquid investments including treasury bills, other eligible bills, and amounts due from banks that are available on demand or have an original maturity of three months or less from the date of acquisition. These are subject to insignificant risk of changes in their fair value.

2.6. Financial instruments

i. Initial recognition and measurement

All financial instruments are measured initially at fair value plus directly attributable transaction costs and fees, except for those financial instruments that are subsequently measured at fair value through profit or loss where such transaction costs and fees are immediately recognised in profit or loss.



Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.6 Financial instruments (continued)

i. Initial recognition and measurement (continued)

Financial instruments are recognised (derecognised) on the date the group commits to purchase (sell) the instruments (trade date accounting).

Financial assets

Financial assets are classified under each of the categories below and their carrying amounts are disclosed in Note 40.

Nature	
Amortised cost	A debt instrument that meets both of the following conditions (other than those designated at fair value through profit or loss): - held within a business model whose objective is to hold the debt instrument (financial asset) in order to collect contractual cash flows; and - The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. This assessment includes determining the objective of holding the asset and whether the contractual cash flows are consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are not considered de minimis and are inconsistent with a basic lending arrangement, the financial asset is classified as fair value through profit or loss - default.
Fair value through other comprehensive income (FVOCI)	A debt instrument that meets both of the following conditions (other than those designated at fair value through profit or loss): - Held within a business model in which the debt instrument (financial asset) is managed to both collect contractual cash flows and sell financial assets; and - The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. This assessment includes determining the objective of holding the asset and whether the contractual cash flows are consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are not considered de minimis and are inconsistent with a basic lending arrangement, the financial asset is classified as fair value through profit or loss - default. Equity financial assets which are not held for trading and are irrevocably elected (on an instrument-by-instrument basis) to be presented at fair value through OCI.
Held-for-trading	Those financial assets acquired principally for the purpose of selling in the near term (including all derivative financial assets) and those that form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit taking.
Designated at fair value through profit or loss (FVTPL)	Financial assets are designated to be measured at fair value to eliminate or significantly reduce an accounting mismatch that would otherwise arise.
Fair value through profit or loss - default	Financial assets that are not classified into one of the above mentioned financial asset categories.

Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.6 Financial instruments (continued)

Financial assets (continued)

ii. Subsequent measurement

Subsequent to initial measurement, financial instruments are measured either at fair value or amortised cost, depending on their classifications as follows:

Nature	
Amortised cost	Amortised cost using the effective interest method with interest recognised in interest income, less any expected credit impairment losses which are recognised as part of credit impairment charges. Directly attributable transaction costs and fees received are capitalised and amortised through interest income as part of the effective interest rate.
Fair value through other comprehensive income (FVOCI)	Debt instrument: Fair value, with gains and losses recognised directly in the fair value through OCI reserve. When a debt financial asset is disposed of, the cumulative fair value adjustments, previously recognised in OCI, are reclassified to the other gains and losses on financial instruments within non-interest revenue. Expected credit impairments losses are recognised as part of credit impairment charges. However, for these FVOCI debt instruments the expected credit loss is recognised in OCI and does not reduce the carrying amount of the financial asset in the statement of financial position. Interest income on a debt financial asset is recognised in interest income in terms of the effective interest rate method. Dividends received are recognised in interest income within profit or loss. Equity instrument: Fair value, with gains and losses recognised directly in the fair value through OCI reserve. When equity financial assets are disposed of, the cumulative fair value adjustments in OCI are reclassified within reserves to retained earnings. Dividends received on equity instruments are recognised in other revenue within noninterest revenue.
Held-for-trading	Fair value, with gains and losses arising from changes in fair value (including interest and dividends) recognised in trading revenue.
Designated at fair value through profit or loss (FVTPL)	Fair value gains and losses (including interest and dividends) on the financial asset are recognised in the income statement as income from financial instruments at fair value through profit or loss.
Fair value through profit or loss - default	Debt instruments – Fair value gains and losses (including interest and dividends) on the financial asset recognised in the income statement as part of other gains and losses on financial instruments within non-interest revenue. Equity instruments – Fair value gains and losses on the financial asset recognised in the income statement as income from financial instruments at fair value through profit or loss. Dividends received on equity instruments are recognised in other income within non-interest income.

Impairment of financial assets

Expected credit losses (ECL) are recognised on debt financial assets classified as at either amortised cost or fair value through OCI, financial guarantee contracts that are not designated at fair value through profit or loss as well as loan commitments that are neither measured at fair value through profit or loss nor are used to provide a loan at a below market interest rate.

The measurement basis of the ECL of a financial asset includes assessing whether there has been a Significant Increase in Credit Risk (SICR) at the reporting date which includes forward-looking information that is available without undue cost or effort



Financial statements

For the year ended 31 December 2025

Notes (continued)
2. Summary of Material accounting policies (continued)
2.6 Financial instruments (continued)
Financial assets (continued)

at the reporting date about past events, current conditions and forecasts of future economic conditions. The measurement basis of the ECL, which is set out in the table that follows, is measured as the unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes, the time value of money and forward-looking information.

Stage 1	A 12-month ECL is calculated for financial assets which are neither credit-impaired on origination nor for which there has been a SICR.
Stage 2	A lifetime ECL allowance is calculated for financial assets that are assessed to have displayed a SICR since origination and are not considered low credit risk.
Stage 3 (credit impaired as-sets)	A lifetime ECL is calculated for financial assets that are assessed to be credit impaired. The follow- ing criteria are used in determining whether the financial asset is impaired: • default (as defined below) • significant financial difficulty of borrower and/or modification • probability of bankruptcy or financial reorganisation • disappearance of an active market due to financial difficulties.

The key components of the impairment methodology are described as follows:

Significant increase in credit risk	At each reporting date, the Group assesses whether the credit risk of its exposures has increased significantly since initial recognition by considering the change in the risk of default occurring over the expected life of the financial asset. Credit risk of exposures which are overdue for more than 30 days are also considered to have in- creased significantly.
Low credit risk	Exposures are generally considered to have a low credit risk where there is a low risk of default, the exposure has a strong capacity to meet its contractual cash flow obligations and adverse changes in economic and business conditions may not necessarily reduce the exposure's ability to fulfil its contractual obligations.
Default	The Group's definition of default has been aligned to its internal credit risk management definitions and approaches. A financial asset is considered to be in default when there is objective evidence of impairment. The following criteria are used in determining whether there is objective evidence of impairment for financial assets or groups of financial assets: • significant financial difficulty of borrower and/or modification (i.e. known cash flow difficulties experienced by the borrower); • a breach of contract, such as default or delinquency in interest and/or principal payments; • disappearance of active market due to financial difficulties; it becomes probable that the borrower will enter bankruptcy or other financial reorganisation; • where the Group, for economic or legal reasons relating to the borrower's financial difficulty, grants the borrower a concession that the Group would not otherwise consider;
Forwardlooking information	Forward-looking information is incorporated into the Group's impairment methodology calculations and in the Group's assessment of SICR. The Group includes all forward looking information which is reasonable and available without undue cost or effort. The information will typically include expected macro-economic conditions and factors that are expected to impact portfolios or individual counter- party exposures.

Financial statements

For the year ended 31 December 2025

Notes (continued)
2. Summary of Material accounting policies (continued)
2.6 Financial instruments (continued)
Financial assets (continued)

Write-off	Financial assets are written off when there is no reasonable expectation of recovery. Financial as- setswhich are written off may still be subject to enforcement activities.
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ECLs are recognised within the statement of financial position as follows:

Financial assets measured at amortised cost (including loan commitments)	Recognised as a deduction from the gross carrying amount of the asset (group of assets). Where the impairment allowance exceeds the gross carrying amount of the asset (group of assets), the excess is recognised as a provision within other liabilities.
Off-balance sheet exposures (excluding loan commitments)	Recognised as a provision within other liabilities.
Financial assets measured at fair value through OCI	Recognised in the fair value reserve within equity. The carrying amount of the financial asset is recognised in the statement of financial position at fair value

Reclassification

Reclassifications of debt financial assets are permitted when, and only when, the Group changes its business model or managing financial assets, in which case all affected financial assets are reclassified. Reclassifications are accounted for prospectively from the date of reclassification as follows:

- Financial assets that are reclassified from amortised cost to fair value are measured at fair value at the date of reclassification with any difference in measurement basis being recognised in other gains and losses on financial instruments;
- The fair value of a financial asset that is reclassified from fair value to amortised cost becomes the financial asset'snew carrying amount;
- Financial assets that are reclassified from amortised cost to fair value through OCI are measured at fair value at the date of reclassification with any difference in measurement basis being recognised in OCI;
- The fair value of a financial asset that is reclassified from fair value through OCI to amortised cost becomes the financial asset's new carrying amount with the cumulative fair value adjustment recognised in OCI being recognised against the new carrying amount;
- The carrying amount of financial assets that are reclassified from fair value through profit or loss to fair value through OCI remains at fair value;
- The carrying amount of financial assets that are reclassified from fair value through OCI to fair value through profit or loss remains at fair value, with the cumulative fair value adjustment in OCI being recognised in the statement of profit or loss at the date of reclassification.

Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.6 Financial instruments (continued)

Financial liabilities

Nature	
Held-for-trading	Those financial liabilities incurred principally for the purpose of repurchasing in the near term (including all derivative financial liabilities) and those that form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit taking.
Designated at fair value through profit or loss	Financial liabilities are designated to be measured at fair value in the following instances to eliminate or significantly reduce an accounting mismatch that would otherwise arise where; - the financial liabilities are managed and their performance evaluated and reported on a fair value basis. - the financial liability contains one or more embedded derivatives that significantly modify the financial liability's cash flows.
Amortised cost	All other financial liabilities not included in the above categories.

Subsequent measurement

Subsequent to initial measurement, financial liabilities are classified in their respective categories and measured at either amortised cost or fair value as follows:

Held-for-trading	Fair value, with gains and losses arising from changes in fair value (including interest and dividends) recognised in trading revenue.
Designated at fair value through profit or loss	Fair value, with gains and losses arising from changes in fair value (including interest and dividends but excluding fair value gains and losses attributable to own credit risk) are recognised in the other gains and losses on financial instruments as part of non-interest revenue. Fair value gains and losses attributable to changes in own credit risk are recognised within OCI, unless this would create or enlarge an accounting mismatch in which case the own credit risk changes are recognised within trading revenue.
Amortised cost	Amortised cost using the effective interest method recognised in interest expense.

Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.6 Financial instruments (continued)

Derecognition and modification of financial assets and liabilities

Financial assets and liabilities are derecognised in the following instances:

	Derecognition	Modification
Financial assets	Financial assets are derecognised when the contractual rights to receive cash flows from the financial assets have expired, or where the Group has transferred its contractual rights to receive cash flows on the financial asset such that it has transferred substantially all the risks and rewards of ownership of the financial asset. Any interest in the transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability. The Group enters into transactions whereby it transfers assets, recognised in its statement of financial position, but retains either all or a portion of the risks or rewards of the transferred assets. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised. Transfers of assets with the retention of all or substantially all risks and rewards include securities lending and repurchase agreements. When assets are sold to a third party with a concurrent total rate of return swap on the transferred assets, the transaction is accounted for as a secured financing transaction, similar to repurchase transactions. In transactions where the Group neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset, the asset is derecognised if control over the asset is lost. The rights and obligations retained in the transfer are recognised separately as assets and liabilities as appropriate. In transfers where control over the asset is retained, the Group continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset. When assessing whether or not to derecognise a loan to a customer, amongst others, the Bank considers the following factors: Change in currency of the loan, Introduction of an equity feature, change in counterparty and whether the modification is such that the instrument would no longer meet the SPPI criterion. If the modification does not result in cash flows that are substantially different, as set out below, then it does not result in derecognition.	Where an existing financial asset or liability is replaced by another with the same counterparty on substantially different terms, or the terms of an existing financial asset or liability are substantially modified, such an exchange or modification is treated as a derecognition of the original asset or liability and the recognition of a new asset or liability at fair value, including calculating a new effective interest rate, with the difference in the respective carrying amounts being recognised in other gains and losses on financial instruments within non-interest revenue. The date of recognition of a new asset is consequently considered to be the date of initial recognition for impairment calculation purposes. If the terms are not substantially different for financial assets or financial liabilities, the Group recalculates the new gross carrying amount by discounting the modified cash flows of the financial asset or financial liability using the original effective interest rate. The difference between the new gross carrying amount and the original gross carrying amount is recognised as a modification gain or loss within credit impairments (for distressed financial asset modifications) or in other gains and losses on financial instruments within non-interest revenue (for all other modifications).
Financial liabilities	Financial liabilities are derecognised when the financial liabilities' obligation is extinguished, that is, when the obligation is discharged, cancelled or expires.	See modification for financial liabilities in the previous page.



Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.6 Financial instruments (continued)

Financial guarantee contracts and loan commitments below market interest rate

A financial guarantee contract is a contract that requires the group (issuer) to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument. Financial guarantee contracts are initially recognised at fair value, which is generally equal to the premium received, and then amortised over the life of the financial guarantee.

A loan commitment is described in IFRS 9 as a firm commitment to provide credit under specified terms and conditions. It is a binding promise from a lender that a specified amount of loan or line of credit will be made available to the named borrower at a certain interest rate, during a certain period and, usually, for a certain purpose. Loan commitments at a below market interest rate are initially recognised when the group and company become party to the irrevocable commitment at fair value.

Financial guarantee contracts are initially recognised at fair value, which is generally equal to the premium received, and then amortised over the life of the financial guarantee. Financial guarantee contracts (that are not designated at fair value through profit or loss) are subsequently measured at the higher of the:

- ECL calculated for the financial guarantee or
- unamortised premium

Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a currently enforceable legal right to set-off the recognised amounts and there is an intention to settle the asset and the liability on a net basis, or to realise the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the counterparties to the transaction.

Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from a group of similar transactions.

Derivative and embedded derivatives

A derivative is a financial instrument whose fair value changes in response to an underlying variable provided in the case if the underlying is not specific to a party to the contract, requires no initial net investment or an initial net investment

that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors and is settled at a future date.

In the normal course of business, the Group enters into a variety of derivative transactions for both trading and hedging purposes. Derivative financial instruments are entered into for trading purposes and for hedging foreign exchange, interest rate, inflation, credit, commodity and equity exposures. Derivative instruments used by the Group in both trading and hedging activities include swaps, options, forwards, futures and other similar types of instruments based on foreign exchange rates, credit risk, inflation risk, interest rates and the prices of commodities and equities.

Derivatives are initially recognised at fair value. Derivatives are classified as held-for-trading with all changes in fair value being recognised within trading revenue. This includes forward contracts to purchase or sell commodities, where net settlement occurs or where physical delivery occurs and the commodities are held to settle another derivative contract. All derivative instruments are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

In terms of IFRS 9, embedded derivatives included in hybrid instruments, where the host is a financial asset, are assessed in terms of the accounting policy on financial assets. In all other instances (being non-financial host contracts and financial liabilities), the embedded derivatives are treated and disclosed as separate derivatives when their economic characteristics and risks are not closely related to those of the host contract, the terms of the embedded derivative are the same as those of a stand-alone derivative and the combined contract is not measured at fair value through profit or loss. The host contract is accounted for and measured applying the relevant Group accounting policy. The method of recognising fair value gains and losses on derivatives designated as a hedging instrument depends on the nature of the hedging relationship.

Sale and repurchase agreements and lending of securities

Securities sold subject to linked repurchase agreements (Repos) are reclassified in the statement of financial position as pledged assets when the transferee has the right by contract or custom to sell or repledge the collateral. The liability to the counterparty is included under deposit and current accounts or trading liabilities, as appropriate.

Securities purchased under agreements to resell (reverse repurchase agreements), at either a fixed price or the purchase price plus a lender's rate of return, are recorded as loans and included under trading assets or loans and advances, as appropriate.

For repurchase and reverse repurchase agreements measured at amortised cost, the difference between the purchase and sales price is treated as interest and amortised over the expected life using the effective interest method.

Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.6 Financial instruments (continued)

Securities lent to counterparties are retained in the annual financial statements. Securities borrowed are not recognised in the annual financial statements unless sold to third parties. In these cases, the obligation to return the securities borrowed is recorded at fair value as a trading liability.

Income and expenses arising from the securities borrowing and lending business are recognised over the period of the transactions.

2.7. Fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or most advantageous) market between market participants at the measurement date under current market conditions.

When a price for an identical asset or liability is not observable, fair value is measured using another valuation technique that maximises the use of relevant observable inputs and minimises the use of unobservable inputs.

In estimating the fair value of an asset or a liability, the Group takes into account the characteristics of the asset or liability that market participants would take into account when pricing the asset or liability at measurement date.

For financial instruments, where the fair value of the financial instrument differs from the transaction price, the difference is commonly referred to as day one profit or loss. Day one profit or loss is recognised in profit or loss immediately where the fair value of the financial instrument is either evidenced by comparison with other observable current market transactions in the same instrument, or is determined using valuation models with only observable market data as inputs.

Day one profit or loss is deferred where the fair value of the financial instrument cannot be evidenced by comparison with other observable current market transactions in the same instrument, or determined using valuation models that utilise non-observable market data as inputs. The timing of the recognition of deferred day one profit or loss is determined individually depending on the nature of the instrument and availability of market observable inputs. It is either amortised over the life of the instrument, deferred until the instrument's fair value can be determined using market observable inputs, or realised through settlement.

Subsequent to initial recognition, fair value is measured based on quoted market prices or dealer price quotations for the assets and liabilities that are traded in active markets and where those quoted prices represent fair value at the measurement date.

If the market for an asset or liability is not active or the instrument is unlisted, the fair value is determined using

other applicable valuation techniques. These include the use of recent arm's length transactions, discounted cash flow analyses, pricing models and other valuation techniques commonly used by market participants.

Where discounted cash flow analyses are used, estimated future cash flows are based on management's best estimates and a market related discount rate at the reporting date for an asset or liability with similar terms and conditions.

If an asset or a liability measured at fair value has both a bid and an ask price, the price within the bid-ask spread that is most representative of fair value is used to measure fair value.

The Group has elected the portfolio exception to measure the fair value of certain groups of financial assets and financial liabilities. This exception permits a group of financial assets and financial liabilities to be measured at fair value on a net basis. This election is applied where the Group:

- manages the group of financial assets and financial liabilities on the basis of the Group's net exposure to a particular market risk (or risks) or to the credit risk of a particular counterparty in accordance with the Group's documented risk management or investment strategy;
- provides information on that basis about the group of financial assets and financial liabilities to the Group's key management personnel; and
- is required to or has elected to measure those financial assets and financial liabilities at fair value at the end of each reporting period.

Fair value measurements are categorised into level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement.

2.8. Property and equipment

Equipment and owner-occupied properties, furniture, vehicles and other tangible assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any. Cost includes expenditure that is directly attributable to the acquisition of the asset. Where significant parts of an item of property or equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

Costs that are subsequently incurred are included in the asset's related carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits will flow to the Group and the cost of the item can be measured reliably. Expenditure, which does not meet these criteria, is recognised the statement of profit or loss as incurred.

Owner-occupied properties are held for use in the supply of services or for administrative purposes.

Property and equipment are depreciated on the straight-line



Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.8 Property and equipment (continued)

basis over the estimated useful lives of the assets to their residual values. Leasehold buildings are depreciated over the shorter of the lease period or their useful lives.

The revaluation reserve in equity arose from revaluation of the Stanbic Bank Centre, Chiromo Road office at the point where CfC Bank and Stanbic Bank merged.

The estimated useful lives of tangible assets are typically as follows;

Class	Depreciation period
Buildings	40 years
Motor vehicles	4-5 years
Computer equipment	3-5 years
Office equipment	5-10 years
Furniture and fittings	5-13 years

Work in progress is not depreciated.

There has been no significant change to the estimated useful lives and depreciation methods from those applied in the previous financial year.

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognising of the item is included in the statement of profit or loss in the year the asset is derecognised.

The assets' residual values, useful lives and the depreciation method applied are reviewed, and adjusted prospectively if appropriate, at each financial year end.

2.9. Intangible assets

Goodwill

Goodwill arises on the acquisition of subsidiaries, associates and joint ventures and represents the excess of the consideration transferred over the Company's interest in net fair value of the net identifiable assets, liabilities and contingent liabilities of the acquiree and the fair value of the non-controlling interest in the acquiree.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the Group's Cash-generating Units (CGU), or groups of CGUs that are expected to benefit from the synergies of the combination.

Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the

goodwill is monitored for internal management purposes. Goodwill is assessed at the operating segment level.

Note 29, sets out the major cash generating unit to which goodwill has been allocated.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. An impairment loss is recognised whenever the carrying amount of an asset or its CGU exceeds its recoverable amount. Impairment losses are allocated first to reduce the carrying amount of any goodwill allocated to a CGU and then to reduce the carrying amount of other assets in the CGU on a pro rata basis. The carrying amount of these other assets may, however, not be reduced below the higher of the CGU's fair value less costs of disposal and its value in use. Any impairment recognised on goodwill is not subsequently reversed.

Computer software

Costs associated with developing or maintaining computer software programmes and the acquisition of software licences are generally recognised as an expense as incurred. However, direct computer software development costs that are clearly associated with an identifiable and unique system, which will be controlled by the Group and have probable future economic benefits beyond one year, are recognised as intangible assets. Capitalisation is further limited to development costs where the Group is able to demonstrate its intention and ability to complete and use the software, the technical feasibility of the development, and the availability of resources to complete the development, how the development will generate probable future economic benefits and the ability to reliably measure costs relating to the development. Direct costs include software development, employee costs and an appropriate portion of relevant overheads.

Expenditure subsequently incurred on computer software is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. Development costs previously recognised as an expense are not recognised as an asset in subsequent periods.

Direct computer software development costs recognised as intangible assets are amortised on the straight-line basis at rates appropriate to the expected useful lives of the assets (2 to 10 years) from the date that the assets are available for use, and are carried at cost less accumulated amortisation and accumulated impairment losses. The carrying amount of capitalised computer software is reviewed annually and is written down when impaired.

Amortisation methods, useful lives and residual values are reviewed at each financial year end and adjusted prospectively, if necessary.

Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.10. Borrowing costs

Borrowing costs consist of interest and other costs that an entity incurred in connection with the borrowing of funds. Borrowing costs that relate to qualifying assets, that is, assets that necessarily take a substantial period of time to get ready for their intended use or sale and which are not measured at fair value, are capitalised. All other borrowing costs are recognised in profit or loss.

2.11. Impairment of non-financial assets

Non-financial assets are reviewed for impairment at each reporting date and tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised in profit or loss for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. Fair value less costs of disposal is determined by ascertaining the current market value of an asset and deducting any costs related to the realisation of the asset. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purposes of assessing impairment, assets that cannot be tested individually are grouped at the lowest levels for which there are separately identifiable cash inflows from continuing use (CGUs). Impairment test also can be performed on a single asset when the fair value less costs of disposal or the value in use can be determined reliably. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed through profit or loss only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Further disclosures relating to impairment of non-financial assets are also provided in the following notes:

- Property and equipment see note 26, note 2.8
- Intangible assets see note 28, note 2.9
- Right-of-use assets (leasehold land) see note 27
- Right-of-use assets (buildings) see note 30
- Intangible assets - goodwill see note 29 and 3.11

2.12. Accounting for leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as lessee

On the commencement date of each lease (excluding leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value) the Group recognises a right-of-use asset and a lease liability.

The lease liability is measured at the present value of the lease payments that are not paid on that date. The lease payments include fixed payments, variable payments that depend on an index or a rate, amounts expected to be payable under residual value guarantees, and the exercise price of a purchase option if the Group is reasonably certain to exercise that option. The lease payments are discounted at the interest rate implicit in the lease. If that rate cannot be readily determined, the Group's incremental borrowing rate is used.

For leases that contain non-lease components, the Group allocates the consideration payable to the lease and non-lease components based on their relative stand-alone components.

The right-of-use asset is initially measured at cost comprising the initial measurement of the lease liability, any lease payments made on or before the commencement date, any initial direct costs incurred, and an estimate of the costs of restoring the underlying asset to the condition required under the terms of the lease. Subsequently the lease liability is measured at amortised cost, subject to remeasurement to reflect any reassessment, lease modifications, or revised fixed lease payments.

Right-of-use assets are subsequently measured at cost less accumulated depreciation and any accumulated impairment losses, adjusted for any remeasurement of the lease liability. Depreciation is calculated using the straight-line method to write down the cost of each asset to its residual value over its estimated useful life. If ownership of the underlying asset is not expected to pass to the Group at the end of the lease term, the estimated useful life would not exceed the lease term.

For leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value, the total lease payments are recognised in profit or loss on a straight-line basis over the lease period.

Termination of leases

When the group or lessor terminates or cancels a lease, the right of use asset and lease liability are derecognised. On derecognition of the right of use asset and lease liability, any difference is recognised as a derecognition gain or loss in profit or loss.



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For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.12 Accounting for leases (continued)

Reassessment and modification of leases

When the Group reassesses the terms of any lease (i.e. it re-assesses the probability of exercising an extension or termination option) or modifies the terms of a lease without increasing the scope of the lease or where the increased scope is not commensurate with the stand-alone price, it adjusts the carrying amount of the lease liability to reflect the payments to be made over the revised term, which are discounted at the applicable rate at the date of reassessment or modification. The carrying amount of lease liability is similarly revised when the variable element of future lease payments dependent on a rate or index is revised.

For reassessments to the lease terms, an equivalent adjustment is made to the carrying amount of the right of use asset, with the revised carrying amount being depreciated over the revised lease term. However, if the carrying amount of the right of use asset is reduced to zero any further reduction in the measurement of the lease liability is recognised in profit or loss.

For lease modifications that are not accounted for as a separate lease, an equivalent adjustment is made to the carrying amount of the right of use asset, with the revised carrying amount being depreciated over the revised lease term. However, for lease modifications that decrease the scope of the lease the carrying amount of the right of use asset is decreased to reflect the partial or full termination of the lease, with any resulting difference being recognised in profit or loss as a gain or loss relating to the partial or full termination of the lease.

When the group modifies the terms of a lease resulting in an increase in scope and the consideration for the lease increases by an amount commensurate with a stand-alone price for the increase in scope, the group accounts for these modifications as a separate new lease.

This accounting treatment equally applies to leases which the group elected the short-term lease exemption and the lease term is subsequently modified.

2.13. Provisions, contingent assets and contingent liabilities

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Provisions are determined by discounting the expected future cash flows using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the liability.

The increase in provision due to passage of time is recognised as an expense.

Where there are a number of similar obligations, the probability that an outflow will be required in settlement is determined by considering the class of obligations as a whole. Although the likelihood of outflow for any one item may be small, it may well be probable that some outflow of resources will be needed to settle the class of obligations as a whole.

Provisions for legal claims are recognised on a prudent basis for the estimated cost for all legal claims that have not been settled or reached conclusion at the reporting date. In determining the provision management considers the probability and likely settlement (if any). Reimbursements of expenditure to settle the provision are recognised when and only when it is virtually certain that the reimbursement will be received.

A provision for restructuring is recognised when the Group has approved a detailed formal plan, and the restructuring either has commenced or has been announced publicly. Future operating costs or losses are not provided for.

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

Contingent assets are not recognised in the annual financial statements but are disclosed when, as a result of past events, it is probable that economic benefits will flow to the Group, but this will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events which are not wholly within the Group's control.

Contingent liabilities ordinarily include certain guarantees, other than financial guarantees, and letters of credit.

Contingent liabilities also include possible obligations arising from past events, whose existence will be confirmed only by uncertain future events, or present obligations arising from past events that are not recognised because either an outflow of economic benefits is not probable or the amount of the obligation cannot be reliably measured. Contingent liabilities are not recognised in the annual financial statements but information about them is disclosed in the notes to the annual financial statements unless the possibility of any outflow of economic benefits in settlement is remote.

Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.14. Taxation

i. Direct tax

Current tax includes all domestic and foreign taxes based on taxable profits and capital gains tax. Current tax is determined for current period transactions and events and deferred tax is determined for future tax consequences. Current and deferred tax are recognised in profit or loss except to the extent that it relates to a business combination (relating to a measurement period adjustment where the carrying amount of the goodwill is greater than zero), or items recognised directly in equity or in OCI.

Current tax represents the expected tax payable on taxable income for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustments to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences arising between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted at the reporting date.

The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of the asset or liability and is not discounted.

Deferred tax assets are recognised to the extent that it is probable that future taxable income will be available against which the unused tax losses can be utilised. They are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax is not recognised for the following temporary differences:

- The initial recognition of goodwill;
- The initial recognition of assets and liabilities in a transaction that is not a business combination, which affects neither accounting nor taxable profits or losses; and
- Investments in subsidiaries, associates and jointly controlled arrangements (excluding mutual funds) where the group controls the timing of the reversal of temporary differences and it is probable that these differences will not reverse in the foreseeable future.

Current and deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

ii. Indirect tax

Indirect taxes, including non-recoverable VAT, skills development levies and other duties for banking activities, are recognised in profit or loss and included in administrative expenses. Non-recoverable VAT on capital items is capitalised.

2.15. Employee benefits

i. Defined contribution plans

The Group operates a number of defined contribution plans, based on a percentage of pensionable earnings funded by both employer companies and employees. The assets of which are generally held in separate trustee-administered funds.

Contributions to these plans are recognised as an expense in profit or loss in the periods during which services are rendered by employees.

The Group and its employees also contribute to the National Social Security Fund. These contributions are determined by local statutes and the Group's contributions are charged to profit or loss in the year which they relate to. Refer to note 13.

ii. Termination benefits

Termination benefits are recognised as an expense when the Group is committed, without realistic possibility of withdrawal, to a formal detailed plan to terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense if the Group has made an offer encouraging voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

iii. Short-term benefits

Short-term benefits consist of salaries, accumulated leave payments, profit share, bonuses and any non-monetary benefits such as medical aid contributions.

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to be paid under short-term cash bonus plans or accumulated leave if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

2.16. Dividends

Dividends in ordinary shares are charged to equity in the period in which they are declared.



Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.17. Equity

Ordinary shares are classified as ‘share capital’ in equity. Any premium received over and above the par value of the shares is classified as ‘share premium’ in equity.

i. Share issue costs

Incremental external costs directly attributable to a transaction that increases or decreases equity are deducted from equity, net of related tax. All other share issue costs are expensed.

ii. Dividends on ordinary shares

Dividends are recognised in equity in the period in which they are declared. Distributions declared after the reporting date are disclosed in the distributions note.

Proposed dividends are presented within retained earnings until they have been ratified at an Annual General Meeting. They are disclosed under note 18.

2.18. Earnings per share

Basic earnings per share are calculated by dividing the profit attributable to equity holders of the company by the weighted average number of ordinary shares in issue during the year. Diluted earnings per share is determined by adjusting the profit or loss attributable to ordinary share shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential shares, if any.

2.19. Equity-linked transactions (Share based payment schemes)

Equity compensation plans

The Group operates both equity-settled and cash-settled share-based compensation plans. These are all referenced to Standard Bank Group’s (SBG) share price on vesting date.

The fair value of equity-settled share options is determined on the grant date and accounted for as staff costs over the vesting period of the share options, with a corresponding increase in the share-based payment reserve. Non-market vesting conditions, such as the resignation of employees and retrenchment of staff, are not considered in the valuation but are included in the estimate of the number of options expected to vest. At each reporting date, the estimate of the number of options expected to vest is reassessed and adjusted against profit or loss and equity over the remaining vesting period.

On vesting of share options, amounts previously credited to the share-based payment reserve are transferred to retained earnings through an equity transfer. On exercise of equity-settled share options, proceeds received are credited to share capital and premium.

Share-based payments settled in cash are accounted for as liabilities at fair value until settled. The liability is recognised over the vesting period and is revalued at every reporting date and on settlement. Any changes in the liability are recognised in profit or loss.

2.20. Segment reporting

An operating segment is a component of the Group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. The group’s identification of segments and the measurement of segment results is based on the group’s internal reporting to the chief operating decision makers, comprising of the executive committee.

Transactions between segments are priced at market-related rates.

2.21. Fiduciary activities

The Group commonly engages in trust or other fiduciary activities that result in the holding or placing of assets on behalf of individuals, trusts, post-employment benefit plans and other institutions. These assets and the income arising directly thereon are excluded from these annual financial statements as they are not assets of the Group. However, fee income earned and fee expenses incurred by the Group relating to the Group’s responsibilities from fiduciary activities are recognised in profit or loss.

2.22. Hyperinflation

The Group previously applied hyperinflation accounting to the South Sudan Branch for the year ended 31 December 2024 in accordance with IAS 29, as the South Sudanese Pound (SSP) was the functional currency and the economy met the characteristics of a hyperinflationary environment.

Following a reassessment of the Branch’s operating environment and primary economic indicators, management determined that the functional currency of the South Sudan Branch is the US Dollar (USD). Although the economy of South Sudan continues to be hyperinflationary, IAS 29 is no longer applicable, as the branch’s functional currency is not the currency of a hyperinflationary economy.

No hyperinflation adjustments have been applied to current-year balances or transactions.

2.23. Letters of Credit Acceptances

Letters of credit acceptances arise in two ways:

i. Issuing Bank

At initial recognition where the Group is the issuing bank, it recognises a contingent liability for the amount that it may be required to pay out to the confirming bank or beneficiary should the terms and conditions underlying the contract be met.

Financial statements

For the year ended 31 December 2025

Notes (continued)

2. Summary of Material accounting policies (continued)

2.23 Letters of Credit Acceptances (continued)

On the date that all terms and conditions underlying the contract are met, the Group recognises a financial asset (at fair value) on the statement of financial position as part of loans and advances for the contractual right to receive cash from the applicant. Concurrently, the Group recognises a financial liability (at fair value) on the statement of financial position as part of deposits for the contractual obligation to deliver cash to the beneficiary or the confirming bank, depending on the structure of the arrangement.

ii. Confirming Bank

At initial recognition where the Group is the confirming bank, it recognises the amount that it may be required to pay out to the beneficiary should the terms and conditions underlying the contract be met. The Group concurrently recognises a contingent asset for the amount that the issuing bank may be entitled to receive.

On the date that all terms and conditions underlying the contract are met the Group recognises a financial asset (at fair value) on the statement of financial position as part of loans and advances for the contractual right to receive cash from the issuing bank and concurrently recognises a financial liability (at fair value) on the statement of financial position as part of deposits for the contractual obligation to deliver cash to the beneficiary.

2.24. Statement of cash flows comparatives

The restricted balances held with the Central Bank of Kenya (CBK) and Bank of South Sudan (BOSS) can be accessed by the Bank during the day to settle transactions as long as the legislated reserve balance is deposited at the end of each day. This results in a restriction of the use of the funds and not accessing the funds. Due to the access to the funds not being impacted the nature of the mandatory reserve deposits still meet the definition of cash and cash equivalents as these would qualify as on demand deposits.

Consequently, management has restated the statement of cash flow to include the mandatory reserve deposits within the cash and cash equivalents line.

The impact of the restatement is summarised below:

	As previously reported	Prior year adjustment	As restated
	Kshs. Million	Kshs. Million	Kshs. Million
Statement of cash flows			
Net change in cash reserve requirements	2,157	(2,157)	-
Net cash used in operating activities	(23,614)	(2,157)	(25,771)
Net decrease in cash and cash equivalents	(38,049)	(2,157)	(40,206)
Cash and cash equivalents at the start of the year	102,044	17,317	119,361
Cash and cash equivalents at the end of the year	61,076	15,160	76,236
Cash and cash equivalents note 39(b)			
Cash and Bank balances with Central Banks	11,917	12,760	24,677
Loans and advances to banks*	62,086	2,400	64,486
Cash and cash equivalents	61,076	15,160	76,236

*In the prior year when the mandatory reserves were excluded from cash and cash equivalents, the BOSS mandatory cash reserve was adjusted against loans and advances to banks in note 39(b) instead of against Cash and Bank balances with Central Banks.



Financial statements

For the year ended 31 December 2025

Notes (continued)

3. Critical accounting estimates and judgements in applying accounting policies

In preparing the financial statements, estimates and judgement are made that could materially affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on factors such as historical experience and current best estimates of uncertain future events that are believed to be reasonable under the circumstances.

Unless otherwise stated, no material changes to assumptions have occurred during the year.

3.1. Going concern

The Group’s management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Group’s ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

Stanbic Bank Kenya Limited, a subsidiary of Stanbic Holdings Plc operates a Branch in South Sudan. The Bank of South Sudan (Regulator) issued new capital guidelines in 2025 requiring banks operating in South Sudan to increase capital from the prevailing SSP 5B (approximately USD 1.1M) to USD 20M by 31 December 2025, USD 25M by 30 June 2026 and USD 30M by 31 December 2026. The Bank’s board of directors considered this requirement and resolved not to inject additional capital considering the disproportionately small size of the Branch’s business in South Sudan. Management has had subsequent engagements with the regulator on the status of capitalization of the Branch and is currently assessing the regulatory requirements and will feedback to the board and shareholders at the upcoming meetings for resolutions on the way forward for the future of the business. These resolutions, once obtained, will inform further regulatory engagements.

The capital requirements in South Sudan do not impact the regulatory requirements in Kenya and therefore there is no impact on the going concern basis of preparation of these financial statements.

3.2. Impairment of financial assets carried at fair value through OCI (FVOCI)

The Group reviews its debt securities classified as FVOCI investments at each reporting date to assess whether they are impaired. This requires similar judgment as applied to the individual assessment of loans and advances.

3.3. Impairment of financial assets at amortised cost

The Group reviews its debt securities classified as amortised cost investments at each reporting date to assess whether they are impaired. This requires similar judgements as applied to the individual assessment of loans and advances.

3.4. Fair value of financial instruments

In terms of IFRS Accounting Standards, the Group is either required to or elects to measure a number of its financial assets and financial liabilities at fair value, being the price that would, respectively, be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or most advantageous) market between market participants at the measurement date. Regardless of the measurement basis, the fair value is required to be disclosed, with some exceptions, for all financial assets and financial liabilities. Fair value is a market-based measurement and uses the assumptions that market participants would use when pricing an asset or liability under current market conditions. When determining fair value it is presumed that the entity is a going concern and is not an amount that represents a forced transaction, involuntary liquidation or a distressed sale. Information obtained from the valuation of financial instruments is used to assess the performance of the group and, in particular, provides assurance that the risk and return measures that the Group has taken are accurate and complete.

Valuation process

The Group’s valuation control framework governs internal control standards, methodologies and procedures over its valuation processes, which include:

Prices quoted in an active market: The existence of quoted prices in an active market represents the best evidence of fair value. Where such prices exist, they are used in determining the fair value of financial assets and financial liabilities.

Valuation techniques: Where quoted market prices are unavailable, the group establishes fair value using valuation techniques that incorporate observable inputs, either directly, such as quoted prices, or indirectly, such as those derived from quoted prices, for such assets and liabilities. Parameter inputs are obtained directly from the market, consensus pricing services or recent transactions in active markets, whenever possible. Where such inputs are not available, the group makes use of theoretical inputs in establishing fair value (unobservable inputs). Such inputs are based on other relevant input sources of information and incorporate assumptions that include prices for similar transactions, historic data, economic fundamentals, and research information, with appropriate adjustments to reflect the terms of the actual instrument being valued and current market conditions. Changes in these assumptions would affect the reported fair values of these financial instruments.

Financial statements

For the year ended 31 December 2025

Notes (continued)

3. Critical accounting estimates and judgements in applying accounting policies (continued)

3.4. Fair value of financial instruments

Valuation process (continued)

Valuation techniques used for financial instruments include the use of financial models that are populated using market parameters that are corroborated by reference to independent market data, where possible, or alternative sources, such as, third-party quotes, recent transaction prices or suitable proxies. The fair value of certain financial instruments is determined using industry standard models such as, discounted cash flow analysis and standard option pricing models. These models are generally used to estimate future cash flows and discount these back to the valuation date. For complex or unique instruments, more sophisticated modelling techniques may be required, which require assumptions or more complex parameters such as correlations, prepayment spreads, default rates and loss severity.

Valuation adjustments: Valuation adjustments are an integral part of the valuation process. Adjustments include, but are not limited to: credit spreads on illiquid issuers; implied volatilities on thinly traded instruments; correlation between risk factors; prepayment rates; other illiquid risk drivers. In making appropriate valuation adjustments, the group applies methodologies that consider factors such as bid-offer spreads, liquidity, counterparty and own credit risk. Exposure to such illiquid risk drivers is typically managed by:

- using bid-offer spreads that are reflective of the relatively low liquidity of the underlying risk driver
- raising day one profit or loss provisions in accordance with IFRS Accounting Standards.
- quantifying and reporting the sensitivity to each risk driver
- limiting exposure to such risk drivers and analysing exposure on a regular basis.

Validation and control: All financial instruments carried at fair value, regardless of classification, and for which there are no quoted market prices for that instrument, are fair valued using models that conform to international best practice and established financial theory. These models are validated independently by the Group’s model validation unit and formally reviewed and approved by the market risk methodologies committee. This control applies to both off-the-shelf models, as well as those developed internally by the Group. Further, all inputs into the valuation models are subject to independent price validation procedures carried out by the Group’s market risk unit. Such price validation is performed on at least a monthly basis, but daily where possible given the availability of the underlying price inputs. Independent valuation comparisons are also performed and any significant

variances noted are appropriately investigated. Less liquid risk drivers, which are typically used to mark level 3 assets and liabilities to model, are carefully validated and tabled at the monthly price validation forum to ensure that these are reasonable and used consistently across all entities in the group. Sensitivities arising from exposures to such drivers are similarly scrutinised, together with movements in level 3 fair values. They are also disclosed on a monthly basis at the market risk, asset and liability committees.

Portfolio exception: The group has, on meeting certain qualifying criteria, elected the portfolio exception which allows an entity to measure the fair value of certain groups of financial assets and financial liabilities on a net basis similar to how market participants would price the net risk exposure at the measurement date.

The total amount of the change in fair value estimated using valuation techniques not based on observable market data that was recognised in profit or loss for the year ended 31 December 2025 was a profit of KShs nil (2024: KShs nil).

Additional disclosures on fair value measurements of financial instruments are set out in notes 2.7 and 4.6.

3.5. Development costs

The Group capitalises software development costs for an intangible assets in accordance with the accounting policy detailed in note 2.9. Initial capitalisation of costs is based on management’s judgment that technological and economic feasibility is confirmed, usually when a product development project has reached a defined milestone and where the Group is able to demonstrate its intention and ability to complete and use the software.

3.6. Share-based payment

The Group has a number of cash and equity-settled share incentive schemes which are issued to qualifying employees based on the rules of the schemes. The Group uses the Black-Scholes option pricing model to determine the fair value of awards on grant date for its equity-settled share incentive schemes. The valuation of the Group’s obligation with respect to its cash-settled share incentive scheme obligations is determined with reference to the SBG share price, which is an observable market input. In determining the expense to be recognised for both the cash and equity-settled share schemes, the Group estimates the expected future vesting of the awards by considering staff attrition levels. The Group also makes estimates of the future vesting of awards that are subject to non-market vesting conditions by taking into account the probability of such conditions being met. Refer to note 45 for further details regarding the carrying amount of the liabilities arising from the Group’s cash-settled share incentive schemes and the expenses recognised in the statement of profit or loss.



Financial statements

For the year ended 31 December 2025

Notes (continued)

3. Critical accounting estimates and judgements in applying accounting policies (continued)

3.7. Income taxes

The Group is subject to direct taxation in two jurisdictions. There may be transactions and calculations for which the ultimate tax determination has an element of uncertainty during the ordinary course of business. The Group recognises liabilities based on objective estimates of the quantum of taxes that may be due. Where the final tax determination is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions, disclosed in note 37 and note 38, respectively, in the period in which such determination is made.

Deferred tax assets

Deferred tax assets are recognised to the extent that it is probable that future taxable income will be available against which the unused tax losses can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Management’s judgement surrounding the probability and sufficiency of future taxable profits, future reversals of existing taxable differences and on-going developments will determine the recognition of deferred tax. The most significant management assumption is the forecasts used to support the probability assessment that sufficient taxable profits will be generated by the entities in the Group in order to utilise the deferred tax assets.

Note 38 summarises the details of the carrying amount of the deferred tax assets. Accounting policy 2.14 provides further detail regarding the Group’s deferred tax accounting policy.

3.8. Provisions

The accounting policy for provisions is set out in accounting policy 2.13. The principal assumptions taken into account in determining the value at which provisions are recorded at, in the Group’s statement of financial position, include determining whether there is an obligation as well as assumptions about the probability of the outflow of resources and the estimate of the amount and timing for the settlement of the obligation.

The probability of an event of a significant nature occurring will be assessed by management and, where applicable, consultation with the Group’s legal counsel. In determining the amount and timing of the obligation once it has been assessed to exist, management exercises its judgement by taking into account all available information, including that arising after the reporting date up to the date of the approval of the financial statements.

3.9. Expected credit loss (ECL) on financial assets - IFRS 9 drivers

During the current reporting period models have been enhanced but no material changes to assumptions have occurred.

In preparing the financial statements, estimates and assumptions are made that could materially affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on factors such as historical experience and current best estimates of future events. The estimates and judgements below have remained unchanged unless otherwise stated. The following represents the most material key management assumptions applied in preparing these financial statements.

ECL measurement period

Personal and Private Banking(PPB) and Business and Commercial Banking clients (BCB)

- The ECL measurement period at a minimum, is equal to the 12-month ECL of the financial asset or for the remaining tenor of the financial asset if the remaining lifetime is less than 12 months.
- A loss allowance for full lifetime ECL is required for a financial asset if the credit risk of that financial instrument has increased significantly since initial recognition.
- The impact of the lifetime loss given default (LGD) workout, being an increase in the lifetime period over which subsequent cures and re-defaults are considered.
- The IFRS 9 requirement to hold ECL on unutilised loan commitments, notably pertaining to PPB and BCB’s card and other lending portfolios.

Corporate and Investment Banking (CIB)

- The ECL measurement period at a minimum, is equal to the 12-month ECL of the financial asset or for the remaining tenor of the financial asset if the remaining lifetime is less than 12 months.
- A loss allowance for full lifetime ECL is required for a financial asset if the credit risk of that financial instrument has increased significantly since initial recognition.
- The requirement to hold ECL on unutilised loan commitments has been included, where appropriate, within this classification.

Financial statements

For the year ended 31 December 2025

Notes (continued)

3. Critical accounting estimates and judgements in applying accounting policies (continued)

3.9. Expected credit loss (ECL) on financial assets - IFRS 9 drivers (continued)

Treasury

For debt securities in the treasury portfolio, external rating agency credit grades are used. These published grades are continuously monitored and updated. The PDs associated with each grade are determined based on realised default rates over the prior 12 months, as published by the rating agency. Refer to 4.3.4 (b) for Group’s rating method.

Significant increase in credit risk (SICR) and low credit risk

A lifetime ECL requirement for all exposures for which there has been SICR. This included the impact of the LGD work out, being an increase in the life time period over which subsequent cures and re-defaults are considered. The requirement to hold ECL on off-balance sheet exposures has been included where appropriate within this classification.

To determine whether a client’s credit risk has increased significantly since origination, the group would need to determine the extent of the change in credit risk using the table below:

Group master rating scale band	SICR trigger (from origination)
SB 1 – 12	Low credit risk
SB 13 – 20	3 rating or more
SB 21 – 25	1 rating or more

Personal and Private Banking (PPB) and Business and Commercial Banking (BCB)

In accordance with IFRS 9, all exposures are assessed to determine whether there has been SICR at the reporting date, in which case an impairment provision equivalent to the lifetime expected loss is recognised. SICR thresholds, which are behaviour score based, are derived for each portfolio vintage of exposures with similar credit risk and are calibrated over time to determine which exposures reflect deterioration relative to the originated population and consequently reflect an increase in credit risk.

The Group also determines an appropriate transfer rate of exposures from stage 1 to stage 2 by taking into account the expected levels of arrears status for similar exposures. The SICR thresholds are reviewed regularly to ensure that they are appropriately calibrated to identify SICR throughout the life of the exposure and consequently facilitate appropriate impairment coverage.

Where behaviour scores are not available, historical levels of delinquency are applied in determining whether there has

been SICR. For all exposures, IFRS 9’s rebuttable presumption of 30 days past due as well as exposures classified as either debt review or as ‘watch-list’ are used to classify exposures within stage 2.

Forward looking economic expectations are included in the ECL by adjusting the probability of default (PD), LGD and SICR. Adjustments are made based on the Group’s macro-economic outlook, using models that correlate these parameters with macro-economic variables. Where modelled correlations are not viable or predictive, adjustments are based on expert judgement to predict the outcomes based on the Group’s macro-economic outlook expectations.

CIB

The Group uses a 25-point master rating scale to quantify the credit risk for each exposure. On origination, each client is assigned a credit risk grade within the Group’s 25-point master rating scale. Ratings are mapped to PDs by means of calibration formulae that use historical default rates and other data for the applicable portfolio. These credit ratings are evaluated at least annually or more frequently as appropriate.

CIB exposures are evaluated for SICR by comparing the credit risk grade at the reporting date to the origination credit risk grade. Where the relative change in the credit risk grade exceeds certain pre-defined ratings’ migration thresholds or, when a contractual payment becomes more than 30 days overdue (IFRS 9’s rebuttable presumption), the exposure is classified within stage 2. These pre-defined ratings’ migration thresholds have been determined based on historic default experience which indicate that higher rated risk exposures are more sensitive to SICR than lower risk exposures. Based on an analysis of historic default experience, exposures that are classified by the Group’s master rating scale as investment grade are assessed for SICR at each reporting date but are considered to be of a low credit risk for IFRS 9 purposes.

Forward looking economic expectations are incorporated in CIB’s client ratings. The client rating thus reflects the expected client risk for the Group’s expectation of future economic and business conditions. Further adjustments, based on point-in-time market data, are made to the PDs assigned to each risk grade to produce PDs and ECL representative of existing market conditions.

Forward looking expectations

- The Group Economics’ Research team determines the macroeconomic outlook and a Group view of commodities over a planning horizon of at least three years. The outlook is provided to the legal entity’s Chief Financial and Value Officer for review and asset and liability committee for approval.
- Macroeconomic outlooks take into account various variables such as gross domestic product, central bank policy interest rates, inflation, exchange rates and treasury bill rates.



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For the year ended 31 December 2025

Notes (continued)

3. Critical accounting estimates and judgements in applying accounting policies (continued)

3.9. Expected credit loss (ECL) on financial assets - IFRS 9 drivers

Forward looking expectations (continued)

- Narratives for each of the country economic outlooks, being bear, base and bull cases, are compiled and typically include consideration of the country's economic background, sovereign risk, foreign exchange risk, financial sector, liquidity and monetary policy stance.
- Probabilities are assigned to each of the bear, base and bull cases based on primary macroeconomic drivers and are reviewed monthly.
- The forward looking economic expectations are updated on a bi-annual basis or more regularly when deemed appropriate.

Main macroeconomic factors

The following table shows the main macroeconomic factors used to estimate the forward-looking impact on the ECL provision of financial assets. Each scenario, namely base, bear and bull scenario, is presented for each identified time period.

	31 December 2025			31 December 2024		
	Base	Bear	Bull	Base	Bear	Bull
Macroeconomic factors						
Inflation	6.0	6.7	3.6	3.7	6.3	3.3
Policy rate	8.5	9.3	7.8	11.0	11.0	9.5
3m Tbill rate	7.7	8.9	6.5	10.7	17.3	9.3
6m Tbill rate	7.9	9.1	6.8	11.5	17.9	9.9
Exchange rate (USD/KES)	129.6	135.6	123.6	129.1	152.7	118.9
Real GDP	5.5	4.4	6.5	5.4	3.6	7.6
Sovereign Rating	B	B	B	B-	B-	B-

PPB and BCB

Adjustments to the PD and LGD, based on forward looking economic expectations at the reporting date resulted in the requirement to hold higher credit impairments.

CIB

Negligible impact as CIB's client ratings, typically included forward looking expectations.

Lifetime LGD work out

Increased lifetime period over which subsequent cures and re-defaults are considered resulted in higher credit impairments for credit-impaired financial assets.

Write off policy

An impaired loan is written off once all reasonable attempts at collection have been made and there is no economic benefit expected from attempting to recover the balance outstanding. The following criteria must be met before a financial asset can be written off:

- the financial asset has been in default for the period defined for the specific product (i.e. vehicle and asset finance, mortgage loans, etc.) which is deemed sufficient to determine whether the entity is able to receive any further economic benefit from the impaired loan; and
- at the point of write-off, the financial asset is fully impaired (i.e. 100% allowance) with the expectation that the probability of recovery is nil and this probability is not expected to change in the future.

Financial statements

For the year ended 31 December 2025

Notes (continued)

3. Critical accounting estimates and judgements in applying accounting policies (continued)

3.9. Expected credit loss (ECL) on financial assets - IFRS 9 drivers (continued) Main macroeconomic factors (continued)

Write off policy (continued)

As an exception to the above requirements, where the exposure is secured (or for collateralised structures), the impaired loan can only be written off once the collateral has been realised. Post-realisation of the collateral, the shortfall amount can be written off if it meets the second requirement listed above. The shortfall amount does not need to meet the first requirement to be written off.

Partial write-off of an asset occurs when the Group gives a concession to a debtor such that a part of the loan will not be recovered. In this case, the part that will not be recovered is written off.

For CIB products, write-offs are assessed on a case-by-case basis and approved by CIB credit governance committee based on the individual facts and circumstances.

Continuous assessment is required to determine whether the conditions that led to a financial asset being considered to be credit impaired (i.e. stage 3) still exist. Distressed restructured financial assets that no longer qualify as credit impaired remain within stage 3 for a minimum period of six months (i.e. six full consecutive monthly payments per the terms and conditions). However, in the case of financial assets with quarterly or longer dated repayment terms, the classification of a financial asset out of stage 3 may be made subsequent to an evaluation by the Group's CIB or PPB and BCB Credit Governance Committee (as appropriate), such evaluation will take into account qualitative factors in addition to compliance with payment terms and conditions of the agreement. Qualitative factors include compliance with covenants and compliance with existing financial asset terms and conditions.

Where it has been determined that a financial asset no longer meets the criteria for significant increase in credit risk, when compared to the credit rating at initial recognition, the financial asset will be moved from stage 2 (lifetime expected credit loss model) back to stage 1 (12-month expected credit loss model) prospectively. In retail portfolios, a rehabilitation period of at least 6 months (subsequent to a customer repaying all outstanding facilities) would be needed for the customer's internal rating to decrease back to its rating

scale at initial recognition and move from stage 2 to stage 1 accordingly.

Out of the above factors that drive the ECL, the most significant source of uncertainty is credit ratings allocated to counterparties which drive this assigned probability of default. The PDs in turn incorporate assessment for significant increase in credit risk, default risk assessment, forward looking information and probability weighted scenarios. At 31 December 2025, had the average credit ratings for all counterparties shifted one notch down expected credit losses would have increased by KShs 485,414,219 (2024: KShs 491,626,968) higher where if the credit ratings had improved by one notch the expected credit losses would have decreased by KShs 350,033,243 (2024: KShs 589,316,449).

Off-balance sheet exposures – bankers' acceptances, guarantees and letters of credit

The requirement to hold ECL on off-balance sheet financial instruments, such as guarantees and letters of credit, resulted in a requirement to hold additional credit impairment provisions.

3.10. Credit impairment losses on loans and advances Specific loan impairments

Non-performing loans include those loans for which the Group has identified objective evidence of default, such as a breach of a material loan covenant or condition as well as those loans for which instalments are due and unpaid for 90 days or more. Management's estimates of future cash flows on individually impaired loans are based on historical loss experience for assets with similar credit risk characteristics.

The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience. Where the net present value of estimated cash flows to differ by +/-1%, the impairment loss is to be estimated at KShs 67,811,000 higher or lower (2024: KShs 47,441,460 higher or lower) respectively.

3.11. Impairment of goodwill

The Group tests annually whether goodwill has suffered any impairment, in accordance with the accounting policy 2.9. Information on key assumptions used to determine the value in use and impairment testing for CGUs containing goodwill is included in Note 29.



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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk;
- Liquidity risk;
- Market risks; and
- Operational risks (encompasses systems, people and processes).

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies

and processes for measuring and managing risk, and the Group's management of capital.

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The Board has established various committees, including the Asset and Liability (ALCO), Credit and Operational Risk committees, which are responsible for developing and monitoring risk management policies in their specified areas. All Board committees have both executive and non-executive members and report regularly to the Board of Directors of the Group on their activities.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. The Board provides written principles for overall risk management, as well as written policies covering specific areas, such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and non-derivative financial instruments. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The Audit and Risk Committees are responsible for monitoring compliance with the Group's risk management policies and procedures, and for reviewing the adequacy of the risk management framework in relation to the risks faced by the Group. The Committees are assisted in these functions by Internal Audit. Internal Audit undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committee.

By their nature, the Group's activities are principally related to the use of financial instruments including derivatives. The Group accepts deposits from customers at both fixed and floating rates, and for various periods, and seeks to earn above-average interest margins by investing these funds

in high quality assets. The Group seeks to increase these margins by consolidating short-term funds and lending for longer periods at higher rates, while maintaining sufficient liquidity to meet all claims that might fall due. The Treasury identifies, evaluates and hedges financial risks in close co-operation with the Group's operating units.

The Group also seeks to raise its interest margins by obtaining above-average margins, net of allowances, through lending to commercial and retail borrowers with a range of credit standing. Such exposures involve not just on-statement of financial position loans and advances; the Group also enters into guarantees and other commitments such as letters of credit and performance, and other bonds.

The Group also trades in financial instruments where it takes positions in traded and over-the-counter instruments to take advantage of short-term market movements in bonds, currency and interest rate. The Board places trading limits on the level of exposure that can be taken in relation to both overnight and intra-day market positions.

Foreign exchange and interest rate exposures associated with derivatives are normally offset by entering into counter-balancing positions, thereby controlling the variability in the net cash amounts required to liquidate market positions.

4.1. Capital management- Company

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Company may limit the amount of dividends paid to shareholders, issue new shares, or sell assets to reduce debt.

The Company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents.

4.2. Capital management- Group

The Group's objectives when managing capital, which is a broader concept than the 'equity' on the face of the statement of financial position, are:

- to comply with the capital requirements set by the regulators, Central Bank of Kenya and Capital Market Authority;
- to safeguard the Group's (and its subsidiaries) ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- to maintain a strong capital base to support the development of its business.

It uses two approaches of measuring capital for capital management.

Financial statements

For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.2. Capital management- Group (continued)

a) Economic capital assessment

Economic capital is the Group's internal measure of required capital and it incorporates granular risk assessments and portfolio concentration effects that may be absent from the regulatory capital assessment process. Stanbic aggregates the individual risk type economic capital measurements conservatively assuming no inter-risk diversification. Economic capital is compared to Available Financial Reserves (AFR) to perform an assessment of capital adequacy based on internal measures.

b) Regulatory capital assessment

The Group's main subsidiary, Stanbic Bank Kenya Limited and its South Sudan Branch , monitor the adequacy of their capital using ratios established by the Central Bank of Kenya (CBK) and Bank of South Sudan(BOSS). These ratios are broadly in line with those of the Bank for International Settlements (BIS).

These ratios measure capital adequacy by comparing the Group's eligible capital with its statement of financial position assets, off-balance-sheet commitments and market and other risk positions at weighted amounts to reflect their relative risk.

The risk-based approach applies to both on and off-statement of financial position items. The focus of this approach is credit risk, interest rate risk, market risk, operational risk, concentration risk and underlying collateral risk.

The assets are weighted according to broad categories, each being assigned a risk weighting according to the amount

of capital deemed to be necessary to support them. Five categories of risk weights (0%, 20%, 35%,50%, and 100%) are applied.

The Group's key subsidiary (Stanbic Bank Kenya Limited) is required at all times to maintain:

- A minimum level of regulatory capital of KShs 3 billion as at 31 December 2025 (2024: KShs 1 billion);
- A core capital (tier 1) of not less than 10.5% (2024: 10.5%) of total risk weighted assets plus risk weighted off-statement of financial position items;
- A core capital (tier 1) of not less than 8% (2024: 8%) of its total deposit liabilities; and
- A total capital (tier 1 + tier 2) of not less than 14.5% (2024: 14.5%) of its total risk weighted assets plus risk adjusted off statement of financial position items.

Off-balance sheet credit related commitments and forwards are converted to credit risk equivalents using credit conversion factors, designed to convert these items into statement of financial position equivalents. The resulting credit equivalent amounts are then weighted for credit risk using the same percentages as for statement of financial position assets.

Tier 1 capital consists of shareholders' equity comprising paid up share capital, share premium and retained earnings less intangible assets, deferred tax asset, goodwill and investments in subsidiary institutions and equity instruments of other institutions. Tier 2 capital includes the Bank's qualifying term subordinated debt and regulatory loan loss reserves and cannot exceed tier 1 capital. Regulatory loan loss reserves qualifying as tier 2 capital cannot exceed 1.25% of the risk weighted assets total value.



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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.2. Capital management- Group (continued)

c) Regulatory capital assessment - Stanbic Bank Kenya Limited

Stanbic Bank Kenya Limited, which is the Group’s key subsidiary, had the following capital adequacy levels:

	2025	2024
	KShs Million	KShs Million
Tier 1 capital (Core capital)		
Share capital	3,412	3,412
Share premium	3,445	3,445
Retained earnings	56,831	51,359
Less: Deferred tax asset	(2,452)	(3,078)
Total Tier 1 capital (Core capital)	61,236	55,138
Tier 2 capital		
Regulatory credit risk reserve	2,157	2,370
Qualifying subordinate liabilities	13,025	10,482
Total Tier 2 capital	15,182	12,852
Total capital (Tier 1 + Tier 2)	76,418	67,990
Risk - weighted assets		
Operational risk	70,110	60,675
Market risk	18,661	10,796
Credit risk on-statement of financial position	295,493	262,638
Credit risk off-statement of financial position	53,451	35,969
Total risk - weighted assets	437,715	370,078
Capital adequacy ratios		
Core capital / total deposit liabilities	15.9%	17.1%
Minimum statutory ratio	8.0%	8.0%
Core capital / total risk - weighted assets	14.0%	14.9%
Minimum statutory ratio	10.5%	10.5%
Total capital / total risk - weighted assets	17.4%	18.4%
Minimum statutory ratio	14.5%	14.5%
Total capital compliance		
Minimum regulatory capital required	3,000	1,000
Capital available	61,251	55,138
Surplus	58,251	54,138

4.3. Credit risk

Financial statements

For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

Credit risk is the risk of loss arising out of failure of client counterparties to meet their financial or contractual obligations when due.

Credit risk is composed of counterparty risk (including primary, pre-settlement risk, issuer and settlement risk) and concentration risk. These risk types are defined as follows:

- Counterparty risk: The risk of credit loss to the Group as a result of failure by a counterparty to meet its financial and/ or contractual obligations to the Group as they fall due.
- Credit concentration risk: The risk of loss to the Group as a result of excessive build-up of exposure to a specific counterparty or counterparty group, an industry, market, product, financial instrument or type of security, or geography, or a maturity. This concentration typically exists where a number of counterparties are engaged in similar activities and have similar characteristics, which could result in their ability to meet contractual obligations being similarly affected by changes in economic or other conditions.

4.3.1. Governance committees

The primary governance committees overseeing credit risk are the Board Credit Risk Committee (BCRC) and Credit Risk Management Committee (CRMC). These committees are responsible for credit risk and credit concentration risk decision-making, and delegation thereof to Credit officers and committees within defined parameters.

Credit risk management is governed by the Group’s overall credit policy guidelines. Respective Credit Risk Management Divisions, which report into the BCC, are responsible for the implementation of these guidelines, which cover compliance with prescribed sanctioning authority levels, avoidance of a high concentration of credit risk and regular review of credit limits. Limits on facilities to counter-parties are governed by internal restraints, which restrict large exposures in relation to the Group’s capital.

The Group has set in place comprehensive resources, expertise and controls to ensure efficient and effective management of credit risk.

4.3.2. General approach to managing credit risk

The Group’s credit risk comprises mainly wholesale and retail loans and advances, together with the counterparty credit risk arising from derivative contracts entered into with our clients and market counterparties.

The Group manages credit risk through:

- maintaining strong culture of responsible lending and a robust risk policy and control framework;
- identifying, assessing and measuring credit risk clearly and accurately across the Group , from the level of individual facilities up to the total portfolio;
- defining, implementing and continually re-evaluating our risk appetite under actual and scenario conditions;
- monitoring the Group’s credit risk relative to limits; and
- ensuring that there is expert scrutiny and independent approval of credit risks and their mitigation.

Primary responsibility for credit risk management resides with the Group’s business lines. This is complemented with an independent credit risk function embedded within the business units, which is in turn supported by the overarching group risk function.

Impairment provisions are provided for losses that have been incurred or expected at the reporting date. Significant changes in the economy, or in the health of a particular industry segment that represents a concentration of the Group’s portfolio, could result in losses that are different from those provided for at the reporting date. Management, therefore, carefully manages its exposure to credit risk.

The exposure to any one borrower including banks is further restricted by sub-limits covering on - and off-balance sheet exposures and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

Exposure to credit risk is managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate and personal guarantees, but a significant portion is personal lending where no such facilities can be obtained.

4.3.3. Management reporting

A number of reports are prepared as management information on credit risk. Various analysis of the data are done and a variety of reports are prepared on a monthly and quarterly basis. Some of these reports include:

- Quarterly Board Credit Committee Report;
- Quarterly Board Audit Committee Report;
- Quarterly Board Risk Committee Report;
- Monthly Credit Risk Management Committee Report;
- Regulatory returns;
- Half-year results; and
- Annual financial statements.

These reports are distributed to management and regulators, and are available for inspection by authorised personnel.

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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

4.3.4.Credit risk measurement (continued)

a) Loans and advances including loan commitments and guarantees (continued)

4.3.4.Credit risk measurement

a) Loans and advances including loan commitments and guarantees

The estimation of credit exposure is complex and requires the use of models, as the value of a product varies with changes in market variables, expected cash flows and the passage of time. The assessment of credit risk of a portfolio of assets entails further estimations as to the likelihood of defaults occurring, of the associated loss ratios and of default correlations between counterparties.

The Group has developed models to support the quantification of the credit risk. These rating and scoring models are in use for all key credit portfolios and form the basis for measuring default risks. All models are managed under model development and validation policies that set out the requirements for model governance structures and processes, and the technical framework within which model performance and appropriateness is maintained. The models are developed using internal historical default and recovery data. In low default portfolios, internal data is supplemented with external benchmarks and studies. Models are assessed frequently to ensure on-going appropriateness as business environments and strategic objectives change, and are recalibrated semi-annually using the most recent internal data.

In measuring credit risk of loans and advances to customers and to banks at a counter-party level, the Group reflects three components:

- the 'probability of default' by the client or counter-party on its contractual obligations;

- current exposures to the counter-party and its likely future development, from which the Group derives the exposure at default'; and

- the likely recovery ratio on the defaulted obligations (the 'loss given default').

Probability of default (PD)

The Group uses a 25-point master rating scale to quantify the credit risk for each borrower as illustrated in the table on page 67. Ratings are mapped to PDs by means of calibration formulae that use historical default rates and other data from the applicable portfolio. The Group distinguishes between through-the-cycle PDs and point-in-time PDs, and utilises both measures in decision-making and in managing credit risk exposures.

Loss given default (LGD)

Loss given default measures are a function of customer type, product type, seniority of loan, country of risk and level of collateralisation. LGDs are estimated based on historic recovery data per category of LGD. A downturn LGD is used in the estimation of the capital charge and reflects the anticipated recovery rates and macroeconomic factors in a downturn period.

Exposure at default (EAD)

Exposure at default captures the impact of potential draw-downs against unutilised facilities and changes in counterparty risk positions due to changes in market prices. By using historical data, it is possible to estimate the average utilisation of limits of an account when default occurs, recognising that customers may use more of their facilities as they approach default.

b) Debt securities

These represents financial and derivative assets. For debt securities, external rating such as Standard & Poor's rating or their equivalents are used by Group Treasury for managing of the credit risk exposures as supplemented by the Group's own assessment through the use of internal rating tools.

Financial statements

For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

4.3.4.Credit risk measurement (continued)

b) Debt securities (continued)

Relationship between the bank master rating and external ratings					
Core Banking system rating scale	Moody's Investor Services	Standard & Poor's	Fitch	Grading	Credit Quality
1 - 4	Aaa, Aa1, Aa2, Aa3	AAA, AA+, AA, AA-	AAA, AA+, AA, AA-	Investment grade	Normal monitoring
5 - 7	A1, A2, A3	A+, A, A-	A+, A, A-		
8 - 12	Baa1, Baa2, Baa3	BBB+, BBB, BBB-	BBB+, BBB, BBB-		
13 - 20	Ba1, Ba2, Ba3, B1, B2, B3	BB+, BB, BB-, B+, B, B-	BB+, BB, BB-, B+, B, B-	Sub-investment grade	Close monitoring
21 -25	Caa1, Caa2, Caa3, Ca	CCC+, CCC, CCC-	CCC+, CCC, CCC-		
Default	C	D	D	D	D

4.3.5.Risk limit control and mitigation policies

The Group manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and banks, industries and countries.

The Group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary. Limits on the level of credit risk by product, industry sector and country are approved quarterly by the Board of Directors.

The exposure to any one borrower including banks and brokers is further restricted by sublimit covering on-balance sheet and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are

monitored daily.

Lending limits are reviewed in light of changing market and economic conditions and periodic credit reviews and assessments of probability of default.

Some other specific control and mitigation measures are outlined below:

a) Credit tailored to customer profile

There is a clear distinction between the fundamental credit characteristics of the Group's customer base. This customer base is managed according to the following market segments:

- Corporate and Investment Banking (CIB)
- Business and Commercial Banking (BCB) ; and
- Personal and Private Banking (PPB)



Financial statements

For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

4.3.5.Risk limit control and mitigation policies (continued)

Corporate and Investment Banking (CIB): Corporate, sovereign and bank portfolios

Corporate, sovereign and bank borrowers include Kenyan and international companies, sovereigns, local government entities, bank financial institutions, non-bank financial institutions and public sector entities. The entities include large companies as well as small and medium enterprises that are managed on a relationship basis. Creditworthiness is assessed based on a detailed individual assessment of the financial strength of the borrower. Exposure is usually in the form of short and long-term loans and advances but may include exposures arising from derivative contracts. In these sectors, credit risk management is characterised by a close working relationship between the counter-party, the customer relationship team and an independent credit evaluation manager. The credit evaluation manager bases his lending decision on an in-depth knowledge of the counterparty and the industry in which it operates, as well as an assessment of the creditworthiness of the counter-party based on a review of the audited financial statements and underlying risk parameters.

CIB believes that the use of sophisticated modelling techniques combined with an in-depth knowledge and understanding of each client is essential in properly assessing the credit risk, both initially and on an on-going basis, of each counterparty with whom it deals.

Corporate and Investment Banking (CIB): Corporate, sovereign and bank portfolios (continued)

To this end, CIB uses software developed by third party vendors, which is widely used by the banking industry globally in its credit management process. Expected default frequencies are an important tool in the formal credit assessment process of both new and existing business, and also form the basis for monitoring changes in counterparty credit quality on a day to day basis. Expected default frequencies will continue to be a vital component of credit risk management as the Group continues to improve credit processes and increases focus on portfolio credit management.

Personal and Private Banking (PPB) and Business and Commercial Banking (BCB): Retail portfolio

Retail mortgage exposures relate to mortgage loans to individuals and are a combination of both drawn and undrawn EADs. Qualifying retail revolving exposure (QRRE) relate to cheque accounts, credit cards and evolving personal loans and products, and include both drawn and undrawn exposures. Retail other covers other branch lending and vehicle finance for retail, retail small and retail medium enterprise portfolios. Branch lending includes both drawn and

undrawn exposures, while vehicle and asset finance only has drawn exposures.

Internally developed behavioural scorecards are used to measure the anticipated performance for each account. Mapping of the behaviour score to a PD is performed for each portfolio using a statistical calibration of portfolio-specific historical default experience. The behavioural scorecard PDs are used to determine the portfolio distribution on the master rating scale. Separate LGD models are used for each product portfolio and are based on historical recovery data. EAD is measured as a percentage of the credit facility limit and is based on historical averages. EAD is estimated per portfolio and per portfolio-specific segment, using internal historical data on limit utilisation.

b) Financial covenants (for credit related commitments and loan books)

The primary purpose of these instruments is to ensure that funds are available to a customer as required. Guarantees and standby letters of credit, which represent irrevocable assurances that the Group will make payments in the event that a customer cannot meet its obligations to third parties, carry the same credit risk as loans. Documentary and commercial letters of credit, which are written undertakings by the Bank on behalf of a customer authorising a third party to draw drafts on the Group up to a stipulated amount under specific terms and conditions, are collateralised by the underlying shipments of goods to which they relate and therefore carry less risk than a direct borrowing.

Commitments to extend credit represent unused portions of authorisations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Group is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused commitments, as most commitments to extend credit are contingent upon customers maintaining specific credit standards. The Group monitors the term to maturity of credit commitments because longer-term commitments generally have a greater degree of credit risk than shorter-term commitments.

c) Master netting arrangements

The Group further restricts its exposure to credit losses by entering into master netting arrangements with counterparties with which it undertakes a significant volume of transactions. Master netting arrangements do not generally result in an offset of assets and liabilities in the statement of financial position, as transactions are either usually settled on a gross basis or under most netting agreements the right of set off is triggered only on default. However, the credit risk associated with favourable contracts is reduced by a master netting arrangement to the extent that if a default occurs, all amounts with the counterparty are terminated and settled on a net basis. The Group's overall exposure to credit risk on derivative instruments subject to master netting arrangements can change substantially within a short period, as it is affected by each transaction subject to the arrangement.

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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

4.3.5.Risk limit control & mitigation policies (continued)

d) Derivatives

For derivative transactions, the Group typically uses internationally recognised and enforceable International Swaps and Derivatives Association (ISDA) agreements, with a credit support annexure, where collateral support is considered necessary. Other credit protection terms may be stipulated, such as limitations on the amount of unsecured credit exposure acceptable, collateralisation if mark-to-market credit exposure exceeds acceptable limits, and termination of the contract if certain credit events occur, for example, downgrade of the counterparty's public credit rating.

e) Collateral

The Group employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security for funds advanced, which is common practice. The Group implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The main types of collateral taken are:

Business and Commercial Banking and Personal and Private Banking (BCB & PPB)	
Mortgage lending	First ranking legal charge over the property financed.
Vehicle and asset finance	Joint registration of vehicles.
Other loans and advances	Debentures over the company's assets, cash cover in cash margin account, first ranking legal charge over both commercial and residential properties, directors' personal guarantees and company guarantees.

Corporate and Investment Banking	
Corporate lending	All assets debenture over the company's assets, cash cover in cash margin account, first ranking legal charge over both commercial and residential properties, directors' personal guarantees and company guarantees.

Longer-term finance and lending to corporate entities is generally secured; revolving individual credit facilities are generally unsecured. In addition, in order to minimise possible credit loss, the Group seeks additional collateral from the counter-party as soon as impairment indicators are noticed for the relevant individual loans and advances.

Collateral held as security for financial assets other than loans and advances is determined by the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured, with the exception of asset-backed securities and similar instruments, which are secured by portfolios of financial instruments.

Valuation of collateral

The Group has a panel of valuers who undertake valuation of property and other assets to be used as Collateral. The valuers in the panel are qualified professional valuers with adequate experience in the field of property and machinery valuation. Valuers are required to provide the Group with professional indemnity to cover the Group in cases of professional negligence relating to their valuations. The Group ensures that all properties used as collateral are adequately insured during the term of the loan. Valuation reports on properties are valid for three years after which the property and equipment is revalued.

The table on the following page shows the financial effect that collateral has on the Group's maximum exposure to credit risk. The table includes collateral that management takes into consideration in the management of the Group's exposures to credit risk. All on- and off-balance sheet exposures that are exposed to credit risk, including non-performing loans, have been included. Collateral includes:

- Financial securities that have a tradable market, such as shares and other securities;
- Physical items, such as property, plant & equipment; and
- Financial guarantees and intangible assets.

Netting agreements, which do not qualify for offset under IFRS Accounting Standards but which are nevertheless enforceable, are included as part of the Group's collateral for risk management purposes. All exposures are presented before the effect of any impairment provisions. There has been no change in the collateral policy during the year.

In the retail portfolio, 71% (2024: 67%) is fully collateralized. The total average collateral coverage for all retail mortgage exposures above 50% collateral coverage category is 100% (2024: 100%). Of the Bank's total exposure, 8% (2024: 17%) is unsecured and mainly reflects exposures to well-rated corporate counterparties, bank counterparties and sovereign entities. The total forced sale value of collateral for credit impaired loans amounted to KShs. 24,660,553,000 (2024: KShs.22,991,131,000).



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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

4.3.5.Risk limit control and mitigation policies (continued)

a) Collateral(continued)

Valuation of collateral (continued)

						Collateral coverage - Total		
31 December 2025	Total exposure	Unsecured exposure	Secured exposure	Netting agreements	Secured exposure after netting	Greater than 0% to 50%	Greater than 50% to 100%	Greater than 100%
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Asset class								
Corporate	192,337	11,817	180,520	-	180,520	-	180,520	-
Sovereign	116,030	116,030	-	-	-	-	-	-
Loans and advances to bank	93,620	93,620	-	-	-	-	-	-
Group	24,796	24,796	-	-	-	-	-	-
Other banks	68,824	68,824	-	-	-	-	-	-
Retail	99,117	24,920	74,197	-	74,197	-	74,197	-
Retail mortgage	32,643	10	32,633	-	32,633	-	32,633	-
Other retail	66,474	24,910	41,564	-	41,564	-	41,564	-
Total	501,104	246,387	254,717	-	254,717	-	254,717	-
Less: Impairments for loans and advances	(18,602)							
Total exposures	482,502							

						Collateral coverage - Total		
31 December 2024	Total exposure	Unsecured exposure	Secured exposure	Netting agreements	Secured exposure after netting	Greater than 0% to 50%	Greater than 50% to 100%	Greater than 100%
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Asset class								
Corporate	150,077	21,113	128,964	-	128,964	-	128,964	-
Sovereign	42,181	42,181	-	-	-	-	-	-
Loans & advances to banks	64,498	64,498	-	-	-	-	-	-
Group	59,421	59,421	-	-	-	-	-	-
Other banks	5,077	5,077	-	-	-	-	-	-
Retail	97,947	21,113	76,834	-	76,834	-	76,834	-
Retail mortgage	36,365	-	36,365	-	36,365	-	36,365	-
Other retail	61,582	21,113	40,469	-	40,469	-	40,469	-
Total	354,703	148,905	205,798	-	205,798	-	205,798	-
Less: Impairments for loans and advances	(17,970)							
Total exposure	336,733							

The Group holds collateral on loans and advances. The table above represents the collateral cover held on various types of loans and advances. Other deposits and margin balances held against off balance sheet facilities are included in other liabilities in Note 36 (a).

Financial statements

For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

4.3.5.Risk limit control & mitigation policies (continued)

Foreclosed collateral

Assets foreclosed during the year comprise saloon vehicles, prime movers and trailers, which had been financed by the Group under Vehicle and Asset Finance (VAF) and residential property financed under personal markets. As at the year end, the Group had taken possession of the following:

Nature of assets	2025 KShs Million	2024 KShs Million
Residential property	819	853
Assets financed under VAF	226	188
	1,045	1041

It is the Group's policy to dispose of foreclosed properties on the open market, at market value. The proceeds are used to reduce or repay the outstanding claim. In general, the Group does not occupy foreclosed properties for business use.

There were no foreclosed assets held by the Group as at 31 December 2025 (2024:nil)

Renegotiated financial assets

Renegotiated loans and advances are exposures which have been refinanced, rescheduled, rolled over or otherwise modified following weaknesses in the counterparty's financial position, and where it has been judged that normal repayment will likely continue after the restructure. The renegotiations resulted in the continuation of the original financial asset, with no gain or loss recognised as a consequence of the restructuring. The table below show the carrying amount of financial assets whose term have been renegotiated, by class.

	2025 KShs Million	2024 KShs Million
Vehicle and asset finance	43	135
Other loans and advances	554	2,663
	597	2,798

4.3.6.Default and provisioning policy

The Group's definition of default has been aligned to its internal credit risk management definitions and approaches. Whilst the specific determination of default varies according to the nature of the product, it is generally determined (aligned to the BASEL definition) as occurring at the earlier of:

- where, in the Group's view, the counterparty is considered to be unlikely to pay amounts due on the due date or shortly thereafter.

- when the counterparty is past due for more than 90 days (or, in the case of overdraft facilities in excess of the current limit).

A financial asset is considered to be in default when there is objective evidence of impairment. The following criteria are used in determining whether there is objective evidence of impairment for financial assets or groups of financial assets as per IFRS 9:

- significant financial difficulty of borrower and/or modification (i.e. known cash flow difficulties experienced by the borrower);
- a breach of contract, such as default or delinquency in interest and/or principal payments;
- disappearance of active market due to financial difficulties;
- it becomes probable that the borrower will enter bankruptcy or other financial reorganisation;
- where the Group, for economic or legal reasons relating to the borrower's financial difficulty, grants the borrower a concession that the Group would not otherwise consider.

Exposures which are overdue for more than 90 days are also considered to be in default.

4.3.7.Credit quality

a) Maximum exposure to credit risk before collateral held or other credit enhancements

Financial instruments whose carrying amounts represent the maximum exposure to credit risk without taking account of any collateral held or other credit enhancements are disclosed in Note 19 to 24. The Directors are confident in the ability to continue to control and sustain minimal exposure of credit risk to the Group resulting from both the loan and advances portfolio and debt securities based on the following:

- 66% of the total maximum exposure is derived from loans and advances to customers (2024: 58%); 12% represents investments in debt securities (2024: 26%);
- 92% of the loans and advances portfolio is categorised in the top two grades of the internal rating system (2024: 88%);
- 87% of the loans and advances portfolio are considered to be neither past due nor impaired (2024: 84%); and
- 99.9% of all the debt securities, which the Bank has invested in, are issued by the Central Bank of Kenya (2024: 99.9%).



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For the year ended 31 December 2025

Notes (continued)
4. Financial risk management (continued)
4.3. Credit risk (continued)
4.3.7. Credit quality (continued)

b) Credit quality by class

The table below shows the credit quality by class of loans and advances, based on the Group's credit rating system:

Year ended 31 December 2025	SB 1 - 12										SB 21- 25		Default		Securities and expected recoveries on default exposures		Interest in suspense on default exposures		Statement of Financial Position expected credit loss on default exposures		Gross default coverage		Non-performing exposures	
	Stage 1		Stage 2		Stage 3		Stage 1		Stage 2		Stage 1		Stage 2		Purchased/ originated credit impaired		Total gross carrying amount of default exposures		KShs Million		KShs Million		KShs Million	
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	%	%	%
Loans and advances to customers																								
PPB	74,339	20,663	-	22,802	-	4,366	-	-	11,475	15,034	-	15,731	10,729	1,339	3,662	33%	20%	20%	20%	20%	20%	20%	20%	20%
Mortgage loans	24,397	10,776	-	7,057	-	-	-	-	3,346	3,219	-	3,219	1,822	(28)	1,425	43%	13%	13%	13%	13%	13%	13%	13%	13%
Vehicle and asset finance	3,930	1,167	-	2,425	-	-	-	-	174	163	-	163	13	32	118	92%	4%	4%	4%	4%	4%	4%	4%	4%
Card debtors	832	-	-	701	-	-	-	-	116	15	-	15	(73)	(2)	90	576%	2%	2%	2%	2%	2%	2%	2%	2%
Other loans and advances	45,180	8,720	-	12,618	-	4,366	-	-	7,839	11,636	-	12,333	8,967	1,337	2,029	29%	26%	26%	26%	26%	26%	26%	26%	26%
BCB	24,653	14,521	-	9,240	-	-	-	-	417	476	-	476	(4,633)	179	4,930	1074%	2%	2%	2%	2%	2%	2%	2%	2%
Mortgage loans	13,766	13,766	-	-	-	-	-	-	-	-	-	-	-	-	-	0%	0%	0%	0%	0%	0%	0%	0%	0%
Vehicle and asset finance	10,829	697	-	9,240	-	-	-	-	417	476	-	476	(57)	(16)	-	0%	4%	4%	4%	4%	4%	4%	4%	4%
Card debtors	58	58	-	-	-	-	-	-	-	-	-	-	-	-	-	0%	0%	0%	0%	0%	0%	0%	0%	0%
Other loans and advances	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	0%	0%	0%	0%	0%	0%	0%	0%	0%
CIB	192,462	52,984	-	127,279	1,017	1,773	2,304	7105	2,304	7105	-	7105	1,642	1,068	4,394	77%	4%	4%	4%	4%	4%	4%	4%	4%
Corporate	192,462	52,984	-	127,279	1,017	1,773	2,304	7105	2,304	7105	-	7105	1,642	1,068	4,394	77%	4%	4%	4%	4%	4%	4%	4%	4%
Loans and advances to banks	291,454	88,168	-	159,321	1,017	6,139	14,196	22,615	14,196	22,615	-	23,312	7,739	2,586	12,986	69%	8%	8%	8%	8%	8%	8%	8%	8%
Loans and advances to banks	93,620	80,715	-	10,982	1,923	-	-	-	-	-	-	-	-	-	-	0%	0%	0%	0%	0%	0%	0%	0%	0%
Gross carrying amount	385,074	168,883	-	170,303	2,939	6,139	14,196	22,615	14,196	22,615	-	23,312	7,739	2,586	12,986	62%	6%	6%	6%	6%	6%	6%	6%	6%
Less: Total expected credit losses for loans and advances	(18,545)																							
Net carry- ing amount of loans & advances measured at amortised cost	366,529																							

Notes (continued)

4. Financial risk management (continued)
4.3. Credit risk (continued)
4.3.7. Credit quality (continued)

b) Credit quality by class (continued)

The table below shows the credit quality by class of loans and advances, based on the Group's credit rating system:

Year ended 31 December 2024	SB 1 - 12										SB 21- 25		Default		Securities and expected recoveries on default exposures		Interest in suspense on default exposures		Balance sheet expected credit loss on default exposures		Gross default coverage		Non-performing exposures	
	Stage 1		Stage 2		Stage 3		Stage 1		Stage 2		Stage 1		Stage 2		Purchased/ originated credit impaired		Total gross carrying amount of default exposures		KShs Million		KShs Million		KShs Million	
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Loans and advances to customers																								
PPB	59,858	26,879	-	13,664	5,647	4,661	1,942	7065	7065	7065	-	7,065	1,313	504	5,248	81%	12%	12%	12%	12%	12%	12%	12%	12%
Mortgage loans	35,644	19,921	-	6,095	5,232	-	760	3,636	3,636	3,636	-	3,636	2,069	113	1,454	43%	10%	10%	10%	10%	10%	10%	10%	10%
Vehicle and asset finance	5,008	1,672	-	2,041	62	-	161	1,072	1,072	1,072	-	1,072	792	52	228	26%	21%	21%	21%	21%	21%	21%	21%	21%
Card debtors	882	-	-	717	-	-	133	32	32	32	-	32	6	-	26	81%	4%	4%	4%	4%	4%	4%	4%	4%
Other loans and advances	18,324	5,286	-	4,811	353	4,661	888	2,325	2,325	2,325	-	2,325	(1,554)	339	3,540	167%	13%	13%	13%	13%	13%	13%	13%	13%
BCB	36,897	-	-	21,318	-	-	6,727	8,852	8,852	8,852	-	8,852	4,606	594	3,652	48%	24%	24%	24%	24%	24%	24%	24%	24%
Mortgage loans	722	-	-	561	-	-	161	-	-	-	-	-	-	-	-	0%	0%	0%	0%	0%	0%	0%	0%	0%
Vehicle and asset finance	7,320	-	-	6,410	-	-	910	-	-	-	-	-	(115)	-	115	0%	0%	0%	0%	0%	0%	0%	0%	0%
Card debtors	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	0%	0%	0%	0%	0%	0%	0%	0%	0%
Other loans and advances	28,855	-	-	14,347	-	-	5,656	8,852	8,852	8,852	-	8,852	4,721	594	3,537	47%	31%	31%	31%	31%	31%	31%	31%	31%
CIB	151,302	46,398	-	84,382	10,885	2,592	1	7,044	1	7,044	-	7,044	1,681	1,206	4,157	76%	5%	5%	5%	5%	5%	5%	5%	5%
Corporate	151,302	46,398	-	84,382	10,885	2,592	1	7,044	1	7,044	-	7,044	1,681	1,206	4,157	76%	5%	5%	5%	5%	5%	5%	5%	5%
Loans and advances to banks	248,057	73,277	-	119,364	16,532	7,253	8,670	22,961	22,961	22,961	-	22,961	7,600	2,304	13,057	67%	9%	9%	9%	9%	9%	9%	9%	9%
Loans and advances to banks																								
Bank	64,651	63,299	-	1,281	71	-	-	-	-	-	-	-	-	-	-	0%	0%	0%	0%	0%	0%	0%	0%	0%
Gross carry- ing amount	312,708	136,576	-	120,645	16,603	7,253	8,670	22,961	22,961	22,961	-	22,961	7,600	2,304	13,057	61%	7%	7%	7%	7%	7%	7%	7%	7%
Less: Total expected credit losses for loans and advances	(17,851)																							
Net carry- ing amount of loans & advances measured at amortised cost	294,857																							



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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

4.3.7.Credit quality (continued)

b) Credit quality by class (continued)

Year ended 31 December 2025	Gross Carrying amount KShs Million	SB 1 - 12		SB 13 - 20		SB 21- 25		Default	
		Stage 1	Stage 2	Stage 1	Stage 2	Stage 1	Stage 2	Stage 3	Purchased /originated credit impaired
		KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Financial assets measured at amortised cost									
Sovereign	18,923	15,938		2,985	-	-	-	-	-
Gross carrying amount	18,923	15,938	-	2,985	-	-	-	-	-
Less: Total expected credit losses (Note 22.1)	(57)								
Net carrying amount of financial assets measured at amortised costs	18,866								
Financial assets at fair value through OCI									
Corporate	-	-	-	-	-	-	-	-	-
Sovereign	33,202	33,202	-	-	-	-	-	-	-
Gross carrying amount	33,202	33,202	-	-	-	-	-	-	-
Add: Fair value reserve relating to fair value adjustments (before the ECL balance) (Note 21.1)	(35)								
Net carrying amount of financial assets measured at fair value through OCI	33,167								

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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

4.3.7.Credit quality (continued)

b) Credit quality by class (continued)

Year ended 31 December 2024	Gross Carrying amount	SB 1 - 12		SB 13 - 20		SB 21- 25		Default	
		Stage 1	Stage 2*	Stage 1	Stage 2	Stage 1	Stage 2	Stage 3	Purchased/ originated credit impaired
		KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Financial assets measured at amortised cost									
Sovereign	29,198	17,776	8,827	2,595	-	-	-	-	-
Gross carrying amount	29,198	17,776	8,827	2,595	-	-	-	-	-
Less: Total expected credit losses	(119)								
Net carrying amount of financial assets measured at amortised costs	29,079								
Financial assets at fair value through OCI									
Corporate	-	-	-	-	-	-	-	-	-
Sovereign	15,476	15,476	-	-	-	-	-	-	-
Gross carrying amount	15,476	15,476	-	-	-	-	-	-	-
Add: Fair value reserve relating to fair value adjustments (before the ECL balance)	(14)								
Net carrying amount of financial assets measured at fair value through OCI	15,462								

* The Group's credit policies requires that financial instruments which experience more than 3 notches downgrade since inception be reviewed for significant increase in credit risk(SICR) The part of sovereign exposures classified as stage 2 in the table above were assessed over four years time.

The sovereign rating has since been revised resulting in a 3 notch downgrade.This is also in line with external credit ratings against ratings of the sovereign.



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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

4.3.7.Credit quality (continued)

b) Credit quality by class (continued)

Year ended 31 Dec. 2025	Gross Carrying amount	SB 1 - 12		SB 13 - 20		SB 21- 25			Default Purchased/ originated credit im- paired KShs Million
		Stage 1	Stage 2	Stage 1	Stage 2	Stage 1	Stage 2	Stage 3	
		KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	
Off-balance sheet exposure									
Letters of credit and bankers' acceptances	22,373	18,027	-	4,344	2	-	-	-	-
Guarantees	110,794	101,821	1	8,646	326	-	-	-	-
Unutilised facilities	23,653	23,653	-	-	-	-	-	-	-
Gross carrying amount	156,820	143,501	1	12,990	328	-	-	-	-
Less: Total expected credit losses	(88)								
Net carrying amount of off-balance sheet exposure	156,732								

Off-balance sheet exposure									
Year ended 31 Dec. 2024									
Letters of credit and bankers' acceptances	3,480	-	-	3,225	101	154	-	-	-
Guarantees	76,362	58,630	-	16,071	1,500	2	-	159	-
Unutilised facilities	19,345	16,152	86	3,107	-	-	-	-	-
Gross carrying amount	99,187	74,782	86	22,403	1,601	156	-	159	-
Less: Total expected credit losses	(62)								
Net carrying amount of off-balance sheet exposure	99,125								

Financial statements

For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.3. Credit risk (continued)

4.3.7.Credit quality (continued)

c) Ageing analysis of Stage 2 financial assets

Loans and advances less than 90 days past due are not considered credit impaired unless other information is available to indicate the contrary. The table below shows the ageing of financial assets that are past due at the reporting date but not credit impaired, per class.

	Performing (Early arrears)				Non - performing	Total
31 December 2025	1 to 29days	30 to 59days	60 to 89days	90 to 180days	More than 180days	
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
PPB	4,072	1,064	573	-	-	5,709
Mortgage lending	2,790	678	379	-	-	3,847
Vehicle and asset finance	441	40	26	-	-	507
Other loans and advances	841	346	168	-	-	1,355
BCB	3,602	396	95	-	-	4,093
Mortgage lending	46		8	-	-	54
Vehicle and asset finance	1,585	128	26	-	-	1,739
Other loans and advances	1,971	268	61	-	-	2,300
Corporate & Investment Banking	37	-	-	-	-	37
Corporate lending	37	-	-	-	-	37
Total recognised financial instruments	7,711	1,460	668	-	-	9,839

The table below shows the ageing of financial assets that are past due at the reporting date but not credit impaired, per class.

	Performing (Early arrears)				Non - performing	
31 December 2024	1 to 29days	30 to 59days	60 to 89days	90 to 180days	More than 180 days	Total
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
PPB	4,678	1,354	1,020	-	-	7,052
Mortgage lending	2,929	822	727	-	-	4,478
Vehicle and asset finance	634	75	36	-	-	745
Other loans and advances	1,115	457	257	-	-	1,829
BCB	4,341	3,743	3,208	-	-	11,292
Mortgage lending	187	2,984	-	-	-	3,171
Vehicle and asset finance	1,416	280	55	-	-	1,751
Other loans and advances	2,738	479	3,153	-	-	6,370
Corporate & Investment Banking	2,786	-	-	-	-	2,786
Corporate lending	2,786	-		-	-	2,786
Total recognised financial instruments	11,805	5,097	4,228	-	-	21,130



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Notes (continued)

4. Financial risk management (continued)

4.4. Market risk

Market risk is the risk of a change in market value, earnings (actual or effective) or future cash-flows of a portfolio of financial instruments (including commodities), caused by moves in market variables such as equity, bond and commodity prices, currency exchange rates and interest rates, credit spreads, recovery rates, correlations and implied volatilities in all of these measures.

4.4.1. Governance committees

The Group’s policy is that all trading activities are undertaken within the Group’s trading operations. The Board grants general authority to take on market risk exposure to the Group’s Assets and Liabilities Committee (ALCO).

Market risk management process is required to measure, monitor and control market risk exposures. The Group manages market risk through following four principles.

i. Identification of market risks in the trading and banking books

This process entails analysis of new business plans, new products, new pricing models, new risk models and regular reviews by Market Risk staff of financial and management accounts balance sheets, income statements, and portfolio structure hierarchies, accounting classification and accounting elections, jointly with financial control, Risk Self Assessments jointly with operational risk, price testing reports and profit and loss decomposition reports.

ii. Measurement of market risk

Measurement of market risks deals specifically and separately with normal market conditions and stress market conditions. Measurement of trading exposures under stress market conditions is effected by subjecting the portfolios to stress testing, e.g. historical scenarios, hypothetical scenarios on individual asset classes and across different asset classes. In order to highlight ‘points of weakness’ and identify particular sources of trading book exposure vulnerability, these stress tests capture the effects of abnormal movements in market variables (yield curves including basis curves, volatility surfaces, spot and/or rate moves, credit spread curves, recovery rate sensitivities, etc.).

iii. Management of market risk

The Group manages market risk through a specification of risk appetite in form of market risk limits. It uses a suite of risk measurement techniques, including Value at Risk (VaR), Stress Value at Risk (SVar), stress testing, stop loss triggers, back-testing and specific business unit and product controls.

iv. Reporting of market risk

Market Risk has reporting procedures that highlight for

attention within Market Risk or by management all forms of exposures i.e. limit breaches or other reports that will periodically be required to submit to different stakeholders e.g. Local ALCO, Local Board, Shareholders, Rating agencies, Central Bank of Kenya and Internal Capital Adequacy Assessment Process (ICAAP) stakeholders.

The market risk function is independent of trading operations and it is accountable to ALCO. It is responsible for identifying, measuring, managing, controlling and reporting market risk as outlined in the market risk governance standard, with support from the central market risk function. The market risk function also has the ability to set individual trader mandates. Exposures and excesses are monitored and reported daily. Where breaches in limits and triggers occur, actions are taken by market risk management unit to move exposures back in line with approved market risk appetite, with such breaches being reported to management and ALCO.

4.4.2. Market risk exposure on banking operations

Banking-related market risk exposure principally involves the management of the potential adverse effect of interest rate movements on net interest income and the economic value of equity that arise from structural interest rate risk caused by the differing repricing characteristics of banking assets and liabilities. They include endowment risk, repricing risk, basis risk, optionality risk and yield curve risk. The Group’s approach to managing Interest Rate Risk in Banking Book (IRRBB) is governed by applicable regulations and is influenced by the competitive environment in which the Bank operates. Treasury and Capital Management team monitors banking book interest rate risk together with the country ALCO.

4.4.3. Approved regulatory capital approaches

The Group applies the Standardised approach for calculating market risk capital. The standardised method uses a “building block” approach, with the capital charge for each risk category calculated separately.

Market risk qualifying assets includes interest rate risk assets in the trading book and foreign currency risk assets throughout the Group.

4.4.4. Trading book market risk

Trading book market risk is represented by financial instruments held on the trading book, arising out of normal global markets’ trading activity.

4.4.5. Approach to managing market risk in the trading book

The Stanbic Bank policy is that all trading activities are undertaken within the Group’s trading operations. The market risk functions are independent of trading operations and accountable to ALCO. All Value at Risk (VaR) and stressed VaR (SVar) limits require prior approval from ALCO. The market risk functions have the authority to set limits at a lower level.

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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.4. Market risk (continued)

4.4.5. Approach to managing market risk in the trading book (continued)

Market risk teams are responsible for identifying, measuring, managing, monitoring and reporting market risk as outlined in the market risk governance standard.

Exposures and excesses are monitored and reported daily. Where breaches in limits and triggers occur, actions are taken by market risk functions to move exposures back in line with approved market risk appetite, with such breaches being reported to management and ALCO.

a. VaR and SVar

The Group uses the historical VaR and SVar approach to quantify market risk under normal conditions and under stressed conditions.

For risk management purposes VaR is based on 250 days of unweighted recent historical data, a holding period of one day and a confidence level of 95%. The historical VaR results are calculated in four steps:

- Calculate 250 daily market price movements based on 250 days’ historical data.
- Calculate hypothetical daily profit or loss for each day using these daily market price movements.
- Aggregate all hypothetical profits or losses for day one across all positions, giving daily hypothetical profit or loss, and then repeat for all other days.
- VaR is the 95th percentile selected from the 250 days of daily hypothetical total profit or loss.

Daily losses exceeding the VaR are likely to occur, on average, 13 times in every 250 days.

Normal VaR Exposures

31 December 2025		Normal VaR (KShs 'million')		
Desk name	Maximum*	Minimum*	Average	Closing
FX trading	106	5	33	62
Money market trading	27	6	16	11
Fixed income trading	13	0.39	3	3
Diversification benefits**	-	-	(12)	(14)
Total trading	108	13	40	62
Money market banking(FVOCI)	5	1	2	2

SVar uses a similar methodology to VaR, but is based on a period of financial stress and assumes a 10-day holding period and a 99% confidence interval.

Where the Group has received internal model approval, the market risk regulatory capital requirement is based on VaR and SVar, both of which use a confidence level of 99% and a 10-day holding period.

Limitations of historical VaR are acknowledged globally and include:

- The use of historical data as a proxy for estimating future events may not encompass all potential events, particularly those which are extreme in nature.
- The use of a one-day holding period assumes that all positions can be liquidated or the risk offset in one day. This may not fully reflect the market risk arising at times of severe illiquidity, when a one-day holding period may be insufficient to liquidate.
- The use of a 95% confidence level, by definition, does not take into account losses that might occur beyond this level of confidence.
- VaR is calculated on the basis of exposures outstanding at the close of business and, therefore, does not necessarily reflect intraday exposures.
- VaR is unlikely to reflect loss potential on exposures that only arise under significant market moves.

Trading book portfolio characteristics VaR for the year under review

Trading book market risk exposures arise mainly from residual exposures from client transactions and limited trading for the group’s own account. In general, the group’s trading desks have run increased levels of market risk throughout the year for all asset classes when compared to 2024 aggregate normal VaR, and aggregate SVar.



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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.4. Market risk (continued)

4.4.5. Approach to managing market risk in the trading book (continued)

31 December 2024		Normal VaR (KShs 'million')		
Desk name	Maximum*	Minimum*	Average	Closing
FX trading	96	3	17	22
Money market trading	33	4	16	9
Fixed income trading	25	5	13	13
Diversification benefits**	-	-	(16)	(17)
Total trading	88	9	30	27
Money market banking(FVOCI)	16	5	9	15

SVaR Exposures

31 December 2025		SVaR (KShs 'million')		
Desk name	Maximum*	Minimum*	Average	Closing
FX trading	229	10	86	66
Money market trading	540	83	333	517
Fixed income trading	388	19	116	214
Diversification benefits**	-	-	(148)	(133)
Total Trading	688	104	387	664
Money market banking(FVOCI)	681	57	285	503

31 December 2024		SVaR (KShs 'million')		
Desk name	Maximum*	Minimum*	Average	Closing
FX trading	286	28	110	88
Money market trading	250	16	125	117
Fixed income trading	179	23	88	54
Diversification benefits**	-	-	(121)	(98)
Total Trading	351	84	202	161
Money market banking(FVOCI)	134	66	92	84

* The maximum and minimum VaR and sVaR figures reported for each desk do not necessarily occur on the same day. As a result, the aggregate VaR and sVaR will not equal the sum of the individual desk VaR and sVaR values.

** Diversification benefit is the benefit of measuring the VaR and sVaR of the trading portfolio as a whole, that is, the difference between the sum of the individual desk VaRs and sVaRs, and the VaR and sVaR of the whole trading portfolio.

Back-testing

The Group back-tests its VaR models to verify the predictive ability of the VaR calculations and ensure the appropriateness of the models within the inherent limitations of VaR. Back-testing compares the daily hypothetical profit and losses under the one-day buy and hold assumption to the prior day's calculated VaR. In addition, VaR is tested by changing various model parameters, such as confidence intervals and observation periods to test the effectiveness of risk-mitigation instruments.

Stop-loss triggers

Stop-loss triggers are used to protect the profitability of the trading desks, and are monitored by market risk on a daily basis. The triggers constrain cumulative or daily trading losses through acting as a prompt to a review or close-out positions.

Financial statements

For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.4. Market risk (continued)

4.4.5. Approach to managing market risk in the trading book (continued)

b. Stress tests

Stress testing provides an indication of the potential losses that could occur under extreme but plausible market conditions, including where longer holding periods may be required to exit positions. Stress tests comprise individual market risk factor testing, combinations of market factors per trading desk and combinations of trading desks using a range of historical and hypothetical simulations. Daily losses experienced during the year ended 31 December 2024 did not exceed the maximum tolerable losses as represented by the Group's stress scenario limits.

c. Specific business unit and product controls

Other market risk limits and controls specific to individual business units include permissible instruments, concentration of exposures, gap limits, maximum tenor, stop-loss triggers, price validation and balance sheet substantiation.

Foreign exchange risk

Definition

The Group's primary exposures to foreign currency risk arise as a result of the translation effect on the Group's net assets

in foreign operations, intragroup foreign-denominated debt and foreign denominated cash exposures and accruals.

Approach to managing foreign currency risk

The Group takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Asset and Liability Committee sets limits on the level of exposure by currency and in total for both overnight and intra-day positions, which are monitored daily risk according to existing legislation, and accounting parameters. It takes into account naturally offsetting risk positions and manages the Group's residual risk by means of forward exchange contracts, currency swaps and option contracts.

The repositioning of the currency profile is a controlled process based on underlying economic views of the relative strength of currencies. The Group does not ordinarily hold open exposures of any significance with respect to the banking book.

Gains or losses on derivatives are reported in profit or loss.

The table below summarises the Group's exposure to foreign exchange risk at 31 December 2025. Included in the table are the Group's financial instruments at carrying amounts, categorised by currency (all amounts expressed in millions of Kenya Shillings):

At 31 December 2025

	USD	GBP	EUR	Others	Total
Assets					
Cash and bank balances with banks					
abroad	12,547	536	3,912	1,743	18,738
Loans and advances	87,278	1,256	10,602	37	99,173
Investment in government securities	6,608	-	-	-	6,608
Balances due from group companies	33,968	1,584	1,685	708	37,945
Other foreign currency assets	1,288	5	2,812	502	4,607
Total foreign currency denominated financial assets	141,689	3,381	19,011	2,990	167,071
Liabilities					
Amounts due to banking institutions					
abroad	13,681	-	582	-	14,263
Deposits	141,221	4,687	13,713	1,680	161,301
Borrowings	13,089	-	-	-	13,089
Balances due to group companies	8,548	-	1,659	2	10,209
Other foreign currency liabilities	3,734	60	622	1,325	5,741
Total foreign currency denominated financial liabilities	180,273	4,747	16,576	3,007	204,603
Net on balance sheet financial position	(38,583)	(1,367)	2,436	(18)	(37,532)
Off balance sheet net notional position	37,525	1,405	(2,392)	(153)	36,385
Overall net position	(1,058)	38	44	(171)	(1,147)



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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.4. Market risk (continued)

4.4.6. Foreign exchange risk (continued)

Approach to managing foreign currency risk (continued)

At 31 December 2024	USD	GBP	Euro	Others	Total
Assets					
Cash and bank balances with banks abroad	11,380	266	3,160	965	15,771
Loans and advances	66,061	672	3,849	16	70,598
Investment in Government Securities	26,005	-	-	-	26,005
Balances due from group companies	59,646	3,964	4,395	703	68,708
Other foreign currency assets	1,276	1	-	161	1,438
Total foreign currency denominated financial assets	164,368	4,903	11,404	1,845	182,520
Liabilities					
Amounts due to banking institutions abroad	8,387	-	2,090	-	10,477
Deposits	120,860	4,913	10,497	928	137,198
Borrowings	10,482	-	-	-	10,482
Balances due to group companies	9,147	15	206	23	9,391
Other foreign currency liabilities	7,015	18	294	1,358	8,685
Total foreign currency denominated financial liabilities	155,891	4,946	13,087	2,309	176,233
Net on balance sheet financial position	8,477	(43)	(1,683)	(464)	6,287
Off balance sheet net notional position	(8,100)	92	2,018	161	(5,829)
Overall net position	377	49	335	(303)	458

The Group takes on exposure to the effects of fluctuations in the prevailing foreign exchange rates on its financial position and cash flows. The Board sets limit on the level of exposure by currency and in aggregate for both overnight and intraday positions, which are monitored daily. The table indicates the extent to which the Group was exposed to currency risk as at 31 December on its monetary assets and liabilities denominated in foreign currency. It shows the sensitivity analysis for each currency to which the bank has significant exposure and the effect of the change in exchange rate on the income statement. Percentage exchange rate changes represent the average of the largest 1 and 10 days increase/decrease for the year.

Year ended 31 December 2025	Increase in currency rate in % 2025	Effect on profit before tax 2025	Effect on equity 2025	Decrease in currency rate in % 2025	Effect on profit before tax	Effect on equity 2025
Currency	KShs Million 2025	KShs Million 2025	KShs Mil-lion 2025	KShs Million 2025	KShs Million 2025	KShs Million 2025
USD	10.00%	(106)	(74)	(10.00%)	106	74
GBP	10.00%	4	3	(10.00%)	(4)	(3)
EUR	10.00%	4	3	(10.00%)	(4)	(3)
Year ended 31 December 2025	Increase in currency rate in % 2025	Effect on prof-it before tax 2025	Effect on equity 2025	Decrease in currency rate in % 2025	Effect on profit before tax	Effect on equity 2025
Currency	KShs Million 2024	KShs Million 2024	KShs Mil-lion 2024	KShs Million 2024	KShs Million 2024	KShs Million 2024
USD	10.00%	38	27	(10.00%)	(38)	(27)
GBP	10.00%	5	4	(10.00%)	(5)	(4)
EUR	10.00%	34	24	(10.00%)	(34)	(24)

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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.4. Market risk (continued)

4.4.6. Foreign exchange risk (continued)

Approach to managing foreign currency risk (continued)

4.4.6. Interest rate risk

Interest rate risk in the banking book (IRRBB)

These are risks that have an impact on net interest income that arise from structural interest rate risk caused by the differing repricing characteristics of banking assets and liabilities.

IRRBB is further divided into the following sub risk types:

- Repricing risk: timing differences in the maturity (fixed rate) and repricing (floating rate) of assets and liabilities.
- Yield curve risk: shifts in the yield curves that have adverse effects on the Group's income or underlying economic value.
- Basis risk: hedge price not moving in line with the price of the hedged position. Examples include bonds/swap basis, futures/ underlying basis.
- Optionality risk: options embedded in Group asset and liability portfolios, providing the holder with the right, but not the obligation, to buy, sell, or in some manner alter the cash flow of an instrument or financial contract.
- Endowment risk: exposure arising from the net differential between interest rate insensitive assets such as non-earning assets, interest rate insensitive liabilities such as non-paying liabilities, and equity.

Approach to managing IRRBB

Banking book-related market risk exposure principally involves managing the potential adverse effect of interest rate movements on banking book earnings (net interest income and banking book mark-to-market profit or loss) and the economic value of equity.

The Group's approach to managing IRRBB is governed by applicable regulations and is influenced by the competitive environment in which the Group operates. The Group's Treasury and Capital Management team monitors banking book interest rate risk operating under the oversight of ALCO.

The Treasury team is responsible for measuring the impact on earnings and economic value as well as monitoring and reporting against the stated limits and guidelines to the various entity ALCO and board committees.

Measurement

The analytical techniques used to quantify IRRBB include both earnings- and valuation-based measures. The analysis takes account of embedded optionality such as loan prepayments and accounts where the account behaviour differs from the contractual position.

The results obtained from forward-looking dynamic scenario analyses, as well as Monte Carlo simulations, assist in developing optimal hedging strategies on a risk-adjusted return basis.

Desired changes to a particular interest rate risk profile are achieved through the restructuring of on-balance sheet repricing or maturity profiles, or through derivative overlays.

Limits

Interest rate risk limits are set in relation to changes in forecast banking book earnings and the economic value of equity. Economic value of equity sensitivity is calculated as the net present value of aggregate asset cash flows less the net present value of aggregate liability cash flows.

All assets, liabilities and derivative instruments are allocated to gap intervals based on either their repricing or maturity characteristics. Assets and liabilities for which no identifiable contractual repricing or maturity dates exist are allocated to gap intervals based on behavioural profiling.

Hedging of endowment risk

IRRBB is predominantly the consequence of endowment exposures, being the net effect of non-rate sensitive assets less non-rate sensitive liabilities and equity.

The endowment risk is hedged using liquid instruments as and when it is considered opportune. Where permissible, hedge accounting is adopted using the derivatives. The interest rate view is formulated through ALCO processes, following meetings of the monetary policy committees, or notable market developments.

Non-endowment IRRBB (repricing, yield curve, basis and optionality) is managed within the treasury and the global markets portfolios.

The table below indicates the KShs equivalent sensitivity of the Bank's banking book earnings (net interest income and banking book mark-to-market profit or loss) and other comprehensive income (OCI) given a parallel yield curve shock. A floor of 0% is applied to all interest rates under the decreasing interest rate scenario. Hedging transactions are taken into account while other variables are kept constant.



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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.4. Market risk (continued)

4.4.7. Interest rate risk (continued)

Hedging of endowment risk (continued)

Currency	Increase in basis points	Sensitivity of net interest income	Sensitivity of other comprehensive income	Decrease in basis points	Sensitivity of net interest income	Sensitivity of other comprehensive income
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
	2025	2025	2025	2025	2025	2025
KShs	250	348	(201)	(200)	(17)	160
Others*	100	59	-	(100)	86	-

Currency	Increase in basis points	Sensitivity of net interest income	Sensitivity of other comprehensive income	Decrease in basis points	Sensitivity of net interest income	Sensitivity of other comprehensive income
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
	2024	2024	2024	2024	2024	2024
KShs	250	946	(30)	(200)	(984)	24
Others*	100	1	-	(100)	-	-

The above will have the same impact on equity.

* These are any other currencies held by the Group not denominated in KShs.

4.5. Liquidity risk

Liquidity risk arises when the Group, despite being solvent, is unable to maintain or generate sufficient cash resources to meet its payment obligations as they fall due, or can only do so on materially disadvantageous terms. This inability to maintain or generate sufficient cash resources may arise where counterparties who provide the Group with short-term funding withdraw or do not rollover that funding, or normally liquid assets become illiquid as a result of a generalised disruption in asset markets.

The nature of banking and trading activities results in a continuous exposure to liquidity risk. The Group manages liquidity in accordance with applicable regulations and within Group's risk appetite. The Bank's liquidity risk management governance framework supports the measurement and management of liquidity at various levels to ensure that all payment obligations can be met by the Group under both normal and stressed conditions. Liquidity risk management ensures that the Group has the appropriate amount, diversification and tenor of funding and liquidity to support its asset base at all times.

The Bank's liquidity risk management framework differentiates between:

- Tactical (shorter-term) risk management: managing intra-day liquidity positions and daily cash flow requirements, and monitoring adherence to prudential and internal requirements and setting deposit rates as informed by ALCO.

- Structural (long-term) liquidity risk management: ensuring a structurally sound statement of financial position, a diversified funding base and prudent term funding requirements.
- Contingent liquidity risk management: monitoring and managing early warning liquidity indicators while establishing and maintaining contingency funding plans, undertaking regular liquidity stress testing and scenario analysis, and setting liquidity buffers in accordance with anticipated stress events.

Governance committees

The primary governance committee overseeing this risk is the Group Asset Liability Committee (ALCO), which is chaired by the Chief Executive. There is independent risk oversight of all liquidity limits and guidelines by Market Risk, Finance and Central Asset Liability Management units. ALCO reports to the Board Risk Committee.

Approach to managing liquidity risk

There is a sound and robust liquidity management process to measure, monitor and manage liquidity exposures. The

following elements are incorporated as part of a cohesive liquidity management process:

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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.5. Liquidity risk (continued)

Approach to managing liquidity risk (continued)

a) Maintaining a structurally sound statement of financial position;

With actual cash flows typically varying significantly from the contractual position, behavioural profiling is applied to assets, liabilities and off-balance sheet commitments with an indeterminable maturity or drawdown period, as well as to certain liquid assets. Behavioural profiling assigns probable maturities based on historical customer behaviour. This is used to identify significant additional sources of structural liquidity in the form of liquid assets and core deposits, such as current and savings accounts, which exhibit stable behaviour despite being repayable on demand or at short notice. Structural liquidity mismatch analysis are performed regularly to anticipate the mismatch between payment profiles of balance sheet items, in order to highlight potential risks within the Group's defined liquidity risk thresholds.

b) Foreign currency liquidity management;

A specific number of indicators are observed in order to monitor changes in market liquidity as well as the impacts on liquidity as a result of movements in exchange rates. Foreign currency loans and advances are restricted to the availability of foreign currency deposits.

c) Ensuring the availability of sufficient contingency liquidity;

Funding markets are evaluated on an on-going basis to ensure appropriate Group funding strategies are executed depending on the market, competitive and regulatory environment. The Group employs a diversified funding strategy.

d) Preserving a diversified funding base;

Concentration risk limits are used within the Group to ensure that funding diversification is maintained across products, sectors, and counterparties. Primary funding sources are in the form of deposits across a spectrum of retail and wholesale clients, as well as long-term capital.

e) Undertaking regular liquidity stress testing;

Stress testing and scenario analysis are based on hypothetical as well as historical events. These are conducted on the funding profiles and liquidity positions of the Group. The crisis impact is typically measured over a two month period, as this is considered the most crucial time horizon for a liquidity event. Anticipated on- and off-balance sheet cash flows are subjected to a variety of Group-specific and systemic stresses and scenarios to evaluate the impact of unlikely but plausible events on liquidity positions. The results are assessed against the liquidity buffer and contingency funding plans to provide assurance as to the Group's ability to maintain sufficient liquidity under adverse conditions.

f) Maintaining adequate liquidity contingency plans or liquidity buffer;

Portfolios of highly marketable securities over and above regulatory and stress testing requirements are maintained as protection against unforeseen disruptions in cash flows. These portfolios are managed within ALCO defined limits on the basis of diversification and liquidity.

g) Short-term and long-term cash flow management;

Active liquidity and funding management is an integrated effort across a number of functional areas. Short-term cash flow projections are used to plan for and meet the day-to-day requirements of the business, including adherence to prudential and internal requirements.

The Group's long term funding strategy is derived from the projected net asset growth which includes consideration of Personal Private Banking, Business Commercial Banking, Insurance and Asset Management, and Corporate and Investment Banking asset classes, capital requirements, the maturity profile of existing wholesale funding and anticipated changes in the retail deposit base. Funding requirements and initiatives are assessed in accordance with ALCO requirements for diversification, tenure and currency exposure, as well as the availability and pricing of alternative liquidity sources.

Liquidity contingency plans are designed to, as far as possible, protect stakeholder interests and maintain market confidence in the event of a liquidity crisis. The plans incorporate an extensive early warning indicator process supported by a clear and decisive crisis response strategy. Early warning indicators cover bank-specific and systemic crises and are monitored according to assigned frequencies and tolerance levels.

Crisis response strategies are formulated for the relevant crisis management structures and address internal and external communications and escalation processes, liquidity generation management actions and operations, and heightened and supplementary information requirements to address the crisis event.

The cumulative impact of the above elements is monitored on a monthly basis by the Group's ALCO and the process is underpinned by a system of extensive internal and external controls. In periods of increased volatility, the frequency of meetings is increased as required to facilitate appropriate and timely management action.

To ensure integrity of the process there is use of application of purpose built technology, documented processes and procedures; independent oversight by risk management and regular independent reviews and evaluations of the effectiveness of the system. The total amount of liquidity held is adequate to meet all internal stress tests as well as regulatory requirements.

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For the year ended 31 December 2025

Notes (continued)**4. Financial risk management (continued)****4.5. Liquidity risk (continued)****Exposure to liquidity risk**

The key measure by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers.

For this purpose, 'net liquid assets' includes cash and cash equivalents and financial investment debt securities for which there is an active and liquid market less any deposits from Groups. Details of the reported Group's key subsidiary, Stanbic Bank Kenya Limited, ratio of net liquid assets to deposits from customers at the reporting date and during the reporting year were as follows:

	2025	2024
	%	%
At 31 December	55.3	50.5
Average for the year	52.1	51.1
Maximum for the year	57.8	55.9
Minimum for the year	48.3	46.7
Statutory minimum requirement	20.0	20.0

The tables below present the remaining contractual maturities of the Group's non-derivative financial liabilities; it includes a maturity analysis for financial assets that the Group holds as part of managing liquidity risk – e.g. financial assets that are expected to generate cash inflows to meet cash outflows on financial liabilities.

The amounts disclosed in the table are the contractual undiscounted cash flows, whereas the Group manages the inherent liquidity risk based on expected undiscounted cash inflows.

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For the year ended 31 December 2025

Notes (continued)**4. Financial risk management (continued)****4.5. Liquidity risk (continued)****Maturity analysis for financial assets and financial liabilities**

	Carrying value	Gross nominal inflow/ (outflow)	Redeemable on demand	Maturing within 1 month	Maturing after 1 month but within 6 months	Maturing after 6 months but within 12 months	Maturing after 12 months but within 5 year	Maturing After 5 years
	2025	2025	2025	2025	2025	2025	2025	2025
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Non- derivative financial assets								
Cash and balances to banks	30,116	30,116	30,116	-	-	-	-	-
Financial assets at FVTPL	56,043	57,495	-	-	20,233	20,351	10,754	6,157
Financial assets at FVOCI	33,167	33,512	-	-	18,688	5,858	3,966	5,000
Financial assets at amortised cost	18,866	20,633	-	-	707	3,250	12,176	4,500
Loans and advances to banks	93,610	94,543	26,725	41,527	26,291			-
Loans and advances to customers	272,919	313,756	2,725	23,777	49,264	24,084	112,174	101,732
Other assets	9,451	9,451	9,451	-	-	-	-	-
	514,172	559,506	69,017	65,304	115,183	53,543	139,070	117,389
Derivative assets:	674							
- Inflows		(2,353)	-	(1,899)	(454)	-	-	-
- Outflows		232,963	-	11,830	221,133	-	-	-
	674	230,610	-	9,931	220,679	-	-	-
Non- derivative financial liabilities								
Deposits from banks	(44,884)	(48,705)	(4,648)	(8,722)	(331)	(16,262)	(18,742)	-
Deposits from customers	(373,725)	(379,504)	(295,961)	(55,861)	(9,993)	(11,210)	(6,479)	-
Financial liabilities at FVTPL	(16,036)	(16,698)		(5,449)	(4,617)	(1,553)	(3,058)	(2,021)
Borrowings	(13,025)	(17,754)	-	(191)	(956)	(1,147)	(9,175)	(6,285)
Other liabilities	(7,682)	(7,682)	(7,682)	-	-	-	-	-
	(455,352)	(470,343)	(308,291)	(70,223)	(15,897)	(30,172)	(37,454)	(8,306)
Derivative liabilities:	(1,161)							
- Inflows		10,334	-	11,179	(1,014)	25	143	-
- Outflows		(215,426)	-	(214,827)	(477)	(14)	(107)	-
	(1,161)	(205,092)	-	(203,648)	(1,491)	12	36	-

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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.5. Liquidity risk (continued)

Maturity analysis for financial assets and financial liabilities (continued)

	Carrying value	Gross nominal inflow/ (outflow)	Redeemable on demand	Maturing within 1 month	Maturing after 1 month but within 6 months	Maturing after 6 months but within 12	Maturing after 12 months but within 5 year	Maturing After 5 years
	2024	2024	2024	2024	2024	2024	2024	2024
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Non- derivative financial assets								
Cash and balances to banks	24,677	24,677	24,677	-	-	-	-	-
Financial assets at FVTPL	54,649	55,759	-	3,756	21,959	19,571	5,778	4,695
Financial assets at FVOCI	15,462	19,193	-	-	8,897	9,269	1,027	-
Financial assets at amortised cost	29,079	30,255	-	-	4,915	4,866	9,499	10,975
Loans and advances to banks	64,486	67,930	5,494	13,076	13,918	16,692	18,750	-
Loans & advances to customers	230,218	326,972	28,854	5,392	27,843	32,352	200,164	32,367
Other assets	8,239	8,239	8,239	-	-	-	-	-
	426,810	533,025	67,264	22,224	77,532	82,750	235,218	48,037
Derivative assets:								
	2,095							
- Inflows	-	(4,439)	-	(2,876)	(1,563)	-	-	-
- Outflows	-	19,293	-	3,736	15,557	-	-	-
	2,095	14,854	-	860	13,994	-	-	-
Non- derivative financial liabilities								
Deposits from banks	(20,819)	(20,453)	(4,114)	(7,417)	(528)	(120)	(8,274)	-
Deposits from customers	(318,193)	(324,341)	(166,366)	(53,515)	(14,238)	(83,269)	(6,952)	(1)
Financial liabilities at FVTPL	(16,322)	(16,914)	-	(5,686)	(4,285)	(921)	(3,138)	(2,884)
Borrowings	(10,482)	(15,617)	-	(153)	(767)	(921)	(7,364)	(6,412)
Other liabilities	(7,568)	(7,568)	(7,568)	-	-	-	-	-
	(373,384)	(384,893)	(178,048)	(66,771)	(19,818)	(85,231)	(25,728)	(9,297)
Derivative liabilities:								
	(2,746)							
- Inflows	-	(20,897)	-	(6,279)	(14,786)	25	143	-
- Outflows	-	2,009	-	1,921	211	(14)	(107)	(2)
	(2,746)	(18,888)	-	(4,358)	(14,575)	11	36	(2)

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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.5. Liquidity risk (continued)

Maturity analysis for financial assets and financial liabilities (continued)

The amounts in the table above have been compiled as follows:

Type of financial instrument	Basis on which amounts are compiled
Non-derivative financial liabilities and financial assets	Undiscounted cash flows which include interest payments.
Derivative financial liabilities and financial assets held for risk management purpose	Contractual undiscounted cash flows. The amounts shown are the gross nominal inflows and outflows for derivatives that have simultaneous gross settlement (e.g. forward exchange contracts and currency swaps) and the netamounts for derivatives that are net settled.

The maturity analysis for the below financial guarantee contracts, and unrecognised loan commitments have been disclosed under note 43

As part of the management of liquidity risk arising from financial liabilities, the Group holds liquid assets comprises cash and cash equivalents and debt securities issued by sovereigns which can be readily sold to meet liquidity requirements. In addition the Group maintains lines of credit with other banks and holds unencumbered assets eligible for use as collateral with central bank.

The table below analyses the Company’s non-derivative financial assets and liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying amounts, as the impact of discounting is not significant.

COMPANY	0-3 MONTHS
	KShs Million
At 31 December 2025	
Cash and balances to banks	115
Other liabilities	(342)
	(227)
At 31 December 2024	
Cash and balances to banks	159
Other liabilities	(264)
	(105)

4.6. Financial instruments subject to offsetting, enforceable master netting arrangements or similar agreements

The following table sets out the impact of offset, as well as financial assets and financial liabilities that are subject to enforceable master netting arrangement or similar agreement, irrespective of whether they have been offset in accordance with IAS 32, as required by IFRS 7.13C disclosure requirements. The gross amounts of financial asset and financial liabilities and their net amounts disclosed in the table below have been measured in the statement of financial position on the following bases:

- Derivative asset and liabilities – fair value;
- Loans and advances – amortised cost; and
- Customer deposits – amortised cost.

As at 31 December 2025, the Group had cash margins of KShs 773,149,458 (2024: KShs 1,770,942,358) held as collateral against loans and advances to customers. Therefore, the credit facilities secured by cash margins can be settled at net.



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For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.6. Financial instruments subject to offsetting, enforceable master netting arrangements or similar agreements (continued)

The ISDA* and similar master netting arrangements do not meet the criteria for offsetting in the statement of financial position. This is because they create for the parties to the agreement a right of set-off of recognised amounts that is enforceable only following an event of default, insolvency or bankruptcy of the bank or the counterparties following other predetermined events. In addition the Group and its counterparties do not intend to settle on a net basis or to realise the assets and the liabilities simultaneously.

The Group receives collateral in the form of cash in respect of lending.

The table below sets out the nature of agreement, and the types of rights relating to items which do not qualify for offset but that are subject to a master netting arrangement or similar agreement.

Financial instrument	Nature of agreement	Basis on which amounts are compiled
Derivative assets and liabilities	ISDA*	The agreement allows for offset in the event of default.
Trading assets and trading liabilities	Global master repurchase agreements	The agreement allows for offset in the event of default.
Loans and advances to banks	Banking Act	In the event of liquidation or bankruptcy, offset shall be enforceable subject to meeting Banking Act requirements.
Deposits and current accounts	Banking Act	In the event of liquidation or bankruptcy, offset shall be enforceable subject to meeting Banking Act requirements.

IFRS 9 Financial Instruments: requires financial assets and financial liabilities to be offset and the net amount presented in the statement of financial position when, and only when, the Group has a current legally enforceable right to set off recognised amounts, as well as the intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

* An ISDA master agreement is a standard agreement used in over-the-counter derivatives transactions. The ISDA Master Agreement, published by the International Swaps and Derivatives Association (ISDA), is a document that outlines the terms applied to a derivatives transaction between two parties.

4.7. Interest rate benchmarks and reference interest rate reform

Interest rate benchmark reform is a global initiative to replace interbank offered rates (IBORs) with alternative risk-free rates. In Kenya, the Kenyan Shilling Overnight Index Average (KESONIA) has been introduced as an alternative benchmark. The reform affects financial instruments that reference benchmark interest rates, primarily through contractual modifications or fallback provisions incorporating KESONIA. Management has assessed the entity's exposure to the reform and does not expect the transition to have a material impact on the entity's financial position, financial performance or cash flows. Any remaining exposures continue to be monitored.

4.8. Climate-related emerging risks

The Group recognises the scale of the present and future expected environmental, social and economic impacts of climate change. In support of Kenya and South Sudan's fair-share contribution to the Paris Agreement goal of limiting global warming to less than

1.5°C above pre-industrial levels by 2050, the Group has committed to achieving net zero carbon emissions from its own operations for newly built facilities, for existing facilities, and from its portfolio of financed emissions.

Exposure to the risks associated with climate change arise for the Group both in respect of its own activities and operations, but more materially through the transmission of climate risks into credit, market, reputational and other risk exposures from lending to, investing in and otherwise transacting with clients and counterparties.

The Group recognises transition and physical climate risk across all operations, with varying levels of intensity. Physical climate risk includes the risk of financial loss arising through increasing severity and frequency of weather events such as storms, floods and fires, droughts and other physical hazards. Physical climate risk also includes chronic longer-term changes in climate, such as changing precipitation patterns, rising sea levels and average temperature rises.

Financial statements

For the year ended 31 December 2025

Notes (continued)

4. Financial risk management (continued)

4.8. Climate-related emerging risks (continued)

Transition risk includes the risk of financial loss arising through changes associated with microeconomic (individual and corporate level) and macroeconomic (economy and country level) adjustments made in transitioning to a lower carbon emissions economy and business operating model. Such drivers include changes in policies, legislation and regulations to reduce emissions and support decarbonisation, changes due to technology improvements that support transition to a lower carbon economy, changes in market demand for products and services that support or delay the transition, and reputational risks associated with changing customer preferences. The current and future expected costs, including for possible stranded assets that do not deliver an economic return because of changes associated with a transition to a lower carbon economy, are higher for clients and counterparties of the Group that operate in sectors that are more vulnerable to these transition risk drivers.

Governance

The Group climate policy guides both the management of exposures to businesses in sectors that are vulnerable to climate-related risks and the direction of finance towards qualifying transactions that seek to address energy poverty, achieve fair employment opportunities, and support the just transition to net zero. The board and its committees are responsible for overseeing both the implementation of the group's climate policy and supporting sector-specific strategies for driving sustainable and transition finance, and the management of climate-related financial risks associated with the group's lending and investing activities, wherever they are identified.

The board and its supporting committees are responsible for:

- Overseeing implementation of the Climate Policy including monitoring of progress made to meet targets and commitments.
- Reviewing outputs of internal scenario analysis and regulatory climate risk stress tests, as well as other related risk matters.
- Assessing executive performance in relation to climate policy commitments and targets.

The Group risk and conduct committee (RCC), chaired by the chief risk officer, oversees financial and non-financial related risk, including climate-related risk. RCC is responsible for overseeing the embedment of climate-related risk-identification, classification, analysis, monitoring and reporting in the enterprise-wide risk management system. The Group RCC assesses composition of the group's portfolio including for lending to sectors more vulnerable to climate-related risks, the implications thereon of stressed scenarios (including going forward for climate-related risk scenarios)

and sets concentration limits or thresholds of portfolios and risk appetite indicator guidelines for group. The refinement of quantified limits and thresholds for exposures to climate-related risks is ongoing across impacted portfolios.

Strategy

The Group supports a just energy transition that prioritises environmental sustainability in a manner that creates work opportunities and social inclusion, addresses Kenya and South Sudan's energy needs and acknowledges their very limited contribution to global emissions. As part of the efforts to achieve this transition, the Group has committed to reducing its financed emissions while responsibly managing its exposure to fossil fuels. Strategic interventions include the mobilisation of sustainable finance, introduction of new products and services to support climate risk mitigation and adaptation and use of exclusions and restrictions on lending and investing in specific high-emissions sectors

The Group's approach to climate risk and opportunities is primarily sector-led across all countries, with business teams developing their climate targets, commitments and climate risk appetite as part of their sector-specific business strategies. Country-specific climate risk assessment capabilities are under development.

Risk management

The climate risk team in Group sustainability program is driving the establishment of standards for climate data management and assurance. The Group continues refining data and reporting structures within which our counterparties and their activities are classified. The objective, is to enhance sector classifications to more accurately reflect the extent to which the sectors are, or may be, vulnerable to climate-related risks. This will support reporting for climate metric purposes, as well as the Group's internal and external portfolio-level scenario analysis.

Our capacity to identify and assess climate-related risks using scenario analysis continues to improve. The Group invested in new Group-wide climate risk analytics technology in 2025 and partnered with a global ratings, research and data provider to significantly enhance our ability to measure, model, manage and report our climate-related risk exposure. Using data on the locations of our clients' climate sensitive operations and assets, as well as information on the nature of their sensitivity to transition risk, we are now better able to estimate the credit and market risk-related impacts of transition and physical risks in our banking and trading portfolios. Analysis in 2025 included:

- Carbon emissions modelling.
- Physical risk impacts scores and damage rates.
- Scenario specific climate adjusted probabilities of default and loss given default.
- Value impact assessments for traded instruments.



Financial statements

For the year ended 31 December 2025

Notes (continued)

- 4. Financial risk management (continued)
- 4.8. Climate-related emerging risks (continued)

Risk management (continued)

The overall impact to our banking and trading portfolio was assessed as low

Transition risks

- Exposure to policy risk over the medium to long term associated with uncertain long-term demand for fossil fuels, especially coal, and other high emitting sectors. Key drivers for this risk include expected policy actions such as more onerous carbon-pricing regulations to limit emissions on business activities. Such action could lead to higher risks of stranded assets and the related financial risks for the group arising from an impairment in value of clients' operating assets pledged as collateral and leading therefore to an increase in the probability risk of client defaults.
- Market risk primarily over the short to medium term related to changing client expectations for greener products and services, potentially impacting on some of our clients' future business opportunities. Likewise, expectations from investors will also adjust to an appetite for lower financed emissions, applying pressure on the group to align with low emissions pathways.
- Higher reputational risk including in the immediate short-term arising from negative stakeholder sentiment and adverse media coverage related to support of projects or activities with negative impacts on the climate, including oil and gas related infrastructure projects.

Physical risks

Acute physical risks such as more frequent and more intense extreme weather events, pose a risk to the Group's own operations and those of its customers in sectors the group has identified as being vulnerable, including agriculture and others. Chronic physical risks such as rising average temperatures and changing precipitation patterns over the medium to long term, that lead to heat stress, droughts, higher wildfire risks and water shortages, may impact the group's clients in affected sectors including mining, industrial, manufacturing and agriculture through water shortages, labour productivity, economic output and occupational health.

Opportunities

The Group continues to work with its clients and partners to help them address their climate impacts, lower their emissions and improve their resilience. The Group continues to expand its offering of sustainability linked lending solutions, green and social bonds. The Group supports sustainable agricultural practices that promote reduced carbon emissions and improved resilience to climate risk.

Metrics and targets

In setting its targets for reducing exposure concentrations to affected sectors, setting future origination goals and driving its offerings, the group referenced the NGFS Net Zero 2050 scenario, publicly available national research and statistics, including electricity planning forecasts (where available) and internal economic forecasts and research obtained from credible external sources. Detailed information in this regard can be found in the Group's climate-related disclosures report and the climate policy.

5. Segment information

The Group is required to disclose information to the users of its financial statements to evaluate the nature and financial effects of the business activities in which it engages and the economic environments in which it operates in compliance with IFRS 8.

An operating segment is a component of the Group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. Identification of segments and the measurement of segment results is based on the Group's internal reporting to management.

Management has determined the operating segments based on the reports reviewed by the Group's Chief Executive (CE) with the assistance of the Group's Leadership Council (KLC) and the Asset and Liability Committee (ALCO). Management considers the business from client turnover perspective.

The Group's operating model is client led and structured around segments, namely: Personal & Private Banking (PPB), Business & Commercial Banking (BCB), Corporate & Investment Banking (CIB) and Insurance & Asset Management (IAM).

Business unit reporting evolves to reflect changes in reporting responsibility for individual cost centres and divisions across the group. This is in line with Group reporting and decision-making reports.

The geographical spread (across borders) is also used as a part of performance analysis. The Group's main subsidiary (Stanbic Bank Kenya Limited) operates one Branch in the Republic of South Sudan.

Insurance and Asset Management (IAM)

The Insurance & Asset Management (IAM) business unit offers partnerships for the sale of the Group's insurance agency offerings within the Group's banking sales channels. Its clients, who range from individual customers to corporate and institutional clients, can leverage Group's extensive market leading range of propositions and services to help build and protect their wealth and lifestyle.

Financial statements

For the year ended 31 December 2025

Notes (continued)

5. Segment information (continued)

Personal & Private Banking (PPB)

PPB provides banking services to individual customers and small to medium sized enterprises. The products offered include:

- Mortgage Lending – provides residential accommodation loans to individual customers.
- Instalment Sales and Finance Leases – comprises two areas, instalment finance in the consumer market, mainly vehicles, and secondly, finance of vehicles and equipment in the business market.
- Card Products – provides card facilities to individuals and businesses.
- Transactional and Lending Products – transactions in products associated with the various points of contact channels such as Automated Teller Machines (ATMs), Internet, and branches. This includes deposit taking activities, electronic banking, cheque accounts and other lending products.

Business and Commercial Banking (BCB)

The BCB business unit provides broad based client solutions for a wide spectrum of small and medium-sized businesses as well as large commercial enterprises. Our client coverage extends across a wide range of industries, sectors and solutions that deliver the necessary advisory, networking and sustainability support required by our clients to enable their growth. The products offered include:

- Transactional products associated with payments such as salaries, suppliers and bill payments and collections for cash, cheques and electronic money as well as all foreign currency requirements.
- Lending solutions: Pre & post shipment financing, Working capital financing, Asset Finance, capex and expansion loans and Insurance financing.

- Savings and Investment

Corporate and Investment Banking (CIB)

CIB provides commercial and investment banking services to larger corporates, financial institutions, and international counter-parties. The products offered include:

- Global Markets – includes foreign exchange and debt securities trading.
- Transactional banking services – includes transactional banking and investor services.
- Investment Banking – includes project finance, advisory, structured finance, structured trade finance, corporate lending, primary markets and property finance.

The Group does not have any customer that contributes more than 10% of its revenue nor a customer that constitutes more than 10% of deposits or loans (2024: None)

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For the year ended 31 December 2025

Notes (continued)

5. Segment information(continued)

5 (a) Results by business units

Statement of profit and loss	Total	Total	CIB	CIB	BCB	BCB	PPB	PPB	IAM	IAM
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Interest income	37,214	48,165	24,727	33,619	4,486	5,126	7,992	9,408	9	12
Interest expense	(13,130)	(23,828)	(13,283)	(22,026)	967	1,297	(814)	(3,098)		(1)
Net interest income	24,084	24,337	11,444	11,593	5,453	6,423	7,178	6,310	9	11
Fees and commission revenue	6,778	6,042	3,897	3,060	1,226	1,181	1,169	1,352	486	449
Fees and commission expense	(1,271)	(1,069)	(283)	(237)	(353)	(317)	(635)	(515)	-	-
Net fees & commission income	5,507	4,973	3,614	2,823	873	864	534	837	486	449
Trading revenue	7,608	7,662	6,239	5,982	766	834	469	752	134	94
Net gain from financial instruments at fair value through profit or loss	1,006	2,849	1,006	2,849	-	-	-	-	-	-
Other income	280	114	280	72	-	20	-	15	-	7
Other losses on financial instru- ments	26	(32)	26	(32)	-	-	-	-	-	-
Trading and other income	8,920	10,593	7,551	8,871	766	854	469	767	134	101
Total income	38,511	39,903	22,609	23,287	7,092	8,141	8,181	7,914	629	561
Credit impairment losses	(1,628)	(3,099)	(177)	(909)	(352)	(901)	(1,099)	(1,289)	-	-
Net income before operating expenses	36,883	36,804	22,432	22,378	6,740	7,240	7,082	6,625	629	561
Employee benefits expense	(9,147)	(9,135)	(4,056)	(4,032)	(2,478)	(2,455)	(2,431)	(2,462)	(182)	(186)
Depreciation & amortisation expense	(781)	(707)	(229)	(256)	(213)	(189)	(335)	(254)	(4)	(8)
Depreciation on right-of use assets	(317)	(324)	(76)	(74)	(119)	(114)	(121)	(136)	(1)	-
Other operating expenses	(7,698)	(7,657)	(3,538)	(3,662)	(1,824)	(1,681)	(2,206)	(2,170)	(130)	(144)
Finance costs	(14)	(10)	(13)	(10)	(1)	-	-	-	-	-
Total operating expenses	(17,957)	(17,833)	(7,912)	(8,034)	(4,635)	(4,439)	(5,093)	(5,022)	(317)	(338)
Profit before income tax	18,926	18,971	14,520	14,344	2,105	2,801	1,989	1,603	312	223
Income tax expense	(5,208)	(5,255)	(3,818)	(3,816)	(717)	(884)	(577)	(480)	(96)	(75)
Profit for the year	13,718	13,716	10,702	10,528	1,388	1,917	1,412	1,123	216	148

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For the year ended 31 December 2025

Notes (continued)

5. Segment information(continued)

5 (a) Results by business units (continued)

	Total	Total	CIB	CIB	BCB	BCB	PPB	PPB	IAM	IAM
Statement of financial position	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Assets										
Cash and balances with central banks	30,116	24,677	27,273	21,779	1,782	1,856	1,061	1,042	-	-
Financial assets – (FVTPL)	56,043	54,649	56,043	54,649	-	-	-	-	-	-
Financial assets – (FVOCI)	33,167	15,462	33,167	15,462	-	-	-	-	-	-
Financial assets – (amortised cost)	18,866	29,079	18,866	29,079	-	-	-	-	-	-
Derivative assets	674	2,095	674	2,095	-	-	-	-	-	-
Current tax asset	1,334	1,461	1,324	858	-	283	-	307	10	13
Loans and advances to banks	93,610	64,486	93,610	64,486	-	-	-	-	-	-
Loans and advances to cus- tomers	272,919	230,218	185,933	146,696	36,225	32,312	50,761	51,210	-	-
Other assets and prepayments	11,440	10,449	4,243	2,077	3,325	3,323	3,701	4,778	171	271
Investment in subsidiaries and other investment	18	18	12	11	3	4	3	3	-	-
Property and equipment	2,376	2,231	794	718	845	721	716	792	21	-
Right-of-use assets (buildings)	1,586	693	871	205	365	249	348	239	2	-
Right-of-use assets (leasehold land)	27	30	14	15	6	7	7	8	-	-
Other intangible assets	898	993	153	339	256	150	487	487	2	17
Intangible assets - goodwill	9,350	9,350	5,861	8,883	1,878	467	1,611	-	-	-
Deferred tax asset	8,829	8,943	5,913	5,961	2,000	1,978	909	979	7	25
Total assets	541,253	454,834	434,751	353,313	46,685	41,350	59,604	59,845	213	326
Liabilities										
Derivative liabilities	1,161	2,746	1,161	2,746	-	-	-	-	-	-
Financial liabilities – FVTPL	16,036	16,322	16,036	16,322	-	-	-	-	-	-
Current tax liability	99	20	99	20	-	-	-	-	-	-
Deposits from banks	44,884	20,819	43,265	20,819	1,258	-	361	-	-	-
Deposits from customers	373,725	318,193	208,953	156,516	79,566	73,758	85,206	87,919	-	-
Borrowings	13,025	10,482	9,409	7,275	1,849	1,531	1,766	1,676	1	-
Other liabilities and accrued expenses	10,669	10,140	6,241	4,870	2,832	3,012	1,417	2,246	179	12
Lease liabilities	1,505	712	1,066	446	280	214	157	52	2	-
Total liabilities	461,104	379,434	286,230	209,014	85,785	78,515	88,907	91,893	182	12
Equity	80,149	75,400	54,486	47,324	11,097	13,196	14,288	14,669	278	211
Inter-divisional funding	-	-	94,035	96,975	(50,197)	(50,361)	(43,591)	(46,717)	(247)	103
Total equity and liabilities	541,253	454,834	434,751	353,313	46,685	41,350	59,604	59,845	213	326

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For the year ended 31 December 2025

Notes (continued)**5. Segment information(continued)****5 (b) Results by geographical area**

Statement of profit and loss	Total	Total	Kenya	Kenya	South Sudan	South Sudan
	2025	2024	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Interest income	37,214	48,165	37,207	48,161	7	4
Interest expense	(13,130)	(23,828)	(13,105)	(23,807)	(25)	(21)
Net interest income	24,084	24,337	24,102	24,354	(18)	(17)
Fees and commission revenue	6,778	6,042	6,054	5,190	724	852
Fees and commission expense	(1,271)	(1,069)	(1,266)	(1,058)	(5)	(11)
Net fees and commission income	5,507	4,973	4,788	4,132	719	841
Trading revenue	7,608	7,502	6,466	6,738	1,142	764
Net gain/ (loss) from financial instruments at fair value through profit or loss	1,006	2,849	1,006	2,849	-	-
Other income	280	114	277	114	3	-
Other losses on financial instruments	26	(32)	26	(32)	-	-
Trading and other income	8,920	10,433	7,775	9,669	1,145	764
Total income	38,511	39,743	36,665	38,155	1,846	1,588
Credit impairment losses	(1,628)	(3,099)	(1,630)	(3,081)	2	(18)
Net income before operating expenses	36,883	36,644	35,035	35,074	1,848	1,570
Employee benefits expense	(9,147)	(9,135)	(8,448)	(8,340)	(699)	(795)
Depreciation and amortisation expense	(781)	(707)	(757)	(695)	(24)	(12)
Depreciation on right-of use assets	(317)	(324)	(289)	(304)	(28)	(20)
Other operating expenses	(7,698)	(7,497)	(6,983)	(6,991)	(715)	(506)
Finance costs	(14)	(10)	(2)	(1)	(12)	(9)
Total operating expenses	(17,957)	(17,673)	(16,479)	(16,331)	(1,478)	(1,342)
Profit before income tax	18,926	18,971	18,556	18,743	370	228
Income tax expense	(5,208)	(5,255)	(5,071)	(5,202)	(137)	(53)
Profit for the year	13,718	13,716	13,485	13,541	233	175

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Notes (continued)**5. Segment information(continued)****5 (b) Results by geographical area (continued)**

Statement of financial position	Total	Total	Kenya	Kenya	South Sudan	South Sudan
	2025	2024	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Assets						
Cash and balances with central banks	30,116	24,677	20,523	17,806	9,593	6,871
Financial assets – (FVTPL)	56,043	54,649	56,043	54,649	-	-
Financial assets – (FVOCI)	33,167	15,462	33,167	15,462	-	-
Financial assets – (amortised cost)	18,866	29,079	18,866	29,079	-	-
Derivative assets	674	2,095	674	2,095	-	-
Current tax asset	1,334	1,461	1,334	1,461	-	-
Loans and advances to banks	93,610	64,486	85,234	55,183	8,376	9,303
Loans and advances to customers	272,919	230,218	272,872	230,188	47	30
Other assets and prepayments	11,440	10,449	11,421	10,402	19	47
Investment in subsidiaries and other investments	18	18	18	18	-	-
Property and equipment	2,376	2,231	2,326	2,162	50	69
Right-of-use assets (buildings)	1,586	693	1,212	651	374	42
Right-of-use assets (leasehold land)	27	30	27	30	-	-
Other intangible assets	898	993	898	993	-	-
Intangible assets - goodwill	9,350	9,350	9,350	9,350	-	-
Deferred tax asset	8,829	8,943	8,775	8,918	54	25
Total assets	541,253	454,834	522,740	438,447	18,513	16,387
Liabilities						
Derivative liabilities	1,161	2,746	1,161	2,746	-	-
Financial liabilities – FVTPL	16,036	16,322	16,036	16,322	-	-
Current tax liability	99	20	-	-	99	20
Deposits from banks	44,884	20,819	43,221	20,807	1,663	12
Deposits from customers	373,725	318,193	359,857	304,138	13,868	14,055
Borrowings	13,025	10,482	13,025	10,482	-	-
Other liabilities and accrued expenses	10,669	10,140	8,816	8,367	1,853	1,773
Lease liabilities	1,505	712	1,155	639	350	73
Total liabilities	461,104	379,434	443,271	363,501	17,833	15,933
Equity	80,149	75,400	79,476	74,946	673	454
Total equity and liabilities	541,253	454,834	522,747	438,447	18,506	16,387

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Notes (continued)**5. Segment information (continued)****Reconciliation of reportable assets and liabilities**

	GROUP	
	2025	2024
	KShs Million	KShs Million
Assets		
Total assets for reportable segments	562,868	475,544
Elimination of inter-branch balances with South Sudan	(21,615)	(20,710)
Entity's assets	541,253	454,834
Liabilities		
Total liabilities and equities for reportable segments	562,868	475,544
Elimination of inter-branch balances with South Sudan	(21,615)	(20,710)
Entity's liabilities and equities	541,253	454,834

6. Interest income

	GROUP		COMPANY	
	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Effective interest rate income				
Loans and advances to customers	26,984	35,952	-	-
Financial assets – (FVOCI)	3,252	3,100	-	-
Financial assets – (amortised cost)	2,714	3,016	-	-
Placements and other bank balances	4,264	6,097	6	25
	37,214	48,165	6	25

Interest income and interest expense calculated using the effective interest method.

7. Interest expense

Effective interest rate expense				
Current accounts	4,153	4,502	-	-
Savings and term deposit accounts	7,183	17,087	-	-
Deposits and placements from other banks	612	1,061	-	-
Interest on borrowed funds (Note 35)	1,050	1,062	-	-
Interest expense on lease liabilities (Note 31)	132	116	-	-
	13,130	23,828	-	-
Net interest income	24,084	24,337	6	25

All interest income reported above relates to financial assets not carried at fair value through profit or loss and all interest expense reported relates to financial liabilities not carried at fair value through profit or loss.

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Notes (continued)**8. Fees and commission revenue**

	GROUP		COMPANY	
	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Account transaction fees	1,340	1,453	-	-
Knowledge based and client administration fees	2,035	1,323	-	-
Electronic banking fees	1,107	1,201	-	-
Foreign service fees	623	659	-	-
Documentation and administration fees	121	91	-	-
Brokerage commission	347	235	-	-
Other bank related fees and commission	1,205	1,080	-	-
	6,778	6,042	-	-

*The net fees and commission earned by the Group on trust and fiduciary activities where the Group holds or invests assets on behalf of its customers is KShs 630,781,489 (2024: KShs 450,725,479).

Fees and commission income from contracts with customers is measured based on the consideration specified in a contract with a customer. The Group recognises revenue when it transfers control over a service to a customer.

9. Fees and commission expense

	GROUP		COMPANY	
	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Card based commission expenses	569	477	-	-
Brokerage fees	110	74	-	-
Other bank related fees and commission expenses	592	518	-	-
	1,271	1,069	-	-

10. Trading revenue

Net foreign exchange income	7,608	7,591	-	-
Loss in monetary value	-	(89)	-	-
	7,608	7,502	-	-

11. (a) Net gain from financial instruments at fair value through profit or loss

Gain from financial instruments-(FVTPL)	1,006	2,849	-	-
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11 (b) Other gains/(losses) on financial instruments

Net gain/(loss) on disposal of financial assets	26	(32)	-	-
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Notes (continued)**12. Other income**

	GROUP		COMPANY	
	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Gain on disposal of property and equipment	3	24	-	-
Dividend income	-	-	8,986	6,352
Other income	277	90	-	-
	280	114	8,986	6,352

13. Employee benefits expense

Salaries and wages	8,276	8,449	100	158
Retirement benefit costs	871	686	13	8
	9,147	9,135	113	166

Included in retirement benefit costs are;

Defined contribution scheme	807	650	-	-
National Social Security Fund	64	36	-	-
	871	686	-	-

Average staff numbers for the year;

Management	493	475	2	2
Supervisory	488	495	-	-
Clerical and other categories	256	260	1	1
Total	1,237	1,230	3	3

14. Breakdown of expenses by nature

	Notes	GROUP		COMPANY	
		2025	2024	2025	2024
		KShs Million	KShs Million	KShs Million	KShs Million
Profit before tax has been arrived at after charging:-					
Employee benefits	13	9,147	9,135	113	166
Depreciation of property and equipment	26	465	456	-	-
Depreciation on right-of use assets	30	317	324	-	-
Amortisation of right-of-use leasehold land	27	3	3	-	-
Amortisation of intangible assets	28	313	248	-	-
Finance costs	15	14	10	1	1
Other operating expenses					
Audit fees		33	37	2	3
Directors' fees	42(f)	201	156	11	8
Franchise fees	42 (i)	1,116	1,148	-	-
Information technology costs		1,709	2,226	-	-
Communication costs		236	307	-	-
Consultancy, legal and professional fees		722	283	-	-
Marketing and advertising costs		463	432	-	-
Deposit protection scheme contribution		547	500	-	-
Travel and accommodation costs		281	249	-	-
Other expenses*		2,390	2,159	6	15
Total other operating expenses		7,698	7,497	19	26
Total		17,957	17,673	133	193

** Included in the consultancy, legal and professional fees is an amount of KShs 10,754,700 (2024: KShs 15,614,000) that relates to non-audit services offered by the current auditor to the Group. This includes KShs 4,624,700 for regulatory IT review and KShs 6,130,000 for other non audit services.

*Other expenses mainly includes operational expenses such as insurance, security and administration costs

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Notes (continued)**15. Finance costs**

	Notes	GROUP		COMPANY	
		2025	2024	2025	2024
		KShs Million	KShs Million	KShs Million	KShs Million
Bank charges		14	10	1	1
		14	10	1	1

16. Income tax expense

Current income tax		5,102	5,181	3	12
Current year charge	37 (a)	5,075	5,725	3	12
Previous year current income tax under/ (over) provision		27	(544)	-	-
Deferred income tax		106	74	-	-
Current year charge/ (credit) Kenya operations	38 (a)	137	81	-	-
Current year credit foreign operations	38 (b)	(31)	(7)	-	-
Income tax expense for the year		5,208	5,255	3	12

Reconciliation of tax expense to expected tax base based on accounting profit:

The tax on the profit before tax differs from the theoretical amount using the statutory income tax rate as follows:

	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Profit before income tax	18,926	18,971	8,859	6,184
Tax at statutory tax rate of 30% (2024: 30%)	5,695	5,630	2,658	1,855
Tax effect of:				
Income not subjected to tax	(910)	(699)	(2,696)	(1,907)
Expenses not deductible for tax purposes	444	942	41	64
Previous year's current tax (over)/under provision	27	(544)	-	-
Effect of tax paid in other jurisdictions	(48)	(74)	-	-
Income tax expense	5,208	5,255	3	12



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Notes (continued)

17. Earnings per share

Basic earnings per share are calculated by dividing the profit attributable to equity holders of the company by the weighted average number of ordinary shares in issue during the year.

	GROUP		COMPANY	
	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Earnings (Profit after tax)				
Earnings for the purposes of basic earnings per share (KShs Million)	13,718	13,716	8,856	6,172
Number of shares				
Weighted average number of ordinary shares for the purpose of basic earnings per share (in millions)	395	395	395	395
Earnings per share (KShs) basic and diluted	34.70	34.70	22.40	15.61

There were no dilutive potential ordinary shares as at 31 December 2025 or 31 December 2024. Therefore, diluted earnings per share are the same as basic earnings per share.

18. Dividend

	GROUP	COMPANY
	2025	2024
The calculation of dividends per share is based on: Dividends for the year attributable to ordinary shareholders:		
Interim dividend paid (KShs 'millions)	1,504	727
Final dividend proposed (KShs 'millions)	7,333	7,472
	8,837	8,199
Number of ordinary shares at issue date (in millions)	395	395
Dividends per share – KShs	22.35	20.74

Proposed dividends are presented within retained earnings until they have been approved at an Annual General Meeting.

At the next annual general meeting, a final dividend in respect of the year ended 31 December 2025 of KShs 18.55. (2024: KShs 18.90) per share amounting to a total of KShs 7,333,216,385 (2024: KShs 7,471,578,958) is to be proposed. These financial statements do not reflect this dividends as payable.

During the year an interim dividend of KShs 3.80 (2024: KShs 1.84) per share amounting to a total of KShs 1,503,680,619 was paid (2024: KShs 727,391,814).

Payment of dividends is subject to withholding tax at a rate of either 5% for resident and 15% for non-resident shareholders. Dividend paid to resident companies who own more than 12.5% shareholding are exempt from withholding tax. Dividends payable to South African residents as a shareholder are subjected to 10% withholding tax.

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Notes (continued)

19. Cash and balances with central banks

	GROUP		COMPANY	
	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Cash in hand	6,041	3,795	-	-
Balances with Central Bank of Kenya	24,075	20,882	-	-
	30,116	24,677	-	-

The Group's key subsidiary, Stanbic Bank Kenya Limited is required to maintain a prescribed minimum cash reserve ratio (CRR) including cash in hand and balances with Central Bank of Kenya. The minimum cash reserve is non-interest earning and is based on the value of deposits as adjusted for Central Bank of Kenya requirements. At 31 December 2025, the cash reserve requirement was 3.25% of the eligible deposits (2024: 4.25%). The cash reserve requirement balance for the year ended 31 December 2025 was KShs.11,362,520,032 (2024: KShs 12,759,987,712).The Central Bank of Kenya allows a daily minimum of 2% (2024: 3%) of eligible deposits as long as the average total reserving for the month is above the CRR. The applicable daily minimum for the Bank therefore was Kshs 6,755,143,160 as at 31 December 2025 (2024: KShs 9,007,050,150). The Group complied with the CRR requirement throughout the reporting period.

20. Financial assets and liabilities – FVTPL

20 (a) Financial assets – (FVTPL)

	GROUP	
	2025	2024
	KShs Million	KShs Million
Debt securities		
Government treasury bills and bonds	52,719	32,815
Trading assets	3,269	21,782
Investment in unit trusts	55	52
	56,043	54,649
Maturity analysis;		
Maturing on demand	55	52
Maturing within 1 month	-	3,874
Maturing after 1 months but within 6 months	17,730	22,596
Maturing after 6 months but within 12 months	20,329	19,643
Maturing after 12 months but within 5 years	13,004	4,657
Maturing after 5 years	4,925	3,879
	56,043	54,649

The maturities represent periods to contractual redemption of financial assets fair value through profit or loss recorded. Financial assets at fair value through profit or loss had a redemption value at 31 December 2025 of KShs 53,221,458,000 (2024: KShs 51,293,475,000). The weighted average effective interest yield on debt securities held for trading at 31 December 2025 was 10.59% (2024: 11.45%).

20 (b) Financial liabilities – FVTPL

	GROUP	
	2024	2023
	KShs Million	KShs Million
Unlisted	16,036	16,322
Maturity analysis;		
Maturing within 1 month	5,358	5,546
Maturing after 1 months but within 6 months	4,562	4,121
Maturing after 6 months but within 12 months	1,536	887
Maturing after 12 months but within 5 years	2,794	3,018
Maturing after 5 years	1,786	2,750
	16,036	16,322

The maturities represent periods to contractual redemption of trading liabilities recorded. Dated trading liabilities had a redemption value at 31 December 2025 of KShs.15,266,740,000 (2024:KShs 15,730,899,000). The weighted average effective interest cost on debt securities held for trading at 31 December 2025 was 9.64% (2024: 10.84%).



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Notes (continued)

21. Financial assets – (FVOCI)

	GROUP	
	2025	2024
	KShs Million	KShs Million
Financial assets – (FVOCI)	33,167	15,462
	33,167	15,462
Debt securities – at fair value:		
Listed	12,527	9,330
Unlisted	20,675	6,146
	33,202	15,476
Comprising:		
Government bonds	12,527	9,330
Government treasury bills	20,675	6,146
	33,202	15,476
Allowances for impairments		
Expected credit loss for debt securities measured at fair value through OCI (IFRS 9) (Note 21.1)	(35)	(14)
Net debt securities at FVOCI	33,167	15,462
Maturity analysis		
Maturing within 1 month	-	-
Maturing after 1 month but within 6 months	18,163	8,766
Maturing after 6 months but within 12 months	4,558	5,688
Maturing after 12 months but within 5 years	4,802	1,008
Maturing after 5 years	5,644	-
	33,167	15,462

Financial investment securities had a redemption value at 31 December 2025 of KShs. 33,511,801,000 (2024: KShs 18,306,251,000).The weighted average effective interest cost on debt securities available for sale at 31 December 2025 was 8.66% (2024: 10.46%).

Notes (continued)

21. Financial assets – (FVOCI) (continued)

21.1 Reconciliation of expected credit losses for debt financial assets measured at fair value through OCI:

GROUP	Income statement movements							
	Opening ECL 1 Jan 2025	Total transfers between stages	ECL on new exposure raised	Change in ECL due to modifications	Subsequent changes in ECL	Change in ECL due to derecognition	Net ECL raised/(released) ¹	Exchange and other movements
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Financial assets (Fair value through OCI)								
Debt securities	14	-	64	-	(12)	52	-	(31)
Stage 1	14	-	64	-	(12)	52	-	(31)
Total	14	-	64	-	(12)	52	-	(31)

¹ Net impairments raised/(released) less recoveries of amounts written off in previous years equals impairment charge in the statement of profit or loss (refer credit impairment charges note)

GROUP	Income statement movements							
	Opening ECL 1 Jan 2024	Total transfers between stages	ECL on new exposure raised	Change in ECL due to modifications	Subsequent changes in ECL	Change in ECL due to derecognition	Net ECL raised/(released) ¹	Exchange and other movements
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Financial assets (Fair value through OCI)								
Debt securities	6	-	10	-	(2)	6	-	2
Stage 1	6	-	10	-	(2)	6	-	2
Total	6	-	10	-	(2)	6	-	2

¹ Net impairments raised/(released) less recoveries of amounts written off in previous years equals impairment charge in the statement of profit or loss (refer credit impairment charges note)

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Notes (continued)**21. Financial assets – (FVOCI) (continued)****21.2 Reconciliation of fair value through OCI reserve for debt financial assets measured at fair value through OCI**

GROUP	Balance at beginning of the year 2025	Reclassifications	Net change in fair value	Realised fair value adjustments and reversal to profit or loss	Net expected credit loss raised/ (released) during the period	Exchange and other movements	Balance at end of the year 2025
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Debt securities	(309)	-	(21)	-	(21)	76	(254)
Total	(309)	-	(21)	-	(21)	76	(254)

GROUP	Balance at beginning of the year 2024	Reclassifications	Net change in fair value	Realised fair value adjustments and reversal to profit or loss	Net expected credit loss raised/ (released) during the period	Exchange and other movements	Balance at end of the year 2024
	KShs	KShs	KShs	KShs	KShs	KShs	KShs
Debt securities	189	-	(422)	-	(422)	(76)	(309)
Total	189	-	(422)	-	(422)	(76)	(309)

22. Financial assets – (amortised cost)

	GROUP		
	2025	2024	
	Note	KShs Million	KShs Million
Pledged assets – (amortised cost)	22 (a)	704	6,222
Financial assets – (amortised cost)	22 (b)	18,162	22,857
		18,866	29,079

22 (a) Pledged assets – (amortised cost)

Amortised cost/held to collect debt securities		704	6,305
Gross pledged assets at amortised cost		704	6,305
Allowances for impairments			
Expected credit loss for financial assets measured at amortised cost (IFRS 9)	22.1	-	(83)
Net pledged assets at amortised cost		704	6,222

Maturity analysis:

Maturing after 1 months but within 6 months	-	642
Maturing after 6 months but within 12 months	704	3,113
Maturing after 12 months but within 5 years	-	-
Maturing after 5 years	-	2,467
	704	6,222

Dated pledged assets at amortized cost had a redemption value at 31 December 2025 of KShs. 506,903,000 (2024: KShs 6,025,600,000).The weighted average effective interest yield on pledged assets on 31 December 2025 was 5.6% (2024: 14.01%). These transactions are conducted under terms that are usual and customary to security lending, and security borrowings and lending activities.

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Notes (continued)**22. Financial assets – (amortised cost) (continued)****22 (b) Financial assets – (amortised cost)**

	GROUP		
	2025	2024	
Debt securities:	Note	KShs Million	KShs Million
Listed		15,179	22,893
Unlisted		3,040	-
Gross financial assets at amortised cost		18,219	22,893
Allowances for impairments			
Expected credit loss for financial assets measured at amortised cost (IFRS 9)	22.1	(57)	(36)
Net debt securities at amortised cost		18,162	22,857

	GROUP		
	2025	2024	
Comprising:	Note	KShs Million	KShs Million
Government bonds		13,499	21,077
Government treasury bills		3 040	-
Corporate bonds		1,680	1,816
		18,219	22,893

Maturity analysis:

Maturing within 1 month	-	-
Maturing after 1 month but within 6 months	190	3,487
Maturing after 6 months but within 12 months	2,739	4,532
Maturing after 12 months but within 5 years	11 018	9,520
Maturing after 5 years	4,272	5,354
	18 219	22 893

Dated held to collect assets had a redemption value at 31 December 2025 of KShs15,741,849,000 (2024: KShs20,589,148,000).

The weighted average effective interest yield on held to collect investment securities at 31 December 2025 was 12.88% (2024: 12.41%).22.1 Reconciliation of expected credit losses for debt financial assets measured at amortised cost (KShs Million)



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Notes (continued)
22. Financial assets – (amortised cost) (continued)

	Opening ECL 1 January 2025		Total transfers between stages		ECL on new exposure raised		Change in ECL due to modifications		Subsequent changes in ECL derecognition		Change in ECL due to		Net ECL raised/ (released) ¹		Impairment accounts written-off		Exchange and other movements		Closing ECL 31 December 2025	
	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs
Sovereign - Debt securities	32	82	46	46	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	43	43	(102)	(102)	55	55	55	55
Stage 1	32	82	46	46	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	43	43	(102)	(102)	55	55	55	55
Pledged assets	83	(82)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1	1	1	1
Stage 1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Stage 2	83	(82)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporate	4	-	-	-	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	-	-	1	1	1	1
Stage 1	4	-	-	-	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	-	-	-	-	-	-
Total	119	-	46	46	(6)	(6)	(6)	(6)	(6)	(6)	(6)	(6)	40	40	(102)	(102)	57	57	57	57

¹ Net impairments raised/(released) less recoveries of amounts written off in previous years equals impairment charge in the statement of profit or loss (refer credit impairment charges note).

	Opening ECL 1 January 2024		Total transfers between stages		ECL on new exposure raised		Change in ECL due to modifications		Subsequent changes in ECL		Change in ECL due to derecognition		Net ECL raised/(released) ¹		Impairment accounts written-off		Exchange and other movements		Closing ECL 31 December 2024	
	KShs		KShs		KShs		KShs		KShs		KShs		KShs		KShs		KShs		KShs	
Sovereign - Debt securities	10	-	30	-	(1)	(1)	(1)	(1)	(1)	(1)	(1)	(1)	22	22	-	-	-	-	32	32
Stage 1	10	-	30	-	(1)	(1)	(1)	(1)	(1)	(1)	(1)	(1)	22	22	-	-	-	-	32	32
Pledged assets	71	-	-	-	17	(5)	(5)	(5)	(5)	(5)	(5)	(5)	12	12	-	-	-	-	83	83
Stage 1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Stage 2	71	-	-	-	17	(5)	(5)	(5)	(5)	(5)	(5)	(5)	12	12	-	-	-	-	83	83
Corporate	3	-	-	-	2	(1)	(1)	(1)	(1)	(1)	(1)	(1)	1	1	-	-	-	-	4	4
Stage 1	3	-	-	-	2	(1)	(1)	(1)	(1)	(1)	(1)	(1)	1	1	-	-	-	-	4	4
Stage 2	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	84	-	30	-	18	(13)	(13)	(13)	(13)	(13)	(13)	(13)	35	35	-	-	-	-	119	119

¹ Net impairments raised/(released) less recoveries of amounts written off in previous years equals impairment charge in statement of profit or loss (refer credit impairment charges note).

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For the year ended 31 December 2025

Notes (continued)

23. Loans and advances

23 (a) Loans and advances to banks

	Note	GROUP		COMPANY	
		2025	2024	2025	2024
		KShs Million	KShs Million	KShs Million	KShs Million
Balances with banks		68,824	5,077	-	-
Balances due from Group banks	42 (a)	24,796	59,421	115	159
		93,620	64,498	115	159
Allowances for impairments*					
Impairment Stages 1 & 2 (performing loans)	23.1	(10)	(12)	-	-
Impairment Stage 3 (non-performing loans)		-	-	-	-
Credit impairment allowances		(10)	(12)	-	-
Net loans and advances		93,610	64,486	115	159
Maturity analysis:					
Redeemable on demand		26,725	5,494	115	159
Maturing within 1 month		41,202	31,029	-	-
Maturing after 1 month but within 12 months		25,683	27,963	-	-
Maturing after 12 month but within 5 years		-	-	-	-
Maturing after 5 years		-	-	-	-
Net loans and advances to banks		93,610	64,486	115	159

* The Group holds balances with well rated commercial banks categorised under stage 1 and stage 2.
* Included in the balances, is a short term placement with Central Bank of Kenya of Kes 51,531,068,493 (2024:Nil)

The weighted average effective interest rate on loans and advances to banks as at 31 December 2025 was 4.56% (2024: 9.45%)



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For the year ended 31 December 2025

Notes (continued)
23. Loans and advances

23.1 Reconciliation of expected credit losses for loans and advances to banks measured at amortised cost: (KShs Million)

BANKS	Opening ECL 1 January 2025	Income statement movements				Net ECL raised/ (released) ¹	Impairment accounts written-off	Exchange and other movements	Closing ECL 31 December 2025
		Total transfers between stages	ECL on new exposure raised	Change in ECL due to modifications	Subsequent changes in ECL				
	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs
Stage 1	(1)	-	(1)	-	-	(1)	-	-	(2)
Stage 2	(11)	-	(12)	-	1	(4)	-	7	(8)
Stage 3	-	-	-	-	-	-	-	-	-
Total	(12)	-	(13)	-	1	(5)	-	7	(10)

¹ 1 Net impairments raised/(released) less recoveries of amounts written off in previous years equals impairment charge in statement of profit or loss (refer credit impairment charges note).

BANKS	Opening ECL 1 January 2024	Income statement movements				Net ECL raised/ (released) ¹	Impairment accounts written-off	Exchange and other movements	Closing ECL 31 December 2024
		Total transfers between stages	ECL on new exposure raised	Change in ECL due to modifications	Subsequent changes in ECL				
	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs
Stage 1	(1)	-	(1)	-	-	(1)	-	1	(1)
Stage 2	-	-	(12)	-	1	(18)	-	7	(11)
Stage 3	-	-	-	-	-	-	-	-	-
Total	(1)	-	(13)	-	1	(19)	-	8	(12)

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For the year ended 31 December 2025

Notes (continued)

23. Loans and advances (continued)

23 (b) Loans and advances to customers

	Note	GROUP	
		2025	2024
		KShs Million	KShs Million
Mortgage lending		38,163	36,365
Vehicle and asset finance	23(f)	14,759	13,920
Overdraft and other demand lending Term lending		32,200	28,854
Card lending		205,442	168,035
Gross loans and advances to customers		890	883
Gross loans and advances to customers		291,454	248,057
Allowances for impairments			
Expected credit loss for loans and advances measured at amortised cost (IFRS 9)	23(d (i))	(18,535)	(17,839)
Credit impairment allowances		(18,535)	(17,839)
Net loans and advances		272,919	230,218
Maturity analysis:			
Redeemable on demand		8,260	16,430
Maturing within 1 month		11,772	17,057
Maturing after 1 month but within 6 months		65,414	32,396
Maturing after 6 months but within 12 months		16,744	12,933
Maturing after 12 months but within 5 years		116,903	83,301
Maturing after 5 years		53,826	68,101
Net loans and advances		272,919	230,218

The weighted average effective interest rate on loans and advances to customers as at 31 December 2025 was 8.78% (2024: 12.35%). The Bank extends advances to personal, commercial and corporate sectors as well as to the public sector. Advances made to individuals are mostly in the form of mortgages, instalment sales and overdrafts

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For the year ended 31 December 2025

Notes (continued)

23. Loans and advances (continued)

23 (c) Loans and advances to customers at amortised cost

	Stage 1	Stage 2	Stage 3	Total
In millions of KShs	12 month	Lifetime ECL	Lifetime ECL	
Balance at 1 January 2025	218,462	10,193	19,402	248,057
Transfer to stage 1	5,447	(4,071)	(1,376)	-
Transfer to stage 2	(11,754)	13,011	(1,257)	-
Transfer to stage 3	(4,815)	(4,943)	9,758	-
New financial assets originated or purchased	149,701	-	-	149,701
Financial assets that have been derecognised	(102,150)	(207)	(589)	(102,946)
Write-offs	-	-	(2,530)	(2,530)
Foreign exchange and other movements	(534)	(188)	(106)	(828)
Balance at 31 December 2025	254,357	13,795	23,302	291,454

	Stage 1	Stage 2	Stage 3	Total
In millions of KShs	12 month	Lifetime ECL	Lifetime ECL	
Balance at 1 January 2024	233,869	19,387	26,468	279,724
Transfer to stage 1	1,324	(1,267)	(57)	-
Transfer to stage 2	(2,106)	2,281	(175)	-
Transfer to stage 3	(1,592)	(1,305)	2,897	-
New financial assets originated or purchased	127,732	-	-	127,732
Financial assets that have been derecognised	(127,427)	(6,867)	(1,655)	(135,949)
Write-offs	-	-	(5,507)	(5,507)
Foreign exchange and other movements	(13,338)	(2,036)	(2,569)	(17,943)
Balance at 31 December 2024	218,462	10,193	19,402	248,057

Notes (continued)

23. Loans and advances (continued)

23. (d) Allowances for Impairment

23 (d (i)) Reconciliation of expected credit losses for loans and advances to customers measured at amortised cost:

A reconciliation of the expected credit loss for loans and advances, by class: (KShs Million)

	Opening ECL 1 Jan 2025	Total transfers between stages	Income statement movements				Net ECL raised/ (released) ¹	Impairment accounts written-off	Exchange and other movements	Closing ECL 31 Dec 2025	Interest in suspense	Total
			ECL on new exposure raised	Subsequent changes in ECL	Change in ECL due to derecognition	KShs						
Customers	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs
Mortgage loans	2,094	-	32	311	-	343	(233)	(566)	1,981	141	2,122	
Stage 1	78	56	27	(112)	-	(29)	-	21	41	-	41	41
Stage 2	482	(69)	2	87	-	20	-	(359)	163	-	-	163
Stage 3	1,534	13	3	336	-	352	(233)	(228)	1,777	141	141	1,918
Vehicle and asset finance	1,058	-	70	89	-	159	(111)	(287)	978	35	1,013	
Stage 1	92	12	50	(62)	-	-	-	(5)	87	-	-	87
Stage 2	335	(26)	7	(43)	-	(62)	-	(207)	4	-	-	4
Stage 3	631	14	13	194	-	221	(111)	(75)	887	35	35	922
Card debtors	70	-	8	64	-	72	-	63	277	3	280	
Stage 1	23	4	5	(14)	-	(5)	-	(1)	12	-	-	12
Stage 2	28	6	3	(14)	-	(5)	-	(3)	15	-	-	15
Stage 3	19	(10)	-	92	-	82	-	67	250	3	3	253
Other loans and advances	8,560	-	519	748	-	1,267	(2,159)	229	9,164	(599)	8,565	
Stage 1	520	17	312	(394)	-	(65)	-	89	479	-	479	
Stage 2	786	(127)	58	(133)	-	(202)	-	370	752	-	752	
Stage 3	7,254	110	149	1,275	-	1,534	(2,159)	(230)	7,933	(599)	7,334	
Corporate	6,057	-	454	(17)	(199)	238	-	(115)	6,418	137	6,555	
Stage 1	868	(58)	434	(106)	(197)	73	-	(7)	1,007	-	1,007	
Stage 2	652	58	20	(614)	(2)	(538)	-	7	(417)	-	(417)	
Stage 3	4,537	-	703	703	-	703	-	(115)	5,828	137	5,965	
Total	17,839	-	1,083	1,195	(199)	2,079	(2,503)	(676)	18,818	(283)	18,535	

¹ Net impairments raised/(released) less recoveries of amounts written off in previous years equals income statement impairment charge (refer credit impairment charges note 23(d)).

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For the year ended 31 December 2025

Notes (continued)
23. Loans and advances (continued)
23. (d) Allowances for Impairment (continued)
23 (d (i)) Reconciliation of expected credit losses for loans and advances to customers measured at amortised cost (KShs 'millions'): (continued)

	Opening ECL 1 Jan 2024		Total transfers between stages		Income statement movements						Closing ECL 31 Dec 2024				Interest in suspense		Total
	KShs		KShs		ECL on new exposure raised	Subsequent changes in ECL	Change in ECL due to derecognition	Net ECL raised/ (released) ¹	Impairment accounts written-off	Exchange and other movements	KShs		KShs		KShs		
Customers	KShs		KShs		KShs		KShs		KShs		KShs		KShs		KShs		KShs
Mortgage loans	2,376	-	29	135	-	164	(254)	109	2,395	(301)	2,094						
Stage 1	77	61	8	(68)	-	1	-	-	78	-	78						
Stage 2	392	(73)	15	39	-	(19)	-	109	482	-	482						
Stage 3	1,907	12	6	164	-	182	(254)	-	1,835	(301)	1,534						
Vehicle & asset finance	969	-	74	33	-	107	(179)	171	1,068	(10)	1,058						
Stage 1	91	8	39	(46)	-	1	-	-	92	-	92						
Stage 2	473	(15)	17	(49)	-	(47)	-	(91)	335	-	335						
Stage 3	405	7	18	128	-	153	(179)	262	641	(10)	631						
Card debtors	78	-	3	76	-	79	(83)	(4)	70	-	70						
Stage 1	18	6	1	(2)	-	5	-	-	23	-	23						
Stage 2	34	(7)	2	3	-	(2)	-	(4)	28	-	28						
Stage 3	26	1	-	75	-	76	(83)	-	19	-	19						
Other loans & advances	9,510	-	1,227	974	-	2,201	(3,661)	469	8,519	41	8,560						
Stage 1	482	35	249	(291)	-	(7)	-	45	520	-	520						
Stage 2	1,078	(183)	169	(207)	-	(221)	-	(71)	786	-	786						
Stage 3	7,950	148	809	1,472	-	2,429	(3,661)	495	7,213	41	7,254						
Corporate	6,282	-	576	639	(253)	962	(175)	(894)	6,175	(118)	6,057						
Stage 1	757	(35)	430	(119)	(206)	70	-	41	868	-	868						
Stage 2	52	35	6	764	(13)	792	-	(192)	652	-	652						
Stage 3	5,473	-	140	(6)	(34)	100	(175)	(743)	4,655	(118)	4,537						
Total	19,215	-	1,909	1,857	(253)	3,513	(4,352)	(149)	18,227	(388)	17,839						

¹ Net impairments raised/(released) less recoveries of amounts written off in previous years equals income statement impairment charge (refer credit impairment charges note 23(d)).

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For the year ended 31 December 2025

Notes (continued)

23. Loans and advances (continued)

23 (e) Credit impairment losses

GROUP			
2025			
2024			
	Note	KShs Million	KShs Million
Loans impairment charge for financial assets		92	42
Loans impairment charge for customer loans	23 (d)	2,079	3,513
Loans impairment charge for bank loans	23.1	5	19
Impairment credit for performing off balance sheet Letters of credit and guarantees	43 (c)	23	(38)
Amounts recovered during the year		(571)	(437)
Net credit impairment losses		1,628	3,099

The Directors are of the opinion that net recoverable amounts are reasonable and are expected to be realised based on past experience.

23 (f) Vehicle and asset finance

The Group holds contracts with customers where the Group finances the purchase of assets under a series of contracts which transfer title to the Group as security for the loan. The Group receives the loan repayments and sets off the repayments against the principal loan and interest.

GROUP		
2025		
2024		
Maturity analysis:	KShs Million	KShs Million
Not later than 1 year	887	1,053
Later than 1 year and not later than 5 years	12,752	12,200
Later than 5 years	1,120	667
	14,759	13,920

The weighted average effective interest rate on vehicle and asset finance loans as at 31 December 2025 was 14.90% (2024: 17.61%).

23 (g) Loans to employees

The aggregate amount of loans and advances to employees on the statement of financial position is:

GROUP		
2025		
2024		
	KShs Million	KShs Million
At start of year	3,924	3,898
New loans issued	1,823	1,979
Interest on loans	642	623
Loan repayments	(1,864)	(2,576)
At end of year	4,525	3,924

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For the year ended 31 December 2025

Notes (continued)

23. Loans and advances (continued)

23. (d) Allowances for impairment (continued)

24 Other assets and prepayments

	Note	GROUP		COMPANY	
		2025	2024	2025	2024
		KShs Million	KShs Million	KShs Million	KShs Million
Uncleared effects		7,975	6,871	20	20
Off market loan adjustment		1,008	1,409	-	-
Trade receivables and prepayments		1,488	1,309	-	-
Due from related companies	42 (g)	969	860	-	-
		11,440	10,449	20	20

The off-market loan adjustment relates to the prepaid benefit granted to staff, being the difference between the fair value of the loan and the initial cash outflow. The fair value of future cash flows is discounted at a market related rate. The asset represents the group's right to receive future service from employees.

25. Investment in subsidiaries and other investments**25 (a) Investment in subsidiaries**

	COMPANY			
	Beneficial ownership	Country of Incorporation	2025	2024
			KShs Million	KShs Million
Stanbic Bank Kenya Limited	100%	Kenya	18,010	18,010
SBG Securities Limited	100%	Kenya	166	166
Stanbic Bancassurance Intermediary Limited	100%	Kenya	42	42
Stanbic Kenya Foundation Limited*	100%	Kenya	-	-
			18,218	18,218

*The Stanbic Kenya Foundation Limited is fully owned by Stanbic Bank Kenya Limited.

All subsidiary entities are incorporated and domiciled in Kenya. The consolidated financial statements are available to the public and can be accessed on <http://www.stanbicbank.co.ke/kenya/About-Us/Investor-relations>.

The principal place of business for the subsidiaries is Stanbic Bank Centre, Chiromo Road.

There were no significant restrictions on the Group's ability to access the assets and settle liabilities of the subsidiaries. The total amount disclosed as investment in subsidiaries is a non-current asset.

25 (b) Other investments

	GROUP		COMPANY	
	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Unquoted:				
Equity investment at fair value through profit and loss default	18	18	-	-
At 31 December	18	18	-	-

The investment is in Anglo African Property Holding Limited where the Group holds a beneficial interest of 1%. The investment is unquoted and its carrying amount (cost) approximates its fair value.

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For the year ended 31 December 2025

Notes (continued)

25. Investment in subsidiaries and other investments (continued)

26. Property and equipment**26 (a) GROUP**

	Land and premises	Equipment, furniture & fittings	Motor vehicles	Work in progress	Total
Year ended 31 December 2025	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Cost					
At 1 January 2025	385	6,104	29	71	6,589
Additions	-	150	-	460	610
Disposals/retirement	-	(3)	-	-	(3)
Translation differences	-	(1)	1	-	-
At 31 December 2025	385	6,250	30	531	7,196
Depreciation					
At 1 January 2025	(203)	(4,130)	(25)	-	(4,358)
Depreciation for the year	(13)	(448)	(4)	-	(465)
Disposals/ Retirement	-	3	-	-	3
At 31 December 2025	(216)	(4,575)	(29)	-	(4,820)
Carrying amount at 31 December 2025	169	1,675	1	531	2,376

	Land and premises	Equipment, furniture & fittings	Motor vehicles	Work in progress	Total
Year ended 31 December 2024	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Cost					
At 1 January 2024	385	5,720	122	30	6,257
Additions	-	633	-	41	674
Disposals/retirement	-	(195)	(82)	-	(277)
Translation differences	-	(98)	(11)	-	(109)
Hyperinflation adjustment	-	44	-	-	44
At 31 December 2024	385	6,104	29	71	6,589
Depreciation					
At 1 January 2024	(190)	(3,889)	(100)	-	(4,179)
Depreciation for the year	(13)	(436)	(7)	-	(456)
Disposals/ Retirement	-	195	82	-	277
At 31 December 2024	(203)	(4,130)	(25)	-	(4,358)
Carrying amount at 31 December 2024	182	1,974	4	71	2,231



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For the year ended 31 December 2025

Notes (continued)

26. Property and equipment (continued)

26 (b) COMPANY

Computer Equipment		
	2025	2024
Cost	KShs Million	KShs Million
At 1 January	2	2
At 31 December	2	2
Depreciation		
At 1 January	(2)	(2)
Charge for the year	-	-
At 31 December	(2)	(2)
Carrying amount at 31 December	-	-

The Group’s work in progress is composed of refurbishments and equipment for branches and projects that had not been completed as at year end. The total amount disclosed as property and equipment is non-current.

As at 31 December 2025 and 31 December 2024, there were no items of property and equipment pledged by the Group and Company to secure liabilities. No items of property and equipment were obtained from borrowed funds hence no capitalization of borrowing costs.

Revaluation of land and buildings

The revaluation reserve included in equity relates to the value of the Stanbic office in Chiromo at the point of merger between CFC Bank and Stanbic Bank in 2008. The fair value of the properties was determined using the market comparable method. This means that valuations performed by the valuer were based on active market prices, significantly adjusted for differences in the nature, location or condition of the specific property.

27. Right-of-use leasehold land

GROUP		
	2025	2024
Cost	KShs Million	KShs Million
At 1 January	85	85
At 31 December	85	85
Amortisation		
At 1 January	(55)	(52)
Charge for the year	(3)	(3)
At 31 December	(58)	(55)
Carrying amount at 31 December	27	30

This relates to land leased by the Group from the Government of Kenya for a lease term period of 99 years. The total amount disclosed as a lease liability in respect of this lease is non-current.

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For the year ended 31 December 2025

Notes (continued)

28. Other Intangible assets

GROUP				
	Work in progress	Software	Other intangible assets	Total
Year ended 31 December 2025	KShs Million	KShs Million	KShs Million	KShs Million
Cost				
At 1 January 2025	104	4,450	1,126	5,680
Additions	160	60	-	220
Transfer from work in progress	(1)	1	-	-
Translation differences	-	(2)		(2)
At 31 December 2025	263	4,509	1,126	5,898
Amortisation				
At 1 January 2025	-	(3,561)	(1,126)	(4,687)
Amortisation charge for the year	-	(313)	-	(313)
At 31 December 2025	-	(3,874)	(1,126)	(5,000)
Carrying amount at 31 December 2025	263	635	-	898

Year ended 31 December 2024

Cost				
At 1 January 2024	196	3,857	1,126	5,179
Additions	-	505	-	505
Transfer from work in progress	(92)	92	-	-
At 31 December 2024	104	4,450	1,126	5,680
Amortisation				
At 1 January 2024	-	(3,313)	(1,126)	(4,439)
Amortisation charge for the year	-	(248)	-	(248)
At 31 December 2024	-	(3,561)	(1,126)	(4,687)
Carrying amount at 31 December 2024	104	889	-	993

The total amount disclosed as intangible assets is non-current and relates to computer software and intangible asset that arose from business combination as set out below. Work in progress relates to computer software for upgrades and development of banking systems that had not been completed as at year end.

As at 31 December 2025, the intangible assets had an average remaining useful life of 3 years.

The intangible assets that arose from the business combination between Stanbic Bank and CFC Bank in 2008 comprise of the following:

	Cost	Useful life
	KShs Million	Years
Trade names	260	15
Customer relationships	475	5 - 15
Others	364	2-5
	1,099	



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For the year ended 31 December 2025

Notes (continued)

29. Intangible assets - goodwill

	GROUP		COMPANY	
	2025	2024	2025	2024
Cost	KShs Million	KShs Million	KShs Million	KShs Million
At 1 January and 31st December	9,350	9,350	-	-

Goodwill arose from the merger between CfC Bank and Stanbic Bank in 2008.

Goodwill relating to Stanbic Holdings Plc was tested for impairment on 31 December 2025. The recoverable amount was determined to be the value in use. Unless indicated otherwise, the value in use in 2025 was determined in a manner consistent with that used in prior years. Key assumptions relating to this valuation include the discount rate and cash flows used to determine the value in use.

The Group has conducted an analysis of the sensitivity of the impairment test to changes in the key assumptions used to determine the recoverable amount for each of the Group of Cash Generating Units (CGUs) to which goodwill is allocated. Given there is a significant headroom,the directors believe that any reasonably possible change in the key assumptions on which the recoverable amount of 'the Group' is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the related CGUs.

a) Future cash flows

The forecast periods adopted reflect a set of cash flows that based on management judgement and expected market conditions could be sustainably generated over such a period. A five-year forecast was used as a basis for future cash flows, extrapolated in perpetuity to reflect the long-term plans for the entity, using a nominal growth rate of 8.15% (2024: 8.12%). These values are sensitive to the cash flows projected for the periods for which detailed forecasts are not available and to the assumptions regarding the long-term sustainability of the cash flows thereafter. Based on the testing performed, no impairment was identified.

b) Discount rate

The pre-tax discount rate used was based on an assessment of the risks applicable to the Stanbic Holdings Plc. The cost of equity discount rate calculated for the forecast years was 20.71% per annum (2024: 22.77%) based on the weighted average cost of capital. The cost of equity assigned to the cash-generating unit and used to discount its future cash flows can have a significant effect on its valuation. The cost of equity percentage is derived from an equity pricing model deemed appropriate based on the entity under review. The risk-free rate used to determine the cost of equity has been derived from the 10-year US Dollar government bonds adjusted for inflation differential and country risk yield.

Goodwill is allocated to the Group's cash-generating units (CGUs) according to operating segments. 95% of the goodwill has been allocated to the Corporate and Investment Banking CGU and the remaining 5% has been allocated to Business and Commercial Banking CGU.

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For the year ended 31 December 2025

Notes (continued)

30. Right-of-use assets (buildings)

Year ended 31 December 2025

	Buildings	Branches	ATM Space	Others	Total
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Cost					
At start of year	342	1,815	112	257	2,526
Additions	67	1,002	16	138	1,223
Translation difference	(1)	(11)	(1)	-	(13)
At end of year	408	2,806	127	395	3,736
Depreciation					
At start of year	260	1,303	82	188	1,833
Depreciation charge for the year	38	217	17	45	317
At end of year	298	1,520	99	233	2,150
Net carrying amount at end of year	110	1,286	28	162	1,586

Year ended 31 December 2024

Cost					
At start of year	314	1,873	95	220	2,502
Additions	38	62	19	37	156
Translation difference	(10)	(120)	(2)	-	(132)
At end of the year	342	1,815	112	257	2,526
Depreciation					
At start of year	218	1,210	74	142	1,644
Depreciation charge for the year	52	214	12	46	324
Translation difference	(10)	(121)	(4)	-	(135)
At end of year	260	1,303	82	188	1,833
Net carrying amount at end of year	82	512	30	69	693

The Group leases property for use as branches, offices, ATMs and parking spaces. The leases of offices and ATM spaces are typically for periods of between 2 and 30 years, with options to renew. None of the leases contains any restrictions or covenants other than the protective rights of the lessor or carries a residual value guarantee.



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For the year ended 31 December 2025

Notes (continued)

31. Lease liabilities

	2025	2024
	KShs Million	KShs Million
Non-current	1,098	497
Current	407	215
	1,505	712

Reconciliation of lease liabilities arising from financing activities:

31 December 2025	Buildings	Branches	ATM Space	Others	Total
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
At start of year	42	517	81	72	712
Additions	67	1,002	16	138	1,223
Interest charged to profit or loss	19	79	7	27	132
Foreign exchange (gain)/loss	3	25	9	-	37
Translation difference	(2)	(51)	(7)	-	(60)
Cash flows:					
- Operating activities (interest paid)	(19)	(79)	(7)	(27)	(132)
- Payments under leases	(58)	(293)	(17)	(39)	(407)
At end of year	52	1,200	82	171	1,505

31 December 2024	Buildings	Branches	ATM Space	Others	Total
	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
At start of year	113	782	34	78	1,007
Additions	38	62	19	37	156
Interest charged to profit or loss	14	82	6	14	116
Foreign exchange (gain)/loss	5	39	43	-	87
Translation difference	(13)	(108)	(2)	-	(123)
Cash flows:					
- Operating activities (interest paid)	(14)	(82)	(6)	(14)	(116)
- Payments under leases	(101)	(258)	(13)	(43)	(415)
At end of year	42	517	81	72	712

	2025	2024
	%	%
Weighted average effective interest rates at the reporting date was:	13.07	15.60

Maturity analysis of lease liabilities is as follows:

	Group	Group
	2025	2024
	KShs Million	KShs Million
Within 1 year	447	361
From 1 year to 5 years	1,161	558
More than 5 years	388	14
	1,996	933

The maturity analysis disclosed refers to undiscounted amounts as required by IFRS 7. Lease liabilities do not face a significant liquidity risk and/or foreign currency risk.

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For the year ended 31 December 2025

Notes (continued)

32. Ordinary share capital and share premium (Group and Company)

32 (a) Authorised share capital

	2025		2024	
	Number of shares	Share capital	Number of shares	Share capital
	(millions)	KShs Million	(millions)	KShs Million
Balance as at 1 January and 31 December	474	2,368	474	2,368

32 (b) Issued share capital

	2025		2024	
	Number of shares	Share capital	Number of shares	Share capital
	(millions)	KShs Million	(millions)	KShs Million
Balance as at 1 January and 31 December	395	1,977	395	1,977
Unissued shares	79	391	79	391

32 (c) Ordinary share premium

	2025	2024
	KShs Million	KShs Million
At 1 January and 31 December	16,897	16,897

The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at general meetings of the Company. All ordinary shares rank equally with regard to the Company's residual assets.

33 Derivative assets and derivative liabilities

All derivatives are classified as fair value through profit or loss (FVTPL).

33.1 Use and measurement of derivative instruments

In the normal course of business, the Group enters into a variety of derivative transactions for trading purposes. Derivative financial instruments are entered into for trading purposes and for hedging foreign exchange, interest rate, inflation and for credit exposures. Derivative instruments used by the Group in both trading and hedging activities include swaps, options, forwards, futures and other similar types of instruments based on foreign exchange rates, credit risk, inflation risk, interest rates and the prices of equities.

The risks associated with derivative instruments are monitored in the same manner as for the underlying instruments. Risks are also measured across the product range in order to take into account possible correlations.

The fair value of all derivatives is recognised in the statement of financial position and is only netted to the extent that there is both a legal right of set-off and an intention to settle on a net basis, or the intention to realise the derivative asset and settle the derivative liability simultaneously.

Swaps are transactions in which two parties exchange cash flows on a specified notional amount for a predetermined period.The major types of swap transactions undertaken by the Bank are as follows:

Interest rate swap contracts which generally entail the contractual exchange of fixed and floating interest payments in a single currency, based on a notional amount and an interest reference rate.

Options are contractual agreements under which the seller grants the purchaser the right, but not the obligation, either to buy (call option) or to sell (put option) by or at a set date, a specified amount of a financial instrument or commodity at a predetermined price. The seller receives a premium from the purchaser for this right. Options may be traded Over The Counter (OTC) or on a regulated exchange.

Forwards and futures are contractual obligations to buy or sell financial instruments on a future date at a specified price. Forward contracts are tailor-made agreements that are transacted between counterparties in the OTC market, whereas futures are standardised contracts transacted on regulated exchanges.



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For the year ended 31 December 2025

Notes (continued)

32. Derivative assets and derivative liabilities
(continued)

33.2 Derivatives held-for-trading

The Group transacts derivative contracts to address client demand both as a market maker in the wholesale markets and in structuring tailored derivatives for clients. The Group also takes proprietary positions for its own account. Trading derivative products include the following derivative instruments:

33.2.1 Foreign exchange derivatives

Foreign exchange derivatives are primarily used to economically address foreign currency risks on behalf of clients and for the bank's own positions. Foreign exchange derivatives primarily consist of foreign exchange forwards and swaps, foreign exchange futures and foreign exchange options.

33.2.2 Interest rate derivatives

Interest rate derivatives are primarily used to modify the volatility and interest rate characteristics of interest-earning assets and interest-bearing liabilities on behalf of clients and for the Group's own positions. Interest rate derivatives primarily consist of bond options, caps and floors, forwards, options, swaps and swap options.

33.3 Day one profit or loss

Where the fair value of an instrument differs from the transaction price, and the fair value of the instrument is

evidenced by comparison with other observable current market transactions in the same instrument, or based on a valuation model whose variables include only data from observable markets, the difference, commonly referred to as day one profit or loss, is recognised in profit or loss immediately. If the fair value of the financial instrument cannot be evidenced by comparison with other observable current market transactions in the same instrument or non-observable market data is used as part of the input to the valuation models, any resulting difference between the transaction price and the valuation model is deferred and subsequently recognised in accordance with the Group's accounting policies (refer to accounting policy 2.6 – Financial instruments).

33.4 Fair values

The fair value of a derivative financial instrument represents, for quoted instruments in an active market, the quoted market price and, for an unquoted instrument, the present value of the positive and/or negative cash flows which would have occurred if the rights and obligations arising from that instrument were closed out in an orderly marketplace transaction at the reporting date.

33.5 Notional amount

The contract/notional amount is the sum of the absolute value of all bought and sold contracts. The notional amounts have been translated at the closing exchange rate at the reporting date where cash flows are receivable in foreign currency. The amount cannot be used to assess the market risk associated with the positions held and should be used only as a means of assessing the Group's participation in derivative contracts.

	GROUP					
	2025 Fair values			2024 Fair values		
	Notional contract amount KShs Million	Assets KShs Million	Liabilities KShs Million	Notional contract amount KShs Million	Assets KShs Million	Liabilities KShs Million
Foreign exchange derivatives						
Currency forwards	5,241	123	236	7,186	779	983
Currency swaps	13,769	303	502	32,651	1184	1,297
Currency options	2,203	55	89	7,137	62	106
Total over-the-counter derivatives	21,213	481	827	46,974	2025	2,386
Interest rate derivatives						
Cross currency interest rate swaps	2,510	193	334	2,510	70	360
Total over-the-counter derivatives	2,510	193	334	2,510	70	360
Total derivative assets held for trading	23,723	674	1,161	49,484	2095	2,746
Current	21,212	-	-	46,974	1962	2,338
Non-current	2,511	674	1,161	2,510	133	408
Total	23,723	674	1,161	49,484	2095	2,746

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For the year ended 31 December 2025

Notes (continued)

34. Deposits and current accounts from banks and customers

34 (a) Deposits from banks

	Note	GROUP	
		2025	2024
		KShs Million	KShs Million
Deposits from banks		14,099	12,179
Deposits due to Group banks	42 (b)	30,785	8,640
Total deposits from banks		44,884	20,819

Maturity analysis of deposits from banks

The maturity analysis is based on the remaining periods to contractual maturity from year end.

	GROUP	
	2025	2024
	KShs Million	KShs Million
Repayable on demand	4,648	5,423
Maturing within 1 month	8,722	7,417
Maturing after 1 month but within 6 months	318	515
Maturing after 6 months but within 12 months	15,624	117
Maturing after 12 months	15,572	7,347
	44,884	20,819

The weighted average interest rate for deposits from banks is 5.32% (2024: 6.71%).



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For the year ended 31 December 2025

Notes (continued)

34. Deposits and current accounts from banks and customers (continued)

34 (b) Deposits from customers

	GROUP	
	2025	2024
	KShs Million	KShs Million
Current accounts	245,733	176,711
Call deposits	27,342	15,916
Savings accounts	71,324	76,649
Term deposits	27,772	38,557
LC acceptances	1,554	10,360
Total deposits from customers	373,725	318,193

Maturity analysis of deposits from customers

The maturity analysis is based on the remaining periods to contractual maturity from year end.

Repayable on demand	293,132	242,185
Maturing within 1 month	55,861	52,092
Maturing after 1 month but within 6 months	15,076	13,356
Maturing after 6 months but within 12 months	4,418	4,430
Maturing after 12 months	5,238	6,130
	373,725	318,193
Total deposits from banks and customers	418,609	339,012

Deposit products include current accounts, savings accounts, call deposits and fixed deposits. The weighted average interest rate on customer deposits as at 31 December 2025 was 4.42% (2024: 4.81%).

35. Borrowings

At 31 December 2025

	Notional value	Carrying amounts	Interest Rate	Date of Issue	Maturity date
	KShs Million	KShs Million			
Subordinated debt - USD 30M	3,869	3,894	7.47%	01-Mar-23	01-Mar-33
Subordinated debt - USD 40M	5,158	5,261	8.51%	31-Mar-25	25-Oct-34
Subordinated debt - USD 30M	3,869	3,870	8.19%	28-Sep-22	30-Sep-32
Total	12,896	13,025			

At 31 December 2024

	Notional value	Carrying amounts	Interest Rate	Date of Issue	Maturity date
	KShs Million	KShs Million			
Subordinated debt - USD 30M	3,875	3,902	9.21%	01-Mar-23	01-Mar-33
Subordinated debt - USD 20M	2,583	2,703	10.89%	25-Oct-24	25-Oct-34
Subordinated debt - USD 30M	3,875	3,877	9.97%	28-Sep-22	30-Sep-32
Total	10,333	10,482			

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For the year ended 31 December 2025

Notes (continued)

35. Borrowings (continued)

There were no charges placed on any of the Group’s assets in relation to these borrowings. The borrowings are unsecured subordinated debt instruments.

The difference between the carrying and notional value represents, accrued interest and the unamortised issue costs.

Interest expense incurred in the above borrowings was KShs. KShs 1,050,147,109 (2024: KShs 1,061,891,971). The weighted average effective interest rate on borrowings as at 31 December 2025 was 8.22% (2024: 9.96%) at the back of a lower SOFR.

The Group has not had any defaults of principal, interest or other breaches with regard to any borrowings during 2025 and 2024. The borrowings are payable on their maturity dates at the notional value.

Counterparties and covenants to the subordinated debt facilities are as follows:

- a) USD 30 million obtained from Standard Bank of South Africa in 2023. There are no covenants relating to this financing.
- b) USD 20 million obtained from the Deutsche Investitions- und Entwicklungsgesellschaft (DEG) in 2019. During the year (2025) ,there was an additional drawdown of USD 20 million. The Group complied with all covenants relating to this facility throughout the reporting year.
- c) USD 30 million obtained from Standard Bank of South Africa in 2022. There are no covenants relating to this financing.

	GROUP	
	2025	2024
	KShs Million	KShs Million
Reconciliation of liabilities arising from financing activities:		
At start of year	10,482	12,713
Interest charged to profit or loss (note 7)	1,050	1,062
Foreign exchange (gain)	(129)	(2,263)
Cash flows:		
- Operating activities (Interest paid)	(964)	(1,030)
- Proceeds from borrowings	2,586	-
At end of year	13,025	10,482

36. Other liabilities and accrued expenses

36 (a) Other liabilities and accrued expenses

	Note	GROUP		COMPANY	
		2025	2024	2025	2024
		KShs Million	KShs Million	KShs Million	KShs Million
Accruals		3,236	3,346	132	30
Deferred bonus scheme-share based payment schemes	36 (b)	822	840	-	-
Unpresented bank drafts		63	70	-	-
Margin on guarantees and letters of credit		1,841	1,771	-	-
Items in transit		6	8	-	-
Due to group companies	42 (h)	552	1,044	-	-
Sundry creditors		4,061	2,999	210	234
Expected credit losses					
provision on off balance sheet items	43 (c)	88	62	-	-
		10,669	10,140	342	264

Sundry creditors relate to accounts payable, credits in transit, PAYE and VAT payables.



Financial statements

For the year ended 31 December 2025

Notes (continued)

36. Other liabilities and accrued expenses (continued)

36 (b) Share based payment schemes

It is essential for the Group to retain key skills over the longer term. This is done particularly through share-based incentive plans. The purpose of these plans is to align the interests of the Group and employees, as well as to attract and retain skilled, competent people.

The Group has implemented schemes to defer a portion of incentive bonuses over a minimum threshold for key management and executives. This improves the alignment of shareholder and management interests by creating a closer linkage between risk and reward, and also facilitates retention of key employees.

The schemes include Deferred Bonus Scheme (DBS) and the Cash-Settled Deferred Bonus Scheme (CS-DBS), through which short-term incentives such as annual performance awards are deferred and settled on vesting. The Group also has a Performance Reward Plan (PRP), a performance-driven share plan that rewards employees based on value delivered against specific performance targets, as well as an Equity Growth Scheme, an equity-settled arrangement comprising appreciation rights allocated to eligible employees.

All awards are indexed to Standard Bank Group's (SBG) share price and accrues notional dividends during the vesting period, which are payable on vesting. The awards vest in three equal amounts at 18 months, 30 months and 42 months from the date of award. The final pay-out is determined with reference to Standard Bank Group's (SBG) share price on vesting date.

The provision in respect of liabilities under the scheme amounts to KShs 822,067,000 at 31 December 2025 (2024: KShs 840,004,730) and the amount charged for the year was KShs 508,253,288 (2024: KShs 962,489,787).

	2025	2024
Scheme	KShs Million	KShs Million
Cash Settled Deferred Bonus Scheme (CS DBS)	343	367
Deferred Bonus Scheme (DBS)	83	87
Performance Reward Plan (PRP)	289	269
Equity Growth Scheme (EGS)	-	2
Standard Bank Asset Manager Deferred Bonus Scheme (SARP)	107	115
	822	840

	Units	Units
Reconciliation	2025	2024
Units outstanding at beginning of the year	85,167	67,837
Granted	41,454	46,427
Exercised	(34,901)	(33,810)
Lapsed	(23,402)	-
Transfers	11,260	4,713
Units outstanding at end of the year	79,578	85,167
Weighted average fair value at grant date (ZAR)*	208.52	165.94
Expected life (years)	2.51	2.51

37. Current income tax asset/ (liability)

The current income tax payable and current income tax receivable have been separately recognised as Kenya and South Sudan have no legal enforceable right to set off current tax. The tax receivable/(payable) from the tax authorities in the jurisdictions of operations are highlighted below;

		GROUP	
		2025	2024
	Note	KShs Million	KShs Million
Kenya operations	37 (a)	1334	1461
Foreign operations	37 (b)	(99)	(20)
As at 31 December		1,235	(1441)

37 (a) Current income tax asset/ (liability)

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For the year ended 31 December 2025

Notes (continued)

37. Current income tax asset/ (liability) (continued)

		GROUP		COMPANY	
		2025	2024	2025	2024
	Note	KShs Million	KShs Million	KShs Million	KShs Million
At 1 January		1,441	(2,192)	9	13
Exchange difference on translation		6	91	-	-
Current income tax charge	16	(5,075)	(5,725)	(3)	(12)
Income tax paid		4,887	8,723	5	8
Prior year provision		(27)	544	-	-
		1,235	1,441	11	9

Made up of:

Tax payable	(99)	(20)	-	-
Tax recoverable	1,334	1,461	11	9
	1,235	1,441	11	9

The Group and Company amount above relates to current income tax receivable/(payable) from the Kenyan tax authority and South Sudan's National revenue authority, and is current.

37 (b) Current income tax asset/ (liability)

Foreign operations

		GROUP	
		2025	2024
	Note	KShs Million	KShs Million
As at 1 January		(20)	(47)
Current tax charge		(160)	(119)
Tax paid		85	68
Exchange difference on translation		3	91
Transfer to tax receivable/ (payable) account prior year		(7)	(13)
Prior year-provision	37 (a)	99	20
Transfer to tax payable/ (receivable) account		-	-
As at 31 December		-	-

The Group has operations in South Sudan. The amount above relates to current income tax payable/(payable) in South Sudan.

38. Deferred income tax asset/ (liability)

38 (a) Deferred income tax asset/ (liability)

The deferred tax liability and asset have been separately recognised as Kenya and South Sudan have no legal enforceable right to set off tax.



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For the year ended 31 December 2025

Notes (continued)
38. Deferred income tax asset/ (liability) (continued)
38 (a) Deferred income tax asset/ (liability) (continued)

Kenya operations

		GROUP		COMPANY	
		2025	2024	2025	2024
	Note	KShs Million	KShs Million	KShs Million	KShs Million
At start of year		8,943	9,287	-	-
(Debit) /credit to statement of profit or loss	16	(137)	(81)	-	-
Credit to statement of profit or loss Foreign operations	38 (b)	31	7	-	-
Credit/ debit to OCI		2	(207)	-	-
Exchange difference on translation		(10)	(63)	-	-
At 31 December		8,829	8,943	-	-

Deferred income tax assets and liabilities and deferred income tax (credit)/charge in the statement of profit or loss and other comprehensive income (OCI) are attributable to the following items:

	01.01.2025	(Credited)/ charged to statement of profit or loss	Charge to SOCI	Translation difference	31.12.2025
Year ended 31 December 2025	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Arising from:					
Property and equipment	1,013	(117)	-	-	896
Unrealised gain on bonds- FVOCI	(222)	-	2	-	(220)
Unrealised gain on bonds- FVTPL	(111)	(86)	-	-	(197)
Right-of-use assets	(25)	(22)	-	-	(47)
Impairment charges on loans and advances	6,544	626	-	-	7,170
Other provisions	1,789	(538)	-	-	1,251
Group intangible assets	(70)	-	-	-	(70)
Unrealised gain on South Sudan paid up capital	(8)	-	-	-	(8)
Exchange difference on translation	(72)	-	-	(10)	(82)
South Sudan deferred tax asset	105	31	-	-	136
Net deferred asset	8,943	(106)	2	(10)	8,829

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For the year ended 31 December 2025

Notes (continued)
38. Deferred income tax asset/ (liability) (continued)
38 (a) Deferred income tax asset/ (liability) (continued)

	01.01.2024	(Charge)/ Credited to statement of profit or loss	Charge to SOCI	Translation movement	31.12.2024
Year ended 31 December 2024	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Arising from:					
Property and equipment	1,095	(82)	-	-	1,013
Unrealised gain on bonds- FVOCI	(15)	-	(207)	-	(222)
Unrealised gain on bonds- FVTPL	226	(337)	-	-	(111)
Right-of-use assets	155	(180)	-	-	(25)
Impairment charges on loans and advances	6,351	193	-	-	6,544
Other provisions	1,464	325	-	-	1,789
Group intangible assets	(70)	-	-	-	(70)
Unrealised gain on South Sudan paid up capital	(8)	-	-	-	(8)
Exchange difference on translation	(9)	-	-	(63)	(72)
South Sudan deferred tax asset	98	7	-	-	105
Net deferred asset	9,287	(74)	-	(63)	8,943

The total amount disclosed as deferred income tax asset is non-current.

38 (b) Deferred income tax asset/ (liability)

Foreign operations

		GROUP	
		2025	2024
	Note	KShs Million	KShs Million
At start of year		25	81
Credit to statement of profit or loss	16	31	7
Exchange difference on translation		(10)	(63)
At end of year		46	25

The total amount disclosed as deferred income tax liability is a non-current liability.

		GROUP	
		(Credited)/charged to statement of profit or loss	Translation difference
Year ended 31 December 2025	01.01.2025		31.12.2025
Arising from:			
Property and equipment	(10)	2	-
Impact of Hyperinflation on Fixed Assets	16	-	-
Exchange difference on translation	(67)	-	(10)
Other provisions	106	42	-
Right-of-use assets	(20)	(13)	-
Net deferred income tax asset	25	31	(10)

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For the year ended 31 December 2025

Notes (continued)**38. Deferred income tax asset/ (liability) (continued)****38 (b) Deferred income tax asset/ (liability)**

GROUP				
Year ended 31 December 2024	01.01.2024	(Credited)/charged to statement of profit or loss	Credited to OCI	31.12.2024
Arising from:				
Property and equipment	3	(13)	-	(10)
Impact of Hyperinflation on Fixed Assets	-	16	-	16
Effect of tax rate change	3	(3)	-	-
Exchange difference on translation	(4)	-	(63)	(67)
Other provisions	69	37	-	106
Right-of-use assets	10	(30)	-	(20)
Net deferred income tax liability	81	7	(63)	25

39. Notes to the cash flow statement**39 (a) Reconciliation of profit before income tax to net cash generated from operating activities**

GROUP			COMPANY	
	2025	2024*	2025	2024*
Note	KShs Million	KShs Million	KShs Million	KShs Million
Net profit before income tax	18,926	18,971	8,859	6,184
Adjusted for:				
Depreciation - property and equipment	26	465	456	-
Interest income	(37,214)	(48,165)	-	-
Interest expense	12,080	22,766	-	-
Credit impairment losses excluding recoveries*	2,199	3,536	-	-
Amortisation of intangible assets	28	313	248	-
Amortisation of ROU assets - leasehold land/prepaid operating lease	27	3	-	-
Depreciation on right-of use assets (buildings)	30	317	324	-
Change in fair value of derivatives	(163)	331	-	-
Interest charged on borrowings	35	1,050	1,062	-
Gain on disposal of property and equipment	(3)	(24)	-	-
Cash flows from operating activities	(2,027)	(492)	8,859	6,184

The company profit before tax includes dividends received amounting to KShs 8,986,454,083 (2024: KShs. 6,351,821,935).

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Notes (continued)**39. Notes to the cash flow statement (continued)****39 (b) Analysis of balances of cash and cash equivalents as shown in the statement of cash flows (continued)**

	GROUP		COMPANY	
	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Cash and balances with CBK	30,116	24,677	-	-
Treasury bills	766	52	-	-
Loans and advances to banks	93,610	64,486	115	159
Amounts due to other banks	(13,688)	(12,979)	-	-
Cash and cash equivalents at the end of the year	110,804	76,236	115	159

*The 2024 amounts have been restated.Refer to note 2.24

For the purpose of presentation of cash flows in the financial statements, the cash and cash equivalents include balances with Bank regulators , net of balances from banking institutions and treasury bills with a maturity period of three months or less from the contract date. Cash equivalent are held to meet short-term cash commitments.

During the year, management reviewed the classification of restricted balances held with the Central Bank of Kenya (CBK) and Bank of South Sudan(BOSS) in line with IFRS Interpretations Committee agenda decision (March 2022)

.Based on this assessment, these balances were determined to meet the definition of cash and cash equivalents for cash flow reporting purposes as the balances are available for use in the Bank's day-to-day liquidity and cash management activities. As a result, the prior-year comparative figures for cash and cash equivalents have been restated to include cash reserve balances held.



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Notes (continued)

40. Classification of assets and liabilities

Accounting classifications and fair values of assets and liabilities

The table below categorises the Group’s assets and liabilities as at 31 December 2025 between those that are financial and non-financial. All financial assets and liabilities have been classified according to their measurement category with disclosure and their fair value

	Fair value through profit or loss - default	Fair value through profit or loss - des- ignated	Amortised cost	Fair value through OCI	Other non- financial assets/ liabilities	Total carrying amount	Fair value
Year ended 31 December 2025	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Assets							
Cash and balances with Central Bank of Kenya	21,377	-	8,739	-	-	30,116	30,116
Financial assets – held for trading	56,043	-	-	-	-	56,043	56,043
Financial assets – FVOCI	-	-	-	33,167	-	33,167	33,167
Financial assets – amortised cost	-	-	18,866	-	-	18,866	18,941
Derivative assets	674	-	-	-	-	674	674
Loans and advances to banks	-	-	93,610	-	-	93,610	87,761
Loans and advances to customers	-	-	272,919	-	-	272,919	288,537
Other financial assets	-	-	9,451	-	-	9,451	9,451
Investment securities	18	-	-	-	-	18	18
Other non - financial assets	-	-	-	-	26,389	26,389	-
	78,112	-	403,585	33,167	26,389	541,253	524,708
Liabilities							
Deposits from customers	-	-	(373,725)	-	-	(373,725)	(352,191)
Deposits from banks	-	-	(44,884)	-	-	(44,884)	(44,965)
Derivative liabilities	(1,161)	-	-	-	-	(1,161)	(1,161)
Trading liabilities	(16,036)	-	-	-	-	(16,036)	(16,036)
Borrowings	-	-	(13,025)	-	-	(13,025)	(16,285)
Other financial liabilities	-	-	(7,682)	-	-	(7,682)	(7,682)
Other non - financial liabilities	-	-	-	-	(4,591)	(4,591)	-
	(17,197)	-	(439,316)	-	(4,591)	(461,104)	(438,320)

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Notes (continued)

40. Classification of assets and liabilities (continued)

Accounting classifications and fair values of assets and liabilities (continued)

	Fair value through profit or loss default	Fair value through profit or loss - designated	Amortised cost	Fair value through OCI	Other non- financial assets/ liabilities	Total carrying amount	Fair value
Year ended 31 December 2024	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
Assets							
Cash and balances with Central Bank of Kenya	18,955	-	5,722	-	-	24,677	24,677
Financial assets – held for trading	54,649	-	-	-	-	54,649	54,649
Financial assets – FVOCI	-	-	-	15,462	-	15,462	15,462
Financial assets – amortised cost	-	-	29,079	-	-	29,079	19,197
Derivative assets	2,095	-	-	-	-	2,095	2,095
Loans and advances to banks	-	-	64,486	-	-	64,486	49,456
Loans and advances to customers	-	-	230,218	-	-	230,218	217,141
Other financial assets	-	-	8,239	-	-	8,239	8,239
Investment securities	18	-	-	-	-	18	18
Other non - financial assets	-	-	-	-	25,911	25,911	-
	75,717	-	337,744	15,462	25,911	454,834	390,934
Liabilities							
Deposits from customers	-	-	(318,193)	-	-	(318,193)	(267,857)
Deposits from banks	-	-	(20,819)	-	-	(20,819)	(15,527)
Derivative liabilities	(2,746)	-	-	-	-	(2,746)	(2,746)
Trading liabilities	(16,322)	-	-	-	-	(16,322)	(16,322)
Borrowings	-	-	(10,482)	-	-	(10,482)	(9,571)
Other financial liabilities	-	-	(7,568)	-	-	(7,568)	(7,568)
Other non - financial liabilities	-	-	-	-	(3,304)	(3,304)	-
	(19,068)	-	(357,062)	-	(3,304)	(379,434)	(319,591)



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For the year ended 31 December 2025

Notes (continued)

41. Fair value of financial instruments

Valuation process

All financial instruments carried at fair value, regardless of classification, are marked to market using models that have been validated independently by the Group’s model validation unit and approved by the market risk methodologies committee. This control applies to both off-the-shelf models as well as those developed internally by the Group. Further, all inputs into the valuation models are subject to independent price validation procedures carried out by the market risk unit. Such price validation is performed on at least a monthly basis and daily where possible given the liquidity of the underlying price inputs. Less liquid risk drivers, which are typically used to mark level 3 assets and liabilities to market, are carefully validated and tabled at the monthly price validation forum to ensure these are reasonable and used consistently. Sensitivities arising from exposures to such drivers are similarly scrutinised, together with movements in level 3 fair values. They are also disclosed monthly to the market risk committee and ALCO.

Level hierarchy

The table that follows analyses financial instruments carried at fair value, by level of fair value hierarchy. The different levels are based on the extent that available market data is used in the calculation of the fair value of the financial instruments. The levels have been defined as follows:

Level 1 – fair value is based on quoted market prices (unadjusted) in active markets for identical instruments.

Level 2 – fair value is determined through valuation techniques based on observable inputs, either directly, such as quoted prices, or indirectly, such as derived from quoted prices. This category includes instruments

valued using quoted market prices in active markets for similar instruments, quoted prices for identical or similar instruments in markets that are considered less than active or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3 – fair value is determined through valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument’s valuation. This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the assets and liabilities.

Significant unobservable inputs

The fair value of level 3 assets and liabilities is determined using valuation techniques that include reference to recent arm’s length transactions, discounted cash flow analyses, pricing models and other valuation techniques commonly used by market participants. However, such techniques typically have unobservable inputs that are subject to management judgement. These inputs include credit spreads on illiquid issuers, implied volatilities on thinly traded stocks, correlation between risk factors, prepayment rates and other illiquid risk drivers. Exposure to such illiquid risk drivers is typically managed by:

- using bid-offer spreads that are reflective of the relatively low liquidity of the underlying risk driver
- raising day one profit provisions in accordance with IFRS Accounting Standards
- quantifying and reporting the sensitivity to each risk driver
- limiting exposure to such risk drivers and analysing this exposure on a regular basis

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Notes (continued)

41. Fair value of financial instruments (continued)

41 (a) Financial instruments measured at fair value

The table below analyses Group financial instruments carried at fair value, by level of fair value hierarchy :
Financial instruments measured at fair value on a recurring basis

		Level 1	Level 2	Level 3	Total
At 31 December 2025	Note	KShs Million	KShs Million	KShs Million	KShs Million
Assets					
Cash and balances with Central Banks (minimum regulatory reserve)		21,377	-	-	21,377
Financial assets – FVTPL	20 (a)	-	56,043	-	56,043
Financial assets – FVOCI	21	-	33,167	-	33,167
Equity investments	25 (b)	-	-	18	18
Derivative assets	33.5	-	674	-	674
		21,377	89,884	18	111,279
Liabilities					
Financial liabilities – FVTPL	20 (b)	-	16,036	-	16,036
Derivative liabilities	33.5	-	1,161	-	1,161
		-	17,197	-	17,197

At 31 December 2024

Assets

Cash and balances with Central Bank of Kenya (minimum regulatory reserve)		18,955	-	-	18,955
Financial assets – FVTPL	20 (a)	-	54,649	-	54,649
Financial assets – FVOCI	21	-	15,462	-	15,462
Equity investments	25(b)	-	-	18	18
Derivative assets	33.5	-	2,095	-	2,095
		18,955	72,206	18	91,179

Liabilities

Financial liabilities – FVTPL	20 (b)	-	16,322	-	16,322
Derivative liabilities	33.5	-	2,746	-	2,746
		-	19,068	-	19,068

There were no transfers between levels in 2025 and 2024.

Financial instruments in level 1

The fair value of financial instruments traded in active markets is based on quoted market prices at the balance sheet date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm’s length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1. Instruments included in level 1 comprise primarily of cash and subordinated debt listed on the Nairobi Securities Exchange (NSE).

Sensitivity of fair value of level 2 financial instruments

The fair value of level 2 financial instruments is determined using valuation techniques which incorporate assumptions that are not supported by prices from observable current market transactions in the same instruments and are not based on available observable market data. Such assumptions include risk premiums, liquidity discount rates, credit risk, volatilities and correlations. Changes in these assumptions could affect the reported fair values of these financial instruments.

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For the year ended 31 December 2025

Notes (continued)**41. Fair value of financial instruments (continued)****41 (a) Financial instruments measured at fair value (continued)****Financial instruments measured at fair value on a recurring basis (continued)****Level 2 financial assets and financial liabilities**

	Valuation basis/technique	Main assumptions ¹
Derivative instruments	Discounted cash flow model	Discount rate
	Black-Scholes model	Risk-free rate, volatility rate
	Multiple valuation technique	Valuation multiples
Financial assets – (FVTPL)	Discounted cash flow model	Discount rate, liquidity discount rate
	Black-Scholes model	Risk-free rate, volatility rate
Financial assets -FVOCI	Discounted cash flow model	Discount rate, liquidity discount rate
	Multiple valuation technique	Valuation multiples
	Quoted exit price adjusted for notice period	Discount rate
Loans and advances to customers	Discounted cash flow model	Discount rate, liquidity discount rate
Financial liabilities	Discounted cash flow model	Discount rate, liquidity discount rate
Deposits from Banks	Discounted cash flow model	Discount rate, liquidity discount rate
Deposits from customers	Discounted cash flow model	Discount rate, liquidity discount rate
Other financial liabilities	Discounted cash flow model	Discount rate, liquidity discount rate
Cash with Central Bank of Kenya	Prevailing exchange rate	Exchange rate
Investment in equities	Sale price	Discount rate

¹The main assumptions for all instruments include applicable credit spreads.**Financial statements**

For the year ended 31 December 2025

Notes (continued)**41. Fair value of financial instruments (continued)****41 (b) Financial instruments not measured at fair value****Financial assets and Financial liabilities**

Assets and liabilities not measured at fair value for which fair value is disclosed are as shown in the table below:

	Level 1	Level 2	Level 3	Fair value	Carrying amount
At 31 December 2025	KShs Million	KShs Million	KShs Million	KShs '000	KShs Million
Assets					
Cash and balances with the Central Bank of Kenya	8,739	-	-	8,739	8,739
Loans and advances to banks	-	-	87,761	87,761	93,610
Loans and advances to customers	-	-	288,537	288,537	272,919
Financial assets - amortised cost	-	18,941	-	18,941	18,866
Other assets	-	-	9,451	9,451	9,451
	8,739	18,941	385,749	413,429	403,585
Liabilities					
Deposits from banks	-	-	(44,965)	(44,965)	(44,884)
Deposits from customers	-	-	(352,191)	(352,191)	(373,725)
Borrowings	-	-	(16,285)	(16,285)	(13,025)
Other liabilities	-	-	(7,682)	(7,682)	(7,682)
	-	-	(421,123)	(421,123)	(439,316)

	Level 1	Level 2	Level 3	Fair value	Carrying amount
At 31 December 2024	KShs Million	KShs Million	KShs Million	KShs '000	KShs Million
Assets					
Cash and balances with the Central Bank of Kenya	5,722	-	-	5,722	5,722
Loans and advances to banks	-	-	49,456	49,456	64,486
Loans and advances to customers	-	-	217,141	217,141	230,218
Financial assets - amortised cost	-	19,197	-	19,197	29,079
Other investments	-	-	-	-	-
Other assets	-	-	8,239	8,239	8,239
	5,722	19,197	274,836	299,755	337,744
Liabilities					
Deposits from banks	-	-	(15,527)	(15,527)	(20,819)
Deposits from customers	-	-	(267,857)	(267,857)	(318,193)
Borrowings	-	-	(9,571)	(9,571)	(10,482)
Other liabilities	-	-	(7,568)	(7,568)	(7,568)
	-	-	(300,523)	(300,523)	(357,062)

The valuation techniques used in determining the fair value of financial assets and liabilities classified within level 2 and level 3.

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For the year ended 31 December 2025

Notes (continued)

41 (b) Financial instruments not measured at fair value (continued)

The table below indicates the valuation techniques and main assumptions used in the determination of the fair value of the level 2 and level 3 assets and liabilities not measured at fair value but for which fair value is disclosed in table 41 (b) above:

2025	Valuation basis/technique	Main assumptions
Loans and advances to Banks	Discounted cash flow model	Discount rate, liquidity discount rate
Loans and advances to Customers		
Deposits from banks		
Customer deposits		
Borrowings		
Other financial assets and liabilities		

42. Related party transactions

Stanbic Holdings Plc is a subsidiary of Stanbic Africa Holdings Limited (SAHL), incorporated in the United Kingdom. The ultimate parent of SAHL is Standard Bank Group Limited, which is incorporated in South Africa.

There are other companies which are related to Stanbic Holdings Plc through common shareholdings or common directorships.

In the normal course of business, nostro and vostro accounts are operated and placings of both foreign and local currencies are made with the parent company and other group companies including bank deposits from group non bank companies at interest rates in line with the market. The relevant balances are as shown below;

For the year ended 31 December 2025, the Group made nil provision for doubtful debts relating to long outstanding amounts owed by related parties (2024: KShs nil) as indicated on Note 42 (g).

During the year the company received dividends from its subsidiaries :Stanbic Bank Kenya Limited Ksh (8,816,454,083.) SBG Securities Ksh 20,000,000 and Stanbic Bancassurance Intermediary Limited Ksh 150,000,000

42 (a) Loans due from group banks -Note 23(a)

	GROUP		COMPANY	
	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Stanbic Bank Kenya Limited	-	-	115	159
Stanbic Bank Uganda Limited	1,417	1,239	-	-
Stanbic Bank Tanzania Limited	299	134	-	-
Standard Bank of South Africa Limited	802	15,770	-	-
Standard Bank Isle of Man Limited	22,278	42,278	-	-
	24,796	59,421	115	159
Interest income earned on the above is:	2,065	2,496	6	16

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Notes (continued)

42. Related party transactions (continued)

42 (b) Deposits due to group banks

	GROUP	
	2025	2024
	KShs Million	KShs Million
Standard Bank of South Africa Limited	29,559	1,246
Stanbic Bank Uganda Limited	508	316
Stanbic Bank Malawi Limited	1	-
Stanbic Bank Zimbabwe Limited	1	1
Stanbic Bank Botswana Limited	6	3
Standard Bank (Mauritius) Limited	1	6
Standard Bank Isle of Man Limited	582	7,026
Stanbic Bank Tanzania Limited	127	42
	30,785	8,640
Interest expense incurred on the above is:	1502	903

The weighted average effective interest rate on loans and advances to group companies as at 31 December 2025 was 4.84% (2024: 6.13%) and on amounts due to group companies was 2.12% (2024: 2.91%).

42 (c) Deposits due to group companies (non-bank)

	GROUP	
	2025	2024
	KShs Million	KShs Million
The Heritage Insurance Company Limited	154	255
Stanbic Africa Holdings Limited	9	9
Liberty Life Assurance Kenya Ltd	852	280
Liberty Kenya Holdings Limited	3	3
	1,018	547

The interest earned on above deposits is Ksh 5,326,218(2024:Ksh 4,684,393).The weighted average effective interest rate on the non bank deposits is 4.04%(2024:3.71%)

42 (d) Key management compensation

Key management personnel include: the members of the Stanbic Holdings Plc Board of Directors and prescribed officers effective for 2025 and 2024. Non-executive directors are included in the definition of key management personnel as required by IAS 24 Related Party Disclosures. The definition of key management includes the close family members of key management personnel and any entity over which key management exercise control or joint control. Close members of family are those family members who may be expected to influence, or be influenced by that person in their dealings with the Group. They include the person's domestic partner and children, the children of the person's domestic partner, and dependants of the person or the person's domestic partner.

Key management have transacted with the Group as indicated in note 42 (e) and 42 (f);



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Notes (continued)

42. Related party transactions (continued)

42 (e) Loans and advances to key management

The aggregate amount of loans to directors, affiliates and their families on the statement of financial position is Kshs nil (2024: KShs nil).

No specific credit impairments have been recognised in respect of loans granted to key management (2025: KShs nil).

42 (f) Key management compensation

	GROUP		COMPANY	
	2025	2024	2025	2024
	KShs Million	KShs Million	KShs Million	KShs Million
Fees for services as a director (Note 14)	201	156	11	8
Salaries and other short-term employment ben- efits	268	210	60	60
Post-employment pension	7	8	8	8
Share-based payments	253	116	-	17
	729	490	79	93

42 (g) Amounts due from related companies

	GROUP	
	2025	2024
	KShs Million	KShs Million
Standard Bank Jersey Limited	3	3
Stanbic Bank Uganda Limited	2	57
Standard Bank of South Africa Limited	942	793
Stanbic Bank Tanzania Limited	1	-
Standard Bank Isle of Man Limited	15	1
Stanbic Uganda Holdings Limited	6	6
	969	860
Expected credit losses	-	-
	969	860

Movement analysis (note 24)

At 1 January	860	422
Additions	1,772	1,900
Receipts	(1,663)	(1,462)
Closing Balance	969	860
Expected credit losses	-	-
At 31 December	969	860

There is no interest accruing for these outstanding receivables.

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For the year ended 31 December 2025

Notes (continued)

42. Related party transactions (continued)

42 (h) Other payables due to related companies(note 36a)

	GROUP	
	2025	2024
	KShs Million	KShs Million
Standard Bank of South Africa Limited	541	1033
Stanbic Bank Uganda Limited	11	11
	552	1,044

There is no interest accruing for these outstanding liabilities.

42 (i) Related party expenses

The Group incurred the following related party expenses payable to Standard Bank of South Africa:

	GROUP	
	2025	2024
	KShs Million	KShs Million
Franchise fees	1,116	1,148
Information technology	825	687
Other operating costs	210	345
	2,151	2,180

43 Contingent liabilities - Group

	GROUP	
	2025	2024
Commitments were with respect to:	KShs Million	KShs Million
Letters of credit and acceptances	22,373	3,481
Guarantees	110,794	76,362
Unutilised facilities	23,653	19,346
	156,820	99,189

Contingent liabilities - maturity analysis

31 December 2025	Redeemable on demand	Maturing within 1 month	Maturing after 1 month but within 6 months	Maturing after 6 months but within 12 months	Maturing after 12 months but within 5 years	Maturing after 5 years	Total carrying value
Letters of credit and acceptances	154	15	7,569	11,669	2,966	-	22,373
Guarantees	104	2,200	26,652	32,445	49,323	70	110,794
Unutilised facilities	-	350	9,413	13,890	-	-	23,653

31 December 2024

Letters of credit and acceptances	4	49	3,376	52	-	-	3,481
Guarantees	4	951	22,539	29,407	23,405	56	76,362
Unutilised facilities	152	1,548	4,568	13,078	-	-	19,346

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For the year ended 31 December 2025

Notes (continued)

42. Related party transactions (continued)

Nature of contingent liabilities

Letters of credit, Guarantees & Acceptances

Letters of credit commit the Group to make payments to third parties, on production of documents, which are subsequently reimbursed by the customers.

Guarantees are generally written by a Group to support performance by a customer to third parties. The Group will only be required to meet these obligations in the event of customers' default.

An acceptance is an undertaking by the Group to pay a bill of exchange drawn on a customer. The Group expects most of the acceptances to be presented, and to be reimbursed by the customer almost immediately.

Legal claims contingencies

The Group is a defendant in a number of legal proceedings arising in the normal course of business, mostly relating but not limited to realisation of collateral on lending.

Tax assessments

The Group has received tax assessments pertaining tax interpretations on its business activities from the Kenya Revenue Authority, which it has challenged on various principles and continues to engage the Revenue authority to resolve. Management is confident that no material liabilities will crystallise from these assessments, beyond the provisions already recorded.

43 (b) Segmental analysis of off-balance sheet liabilities

	2025		2024	
	KShs Million	%	KShs Million	%
Agriculture	1,673	1.07%	972	0.98%
Manufacturing	23,228	14.81%	4,358	4.39%
Construction	28,463	18.15%	25,067	25.27%
Energy	169	0.11%	165	0.17%
Transport and communication	7,071	4.51%	2,981	3.01%
Distribution/wholesale	29,798	19.00%	23,862	24.06%
Financial Services	64,162	40.91%	40,476	40.81%
Other activities and social service	2,257	1.43%	1,308	1.31%
	156,820	100.00%	99,189	100.00%

Notes (continued)

43 Contingent liabilities - Group (continued)

43 (c) Reconciliation of expected credit losses for off balance sheet facilities measured at amortised cost (KShs Million)

The off balance sheet facilities are classified based on their credit quality as determined using the Bank's internal credit rating and scoring models.

	Income statement movements										Closing ECL 31 December 2025			
	Opening ECL 1 January 2025		Total transfers between stages		ECL on new exposure raised		Derecognition		Subsequent changes in ECL			Net ECL raised/ (released)	Impairment accounts written-off	Exchange and other movements
	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs	KShs				
Off balance sheet	57	2		46	(14)	(8)					24	-	3	86
Stage 1														
Letters of credit	2	-		13	(2)	(1)					10	-	2	14
Guarantees	55	2		33	(12)	(7)					14	-	1	72
Stage 2	5	(2)		1	(1)	(1)					(1)	-	-	2
Letters of credit	-	-		-	-	-					-	-	-	-
Guarantees	5	(2)		1	(1)	(1)					(1)	-	-	2
Stage 3	-	-		-	-	-					-	-	-	-
Letters of credit	-	-		-	-	-					-	-	-	-
Guarantees	-	-		-	-	-					-	-	-	-
Total ECL	62	-		47	(15)	(9)					23	-	3	88

43 (c) Reconciliation of expected credit losses for off balance sheet facilities measured at amortised cost (KShs Million)

	Opening ECL 1 January 2024		Total transfers between stages		ECL on new exposure raised		Income statement movements			Closing ECL 31 December 2024		
	KShs		KShs		KShs		KShs		KShs		KShs	
Off balance sheet	88	1	18	(31)	(19)						57	
Stage 1												
Letters of credit	21	-	2	(20)	(1)						2	
Guarantees	67	1	16	(11)	(18)							55
Stage 2	5	(1)	3	(2)	(7)						5	
Letters of credit	-	-	-	-	-						-	
Guarantees	5	(1)	3	(2)	(7)						7	5
Stage 3	-	-	-	-	-						-	
Letters of credit	-	-	-	-	-						-	
Guarantees	-	-	-	-	-						-	
Total ECL	93	-	21	(33)	(26)						7	62

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Notes (continued)

43 Contingent liabilities - Group (continued)

43 (d) Legal proceedings and Tax assessments

Legal Claims contingency

In the conduct of its ordinary course of business, the Group is exposed to various actual and potential claims, lawsuits and other proceedings relating to alleged errors and omissions, or non-compliance with laws and regulations. The directors are satisfied, based on present information and the assessed probability of claims arising, that the Bank has adequate insurance programmes and provisions in place to meet such claims. The amounts provided for in other liabilities are KShs 263,185,298 (2024: KShs 1,081,595,734).

Tax assessments

The Group has received tax assessments pertaining tax interpretations on its business activities from the Kenya Revenue Authority, which it has challenged on various principles and continues to engage the Revenue authority to resolve. Management is confident that no material liabilities will crystallise from these assessments, beyond the provisions already recorded.

44. Other reserves

	Pre- acquisition reserve	Revaluation of financial assets at FVOCI	Regulatory credit risk reserve	Revaluation reserve on buildings	Foreign currency translation reserve	Total
For the year ended 31 December 2025	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
At 1 January 2025	(126)	232	2,375	75	(3,198)	(642)
Total comprehensive income for the year	-	21	-	(6)	(14)	1
Currency translation difference for foreign operations	-	-	-	-	(14)	(14)
Transfer of revaluation reserves	-	-	-	(6)	-	(6)
Realised fair value adjustment on financial assets - Fair value through OCI transferred to profit or loss	-	21	-	-	-	21
Transfer of statutory credit risk reserve	-	-	(370)	-	-	(370)
Transactions with owners recorded directly in equity, contributions by & distributions to owners of the Group						
Share based payment reserve	-	-	-	-	-	-
Total transactions with owners of the Group	-	-	-	-	-	-
At 31 December 2024	(126)	253	2,005	69	(3,212)	(1,011)

	Pre- acquisition reserve	Revaluation of financial assets at FVOCI	Regulatory credit risk reserve	Revaluation reserve on buildings	Foreign currency translation reserve	Total
For the year ended 31 December 2024	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million	KShs Million
At 1 January 2024	(126)	(190)	1,415	83	(2,247)	(1,065)
Total comprehensive income for the year	-	422	-	(8)	(951)	(537)
Currency translation difference for foreign operations	-	-	-	-	(951)	(951)
Transfer of revaluation reserves	-	-	-	(8)	-	(8)
Realised fair value adjustment on financial assets - Fair value through OCI transferred to profit or loss	-	422	-	-	-	422
Transfer of statutory credit risk reserve	-	-	960	-	-	960
Transactions with owners recorded directly in equity, contributions by & distributions to owners of the Group						
Share based payment reserve	-	-	-	-	-	-
Total transactions with owners of the Group	-	-	-	-	-	-
At 31 December 2024	(126)	232	2,375	75	(3,198)	(642)

Financial statements

For the year ended 31 December 2024

Notes (continued)

44. Other reserves (continued)

	GROUP	
	2025	2024
	KShs Million	KShs Million
Pre-acquisition reserve	(126)	(126)
Revaluation of financial assets- Fair value	253	232
Regulatory credit risk reserve	2,005	2,375
Revaluation reserve on buildings	69	75
Foreign currency translation reserve	(3,212)	(3,198)
At end of year	(1,011)	(642)

The pre-acquisition reserve solely represents the deficit on the available for sale reserve and regulatory credit risk reserve from the merger of CfC Bank Limited and Stanbic Bank Kenya Limited in 2008. The Group has not revalued the reserve since the merger. The pre-acquisition reserve is non-distributable.

Fair value reserve represents the surplus or losses arising on fair valuation of FVOCI financial instruments and is non-distributable.

The Regulatory credit risk reserve represents an appropriation from retained earnings to comply with the Central Bank of Kenya's Prudential Regulations. The balance in the reserve represents the excess of impairment provisions determined in accordance with the Prudential Regulations over the impairment provisions recognised in accordance with the Company's accounting policy. The reserve is not distributable.

The revaluation reserve on buildings solely represents the surplus on the revaluation of buildings and freehold land net of deferred income tax. The revaluation reserve arose from the merger of CfC Bank Limited and Stanbic Bank Kenya Limited in 2008. The Group policy was adopted to state all its assets using the historical cost model. No revaluation has been undertaken since the merger. The revaluation reserve is non-distributable.

Foreign currency translation reserve represents exchange differences arising on the translation of the net investment in foreign entities and is non-distributable.

Notes (continued)

45. Share-based payment reserve

The Group's share incentive scheme enables key management personnel and senior employees of the Group to benefit from the performance of Standard Bank Group (SBG) shares.

The Group has two equity-settled schemes, namely the Group Share Incentive Scheme and the Equity Growth Scheme. The Group Share Incentive Scheme confers rights to employees to acquire ordinary shares at the value of the SBG share price at the date the option is granted. The Equity Growth Scheme represents appreciation rights allocated to employees. The eventual value of the right is effectively settled by the issue of shares equivalent in value to the value of the rights. The share appreciation rights granted during the year were valued using Black Scholes pricing model. Each grant was valued separately.

At 31 December 2025, the total amount included in staff costs for Group Share Incentive Scheme was KShs nil (2024: KShs nil) and for Equity Growth Scheme was KShs nil (2024: KShs nil).

The two schemes have five different sub-types of vesting categories as illustrated by the table below:

	Year	% vesting	Expiry
Type A	3, 4, 5	50, 75, 100	10 Years
Type B	5, 6, 7	50, 75, 100	10 Years
Type C	2, 3, 4	50, 75, 100	10 Years
Type D	2, 3, 4	33, 67, 100	10 Years
Type E	3, 4, 5	33, 67, 100	10 Years

The weighted average SBG share price for the year to 31 December 2024 was ZAR 209.74. No outstanding options for the year 2024.

	Number of rights	
Equity Growth Scheme	2025	2024
Rights outstanding at beginning of the year	893	38,251
Transfers	-	-
Exercised	(893)	(37,358)
Lapsed	-	-
Rights outstanding at end of the year	-	893

All rights granted to employees have been exercised as at 31 December 2025.

Number of rights	Option price range (ZAR)	Weighted average price (ZAR)	Option expiry period
-	208.52	208.52	Year to 31 December 2025
-			

The following rights granted to employees had not been exercised at 31 December 2024:

Number of rights	Option price range (ZAR)	Weighted average price (ZAR)	Option expiry period
894	209.74	209.74	Year to 31 December 2024

46. Capital commitments

Capital commitments for the acquisition of property and equipment are summarised below:

	2025	2024
	KShs Million	KShs Million
Authorised and contracted for	399	1632
Authorised but not contracted for	1,598	1,364

Notes (continued)

47. Low value and short term leases

The Group has entered into a number of low value and short term leases that it has elected not to apply the requirements of IFRS 16. There are no restrictions placed upon the lessee by entering into these leases such as those concerning dividends or additional debt.

At 31 December, the future minimum lease payments under non-cancellable operating leases were payable as follows:

	2025	2024
	KShs Million	KShs Million
Less than one year	90	100
Between one and five years	31	90
	121	190

48. Fiduciary activities

The assets held on behalf of individuals, trusts, retirement benefit plans and other institutions:

	2025	2024
	KShs Million	KShs Million
Assets held on behalf of individual's trusts and other institutions	775,056	736,333

49. Subsequent event

There have been no events or transactions subsequent to 31 December 2025 to the date of these financial statements that would have a material effect on these financial statements and that would require adjustment of, or disclosure in the financial statements or notes thereto in accordance with IAS 10 Events After the Balance Sheet Date.

An aerial photograph of a town and a river. The town is densely packed with buildings and is situated along a river. A dam is visible in the foreground, spanning the river. The surrounding area is green and hilly. A semi-transparent blue shield-shaped graphic is overlaid on the right side of the image, containing the text 'Supplementary Information' and a list of links.

Supplementary Information

[272](#) Group Shareholding
[273](#) Notice to the AGM
[275](#) Proxy Form



Group Shareholding

Stanbic Holdings Plc

Shares Distribution Statistics as at 31 December 2025

Range	Records	Range Total	Percentage
1 to 500	2022	320,536	0.08%
501 to 1000	472	389,564	0.10%
1001 to 5000	793	1,906,219	0.48%
5001 to 10000	338	2,477,200	0.63%
10001 to 50000	298	6,362,027	1.61%
50001 to 100000	66	4,514,590	1.14%
100001 to 500000	70	16,625,397	4.21%
500001 to 1000000	19	13,348,782	3.38%
1000001 to 200000000000	18	349,377,323	88.38%
Grand Totals	4,096	395,321,638	100.00%

Top 10 Investors as at 31 December 2025

I hereby confirm that Stanbic Holdings Plc had the following top major shareholders as at 31st December 2025

No	Names	Address	Shares	Value	Percentage
1	STANBIC NOMINEES LTD A/C NR00901	P.O. BOX 30550-00100 NAIROBI	296,188,531	58,423,187,739.75	74.92%
2	STANDARD CHARTERED NOMINEES LTD NON RESD A/C KE11663	P.O. BOX 40984-00100 NAIROBI	8,307,383	1,638,631,296.75	2.10%
3	STANDARD CHARTERED KENYA NOMINEES LTD A/C KE004667	P.O. BOX 40984-00100 NAIROBI	5,604,622	1,105,511,689.50	1.42%
4	THE NATIONAL TREASURY AND ECONOMIC PLANNING	30007-00100 Nairobi	4,342,548	856,567,593.00	1.10%
5	STANDARD CHARTERED NOMINEES NON-RES.D. A/C KE9053	P.O. BOX 40984-00100 NAIROBI	3,561,540	702,513,765.00	0.90%
6	STANDARD CHARTERED KENYA NOMINEES LTD A/C KE23050	P.O. BOX 40984-00100 NAIROBI	3,541,206	698,502,883.50	0.90%
7	STANDARD CHARTERED NOMINEES RESD A/C KE11401	P.O. BOX 40984-00100 NAIROBI	3,489,651	688,333,659.75	0.88%
8	NCBA CUSTODIAL SERVICES A/C 423	44599-00100 NAIROBI	2,666,289	525,925,505.25	0.67%
9	KENYA COMMERCIAL BANK NOMINEES LIMITED A/C 915B KENYA COMMERCIAL BANK NOMINEES LIMITED A/C 915B	P.O. BOX 30664-00100 NAIROBI	2,137,651	421,651,659.75	0.54%
10	KINGSWAY NOMINEES LIMITED	42841-00100 NAIROBI	1,987,300	391,994,925.00	0.50%
11	Others		63,494,917	12,524,372,378.25	16.06%
Grand Totals:			395,321,638	77,977,193,095.50	100.00%


Nancy Kiruki
Company Secretary

Notice of Annual General Meeting



NOTICE is hereby given to Shareholders that, in accordance with Parts 18, 19, 20, 21 and 41 of the Stanbic Holdings Plc's Articles of Association, the 71st Annual General Meeting (AGM) of the Company will be held as a virtual meeting by electronic means on Thursday 14th May 2026 at 11:00 a.m. to transact the following business:

1. **CONSTITUTION OF THE MEETING**
The Secretary to read the notice convening the meeting and confirm the presence of a quorum.
2. **ORDINARY BUSINESS**

2.1 To receive and adopt the Audited Financial Statements for the year ended 31st December 2025, and the Chairman's, Directors' and Auditor's Reports thereon.

2.2 To confirm the payment of an interim dividend of Kshs.3.80 per ordinary share paid on 29th September 2025 and to consider and if thought fit, approve the recommendation by the Board for payment of a final dividend of Kshs. 18.55 per ordinary share, for the year ended 31st December 2025. The published book closure date is 15th May 2026 and if the final dividend is approved by the Company's shareholders, the payment of a final dividend will be made on or about 4th June 2026.

2.3 To elect Directors:

a. In accordance with Articles 102, 103 and 104 of the Company's Articles of Association, Ms. Dorcas Florence Kombo retires by rotation, and though eligible, does not offer herself for re-election.

b. In accordance with Articles 102, 103 and 104 of the Company's Articles of Association, Mr Peter Nderitu Gethi retires by rotation and, though eligible, does not offer himself for re-election.

c. In accordance with Article 99 of the Company's Articles of Association, Dr. Joshua Nyamweya Oigara, a director appointed to the Board to fill a casual vacancy, retires at the dissolution of the meeting and having been recommended by the Board, offers himself for election as a director.

2.4 To pass an ordinary resolution pursuant to Section 681(1) of the Companies Act, 2015, approving the Directors' remuneration report for the year ended 31st December 2025 as provided in the Audited Financial Statements and to authorise the Board to fix the Directors' remuneration for the year 2026.

2.5 To consider and if thought fit, to pass an ordinary resolution approving the Directors' Remuneration Policy pursuant to Paragraph 8.21.1 and 8.21.5 of the Thirteenth Schedule of the Capital Markets (Public Offers, Listing & Disclosures Regulations) 2023.

2.6 To pass an ordinary resolution pursuant to Section 721(4) of the Companies Act, 2015, to re-appoint Messrs Deloitte & Touche LLP as auditors of the Company and to authorise the Directors to fix the auditor's remuneration in accordance with the provisions of Section 724(1) of the Companies Act.

2.7 To consider and if thought fit, to pass an ordinary resolution pursuant to Section 769(1) of the Companies Act, 2015, to appoint the following members of the Board Audit Committee:

a. Mr. Stephen Odinga Okello

b. Ms. Rose Bosibori Osoro

c. Ms. Sabira Amit Thakker
3. **ANY OTHER BUSINESS**
Any other business for which due notice has been given.

BY ORDER OF THE BOARD
FCS Nancy Kiruki
Company Secretary
16th April 2026

- NOTES:**
1. Any shareholder wishing to participate in the meeting should register for the Annual General Meeting (AGM) by dialling *483*233# for all networks and following the various prompts regarding the registration process. In order to complete the registration process, Shareholders will need to have their ID/Passport Numbers which were used to purchase their shares and/or their CDSC Account Number. For assistance, Shareholders should dial the following helpline numbers: 0709 170 033/ 0709 170 000 from 8 a.m. to 5 p.m. on a working day.

Stanbic Bank Kenya Limited is licensed and regulated by the Central Bank of Kenya

Notice of Annual General Meeting

2. Registration for the AGM opens on 17th April 2026 at 9:00 a.m. and will close on 12th May 2026 at 11:00 a.m.
3. In accordance with Section 283 (2) (c) of the Companies Act, the following documents may be viewed on the Company's website www.stanbicbank.co.ke (i) a copy of this Notice; (ii) the Company's audited financial statements for the year 2025; (iii) the Company's Annual Integrated Report; and (iv) the Proxy form.
4. Shareholders wishing to raise any questions or request clarification regarding the resolutions to be passed at the AGM may do so by: (i) sending their written questions by email to SBK_Questions.AGM@stanbic.com or (ii) Shareholders who will have registered to participate in the meeting shall be able to ask questions via sms by dialling the USSD code above and selecting the option (ask Question) on the prompts or (iii) to the extent possible, physically delivering their written questions providing their ID numbers and contact details, including a return postal address, physical address or email address to the Company's Shares Registrar's, Image Registrars Ltd, offices at 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street; or (iv) sending their written questions with a return postal address, physical address or email address by registered post to Image Registrars' postal address at P.O. Box 9287- 00100 GPO, Nairobi or (v) registering to speak at the AGM. For this option, shareholders will receive an SMS prompt to register via the USSD code.
5. Shareholders must provide their full details (full names, Kenyan national identity card/Passport Number/CDSC Account Number) when submitting their questions and clarifications. All questions and requests for clarification must reach the Company or its Shares Registrars on or before 12th May 2026 at 11:00 a.m.
6. In accordance with Section 298(1) and (2) of the Companies Act, Shareholders entitled to attend and vote at the AGM are entitled to appoint a proxy to vote on their behalf. A proxy need not be a member of the Company. A proxy form is available on the Company's website www.stanbicbank.co.ke. Physical copies of the proxy form are also available at Image Registrars Limited offices. Shareholders wishing to receive a proxy form and/or a copy of the Annual Report by e-mail may send a request, quoting their full name and CDSC account number to stanbicagm@image.co.ke
7. A completed form of proxy should be emailed to stanbicagm@image.co.ke or delivered to Image Registrars Limited offices or posted to the postal address of Image Registrars Limited no later than 48 hours before the date of the AGM.
8. Shareholders will receive an SMS prompt, with instructions, on their registered mobile phone number alerting them to Propose and Second the resolutions put forward in the notice.
9. The AGM will be streamed live via a link which shall be provided to all Shareholders who will have registered to participate in the AGM. Duly registered Shareholders and proxies will receive a short message service (SMS)/USSD prompt on their registered mobile numbers, 24 hours prior to the start of the AGM acting as a reminder of the AGM. A second SMS/USSD prompt shall be sent one hour ahead of the AGM, reminding duly registered shareholders and proxies that the AGM will begin in an hour's time and providing a link to the livestream.
10. Duly registered Shareholders and proxies may access the agenda and follow the proceedings of the AGM using the livestream platform. Duly registered Shareholders and proxies may vote (when prompted by the Chairman) on the USSD platform by following the SMS prompts.
11. A poll shall be conducted for all the resolutions put forward in the notice.
12. Results of the voting on resolutions at the AGM shall be published within 48 hours following conclusion of the AGM on the Company's website.
- DIVIDEND

13. To facilitate timely receipt of dividends, shareholders are encouraged to update their contact details and register to receive their dividend payments via mobile (Mobile money) or bank payments. To do so, shareholders are requested to update their dividend payment details via any one of the following channels:

a. Complete an online opt-in form through <https://stanbic.azurewebsites.net/>

b. Send an email to Image Registrars Limited through stanbicshares@image.co.ke

c. Opt-In via USSD by dialling *483*233# as you register for the Annual General Meeting (AGM).

d. hareholders who maintain CDS Accounts are also encouraged to notify any change of address or request for payment of dividends through bank accounts /Mobile Money via their stockbroker or investment bank.



2026 Annual General Meeting for Stanbic Holdings Plc

Proxy Form

To: The Company Secretary

Stanbic Holdings Plc

PROXY FORM for 2026 Annual General Meeting (AGM) for Stanbic Holdings Plc

(Please complete the form in BLOCK LETTERS)

CDSC A/c No: _____

Shareholder No: _____

ID/Registration/Passport No: _____

I/We, _____ ,

of _____ ,

being a member of STANBIC HOLDINGS PLC hereby appoint _____

of _____

or failing him _____

of _____

as my/our proxy to vote on my/our behalf at the Annual General Meeting of the Company to be held on Thursday, 14th May 2026 at 11.00am and at any adjournment thereof.

Mobile Number (of the proxy holder): _____

Dated this _____ day of _____ 2026

Full Name: _____

Signature: _____

Note: The proxy form should be completed and returned to reach the Company's shares registrar, Image Registrars Limited, not later than 48 hours before the meeting or any adjournment thereof, using either of the addresses provided below:

1. Image Registrars Ltd, offices at 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street, Nairobi, Kenya
2. Image Registrars Ltd, P.O. Box 9287- 00100 GPO, Nairobi, Kenya
3. stanbicagm@image.co.ke



Electronic Registration Consent Form

(Please complete the form in BLOCK LETTERS)

Full name of shareholder(s):

Address:

Mobile Number:

Date:

Signature:

Please tick the boxes below and return to Image Registrars at P.O. Box 9287 – 00100 Nairobi, 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street:

Consent to Registration

I/WE consent to registration to participate in the virtual Annual General Meeting for Stanbic Holdings Plc to be held on 14th May 2026.

Consent for use of the Mobile Number provided

I/WE would give my/our consent for the use of the mobile number provided for purposes of electronic voting at the AGM



The voting follows the following steps:

STEP 1

The Company, through Image Registrars, will send an SMS to shareholders on the day and start time of the AGM inviting them to vote using the USSD platform. The SMS will read:

Dear Shareholder, you can now vote on the Stanbic Holdings Plc 2026 Annual General Meeting Resolutions by dialling *483*233#.

STEP 2

Shareholder responds by dialling the USSD Code.

STEP 3

The Shareholder MSISDN* will be compared against the ones in the database. If the shareholder exists in the database and has not voted before, they are presented with a Menu to Vote or else will receive the message below:

Dear esteemed shareholder, you have already voted before. Thanks.

Only individual shareholders whose MSISDN numbers have been verified will be allowed to vote. For companies and self-help groups, a nominated number must be registered with Image Registrars at least a day before the AGM date. If the MSISDN cannot be found on the system, the USSD session ends with the shareholder receiving the message below:

Sorry, your Mobile Number is not currently registered to vote. Please contact Image Registrars to register.

STEP 4

The first question (I adopt the audited Financial Statements for the year ended 31 December 2025 together with the Chairman’s, Directors’ and Auditors’ reports thereon) is then presented and the shareholder responds by voting ‘Yes’ or ‘No’. The menu proceeds to the next question.

STEP 5

The second question (I confirm the payment of an interim dividend of Kshs.3.80 per ordinary share and approve a final dividend of Kshs.18.55 per ordinary share for the Financial Year ended 31 December 2025 as recommended by the Directors) is presented and the shareholder responds by voting ‘Yes’ or ‘No’. The menu proceeds to the next question.

STEP 6

The third question (I elect Dr. Joshua Nyamweya Oigara who having filled a casual vacancy, retires at the end of the meeting in accordance with Article 99 of the Company’s Articles of Association, and having been recommended by the Board, offers himself for election) is presented and the shareholder responds by voting ‘Yes’ or ‘No’. The menu proceeds to the next question.

STEP 7

The fourth question (In accordance with the provisions of Section 681(1) of the Companies Act, 2015, I approve the Directors’ remuneration report contained in the Audited Financial Statements for the year ended 31 December 2025 and authorize the Board to fix the Directors’ remuneration for the year 2026) is presented and the shareholder responds by voting ‘Yes’ or ‘No’. The menu proceeds to the next question.

STEP 8

The fifth question (I approve the Directors’ Remuneration Policy pursuant to Section 8.21.1 and 8.21.5 of the thirteenth schedule of the Capital Markets (Public Offers, Listing & Disclosures Regulations) 2023) is presented and the shareholder responds by voting ‘Yes’ or ‘No’. The menu proceeds to the next question.

CONTINUE TO NEXT PAGE



STEP 9

The sixth question (I approve the re-appointment of Messrs Deloitte & Touche LLP as the Auditor of the Company pursuant to Section 721(4) of the Companies Act, 2015 and authorize the directors to fix the auditor's remuneration in accordance with the provisions of Section 724(1) of the Companies Act) is presented and the shareholder responds by voting 'Yes' or 'No'. The menu proceeds to the next question.

STEP 10

The seventh question (I approve the appointment of the proposed members of the Board Audit Committee pursuant to Section 769(1) of the Companies Act, 2015) is presented and the shareholder responds by voting 'Yes' or 'No'. The menu proceeds to the next question.

STEP 11

The shareholder is presented with a Submit Response option or Go back to edit the responses. On hitting submit, the shareholder register is updated using an application programming interface (API).

STEP 12

An SMS to confirm the successful voting is sent to the shareholder.

Thank You for voting. The final results of the voting will be published on the Company's website within 48 hours after the Annual General Meeting.

Notes

[illegible]

[illegible]

YOU
COUNT
ON US

Medical | Life | Education | Investment | Retirement | Last Expense

T&Cs apply.

The insurance products are underwritten by Liberty Life Assurance Kenya Ltd and Heritage Insurance Company Ltd. Stanbic Bancassurance Intermediary Limited is licensed and regulated by the Insurance Regulatory Authority'



Purpose in Motion

Our 2025 Integrated Report is anchored on the theme: "Purpose in motion", reflecting our continued progress, consistency in execution and growing momentum. The year under review demonstrates how disciplined delivery and clear strategic intent continue to translate our purpose into measurable and sustainable outcomes.

This report also recognises the people who make this progress possible. The use of internally generated photography is an intentional celebration of our colleagues, the heartbeat of the organisation, whose dedication, professionalism, and shared belief in our purpose power our performance every day. Their collective effort ensures that our purpose is not only articulated but actively lived and delivered.

We value having an ongoing engagement with our investors and welcome your feedback and queries at investorrelationskenya@stanbic.com.



Seth Kibet
Head, Investor Relations



The year under review demonstrates how disciplined delivery and clear strategic intent continue to translate our purpose into measurable and sustainable outcomes.



Dear Investor,

We are grateful for your participation in the 2025 Stanbic Holdings Plc Investor Survey. Your feedback will be instrumental in shaping our ongoing investor engagement, disclosures, and communication practices.

Summary of Investor Feedback (2025 Investor Survey)

Engagement area	Investor feedback
Investor communications	Request for postcall transcripts to improve accessibility.
Engagement format	Preference for hybrid quarterly investor engagements.
Corporate social investment disclosure	Desire for more decision, useful information on CSI activities and impact.
Financial reporting frequency	Interest in quarterly Standard Bank Group financial information and briefings.
Financial transparency	Request for clearer disclosure of key revenue and cost drivers.

We also received strong positive sentiment reflected by a **Net Promoter Score (a measure of customer advocacy) of 77.8**, with no detractors.

We thank you for your continued support and remain committed to delivering sustainable growth and value creation.

Investor Relations, Stanbic Holdings Plc.





[Stanbicbank.co.ke](https://www.stanbicbank.co.ke)